BayernLB

Financing progress.

BayernLB 2022
Annual Report and Accounts

Consolidated financial statements

Finanzgruppe

BayernLB Group at a glance

Income statement (IFRS)

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Net interest income	2,137	1,866	14.5
Risk provisions	(70)	(48)	45.4
Net interest income after risk provisions	**2,067**	**1,818**	**13.7**
Net commission income	424	380	11.4
Gains or losses on fair value measurement	67	190	(64.9)
Gains or losses on hedge accounting	(177)	(20)	>100
Gains or losses on derecognised financial assets[1]	(3)	6	-
Gains or losses on financial investments	(11)	46	-
Administrative expenses	(1,569)	(1,520)	3.2
Expenses for the bank levy and deposit guarantee scheme	(140)	(195)	(28.1)
Other income and expenses	356	108	>100
Gains or losses on restructuring	108	2	>100
Profit/loss before taxes	**1,122**	**816**	**37.6**
Income taxes	**(64)**	**(259)**	**(75.4)**
Profit/loss after taxes	**1,058**	**556**	**90.3**
Cost/income ratio (CIR)	56.2%	59.0%	(2.8) pp[2]
Return on equity (RoE)	10.5%	7.9%	2.6 pp[2]

Balance sheet (IFRS)

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Total assets	259,343	266,554	(2.7)
Business volume	305,826	313,264	(2.4)
Credit volume	240,312	226,995	5.9
Total deposits	184,267	195,739	(5.9)
Securitised liabilities	45,771	43,880	4.3
Subordinated capital	2,451	2,689	(8.9)
Equity	13,540	12,307	10.0

Banking supervisory capital and ratios under CRR/CRD IV

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Common Equity Tier 1 capital (CET1 capital)	11,357	10,966	3.6
Own funds	13,919	13,657	1.9
Total RWAs	65,311	63,315	3.2
Common Equity Tier 1 (CET1) capital ratio	17.4%	17.3%	0.1 pp[2]
Total capital ratio	21.3%	21.6%	(0.3) pp[2]

Employees

	31 Dec 2022	31 Dec 2021	Change in %
Number of employees	8,491	8,481	0.1

Current ratings

	Issuer rating	Short term, unsecured	Pfandbriefs[3]
Fitch Ratings	A- (stable)	F1	–
Moody's Investors Service	Aa3 (positive)	P-1	Aaa

1 For financial assets measured at amortised cost.

2 Percentage points.

3 Applies to public Pfandbriefs (Moody's) and mortgage Pfandbriefs (Moody's).

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Foreword by the Board of Management

Dear customers and business partners,
ladies and gentlemen,

Although 2022 was very successful financially, on a personal level it was shaped by the Russian war with Ukraine. Many of us could not imagine a war in Europe and are still stunned by Russia's aggression. It was very important to us to quickly show unity and solidarity with the people of Ukraine. As a small symbol of our solidarity, BayernLB has provided a total of EUR 600,000 for humanitarian aid, both in Munich's twin town of Kyiv and in Kharkiv, Nuremberg's partner city. A portion of this amount came from the proceeds of employee parties in Munich and Nuremberg. We are proud that so many of our colleagues have also shown and continue to show their solidarity with the people in Ukraine on a very practical level, with all manner of corporate volunteering initiatives.

In terms of business, 2022 was a very good year for BayernLB, as we posted a strong profit before taxes of EUR 1,122 million. We are particularly gratified that the successes of our Fokus 2024 multi-year transformation programme are evident. In the Corporates & Markets segment we took firm steps to increase profitability, we generated a good amount of new business in the Real Estate Division and we also grew the business volume and customer base at DKB. On top of that, low risk provisions and proceeds from the sale of buildings boosted earnings.

Aside from customer business, we focused our efforts predominantly on the Group's financial stability. This is reflected in the fact that we not only maintained but even slightly increased our solid capital base year on year, with a CET1 ratio as at 31 December 2022 of 17.4 percent (31 December 2021: 17.3 percent). This puts us in a position to share our financial success with our owners, the Free State of Bavaria and the Bavarian savings banks, and pay them a dividend of EUR 225 million.

In the Corporates Division, the new teamwork model introduced as part of the transformation, comprising dedicated teams to serve the focus sectors of energy, mobility, technology, manufacturing & engineering, and construction & basic resources, is bearing fruit. It enabled us not only to further expand our sector expertise and increase the advisory and service quality for our customers, but also to improve our profitability in the Corporates and Markets divisions, where the focused approach is paying off.

In Real Estate & Savings Banks/FI we continued to pursue our growth strategy, with success. Despite the current geopolitical challenges, we enjoyed a strong year for new business in real estate. Business with the savings banks benefited especially from the very good results in the precious metals business – we even achieved a new record in gold trading.

DKB achieved key milestones too, such as increasing the profitability of customer relationships and automating its loan application processes for retail and corporate customers. Other advances included growing business volume and expanding its customer base to around 5.3 million, along with successfully completing the project to introduce a Visa debit card as the primary customer card.

On top of the benefits of the transformation in the customer segments, we also rigorously implemented efficiency and cost-cutting measures throughout the core Bank in 2022. Overall, operating administrative expenses at the core Bank have been cut by EUR 150 million since 2019 under

Fokus 2024, with the staff reduction programme being completed last year. At the same time, BayernLB made considerable progress in making its workspace model more flexible and optimising its office space in Munich.

An important aspect of our transformation is also to consistently focus our business activities on sustainability – and we made good inroads here too in 2022. As one of the first banks in Germany and Europe to do so, we published our Sustainable Lending Framework last year, which sets the scope for offering sustainable financing. We expanded our portfolio of sustainable funding instruments and are continuing steadfastly on this path. In addition, we extended our Sustainable Financing Framework, which serves as the foundation for sustainable capital market issues, to include the categories of rail transport and real estate. DKB has also continued to pursue its sustainable corporate strategy and has, for example, integrated ESG criteria more closely into its core processes. With a financing volume of over EUR 12 billion in renewable energy, DKB is already a key financier of the energy transition.

But none of this would be possible without motivated and dedicated employees. We would like to thank them most warmly for their hard work and very valuable contribution over the past year and know that we can continue to rely on their commitment going forward to steer BayernLB sustainably into the future and ensure it will continue to be a financier of progress.

We would especially like to thank you, our customers and business partners, for the trust you have placed in BayernLB. We very much look forward to continuing working with you in the future.

Sincerely,

Stephan Winkelmeier Dr Markus Wiegelmann

Marcus Kramer Gero Bergmann Johannes Anschott

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Report by the Supervisory Board

Ladies and gentlemen,

The financial sector continued to operate in a very complex environment in 2022. Many major developments happened all at once and at a rapid pace in the past financial year: the war in Ukraine, high energy prices, supply chain problems, surging inflation and the sudden jump in interest rates. The German financial system in particular is facing huge challenges in view of the change in the geopolitical environment. There is still a pressing need for the banking sector to adapt to these changing times. As they endeavour to transform themselves, institutions need to take particular account of global trends, too: digitalisation and sustainability, and also IT and cyber risks.

Against this background, we advised the Board of Management in its running of the Bank and continually monitored its activities over the past financial year.

BayernLB’s Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and within the Group at regular intervals, both promptly and comprehensively, in writing and orally, during the course of 2022. This included its supervisory duty to disclose deficiencies detected by its internal Audit Division.

We held detailed discussions with the Board of Management on BayernLB’s business policy and performance, as well as on fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. One of the principles on which these discussions were based was BayernLB’s strategic realignment with a focus on high-growth future-oriented areas – which was agreed at the end of 2019 – and the reduction of its cost base. The Supervisory Board also considered the impact of the war in Ukraine and the (ongoing) coronavirus pandemic on the Group’s risk situation. With this in mind, we were also briefed about the Group’s earnings, expenses, liquidity and capital status, profitability, legal and business relationships, material events and business transactions.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB’s Board of Management, particularly its Chairman. The Supervisory Board was also notified in writing of important matters between meetings.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary. Between meetings resolutions were also passed by written circular motion.

As in previous years, meetings were held in 2022 with both the Joint Supervisory Team from the ECB and national supervisory authorities, and with the Supervisory Board and committee chairs, to discuss the main issues pertaining to the respective body. These focused on strategic, business policy and regulatory matters, committee affairs, governance and BayernLB’s risk situation.

Due to the easing of the social distancing restrictions brought in because of the pandemic, it was only at the start of the year that the meetings of the Supervisory Board and its committees were still held electronically, in particular by video. As before, these functioned perfectly once a routine had become established and thanks to the disciplined approach taken by all parties.

Supervisory Board meetings

In the year under review the Supervisory Board held a total of six meetings and three training events, which were also attended by representatives of legal supervisory authorities and, on one occasion, by representatives of banking supervisory authorities.

The main purpose of all scheduled Supervisory Board meetings was the Board of Management's status reports on the ongoing Fokus 2024 transformation programme (including progress and challenges regarding the changes and improvements made to the Group's IT) and on the BayernLB Group's current financial position and performance. The discussions on both sets of issues always took place with an eye to the developments in the war in Ukraine. Besides the detailed reports by the respective committee chairs, information on regulatory and supervisory issues and current status reports on the developments in connection with the deposit guarantee system of the Savings Banks Finance Group were regular subjects of discussion. The Board of Management also regularly informed us of particular events at our subsidiaries and current business strategy issues, including with regard to the performance of plan and cover assets for pension obligations. Reflecting the growing importance attached to ESG (environmental, social and governance) issues, reporting on the latest trends regarding sustainability issues was considered at every regular meeting of the Supervisory Board. We subjected the Board of Management's reports to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

Over several meetings, after prior consultation in the relevant committees, we dealt with Board of Management and Supervisory Board matters. These included the assessment of both these bodies in accordance with legal and regulatory requirements and matters relating to HR, remuneration and business strategy. We also set the targets for the Board of Management for the new year and agreed the feedback on targets achievement to the members of the Board of Management for the past financial year.

Further details regarding the meetings of the Supervisory Board:

The focus of our first meeting in March 2022 was on the Board of Management's report for financial year 2021, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was based on the recommendations of the Audit Committee and a detailed discussion with the auditor PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC). In accordance with a proposal by the Audit Committee, the Supervisory Board recommended to the Annual General Meeting that the auditing firm PwC be reappointed to audit the 2022 annual financial statements of BayernLB and the Group, which the General Meeting agreed to. We also addressed the combined separate non-financial report of the BayernLB Group for 2021. PwC performed an assurance engagement on the combined separate non-financial report of the BayernLB Group for 2021 and expressed a limited assurance conclusion. We also followed the Audit Committee's recommendation on the appropriation of the distributable profits and duly submitted a proposal to the Annual General Meeting. We furthermore proposed to the Annual General Meeting that the Board of Management be discharged for 2021. In addition, we looked at remuneration policy matters and discussed both Group Audit's annual report and the report on outsourcing, information security and business continuity management.

In another meeting in March, we examined governance issues related to the Board of Management and Supervisory Board (including diversity on committees) and discussed the current status of the Bank's project portfolio with the Board of Management. We also took note of the HR report and Group IT-related issues.

The main topic of a special meeting in May was personnel-related changes, firstly at second management level, where the matter had to be referred to the Supervisory Board due to regulatory requirements, and secondly at one of our subsidiaries.

The focus of our meeting in July was on a further update of key planning parameters and their impact on the medium-term planning. The Supervisory Board also gave its consent to the sale of some of the Bank's own properties, in line with our buildings strategy. In addition we dealt in depth with the impact of the changed interest rate environment. We took note of the report on equity interests and the remuneration monitoring report by the remuneration officers. The Supervisory Board was also notified about the IT strategy for the Group and core Bank.

Among the other main topics discussed at our September meeting were a number of governance matters, primarily relating to the implementation of the guidelines issued by the European Banking Authority (EBA). We also discussed with the Board of Management the current status of the results of this year's supervisory review and evaluation process (the SREP results) for the Group.

An additional key focus, at the December meeting, was to deliberate on and approve the Group's medium-term planning for 2023 to 2027. Another topic on the agenda was an IT incident at our subsidiary DKB. We were also updated on the recovery plan pursuant to the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)). We agreed to various issues concerning committee organisational matters, remuneration and HR policy.

Supervisory Board committees – an overview

In a total of five meetings, the **Risk Committee** dealt with all the key issues relating to the Risk Strategy agreed by the Board of Management and all aspects of BayernLB's risk situation at both Group and Bank level. One major focus here was the impact of the war in Ukraine and the (ongoing) coronavirus pandemic. The Committee also discussed the Board of Management's reports on risk-bearing capacity, approved further individual loans requiring authorisation, reviewed whether the terms and conditions in the customer business were in line with the Bank's business model and risk structure, and discussed the Group-wide risk strategies, which must be updated at least once a year, as well as selected risk-relevant individual credit exposures. In addition the Risk Committee received the audit plan of the internal Audit Division, the annual report on reputational risk management and reports on information security.

With an eye to the Fokus 24 transformation programme, the Risk Committee discussed sales and strategy issues with the Board of Management on a regular basis, considering both risk and profitability. The Committee last year also continued to address ESG issues and their impact on the Bank's business policy. In 2022, a detailed discussion was held on the impact of the changed interest rate environment and the consequences of the supply chain disruptions.

The **Compensation Committee** carried out its legally mandated duties in a total of three meetings. It discussed in particular the Board of Management's reports on the structure of the remuneration systems for employees (focusing partly on their alignment to the Business and Risk Strategy) and on the deliberations on how to fine-tune it – not least in light of the upcoming collective wage agreement reform – monitored their suitability and received regular updates on specific issues, including with regard to the performance of plan and cover assets for pension obligations. It evaluated the impact of the remuneration systems on the Bank's and the BayernLB Group's risk, capital and liquidity situation and discussed the size and distribution of an overall bonus pool. The Compensation Committee also monitored the process for identifying risk takers and Group risk takers, discussed the report by the remuneration officers on the appropriateness of staff remuneration systems and was informed about the Bank's activities to increase the proportion of women in management positions and on gender pay gap issues. Under its area of responsibility, the Compensation Committee also provided advice on matters related to Board of Management remuneration and prepared decisions by the Supervisory Board.

The Compensation Committee and Risk Committee worked closely together and regularly exchanged information.

The **Executive and Nominating Committee** convened seven times in the reporting period. These meetings centred on preparations for Supervisory Board meetings, particularly in connection with the strategy and transformation project and business and corporate policy considerations. Another focus of the Committee's work in 2022 was on evaluating the Board of Management and the Supervisory Board in accordance with the German Banking Act and the ESMA/EBA guidelines on assessing the suitability of members of the management body and holders of key positions. The Committee also supported BayernLB's owners on issues relating to the composition of the Supervisory Board.

In a total of four sessions, the **Audit Committee** dealt with the monitoring of the accounting process and the effectiveness of the risk management system, particularly the internal control system and the Audit Division. The Committee also oversaw the implementation of the audit of the annual financial statements and the consolidated financial statements, particularly with regard to the independence of the auditor and the services they provided, including the approvals needed for non-audit services. The Audit Committee also discussed the combined separate non-financial report of the BayernLB Group for 2021 and the findings of the related audit undertaken by PwC. Another issue the Committee looked at in detail was the Board of Management's reports on BayernLB's current financial position and performance and on Group IT-related topics. In 2022 the Audit Division and Group Compliance reported to the Audit Committee on their work and audit findings and on other matters. The Committee deliberated on the reporting and conferred with the auditor PwC on what the audit of the 2022 annual financial statements should focus on. As a result of the changes under the Financial Market Integrity Reinforcement Act, which took effect in mid-2021, the Committee also carried out the required assessment of audit quality.

In its three meetings, in accordance with its legal duties, the **BayernLabo Committee** addressed all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible. It also discussed the Business and Risk Strategy, the medium-term planning for 2022 to 2026, the findings of internal audits and the planning of personnel with both the Board of Management's segment head and BayernLabo's senior management. The Board of Management's segment head and senior management also reported to the Committee on BayernLabo's business performance, the implementation status of the Bavarian Baukindergeld Plus and Home Ownership Subsidy, and the new service portal for the new version of the housing subsidy regulations.

The Supervisory Board and respective committees carried out the tasks assigned to them by law, the Statutes and their current Rules of Procedure.

Additional specialist training

Specialists from the Bank and representatives from auditing and consulting firms held three training events for the Supervisory Board. The focus of these events were current developments in the areas of regulations, IT/cyber security, sustainability, a digital euro and its consequences for a bank's business model, both in general and in terms of an actual cryptocurrency, and combating money laundering. The discussions were then used as a springboard to determine the main challenges for banks and their supervisory bodies, with a focus on BayernLB.

The members of the Supervisory Board also completed the courses and advanced training required for their tasks and took advantage in particular of the external training offered by auditing companies on current topics in the banking sector and in corporate governance.

Corporate governance

The BayernLB Corporate Governance Principles set out the provisions on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2022 in its meeting on 4 April 2023. The Board of Management, Supervisory Board and Annual General Meeting agreed that they were aware of no evidence to indicate these principles had not been observed in financial year 2022.

Changes in the composition of the Supervisory Board and Board of Management

Kurt Gribl left the Supervisory Board on 25 March 2022; his mandate was taken over by Erwin Schneider. In addition, Dr Thomas Langer stepped down from the Supervisory Board on 30 June 2022. Dr Ulrike Wolf-Prexler was appointed as his successor.

We would like to thank the outgoing members of the Supervisory Board most warmly for their constructive contribution and services in what have been challenging times.

Consolidated financial statements and combined separate non-financial report

The Bank and Group auditor PwC conducted the audit of the Bank's annual financial statements, consolidated financial statements and combined management report for 2022 and issued an unqualified audit opinion. PwC also audited the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank, and also issued an unqualified audit opinion.

The non-financial statement stipulated in sections 289b and 315b of the German Commercial Code (HGB) was published by the Bank in the form of a combined separate non-financial report that is included in this annual report. Within the framework of its auditing obligations, the Supervisory Board took advantage of the option of having the contents of the non-financial declaration externally audited by PwC as a separate mandate.

The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of PwC. The financial statements documentation and audit reports were duly presented to all Supervisory Board members.

The BayernLabo Committee and the Audit Committee examined each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditor's report and discussed them in detail with the auditor. Each committee chair reported to the Supervisory Board on this matter.

In its meeting on 31 March 2023, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report on BayernLabo's accounts.

On the recommendation of the Audit Committee, and after examining the auditor's reports and the documentation relating to the annual and consolidated financial statements and non-financial reporting, and discussing these in detail with the auditor, the Supervisory Board in its meeting on 4 April 2023 approved the findings of the audit and concluded that it had no reservations following the conclusion of the audits.

In its meeting on 4 April 2023, the Supervisory Board adopted the annual accounts of the Bank as submitted by the Board of Management and also approved the consolidated financial statements and combined management report.

Furthermore, the Supervisory Board proposed to the Annual General Meeting that the Board of Management be discharged and that the reported distributable profits of EUR 225 million be distributed to the shareholders. The Annual General Meeting gave its approval of both proposals in its meeting on 19 April 2023.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of BayernLB's customers and business partners for their loyalty over this past financial year. It also wishes to thank the members of the Board of Management and all of BayernLB's staff for all their hard, very fruitful work over the past year, and for their huge personal contribution.

Munich, 19 April 2023

On behalf of the Supervisory Board

Dr Wolf Schumacher
Chairman

Combined management report of the BayernLB Group

Combined management report

Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich (hereinafter also referred to as "BayernLB" or "the Bank") made use of the option under section 315 para. 5 of the German Commercial Code (HGB) in conjunction with section 298 para. 2 HGB and combined the management report of BayernLB and the BayernLB Group. The information on BayernLB is provided in a separate section within the report on the economic position, which includes disclosures under HGB.

Pursuant to section 315e HGB, BayernLB's consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS), as they are required to be applied in the European Union. With the exception of the HGB disclosures in the section on BayernLB's business performance, all the financial figures in this combined management report, including the comparison figures for the previous year, are reported under IFRS.

The information provided in the combined management report generally relates to the BayernLB Group; if there are material differences with respect to BayernLB, that information is provided separately.

The combined management report includes, in particular in the risk report and the report on expected developments and opportunities, specific statements about the future which are based on current assumptions and forecasts and other information available for this. Various known and unknown risks, uncertainties and other factors may lead to the actual results, financial position and the development and performance of the BayernLB Group deviating significantly from the estimates given here. These risks and opportunities are described in the risk report and the report on expected developments and opportunities, among other publications.

Foundations of the BayernLB Group

Group structure

BayernLB is the parent company of the BayernLB Group. It is also the parent company of Deutsche Kreditbank Aktiengesellschaft, Berlin (hereinafter "DKB"), BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (hereinafter "BayernInvest"), Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (hereinafter "Real I.S.") and other companies. DKB is also the parent company of a group.

Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (hereinafter "BayernLabo") is a legally dependent institution established under public law of BayernLB that is organisationally and financially independent.

BayernLB has a nominal capital of EUR 2,800,000,000. The nominal capital belongs to BayernLB Holding AG, Munich, the entity entrusted with ownership. Its indirect owners (shareholders) are the Free State of Bavaria, which holds around 75 percent, and the Association of Bavarian Savings Banks, which holds around 25 percent.

The BayernLB Group's business activities are focused on Germany, but it also operates in selected foreign markets. BayernLB's registered office is Munich. The BayernLB Group also has offices in other locations in Germany (Berlin, Düsseldorf, Frankfurt am Main, Hamburg, Leipzig and Stuttgart) and a branch there as well (Nuremberg). Outside of Germany, it has several branches (New York, London, Paris and Milan).

Business model and Group strategy

As a streamlined specialised bank, BayernLB is a major investment lender to the Bavarian and German economy. As a commercial bank, central bank to the regional savings banks, principal bank for the Free State of Bavaria and development bank, it is a reliable partner to its customers – companies, savings banks, financial institutions, retail customers, institutional investors and the public sector.

Strategic focus and objectives

Given the huge, persistent challenges that have been affecting the whole banking industry for many years, BayernLB believes it has been justified in its decision to embark on a new strategic direction in 2019 and continued on this path in financial year 2022. The main thrust of this strategy is to focus on high-growth fields of the future while lowering the cost base as part of its strategic vision and helping DKB to develop into a modern tech bank.

As part of the BayernLB Group's regular strategy process and given the current environment, BayernLB submitted its strategic vision for a regular assessment in the first half of 2022. This strategic vision for the BayernLB Group and its segments was confirmed by the Board of Management and Supervisory Board in 2022, with only a few adjustments in some segments. Thus, the strategic vision agreed in 2019 and the financial guidelines defined for it still form the basic strategic framework within which the BayernLB Group operates.

The overarching aim of the BayernLB Group's strategic realignment is to achieve lasting profitable growth by building on its own strengths while also focusing on its customers, for whom real added value can be created, primarily through financing and consulting. The strategic objectives set by the Bank's Sales units include reducing dependency on the traditional lending business by building on certain areas of consulting expertise, improving customer benefits and retaining and deepening long-term customer relationships. Others are to increase regional earnings and risk diversification and exploit growth opportunities in promising sectors in high-margin and high-growth (foreign) markets.

The Group-wide Fokus 2024 transformation programme implements the new strategic direction in a multi-year process through a large number of networked individual projects. These focus on driving forward structural changes within the organisational units and also in respect of the cross-value chain processes and the issues pursued by the Bank and, in doing so, will make an important contribution to achieving the overarching strategic goals.

The following strategic goals were pursued once again in 2022 without any changes:

- Clearly focusing business activities on the challenges of tomorrow and optimising the customer experience by building up product and consulting expertise along the value chains
- Achieving target growth in the high-margin core business within the existing risk guidelines, especially in the asset-based, structured financing and real estate businesses
- Improving profitability by systematically leveraging efficiencies in the operating model, sustainably reducing the cost basis, and making targeted investments in the Bank's infrastructure
- Promoting and improving cooperative and collaborative working and selectively digitalising distribution channels, the range of services offered and the operating model

The BayernLB Group also actively focuses on sustainability aspects and has defined a clear vision for the Bank and its subsidiaries for this purpose. A “Sustainability Programme as from 2021” was implemented to operationalise the objectives of the sustainability strategy, comprising targets and measures for all relevant areas.

The Bank's transformation has largely progressed according to plan despite major macroeconomic and geopolitical challenges. The Bank has addressed a wide variety of issues in multi-faceted topic clusters and has successfully concluded some key initiatives in relation to them. For further details, refer to the section on the BayernLB Group's business performance in the report on the economic position in this management report.

The BayernLB Group's operating business segments

The BayernLB Group comprises BayernLB and its subsidiaries, which BayernLB can exercise influence over, whether directly or indirectly. BayernLB is in charge of managing the Group, which comprises the following operating business segments:

- Real Estate & Savings Banks/Financial Institutions, including BayernLabo, and the subsidiaries Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest),
- Corporates & Markets
- DKB – comprising the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group

Real Estate & Savings Banks/Financial Institutions segment

In the real estate business, BayernLB prioritises commercial real estate financing and services, focusing on Germany and established and stable international markets with branches in Paris, London, Milan and New York and, from 2023, Amsterdam. In commercial real estate, products include financing for existing real estate assets, project development, housing developers and real estate portfolios. In terms of asset classes, the focus is on offices, residential property, logistics, retail and managed real estate in the areas of hotels and social care.

To serve customers more comprehensively under one roof, the Bank makes extensive use of its close working relationship with subsidiaries and affiliates, such as Real I.S., Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (BayernImmo), LB Immobilienbewertungsgesellschaft mbH, Munich (LBImmoWert), Bayerngrund Grundstückbeschaffungs- und -erschließungs GmbH (BayernGrund) and Bayern Facility Management GmbH, Munich (BayernFM). Real I.S.-Gruppe is an asset manager that handles real estate investments for retail and institutional investors, with its focus on Germany, Europe and Australia. Along with its real estate services companies, BayernLB offers a coordinated range of products from advising on energy-efficient upgrades, sustainable valuations, green financing products, including the use of subsidies, right through to institutional investments in green assets.

The Bank is a reliable partner to the savings banks and central bank to the Savings Banks Finance Group in Bavaria. BayernLB also performs key tasks in its Association business for the savings banks (especially those from Bavaria), which are an important group of customers and sales partners. In these times of necessary structural change, the Bank helps the savings banks and their customers become more sustainable by offering them a needs-oriented and growing selection of products and services. This working relationship is centred around complementary products and services for the savings banks' own and end-customer business. These include payment services, capital markets business, international business, syndicated business, subsidised loan business, and foreign notes and coins/precious metal activities. Through its broad range of precious metal products and by expanding the foreign notes and coins and precious metals centre of expertise in Nuremberg, BayernLB has evolved in this segment into one of Germany's market-leading providers. Funding from the savings banks is also an important source of refinancing for BayernLB, while also strengthening the common liquidity pool.

BayernLB also acts as a lender and service provider to the public sector, in particular as the principal bank for the Free State of Bavaria, and to public-law and non-profit institutions.

BayernLB's subsidised loan business for the Free State of Bavaria is assigned to BayernLabo. BayernLabo has a public mandate to provide financial support, as part of government housing policy and in conformity with the state aid provisions of the European Community, for measures aimed at improving and strengthening Bavaria's housing and settlement structure. As a municipal bank of the Free State of Bavaria, it also provides financing to Bavarian local authorities and public-sector special-purpose associations.

Another focus is on providing services to insurers, (correspondent) banks, building societies and asset managers around the globe. In the business with European insurers, BayernLB has a significant volume of guarantee credit business (letters of credit business). An extensive network of institutional customers provides BayernLB with a broad investor pool. This also enables the Bank to support the development and sales of sustainable financial products and services, and thereby support customers in their own sustainable alignment or transformation.

Securities asset management for BayernLB is handled by the subsidiary BayernInvest. This asset management company focuses mainly on advisory services and managing securities investment funds for institutional and private investors.

Corporates & Markets segment

Corporates handles business with large German and selected international companies and the Mittelstand corporate customer business in Germany, Austria and Switzerland. BayernLB focuses here in particular on providing financing to corporate customers in the growth sectors of the future – mobility, energy, technology, manufacturing & engineering, and construction & basic resources. The Bank's core competencies include traditional and, to a large extent, structured credit financing, comprising working capital, capex and trade financing, project and export financing, lease financing and asset finance.

The range offered by Markets largely comprises money market, interest, foreign currency and CO_2 trading product groups, and assistance for customers in tapping capital markets for their financing needs, especially through bonds or Schuldschein note loans. Its main customers include German and international corporate and Mittelstand customers, real estate customers, savings banks and financial institutions, which are served in the respective business areas. On the sustainability front, BayernLB offers the full range of products in debt capital markets with green, social and sustainable bonds and also Schuldschein note loans. It also assists customers in structuring, creating a framework, commissioning a second party opinion and placing.

DKB segment

DKB is an integral part of the BayernLB Group and complements the business model. Its business activities are focused primarily on Germany, with certain activities in Austria, Switzerland and France.

In retail banking, DKB operates as an online bank with a steadily growing customer base and mainly offers account packages, construction financing, private loans and investment products. By making targeted investments in digitalisation, DKB is laying the foundation for significant growth in its retail customer business.

It is also a corporate banking specialist in corporate customers and infrastructure, which mainly includes business with customers in local authorities, social infrastructure, energy and utilities, residential property and property administration. DKB's expertise includes in particular financing and investment products in selected and, for the most part, sustainable sectors in Germany: renewable energy, health, social care, education, agriculture and residential property.

Sustainability and combined separate non-financial report

The shared understanding of sustainability at the BayernLB Group rests on the 17 global sustainability goals of the UN Agenda 2030, the climate goals of the Paris Agreement, the Bavarian sustainability strategy, the German government's sustainable strategy and the EU Taxonomy Regulation.

The Group mission statement defines a clear vision for BayernLB and its subsidiaries in which sustainability aspects are a key driver in the business models' strategic direction. The Group Sustainability Guidelines set out the principles of the BayernLB Group's sustainability strategy. They lay the foundations for establishing a clear concept of risk in order to achieve appropriate returns, with defined corporate responsibilities.

In 2021, BayernLB comprehensively revised its sustainability strategy, with which it continues to systematically drive forward its sustainable topics, and updated it in detail in 2022. In its sustainability strategy, the Bank pursues a number of goals, including a climate-neutral portfolio, improving its taxonomy alignment and implementing the decarbonisation paths specified in the Climate Protection Act. For this purpose, specific targets and measures, including those pertaining to the individual business areas, are presented in the sustainability strategy. DKB also revised the keys pillars of its sustainability strategy in the reporting year.

To achieve CO_2 neutrality in the customer portfolio and own funds book (in line with the Paris Agreement before 2050), by the end of 2023 the Bank will develop a methodology for measuring the financed emissions of loans and investments, as well as a target path for operationalising the decarbonisation pathway at loan portfolio level within the scope of the PCAF (Partnership for Carbon Accounting Financials) Initiative. In addition, BayernLB is working on significantly increasing its taxonomy-aligned business by the end of 2023 (compared with 2020).

Since 2021, BayernLB has been building up an ESG Assessment system to identify sustainability risks and the positive impact of financing on the achievement of climate and sustainability goals in the portfolio at an advanced level.

BayernLB has published the eligible asset ratio (green asset ratio) since financial year 2021 and has expanded its reporting as at 31 December 2023 to include the green asset ratio and taxonomy alignment. Financing and bank investments that go beyond 2040 comply with the CO_2 emissions laid down in the Climate Protection Act. To this end, the existing product range is being refined to include selected sustainable products and services with an ESG component.

The BayernLB Group goes into greater detail about the sustainability topics and aspects identified as important for the institution in the combined separate non-financial report of the BayernLB Group, which does not form part of the combined management report.

The combined separate non-financial report of the BayernLB Group contains BayernLB's non-financial declaration and the BayernLB Group's non-financial declaration pursuant to section 315b para. 3 HGB in conjunction with section 289b para. 3 sentence 2 HGB and information pursuant to Article 8 of the EU Taxonomy Regulation. The BayernLB Group's combined separate non-financial report for 2022 will be submitted to the entity operating the company register and published in the company register along with the consolidated financial statements and the Group management report of the BayernLB Group for financial year 2022. BayernLB's annual financial statements and the BayernLB Group's annual report can also be viewed online at www.bayernlb.de.

Changes to the scope of consolidation

As at the reporting date, the scope of consolidation for the consolidated financial statements comprised, besides the parent company, 15 (FY 2021: 14) fully consolidated subsidiaries.

On 1 January 2022, the previously unconsolidated DKB Wohnungsbau und Stadtentwicklung GmbH, Berlin (DKB WSE) was renamed DKB Immobilien GmbH, Berlin and included in the consolidated financial statements of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB). At the same time, the subsidiaries DKB PROGES EINS GmbH, Berlin and DKB PROGES ZWEI GmbH, Berlin were divested to DKB Immobilien GmbH. The effects of adding DKB Immobilien GmbH to the DKB's scope of consolidation were immaterial.

Group management

Internal Group management system

The BayernLB Group's internal management system is based on managing the inter-related variables of profitability, risk, capital and liquidity. One of the main goals of the internal management system is to continuously optimise the resources employed while simultaneously ensuring that the Group's capital and liquidity base is adequate.

The monthly report includes a comprehensive analysis of these performance indicators and informs management as to whether the Group is within the target bands of its operational and strategic goals. Operations are managed at segment level in particular as part of the management cycle. This is a continuous process of carrying out annual medium-term planning, producing intra-year detailed target versus actual comparisons and making projections to the year-end.

The Group is managed using sets of indicators based on IFRS accounting.

The table below provides an overview of the most important performance indicators.

Indicators	Content
Profit/loss before taxes	As reported in the income statement (IFRS).
Return on equity (RoE)	Ratio of profit before taxes to capital, as calculated using a regulatory approach. The average Common Equity Tier 1 (CET1) capital available over the financial year is used at Group level to calculate the return on the capital employed. For all management levels below Group level, the average economic capital employed in the financial year is derived from the risk weightings of the underlying individual transactions (RWAs) specified by regulatory authorities.
Cost/income ratio (CIR)	Ratio of administrative expenses to gross earnings as an indicator of cost efficiency. Gross earnings comprise net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.
Common Equity Tier 1 (CET1) capital ratio	Ratio of Common Equity Tier 1 (CET1) to total risk-weighted assets (RWAs). Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions.

Indicators	Content
Leverage ratio (LR under Capital Requirements Regulation CRR II/CRD V	Ratio of core capital to total exposure (leverage exposure in accordance with CRR) as a non-risk-based metric for indebtedness.
Utilisation of economic capital	Percentage of available capital (economic risk capital) utilised to cover unexpected risks.
Liquidity coverage ratio (LCR under DelReg, CRR/CRD IV)	The LCR is calculated by comparing the available highly liquid assets with the net cash outflows for the following 30 days under stress conditions.
Net Stable Funding Ratio (NSFR under CRR/CRD IV)	The ratio of the amount of stable funding available to the amount of stable funding required is calculated to determine the NSFR. The amount of stable funding available is the proportion of own and borrowed funds that can be expected to represent a reliable source of funding over a time horizon of one year under persistent stress conditions. The required amount is calculated by aggregating the value of the assets held and off-balance sheet liabilities weighted by one of the factors reflecting the liquidity characteristics.
Non-performing loans (NPLs)	Exposure rated by the BayernLB master rating system as in the default categories as at the reporting date. These comprise the following ratings: rating 22 default (past due > 90 days), rating 23 default (credit loss), rating 24 default (insolvency).
Non-performing loan ratio (NPL ratio)	NPL ratio in % corresponds to the share of rating categories 22 to 24 as a proportion of total gross exposure (GEX).
For information purposes:	
Profit after tax (HGB)	Net income under German accounting standards (HGB) before appropriation of profits.

Compliance with the key financial performance indicators is shown in more detail in the report on the economic position. The key risk management indicators are shown in the risk report section of this management report.

For information on the EU Taxonomy Regulation, refer to the combined separate non-financial report of the BayernLB Group.

Internal control system with regard to accounting processes

The internal control system (ICS) with regard to accounting processes in the BayernLB Group is tasked with ensuring the accounts have been properly prepared and are reliable. BayernLB's Board of Management has full responsibility for operating a proper business organisation.

When the Bank designed the components of the ICS, it took account of internationally recognised frameworks for internal control systems. The system comprises:

- Group-wide guidelines on accounting
- Controls integrated into processes and IT systems
- Principles for segregating duties as organisational measures
- Process-independent monitoring measures

The ICS is continually improved and regularly evaluated for how well it is functioning through central and decentral process analyses, and analyses of data in the finance systems and auditing activities. The most important features of the ICS in terms of the accounting process are shown below.

The consolidated financial statements of the BayernLB Group must be prepared in accordance with International Financial Reporting Standards (IFRS), as they are required to be applied in the European Union, and in accordance with the provisions under commercial law set out in section 315e para. 1 HGB, which must be observed in addition. The ICS as applied to accounting processes is also designed to ensure that BayernLB's annual financial statements and the combined management report are prepared in accordance with HGB.

The Finance Division manages the accounting process and the preparation of the management report. Accounting, measurement and account assignment policies can be viewed on the intranet. Laws, accounting standards and other pronouncements are continually analysed to determine whether and to what extent they are relevant and what impact they have on the accounting process. The relevant requirements are set out and communicated in the (HGB and IFRS) accounting manuals and used, together with the Group-wide instructions for preparing the annual accounts, as the basis for the preparation process. In addition, supplementary procedural instructions are in place to support the process of preparing uniform and consolidated financial statements. These cover areas such as standardised reporting formats, IT systems and IT-supported reporting and consolidation processes. If necessary, external service providers are brought in, e.g. to value the BayernLB Group's pension obligations. The Finance Division ensures these requirements are complied with Group-wide.

Controls are integrated into the accounting and consolidated financial statement processes. They follow the principle that duties must be segregated. Controls are also integrated into the most important IT systems relevant for the accounting process in order to perform various functions including preventing the incorrect entry of transactions, ensuring transactions are fully recognised or are measured in line with accounting regulations, and determining whether items have been properly consolidated.

Among the measures to improve the IT system for accounting processes, these controls are being adapted to new requirements and the greater options available from information technology.

Clear rules have been laid out for assigning responsibilities for ensuring the effectiveness of the ICS in the processes for producing the financial statements and consolidated financial statements. These have been assigned to designated managers and process owners. In connection with this, the Group units and areas involved in the process confirm how effective the ICS is in the accounting process. In addition, the internal Audit Division assesses the effectiveness of the ICS as part of its audit procedures. In the declaration of completeness, the Board of Management also confirms whether there have been any significant malfunctions or deficiencies in the accounting-related internal control system. No significant weaknesses were identified in the control system in 2022.

Human resources

Transformation and flexibilisation of the working environment

In 2022, the work of Human Resources was again very much focused on supporting the steady transformation of the BayernLB Group. BayernLB set itself challenging personnel targets to achieve the cost objectives set out in the vision for 2024. All of the Bank's business areas need to implement the agreed measures to achieve the various cost objectives on time. A crucial element here was in reducing personnel costs.

The human resources tools to downsize and restructure the workforce in a socially responsible manner, which were agreed between the Board of Management and BayernLB's General Staff Council in 2019, continued to be well received by employees in 2022. As a result, it was possible to complete the process of contractually securing the downsizing required at the BayernLB core Bank[1] within the scope of Fokus 24 when the personnel-management instruments expired on 30 September 2022. The staff reductions not yet implemented by this point (around 10 percent of the originally planned volume) can be realised on the basis of expected natural turnover and a continued restrictive recruitment policy.

Other focus points of human resources work were protecting employees' health and safeguarding operations in the aftermath of the coronavirus pandemic. Thanks to increased digitalisation, employees continued to make use of remote working in 2022. In addition, in the second half of the year the first schemes were launched to increase working in person at the Munich location once again now that the pandemic has come to an end.

With the introduction of Workation – voluntary working from abroad – BayernLB has created, besides remote working, an additional basis for achieving greater flexibility in the world of work and an even better work/life balance, making itself a more attractive employer. The employees in the pilot phase, which currently runs to 31 December 2023, can work for up to 20 days per calendar year from eight different countries in the EU.

With the introduction of remote working and the launch of Workation, BayernLB is meeting the demands of the modern working environment while making a significant contribution to the cost-saving use of buildings.

1 *BayernLB core Bank, comprising BayernLB Bank and its branches (excluding BayernLabo).*

Changes in the workforce

Headcount at BayernLB Group and BayernLB[2] level as at 31 December 2022 was:

Headcount

	BayernLB Group		BayernLB	
	31 Dec 2022	31 Dec 2021	31 Dec 2022	31 Dec 2021
Employees	8,491	8,481	2,904	3,108
Of which women	4,285	4,264	1,355	1,442
Of which men	4,206	4,217	1,549	1,666
Part-time employees	2,154	2,115	818	861
Full-time employees	6,337	6,366	2,086	2,247
Trainees, including students on integrated degree programmes	61	74	50	60

The slight increase in headcount at the BayernLB Group was mainly due to the strategy to boost staff numbers at the subsidiary DKB. In contrast, headcount at BayernLB went down largely as a result of the staff reduction measures.

2 *BayernLB comprises the branches and BayernLabo.*

Report on the economic position

Macroeconomic environment

Economy, inflation and monetary policy

The coronavirus pandemic and Russia's war of aggression in Ukraine had a significant negative impact on the global economy in 2022. The sustained recovery expected at the start of the year turned out to be much less dynamic. While the direct and indirect effects of the pandemic – high hospitalisation rates, strict lockdowns affecting economic and social life, and supply shortages – faded into the background in developed countries more and more, China, a major global supplier of intermediate and other manufactured goods, maintained its strict zero-Covid policy for a long period before stoking up additional uncertainty in December 2022 when it abruptly lifted a range of its restrictive measures. Russia's attack on Ukraine and tit-for-tat sanctions between the West and Russia heaped further pressure on supplies, particularly of commodities used for energy, such as coal, oil and natural gas, and food. Europe and Germany in particular were disproportionately affected by the high dependence on Russian energy, but an imminent gas shortage was averted. As inflation continued to soar in 2022 with all these factors at play, international central banks were forced to look for an even tougher response. Leading central banks such as the Fed and the ECB hiked interest rates much more sharply than expected. Many emerging markets experienced even greater jumps in interest rates. As these events unfolded, sentiment in industry became markedly gloomier in the first half. The services sector and tourism helped to support the economy after the post-lockdown recovery, but growth was weak at global level.

In view of the braking factors outlined above, global economic growth slowed considerably in 2022. As before, growth in emerging markets outpaced their industrialised counterparts. However, the 3 percent[3] expansion in real GDP in China – the second largest economy in the world and Germany's biggest trading partner[4] right now – is merely in line with the average of this group of countries. Growth was similarly strong in the eurozone, especially in the southern European countries such as Italy and Spain, which have strong roots in the service sector and tourism and were less affected by supply-chain problems. With a 2.1 percent increase in real GDP, the US, Germany's most important export market, did not enjoy such rapid growth[5]. There, a significant reduction in the general government budget resulted in a strong negative stimulus. The Fed's interest rate cycle was initiated earlier and more dynamically compared with the ECB's and slowed the real estate market more strongly. In addition, unlike many eurozone countries the US had already again exceeded pre-coronavirus GDP in 2021 so that its recovery was already well advanced.

The United Kingdom posted high real growth of 4 percent. However, the losses caused by the coronavirus pandemic and Brexit have not yet been fully compensated[6]. In addition, 2022 was

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3 *See National Bureau of Statistics of China 2023, http://www.stats.gov.cn/english/PressRelease/202301/t20230118_1892204.html.*

4 *See Federal Statistical Office 2023, https://www.destatis.de/EN/Themes/Economy/Foreign-Trade/Tables/order-rank-germany-trading-partners.html.*

5 *See Bureau of Economic Analysis 2023, https://www.bea.gov/news/blog/2023-01-26/gross-domestic-product-fourth-quarter-2022-and-year-2022-advance-estimate.*

6 *See Office for National Statistics 2023, https://www.ons.gov.uk/economy/grossdomesticproductgdp/bulletins/gdpfirstquarterlyestimateuk/octobertodecember2022.*

dominated by political uncertainty, frequent changes of government and fiscal austerity pressures, with the result that a recession was already materialising in the second half of the year.

In Germany, the recovery continued in 2022, with year-on-year growth of 1.8 percent.[7] But the pace of growth was very anaemic in view of the lockdown at the start of the year, which put the brakes on private consumption, and disappointing export figures (supply-chain problems). Then in spring, the confidence, supply chain and price shocks triggered by the war between Russia and Ukraine severely knocked the economic growth anticipated after the lockdown was lifted. For Germany, the EU sanctions against Russia marked the end of the strategic (energy) partnership with Russia. Consequently, there were huge increases in energy prices, especially of gas and electricity, which the government countered with massive support programmes (energy price cap and a special fund of over EUR 200 billion[8]) for consumers and companies. However, supply emergencies and uncontrolled closures of plants were averted. In the wake of the war between Russia and Ukraine, Germany's government also initiated a change in its military policy and allocated the armed services a special fund of EUR 100 billion so they can modernise. German industry, which benefited from these measures only temporarily and to a limited extent, was, until well into autumn, unable to clear the record backlog in orders, which was also fuelled by the EU's Next Generation EU investment programme.[9] The services sector posted a substantially faster pace of expansion than industry, where output remained below its level at the start of 2022 until October. The construction industry suffered the most due to a deterioration in sentiment, partly because of the jump in interest rates. Consumer sentiment also worsened sharply and, at the end of 2022, was still close to the record low reached in October of that year.[10] Private consumption soared in 2022, propelled by a robust employment market and high demand for labour, but still remained below its 2019 levels in price-adjusted terms. The trade balance was markedly negative as a result of the strong growth in import volumes coupled with weak exports.

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7 *See the German Federal Statistical Office 2023, https://www.destatis.de/DE/Themen/Wirtschaft/Volkswirtschaftliche-Gesamtrechnungen-Inlandsprodukt/Tabellen/bip-bubbles.html.*

8 *See Federal Ministry for Economic Affairs and Climate Action, press release dated 15 December 2022, https://www.bmwk.de/Redaktion/EN/Pressemitteilungen/2022/12/20221215-bundestag-adopts-energy-price-caps-important-relief-for-consumers.html.*

9 *See the German Federal Statistical Office press release no. 547 dated 19 December 2022, https://www.destatis.de/EN/Press/2022/07/PE22_296_611.html.*

10 *See Gesellschaft für Konsumforschung press release dated 21 December 2022, https://www.gfk.com/de/presse/konsumklima-steigt-zum-dritten-mal-in-folge*

Despite high price increases, enormous supply problems in construction, industry and trade and a start to the year hampered by the coronavirus pandemic, economic output in Bavaria grew year on year by a slightly above-average 2.9 percent in real terms in the first half of 2022 (Germany: 2.8 percent).[11] In recovering from the coronavirus pandemic, Bavaria benefited from the high export share of previously economically robust foreign markets like China, the US and eastern Europe, although trade with China in particular came temporarily under considerable strain due to the supply chain problems and zero-Covid strategy there. Over the course of 2022, the supply chain problems receded into the background. Instead, the focus shifted to high (energy price) inflation and the interest rate hikes initiated by the ECB. Consumer sentiment was badly dented by the huge price increases. In contrast, the labour market proved to be resilient. With an unemployment rate of 3.1 percent, the Free State of Bavaria defended its top position within Germany.[12]

Financial and real estate markets

Prices in Germany soared as a result of the recovery in demand, supply bottlenecks and the rising cost of raw materials and energy. Producers passed on higher input and intermediate goods costs to consumers as a result of the savings built up from the lockdown periods. Over the course of 2022, average consumer prices (CPI) were 6.9 percent higher than the previous year, while energy prices were up by as much as 29.7 percent.[13] The federal government's relief packages only temporarily dampened fuel and rail ticket prices during the summer. The rise in inflation at European level overshadowed Germany's own increase. Inflation (HICP) averaged 8.6 percent in June 2022, exceeding 20 percent in some Baltic states.[14] Faced with these figures, the ECB became far more hawkish in its rhetoric in 2022 and agreed a wide-ranging package of measures: it discontinued net purchases in both bond purchase programmes (PEPP and APP) and agreed a first interest rate rise of 50 basis points for the full interest rate band in July 2022. The ECB also wanted to counter a fresh fragmentation of the eurozone with a new programme called the Transmission Protection Instrument (TPI). This has been successful so far and comes in addition to the reinvestments in the PEPP programme. By the end of 2022, three further interest rate hikes, totalling 200 basis points, had taken place, so that the deposit rate relevant for the interbanking market was at 2.0 percent. The ECB has already announced further large hikes. The ECB also turned its attention to reducing excess liquidity when, during October 2022, the conditions for the outstanding longer-term refinancing operations (TITROs) deteriorated, and in December 2022 a decision was taken to start winding down the APP in the first quarter of 2023. In the US, where the inflation rate (CPI) rose earlier and faster than in the eurozone, but had recently also started to fall again and averaged 8.0 percent in 2022[15], the Fed ushered in an even more drastic interest rate cycle and lifted key rates by a total of 425 basis points[16] over the course of the year.

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11 See German federal and state statistics offices 2022, https://www.statistikportal.de/de/vgrdl/ergebnisse-laenderebene/bruttoinlandsprodukt-bruttowertschoepfung/bip#11489.

12 See Federal Employment Agency, monthly report December 2022.

13 See the German Federal Statistical Office 2023, https://www.destatis.de/DE/Themen/Wirtschaft/Preise/Verbraucherpreisindex/Tabellen/Verbraucherpreise-Sondergliederungen.html#242196.

14 See Eurostat, press release 81/2022, https://ec.europa.eu/eurostat/documents/2995521/14644638/2-19072022-AP-DE.pdf/03162bf7-ad2a-9e07-ba7c-a46ce8461181.

15 See St. Louis Fed 2023, https://fred.stlouisfed.org/series/CPIAUCSL.

16 See Federal Reserve 2023, https://www.federalreserve.gov/monetarypolicy/openmarket.htm.

In addition, bond holdings were gradually reduced from June 2022 and, in September, scaled down further.[17] Here too, there is still much room for cranking up base rates slightly more, though the risk of a recession is also increasing significantly.

In 2022, the bond markets in the eurozone and the US were largely caught up in the surprisingly strong bout of inflation and subsequent strong tightening of monetary policy by the Fed and, with a time lag, the ECB. This caused government bond yields to soar and put an end to negative interest rates on German sovereigns. The yield on 10-year Bunds rose from 0.2 percent at the start of the year to nearly 2.6 percent at the end, which was also the high point for the year (based on end-of-day data).[18] There was considerable volatility over the year. The yield curve (2Y/10Y) flattened markedly in the Bund market in the second half of 2022 when expectations of further interest rate hikes in the eurozone grew significantly, and became inverted in the fourth quarter. At the end of 2022, 2-year Bunds (treasury bills) were yielding just over 2.7 percent, 17 basis points higher than their 10-year counterparts.[19] In the US, the yield curve (2Y/10Y) in the Treasuries market inverted for a sustained period as early as mid-year, reaching the largest inversion in around 40 years in December 2022. The yield on 10-year Treasuries improved from 1.5 percent to 3.8 percent over the year, reaching its peak at just over 4.2 percent already in October 2022.[20]

The boom in the German residential real estate market, which had lasted for years, ended in the second half of 2022. As a result of the sharp increase in interest rates, there was a significant drop in demand in the residential sector. Due to the strong opening quarter, residential real estate prices did, however, go up by around 2 percent year on year in the fourth quarter of 2022.[21] In contrast, the impact of the new interest rate environment was more evident in the cyclically sensitive commercial real estate market as early as 2022. For example, the prices for commercial real estate in the fourth quarter of 2022 were already down by 4.4 percent on the same quarter of the previous year. There were modest gains once again in the prices of office properties, while those in bricks-and-mortar retail tumbled. The supply of residential and office space remained very tight, especially in major cities, and stabilised prices in 2022, despite a drop in demand.

17 See Federal Reserve 2022, https://www.federalreserve.gov/newsevents/pressreleases/monetary20220504b.htm.
18 See 10-year Bund yield, taken from Refinitiv Datastream on 3 January 2023.
19 See 2-year Bund yield, taken from Refinitiv Datastream on 3 January 2023.
20 See 10-year Treasury yield, taken from Refinitiv Datastream on 3 January 2023.
21 See vdpResearch 2023, https://www.vdpresearch.de/leistungen/preisindizes/.

Risk premiums on Pfandbriefs and covered bonds widened during the year, on average by 15 basis points.[22] The main reasons for the increasing spreads were the jump in interest rates and the general market turmoil triggered by the war between Russia and Ukraine. In addition, the ECB has not made any net purchases in its third covered bond purchase programme (CBPP3) since July 2022. The extremely high level of new issuance activity on the Pfandbrief and covered bond markets (benchmark new issues (> EUR 500 million) exceeded EUR 205 billion[23]) heaped additional pressure on spreads.

Over a one-year time horizon, credit spreads on investment-grade bonds had an asset swap spread of 81 basis points.[24] At the end of 2022 they were around 20 basis points higher. 2022 turned out to be much more volatile than 2021, with the lowest level being reached right at the beginning of the year and the peak of 120 basis points in July. The index largely ranged between 80 and 100 basis points, with several periods of widening and tightening. Therefore, the trend reflects the highly volatile capital market, which was rocked by the outbreak of the war in Ukraine at the end of February 2022, high inflation and the pivot in interest rates. From the end of October 2022, the index declined when it appeared that the period of spiralling inflation and interest rate hikes was starting to come to an end. A mild autumn/winter, full gas storage facilities and alternative energy sources caused electricity prices to fall, thereby brightening the economic outlook for companies. On the primary market, high volatility and rising financing costs triggered a sharp drop in gross new issue volumes to EUR 259 billion (FY 2021: EUR 418 billion)[25] so that maturities were barely covered. High yield issuance fell to its lowest level since the 2008 financial crisis and the market easily digested the end to net CSPP purchases.

The dollar appreciated heavily against the euro in 2022 in the period up to the autumn, when the euro fell significantly below parity (EUR/USD 1.00). The greenback was bolstered by rapid interest rate hikes by the Fed and a strong upswing in US bond yields, while the euro weakened against the dollar following the outbreak of the war in Ukraine and concerns about the economy and energy supply in Europe. Towards the end of the year, these concerns were allayed somewhat, supporting a modest recovery in the euro. Furthermore, lower-than-expected US inflation data for October and November subdued expectations of hikes in rates by the Fed and, more importantly, pushed down US bond yields at the long end. As a result, the dollar yielded some of its gains against the euro, ending 2022 up by 5.9 percent to EUR/USD 1.070.[26] In 2022, the Swiss franc also benefited from the risk aversion and economic concerns at the expense of the euro. It also gained support from unexpectedly powerful interest rate hikes by the Swiss National Bank in June and September 2022 so that, overall, it appreciated by 4.5 percent to EUR/CHF 0.990.[27] The pound sterling lost 5.2 percent against the euro to EUR/GBP 0.884 despite significant interest rate hikes by the Bank of England.[28] The reasons for this were the political turmoil triggered by

22 See Index iBoxx Euro Covered, taken from Markit on 3 January 2023.
23 See primary issues of covered bonds, taken from Bloomberg on 3 January 2023.
24 See Index iBoxx Euro Non-Financials, taken from Refinitiv Datastream on 3 January 2023.
25 See primary issues of corporate bonds, taken from Bloomberg on 3 January 2023.
26 See EUR-USD Exchange Rate, taken from Refinitiv Datastream on 3 January 2023.
27 See EUR-CHF Exchange Rate, taken from Refinitiv Datastream on 3 January 2023.
28 See EUR-GBP Exchange Rate, taken from Refinitiv Datastream on 3 January 2023.

the short-lived premiership of prime minister Liz Truss and the expectations since then that a recession in the United Kingdom in 2023 would be slightly deeper or longer than in the eurozone.

In view of the large number of negative factors, 2022 was a tough year for stock markets. Headwinds came from the tightening of monetary policy in the US and Europe, the massive rise in interest rates, the war in Ukraine, the energy crisis, the economic slowdown and China's zero-Covid policy, which remained in place for most of the year. Although stock markets recovered appreciably in the fourth quarter, the benchmark indices in Europe and the US tumbled in 2022 as a whole. The German stock market index (DAX), which is the beneficiary of dividend payments, had retreated by 12.3 percent to 13,924 by the end of the year.[29] The DAX price index (excluding dividend payments) was down by 15.2 percent.[30] The EURO STOXX 50, which is the benchmark index for the eurozone, was slightly more stable than the DAX in 2022, shedding 11.7 percent.[31] However, the US stock market, which was more heavily weighed down by the above-average price losses of interest rate-sensitive growth stocks, declined much more than its European counterparts when measured by the S&P 500, falling 19.4 percent in local currency terms.[32]

Sector-related conditions

Although inflation and fears of a recession and their impact on individual sectors of the economy took their toll on the banking industry in the first half of 2022, political efforts to curb the problems took effect in the second half and stabilised the environment.

Shares of larger listed banks recovered in the fourth quarter following the sharp drop in February/March 2022 and the low in July; however, the performance of the EURO STOXX Banks Index was slightly negative by the end of 2022, at just under minus 5 percent year on year.[33] Risk premiums as measured by the iTraxx Europe Senior Financial Index and iBoxx Euro Banks Senior Index widened by just under 45 basis points and 50 basis points, respectively, in light of the turnaround in monetary policy and economic uncertainty over the same period.[34] All three of these indicators have improved since the end of 2022.

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29 See Deutsche Börse: DAX performance index, taken from Refinitiv Datastream 3 January 2023.
30 See Deutsche Börse: DAX price index, taken from Refinitiv Datastream 3 January 2023.
31 See STOXX: EURO STOXX 50, taken from Refinitiv Datastream 3 January 2023.
32 See S&P Dow Jones Indices: S&P 500, taken from Refinitiv Datastream 3 January 2023.
33 See EURO STOXX Bank Performance Index, taken from Bloomberg on 3 January 2023.
34 See Markit iTraxx Europe Senior Financial Index and iBoxx Euro Banks Senior Index, taken from Refinitiv Datastream on 3 January 2023.

As at the end of September 2022, the CET1 ratio and the leverage ratio (both fully loaded) across the EU were 14.8 percent and 5.1 percent respectively, while liquidity as measured by the liquidity coverage ratio (LCR) was 163 percent.[35] Profitability, expressed in terms of return on equity, was virtually unchanged from the previous year. The ratio of non-performing loans fell to 1.8 percent across the EU, demonstrating the banks' good portfolio quality, although the scars of the recent crisis are still evident on their balance sheets, as seen, for example, in the relatively high proportion of loans in Stage 2 under IFRS 9.[36] Overall, these fundamental KPIs show that the banking industry is approaching the immediate challenges from a solid base.

Following values in 2021 that were at roughly the same level as before the outbreak of the coronavirus pandemic, the annual growth rate of adjusted loans to the private sector reached 5.3 percent in December.[37] At sector level, the greater momentum was with non-financial corporations, which posted growth of 6.3 percent, while loans to households went up by only 3.8 percent.

The immediate focus in the banking sector is on the impact of economic weakness on risk costs and the impact of high levels of inflation. The competitive situation in the European and, due to the high level of fragmentation, especially in the German banking industry, can still be described as intense. At the same time, the end of the negative interest rate environment and significantly higher interest rate levels compared with the previous year can be viewed as fundamentally positive for the sector. Furthermore, the ECB's first climate stress test revealed that many banks are still in the early stages of factoring climate risks into their risk models. Following on from this, the ECB has published best practices to kick-start progress in this area.

35 *See EBA Risk Dashboard Q3 2022, taken on 6 February 2023 at https://www.eba.europa.eu/sites/default/documents/files/document_library/Risk Prozent20Analysis Prozent20and Prozent20Data/Risk Prozent20dashboard/Q3 Prozent202022/1050803/EBA Prozent20Dashboard Prozent20- Prozent20Q3 Prozent202022.pdf.*

36 *Ibid.*

37 *See ECB: Monetary developments in the euro area: December 2022, taken on 6 February 2023 at https://www.ecb.europa.eu/press/pr/stats/md/html/ecb.md2212~b06affe66d.en.html.*

Regulatory environment

Stricter capital buffer requirements

In 2022, two additional capital buffer requirements were set by the German Federal Financial Supervisory Authority (BaFin), with mandatory compliance from 1 February 2023:

- A countercyclical capital buffer of 0.75 percent for domestic financing
- A systemic risk buffer of 2 percent for exposures secured by mortgages on domestic residential real estate.

Capital Requirements Regulation (CRR) – update

The European Commission’s draft for the next CRR update, CRR III, was released in October 2021. CRR III incorporates major parts of the finalisation of Basel III into European law. First-time application is envisaged for 1 January 2025. To be able to estimate future capital needs, the European Banking Authority (EBA) conducted an extensive impact study in the first quarter of 2022, which expanded the Basel Committee’s regular monitoring to include issues specific to the EU. For large, internationally active German banks, this means a major increase in minimum capital requirements when the transitional arrangements provided for in the draft CRR expire.

EU taxonomy and sustainability

To operationalise regulatory and strategic requirements and market requirements relating to sustainability, BayernLB initiated the ESG project “Sustainability” in 2021, which also addresses the ECB requirements on climate risks and the issues related to climate stress testing. An additional component of the project will be the requirements on sustainability reporting in accordance with the Corporate Sustainability Reporting Directive (CSRD).

The first step to embedding the topic of sustainability in banks’ reporting is the reduced reporting obligation based on Article 8 of the EU Taxonomy Regulation. As a financial company subject to the NFRD[38], BayernLB falls under the provisions of the EU Taxonomy Regulation. For the first two reporting years of 2021 and 2022, Article 10 (3) and Article 7 (1) to (3) provide for a transitional arrangement under which initially only information on the taxonomy eligibility of economic activities needs to be provided, but not yet information on taxonomy alignment. BayernLB is complying with the reporting requirements under Article 8 of the EU Taxonomy Regulation in conjunction with sections 315b and 315c and sections 289b and 289e of the German Commercial Code (HGB) in BayernLB’s combined separate non-financial report for 2021 and 2022. In addition, the Bank will disclose information on sustainable transactions for the first time in accordance with Article 449a CRR in conjunction with Article 8 of the EU Taxonomy Regulation in the disclosure report.

On 16 December 2022, the Corporate Sustainability Reporting Directive (CSRD) was published in the EU’s official journal. The CSRD includes in particular regulations to expand the scope of users and the scope of sustainability reporting, as well as the introduction of EU-wide uniform sustainability reporting standards (ESRS). The timeline calls for the CSRD to gradually replace the NFRD

38 NFRD – Non-Financial Reporting Directive.

from 2024. This development is part of the European Commission's Green Deal. As part of its ESG "Sustainability" project, BayernLB is preparing for the application of the CSRD and the first-time reporting for financial year 2024.

Improved grades in the ECB climate stress test

BayernLB took part in the ECB's climate stress test in the first half of 2022. The Group feels vindicated that the measures it has taken since 2020 conform with supervisory requirements. The "Sustainability" (BayernLB) and "Blue" (DKB) projects initiated in 2021 take account of the results of the stress test and are being continued without modification. For further details, refer to the risk report in this combined management report.

Harmonisation of internal models (TRIM/EBA repair)

In 2022, additional ECB audits were also carried out on the basis of the EBA's new supervisory requirements for internal models. The new EBA requirements are the outcome of Project TRIM (Targeted Review of Internal Models), which was completed in 2020 and aimed at an EU-wide review of models used in the banking sector, as well as new specifications arising in connection with this (EBA repair programme). The audits conducted have produced requirements which will need to be complied with over the next few years.

War between Russia and Ukraine and energy crisis

Since the outbreak of the war between Russia and Ukraine, the banking supervisory authorities have been monitoring the effects of the crisis on banks. Among the measures taken in 2022, ad hoc assessments were prepared on affected exposures and the estimates of the potential impact of a halt to gas supplies on key exposures and KPIs were calculated.

Coronavirus pandemic

Up until the end of March 2022, the ECB granted the option to exclude central bank balances from leverage exposure in connection with the coronavirus pandemic. Since April 2022, central bank balances have again been included in the leverage exposure.

Furthermore, in December 2022 the EBA guidelines on the reporting and disclosure of Covid-19 exposures were rescinded with effect from 1 March 2023, as the exceptional conditions of the pandemic no longer apply and the banking system within the EU has proven to be resilient.

Resolution regime

The revision to EU bank resolution legislation also fleshed out the structure of the MREL thresholds. Accordingly, the MREL thresholds set by the resolution authorities in 2021 will be calibrated on the basis of a risk-orientated metric (RWAs) and a component that is independent of the risk measurement (leverage exposure).

Deposit protection

The internal consultation process instituted by the Savings Banks Finance Group to implement the changes to the guarantee scheme mandated by the ECB and BaFin is still underway. Based on a timetable and action plan agreed with the supervisory authorities for the period to mid-2023, the Bank is to agree to make certain changes to the statutes, which will come into force no later than 1 January 2024. The Savings Banks Finance Group is expected to reach a satisfactory agreement with the supervisory authorities on the implementation process.

As a result of BayernLB decoupling from DKB with respect to contributions (revoking the letter of comfort and terminating the control and profit and loss transfer agreement) in financial year 2021, the Bank has already achieved its target volume for the deposit guarantee scheme. It is therefore currently expected that BayernLB will not need to make any further contribution until 2024.

The BayernLB Group's business performance

Statement by the Board of Management on business performance in 2022

Thanks to strong earnings performance and low risk provisions, profit before taxes of EUR 1.1 billion markedly exceeds expectations; earnings significantly boosted by one-off proceeds and positive change in interest rates

Despite a tough economic environment, BayernLB increased its profit before taxes in financial year 2022 to EUR 1,122 million (FY 2021: EUR 816 million), thereby easily exceeding its target of over EUR 500 million, which was adjusted in the first half of 2022. This is the highest figure in more than a decade. It was bolstered by strong net interest income and net commission income, a net fall in risk provisions, proceeds from the sale of buildings and a partial reversal of restructuring provisions. Earnings were, however, dented by continued high contributions to the bank levy and deposit guarantee scheme.

The BayernLB Group's earnings were also considerably affected by the changes in interest rates described in the section on the macroeconomic environment. The impact of higher interest rates on money and capital markets, coupled with market uncertainty, was mixed.

Net interest income posted by the BayernLB Group rose by 14.5 percent to EUR 2,137 million (FY 2021: 1,866 million). The main reasons for the higher earnings were the rise in credit volumes and, from the start of the year, the pivot in interest rates. Among other things, the BayernLB Group benefited from the tender bonuses from the ECB's TLTRO III refinancing programme in the amount of EUR 136 million (FY 2021: EUR 166 million). The rise in interest rates also had a positive impact on the higher amortisation amounts from hedge accounting. Income from negative interest rates was also lower.

The Group generated an 11.4 percent increase in net commission income, taking this figure to EUR 424 million (FY 2021: EUR 380 million), benefiting in particular from good performance in BayernLB's credit business and from DKB's card business.

Gains or losses on fair value measurement came in at EUR 67 million in the reporting period (FY 2021: EUR 190 million). Two major components of this were interest rate-induced measurement losses from derivatives positions and measurement losses from structured products, largely as a result of rising interest rates on stock markets. The precious metals business again made a large positive contribution to fair value earnings of EUR 63 million (FY 2021: EUR 46 million).

Particularly as a result of the measurement effects from the variable side of the derivative hedging instruments, which were not offset by a corresponding effect from the fixed-income hedged items, there was a net loss on hedge accounting of EUR 177 million (FY 2021: net loss of EUR 20 million). The net risk provisions of EUR 70 million exceeded the previous year's net figure of EUR 48 million. Despite the difficult climate, they remained low overall. To reduce the uncertainty arising from the model-based calculation of risk provisions in Stages 1 and 2 in a still-challenging market environment, the BayernLB Group set aside additional risk provisions through a post-model adjustment (PMA). The net additions to the PMA amounted to EUR 6 million in the reporting period. As at the reporting date, the share of the PMA in the holdings of risk provisions was EUR 362 million (FY 2021: EUR 356 million).

Administrative expenses rose by 3.2 percent compared with the previous year, to EUR 1,569 million (FY 2021: EUR 1,520 million). This was the result of temporarily higher expenses from planned growth initiatives and investments in the IT transformation and digitalisation of BayernLB and DKB. Overall, the BayernLB Group implemented the cost-cutting measures as planned in 2022 and met its savings target for operating general expenses.

In financial year 2022, the BayernLB Group made mandatory contributions to the bank levy and deposit guarantee scheme of EUR 140 million (FY 2021: EUR 195 million). Due to an increase in the target volume of the EU's resolution fund, the Bank paid a significantly higher contribution to the bank levy of EUR 103 million (FY 2021: EUR 75 million). The target volume is based on covered deposits, which grew significantly during the coronavirus pandemic in Germany and in Europe. In contrast, the Bank's contribution to the deposit guarantee scheme plunged to EUR 37 million (FY 2021: EUR 83 million) when its mandatory contribution ceased.

The programme for optimising the office space at BayernLB's main campus in Munich was also continued in 2022. In the second half of 2022, following a number of successful transactions in the previous year, BayernLB sold more properties at the Munich location which were not required for operations. BayernLB realised a gain from the proceeds of the sales of EUR 299 million (FY 2021: EUR 101 million), which was booked to other income and expenses.

The BayernLB Group posted a net gain on restructuring of EUR 108 million in financial year 2022 (FY 2021: net gain of EUR 2 million). In the course of the transformation BayernLB core Bank in particular attained an important milestone in its staff reductions by completing the process of concluding contractual agreements on the departures. As a result of the completion of the Fokus 2024 staff reduction programme, the Bank reversed the restructuring provisions set aside in previous years through profit or loss for this purpose and also benefited from the positive change in interest rates.

The increase in interest rates also had a net positive effect on other income and expenses in other comprehensive income (OCI). The positive effects from the increase in the discount rate for pension obligations exceeded the negative measurement effects from earmarked plan assets and fixed-asset securities.

The BayernLB Group closed financial year 2022 with a consolidated profit of EUR 1,055 million (FY 2021: EUR 553 million).

As before, the credit and trading business made up a large proportion of the BayernLB Group's net assets. Total assets fell during the reporting period by EUR 7.3 billion. The main reasons were the reduction of central bank balances as a result of the partial repayment of the TLTRO III and the associated fall in the reinvestment of funds, along with interest rate-related measurement effects.

EUR billion	**31 Dec 2022**	**31 Dec 2021**	**Change in %**
Total assets	259.3	266.6	(2.7)
Business volume[1]	305.8	313.3	(2.4)
Credit volume[2]	240.3	227.0	5.9

1 Total assets plus liabilities held in trust, contingent liabilities and other commitments.
2 Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

Capital adequacy base remained at comfortable levels with solid liquidity and a low NPL ratio

The BayernLB Group still had a very solid capital adequacy base and strengthened it on the previous year. The Common Equity Tier 1 ratio (CET1 ratio) stood at 17.4 percent (FY 2021: 17.3 percent), with risk-weighted assets (RWAs) rising to EUR 65.3 billion (FY 2021: EUR 63.3 billion). This was well above the minimum regulatory level of 8.6 percent (including the combined capital buffers and SREP capital requirements (P2R), but excluding the SREP capital recommendation (P2G)).

As at 31 December 2022, the MREL ratio of the BayernLB Group (which must be met with subordinated funds) was 52.6 percent (FY 2021: 57.2 percent) in relation to the RWAs and 14.3 percent (FY 2021: 18.4 percent) in relation to the leverage ratio (LR). The MREL holdings were therefore above the required 33.0 percent of RWAs and 9.0 percent of leverage exposure set by the competent resolution authorities. The capital set aside for capital buffers was excluded when calculating the RWA ratio.

As at 31 December 2022, the leverage ratio (LR) stood at 4.5 percent and therefore exceeded the regulatory minimum ratio of 3.0 percent.

The liquidity coverage ratio (LCR) declined in the reporting period to 175.4 percent (FY 2021: 271.2 percent) and was therefore above the 100.0 percent threshold required by the regulator. The BayernLB Group's liquidity position was comfortable at all times during the period under review. Liquidity outflows were manageable at all times.

The risk profile of the BayernLB Group remained stable in the financial year. The BayernLB Group's risk-bearing capacity was ensured at all times during the financial year and as at 31 December 2022, even amid the challenges posed by the war between Russia and Ukraine and the after-effects of the coronavirus pandemic. The stress scenarios conducted confirmed that adequate capital is held. The BayernLB Group had economic capital of EUR 11.7 billion (FY 2021: EUR 11.1 billion), while the figure for BayernLB was EUR 9.1 billion (FY 2021: EUR 8.1 billion). The risk appetite remained at EUR 7.8 billion (FY 2021: EUR 7.8 billion) in the case of the BayernLB Group, and was EUR 5.6 billion (FY 2021: EUR 6.3 billion) in the case of BayernLB.

The BayernLB Group's non-performing loan ratio (NPL ratio) remained unchanged at 0.6 percent during the reporting period. While BayernLB saw a marginal fall from 0.9 percent to 0.8 percent, DKB posted a stable ratio of 0.3 percent.

Transformation process at the BayernLB Group systematically continued in 2022; implementation projects on schedule

In 2022, the BayernLB Group continued to pursue its strategic realignment and transformation agreed at the end of 2019. In July 2022, the Board of Management and Supervisory Board again confirmed the strategic target vision for the BayernLB Group and its segments with only a few adjustments in some segments. Thus, the strategic vision agreed in 2019 and the financial guidelines defined for it still form the basic strategic framework within which the BayernLB Group operates.

Almost all implementation projects under the Fokus 2024 transformation programme achieved their agreed milestones in 2022 and made good operating progress.

For example, the Bank continued to forge ahead with its profitabilisation and expansion of sector and ESG expertise in the Corporates & Markets segment. At the same time, the Real Estate Business Area had a strong year in terms of new business despite geographic challenges. The foreign currency notes and coins and physical precious metals business also turned in a pleasing performance, as it has done for the past few years.

DKB reached some major milestones in its monetarisation of customer relationships and digitalisation process, as well as its KPIs. Particular highlights were the increase in the customer base to more than 5.3 million and the successful completion of the project to launch a Visa debit card as the primary customer card. DKB made further progress in the digitalisation of its customer services, workflow management, process optimisation and modernisation of internal work infrastructure. With its new corporate strategy, DKB is concentrating on profitable customer growth. To this end, DKB will continue to align its business model with customer needs.

BayernLB core Bank also hit key milestones on its IT transformation journey, including consolidating the trading architecture to just one trading system, consolidating the data warehouses and further streamlining the credit systems.

Through systematic action, BayernLB core Bank achieved planned costs savings in its operating general expenses and therefore the savings target set for 2022. The staff reductions needed to achieve the costs targets were contractually agreed and have been largely completed as a result. Based on the structuring for the measures, the staff downsizing process will be completed with a grace period until 30 September 2023.

In addition, work to achieve the objective of optimising space at BayernLB's main campus in Munich is proceeding according to plan. In financial year 2022, BayernLB sold a further four properties at the Munich location which were not required for operations.

War between Russia and Ukraine risk reduced by suitable measures

The political situation remains fraught given the ongoing hostilities in Ukraine and is constantly evolving. BayernLB has evaluated the impact these developments might have on the Group and has taken appropriate account of them in its risk management.

The majority of the remaining business volume in Russia, Ukraine and Belarus is protected, inter alia by German Euler-Hermes export insurance. During the reporting period, the net credit volume was cut from EUR 0.2 billion to below EUR 0.1 billion.

All in all, the BayernLB Group is adequately prepared for a deterioration in the current situation, which could arise in particular due to a more gloomy outlook for the economy, disrupted supply chains and a jump in energy costs. The Bank conducts its closely entwined strategy and planning on a rolling basis, which also allows it to exploit opportunities that temporarily arise both quickly and systematically and to duly respond to unexpected risks. Its significant risks are described in the risk report in this management report.

Portfolio of sustainable refinancing instruments expanded

In financial year 2022, BayernLB expanded its portfolio suitable for refinancing through sustainable debt capital instruments with the addition of the Mobility product category (electric locomotives and trainsets for passenger transportation).

Report on the BayernLB Group’s net assets, financial position and results of operations

Group performance beats expectations

When preparing the consolidated financial statements for the year ended 31 December 2021, it was extremely difficult to predict the length and extent of the effects of the ongoing coronavirus pandemic and, in particular, the war between Russia and Ukraine on the performance of the BayernLB Group and its key performance indicators. The estimates and assumptions relevant for the financial statements that were made or imputed at the time of the planning were based on the knowledge at hand and best available information at the time but subject to a high level of uncertainty.

Comparison of the forecasts for the financial performance indicators for 2022 against actual business performance

In view of the fact that earnings performance was very good in the first half of 2022 and the expectation had therefore changed to believing that the Group would be in a position to beat the targets set in 2022, BayernLB raised its outlook for financial year 2022 in the middle of that year.

	Forecast for 2022 (31 Dec 2021)	Adjusted forecast for 2022 (30 Jun 2022)	Results for 2022
Profit/loss before taxes	EUR 300-500 million	> EUR 500 million	EUR 1,122 million
Return on equity (RoE)	>3%	>5%	10.5%
Cost/income ratio (CIR)	63% - 67%	<65%	56.2%
Common Equity Tier 1 (CET1) capital ratio	>15%	>15%	17.4%
Leverage ratio (LR)	>4%	>4%	4.5%

At EUR 1,112 million (FY 2021: EUR 816 million), profit before taxes was much higher than anticipated in the adjusted forecast. In the forecast period, the BayernLB Group benefited in particular from the ECB’s interest rate policy pivot, further volume growth in the customer business in line with strategy, tender bonuses from its participation in the ECB’s TLTRO III refinancing programme and the resulting jump in net interest income and net commission income. In addition, lower mandatory contributions to the deposit guarantee scheme, proceeds on the sale of buildings not required for operations, strong restructuring income and significantly lower income tax charges had a very positive effect on consolidated profit. Risk provisions remained at a low level despite the difficult conditions and high degree of uncertainty regarding energy price increases, supply bottlenecks and interest rate and inflation trends.

Given the very strong earnings performance in 2022, the BayernLB Group posted an RoE of 10.5 percent (FY 2021: EUR 7.9 percent), which was above the expected ratio of 5 percent.

CIR amounted to EUR 56.2 percent (FY 2021: EUR 59 percent), which was therefore still below adjusted expectations. The significantly higher gross income compared with forecast, especially in the case of net interest income and other income and expenses due to proceeds on the sale of buildings, was accompanied, however, by planned increases in administrative expenses.

For 2022, based on medium-term planning, the Group forecast RWAs of EUR 69.2 billion and a CET1 ratio of >14 percent. Compared with the previous year, RWAs rose to EUR 65.3 billion (FY 2021: EUR 63.3 billion) and were therefore below plan. Better-than-expected ratings and the RWA-reducing effect of synthetic securitisation transactions meant the plan value was undershot in 2022. The CET1 ratio was 17.4 percent (FY 2021: 17.3 percent), and therefore below the plan value.

The leverage ratio (fully loaded) stood at 4.5 percent, above forecast. The regulatory minimum threshold of 3.0 percent was maintained.

The BayernLB Group's results of operations

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Net interest income	2,137	1,866	14.5
Risk provisions	(70)	(48)	45.4
Net interest income after risk provisions	**2,067**	**1,818**	**13.7**
Net commission income	424	380	11.4
Gains or losses on fair value measurement	67	190	(64.9)
Gains or losses on hedge accounting	(177)	(20)	>100
Gains or losses on derecognised financial assets	(3)	6	-
Gains or losses on financial investments	(11)	46	-
Administrative expenses	(1,569)	(1,520)	3.2
Expenses for the bank levy and deposit guarantee scheme	(140)	(195)	(28.1)
Other income and expenses	356	108	>100
Gains or losses on restructuring	108	2	>100
Profit/loss before taxes	**1,122**	**816**	**37.6**
Income taxes	(64)	(259)	(75.4)
Profit/loss after taxes	**1,058**	**556**	**90.3**
Profit/loss attributable to non-controlling interests	(3)	(3)	-
Consolidated profit/loss	**1,055**	**553**	**90.9**

Rounding differences may occur in the tables. More detailed information can be found in the notes.

Net interest income

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Interest income	**5,120**	**4,682**	**9.4**
Of which from:			
Credit and money market transactions	3,459	2,649	30.6
Financial investments	105	101	3.7
Hedge accounting derivatives and derivatives in economic hedges	1,088	1,023	6.4
Negative interest	452	906	(50.1)
Other interest income	16	3	>100.0
Interest expenses	**(2,983)**	**(2,816)**	**5.9**
Of which:			
From liabilities to banks and customers	(1,008)	(808)	24.8
For securitised liabilities	(431)	(248)	73.7
For subordinated capital	(82)	(72)	12.5
From hedge accounting derivatives and derivatives in economic hedges	(1,045)	(911)	14.8
From negative interest	(374)	(731)	(48.8)
Other interest expenses	(42)	(45)	(5.7)
Net interest income	**2,137**	**1,866**	**14.5**

Net interest income came in at EUR 2,137 million (FY 2021: EUR 1,866 million), a major improvement on the previous year. Of this, EUR 828 million was attributable to BayernLB[39] (FY 2021: EUR 803 million) and EUR 1,309 million to DKB (FY 2021: EUR 1,063 million).

Interest income increased by EUR 438 million to EUR 5,120 million (FY 2021: EUR 4,682 million). Compared with the previous year, interest income from credit and money market transactions in particular increased by EUR 810 million to EUR 3,459 million. The BayernLB Group benefited mainly from the very positive interest rate trend in the second half of 2022 and the expansion of the credit volume in the customer business in line with its strategy. Within interest income, a counteracting effect was a decline in negative interest by EUR 454 million to EUR 452 million due to the largely positive interest rate environment in the second half of 2022.

Interest expenses rose by EUR 167 million to EUR 2,983 million. The very favourable financing conditions of the ECB tenders (TLTRO III) continued to boost net interest income. As at 31 December 2022, the BayernLB Group was still drawing EUR 8.5 billion (FY 2021: EUR 26.8 billion) through DKB under the ECB's TLTRO III refinancing programme. BayernLB repaid the funds it had drawn down already in the previous year. By taking advantage of the reduced interest rates in the TLTRO III and reinvesting funds, the BayernLB Group produced net interest income of EUR 136 million (FY 2021: EUR 166 million).

In addition, in the prior-year comparison the net interest income for 2021 also included a one-off charge of EUR 59 million from the transfer of the euro-denominated OTC derivatives in economic

39 Unless otherwise stated, BayernLB includes BayernLB Bank, the foreign branches and BayernLabo in the description of the BayernLB Group's financial position and financial performance.

hedges from LCH.Clearnet to Eurex Clearing. The positive effect was included ingains or losses on fair value measurement.

Risk provisions

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Additions	(1,178)	(1,055)	11.6
Direct writedowns	(14)	(14)	0.4
Releases	1,089	963	13.1
Recoveries on written down receivables	26	55	(52.5)
Income from the writeup of purchased or originated credit-impaired financial assets	6	3	85.5
Risk provisions	**(70)**	**(48)**	**45.4**

In financial year 2022, the BayernLB Group posted net risk provisions of EUR 70 million, a net increase of EUR 22 million (FY 2021: EUR 48 million). Overall, this reflected the high quality of the loan portfolio and the consistent risk management in a difficult economic environment. The risk provisions line item contains a post-model adjustment (PMA), which the BayernLB Group uses as a supplementary instrument to take adequate account of potential macroeconomic developments (forward-looking information) when it calculates risk provisions under IFRS 9.

In the first half of the reporting year, the PMA was adjusted and reduced by EUR 41 million in the income statement due mainly to good portfolio performance and a positive outlook for the special portfolios at DKB, which were particularly hard hit by the coronavirus pandemic. Following the regular review of the macroeconomic scenarios, the PMA increased by EUR 56 million (BayernLB: EUR 5 million; DKB: EUR 51 million), taking into account the still very elevated and in some cases even higher level of uncertainty in connection with the war between Russia and Ukraine and trends in interest rates and real estate prices in the second half of 2022.

Net commission income

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Fund business	130	128	1.8
Credit business	116	104	12.1
Card business	82	54	53.2
Securities business	43	50	(13.5)
Trust transactions	17	16	5.5
Payments	9	3	>100
Documentary business	7	6	5.9
Other net commission income	19	19	(0.1)
Net commission income	**424**	**380**	**11.4**

Net commission income improved by EUR 44 million to EUR 424 million (FY 2021: EUR 380 million). The high-commission fund and credit business and also the card business accounted for a large proportion of this. The contribution to earnings from the fund business was split between the asset management companies Real I.S. AG in the amount of EUR 80 million and BayernInvest in the amount of EUR 46 million. The figure mainly comprises compensation from portfolio and selling fees. BayernLB's core business areas Real Estate and Corporates also made a significant contribution to the commission income from the credit business as a result of the expansion of their credit volumes. Commission from the card business, which is fully generated by DKB, also grew. The key factor here was the higher sales with respect to credit and debit cards.

Gains or losses on fair value measurement

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Gains or losses on financial assets in the FVPLM category[1] not held for trading	(92)	117	–
Net trading income	109	45	>100
Gains or losses on the fair value option category	50	29	75.1
Gains or losses on fair value measurement	**67**	**190**	**(64.9)**

1 *FVPLM – financial assets mandatorily measured at fair value through profit or loss.*

Due to the difficult bond and stock market environment, this line item went down by a significant EUR 123 million to EUR 67 million (FY 2021: EUR 190 million). A key driver of this was the EUR 92 million loss on financial instruments mandatorily measured at fair value, a drop of EUR 209 million on the previous year. A net loss of EUR 84 million was due to DKB (FY 2021: net gain of EUR 68 million). The sharp decline primarily reflected the price trend of the DKB sustainability funds, which were unable to avoid the price falls on the stock markets.

The Group generated EUR 109 million (FY 2021: EUR 45 million) in net trading income. This was mainly influenced by the performance of other financial transactions, in particular by the increased net earnings from the foreign notes and coins/precious metals business of EUR 63 million (FY 2021: EUR 46 million).

The gains from the fair value option category were EUR 50 million and therefore higher than in the previous year (FY 2021: EUR 29 million). The previous year's figure included one-off income of EUR 59 million from the transfer of the euro-denominated OTC derivatives in economic hedges from LCH.Clearnet to Eurex Clearing. Adjusted by this amount, the comparative figure for the previous year was a minus EUR 30 million. The corresponding loss was booked to net interest income. Due to the measurement of liabilities to non-controlling interests in DKB sustainability funds, there was a gain of EUR 34 million (2021: loss of EUR 24 million).

Gains or losses on hedge accounting

The gains or losses on hedge accounting line item reflects the interest rate-related changes in the value of the hedged items and the offsetting changes in the value of the interest rate derivatives entered into for hedging purposes. Due to the strong interest rate fluctuations, the loss on hedge accounting came in at EUR 177 million, significantly below the result for the previous-year period (2021: loss of EUR 20 million). Within the BayernLB Group, DKB hedges the long-term lending business against rising interest rates with interest rate derivatives. The effects of the interest rate derivatives used by DKB for hedging and the hedged items in hedge accounting amounted to a negative EUR 175 million (FY 2021: negative EUR 3).

Gains or losses on financial investments

Gains or losses on financial investments fell by EUR 55 million to a loss of EUR 11 million (FY 2021: gain of EUR 46 million) and largely comprised measurement losses from equity interests in the FVPLM category.

Administrative expenses

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Staff costs	(837)	(844)	(0.8)
Other administrative expenses	(636)	(588)	8.2
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	(95)	(88)	8.5
Administrative expenses	**(1,569)**	**(1,520)**	**3.2**

Compared with the previous-year period, the BayernLB Group's administrative expenses rose by EUR 49 EUR to 1,569 million (FY 2021: EUR 1,520 million).

Of the total administrative expenses, EUR 740 million (FY 2021: EUR 667 million) related to DKB and EUR 726 million (FY 2021: EUR 734 million) to BayernLB. The EUR 73 million rise at DKB was the result both of the increase in staff costs by EUR 18 million to EUR 378 million (FY 2021: EUR 360 million) and, in particular, to an increase in general expenses[40] by EUR 32 million to EUR 361 million (FY 2021: EUR 329 million). This was due to DKB's growth initiatives and investment measures in its corporate strategy.

BayernLB core Bank systematically continued along its transformation journey in 2022 as well. As a consequence of this, administrative expenses went down overall by EUR 8 million to EUR 669 million (FY 2021: EUR 677 million). Strategically necessary expenditure, especially for the expansion and reorganisation of the IT application landscape, digitalisation and process optimisation, pushed up general expenses by EUR 16 million as planned to EUR 294 million (FY 2021: EUR 277 million), which was offset by a decrease in staff costs by EUR 25 million to EUR 375 million (FY 2021: EUR 400 million).

Expenses for the bank levy and deposit guarantee scheme

Expenses for the bank levy and deposit guarantee scheme fell by EUR 55 million year on year to EUR 140 million. The mandatory contribution to the bank levy jumped once again, this time by EUR 28 million to EUR 103 million; at BayernLB the increase was from EUR 48 million to EUR 61 million, while at DKB it was from EUR 27 million to EUR 42 million. The reason for the higher amount was the increase in the target volume due to the increase in covered deposits in the eurozone. The big rise at DKB was due to the size of total assets as at the relevant reference date of 31 December 2020, a figure much higher than in previous years. As in previous years, BayernLB and DKB both used the option to provide 15 percent of the annual contribution of the bank levy in the form of fully secured irrevocable payment obligations (UZV), which were not booked to expenses.

Meanwhile, the mandatory contribution for the deposit guarantee scheme, made by DKB to Entschädigungseinrichtung deutscher Banken GmbH (EdB), went down significantly compared with the previous year, falling by EUR 83 million to EUR 37 million. The contribution BayernLB had to make no longer applied after the Bank revoked the letter of comfort for DKB with effect from 30 November 2021 and terminated the profit and loss transfer agreement (CPLTA), effective 30 September 2021. As a result, BayernLB already achieved its target volume for the institutional deposit guarantee scheme in 2021.

Other income and expenses

Other income and expenses came to EUR 356 million (FY 2021: EUR 108 million) overall and largely comprised gains from the sale of buildings at the Munich location not needed for business operations in the amount of EUR 299 million (FY 2021: EUR 101 million).

40 *General expenses comprises the other administrative expenses, depreciation of property, plant and equipment, and amortisation of intangible assets line items.*

Gains or losses on restructuring

Gains or losses on restructuring came in at EUR 108 million overall (FY 2021: EUR 2 million) and comprised restructuring gains of EUR 146 million (FY 2021: EUR 32 million) and restructuring expenses of EUR 38 million (FY 2021: EUR 30 million). Restructuring gains of EUR 97 million resulted primarily from the reversal of personnel-related restructuring provisions, the reason for which ceased to apply upon the expiry of the underlying personnel instruments for the Fokus 2024 transformation programme at the end of the third quarter of 2022. Further restructuring gains of EUR 38 million arose in connection with the increase in the discount rate. As at the reporting date, the underlying assumptions for the recognised restructuring provisions were reviewed. This produced an increase of about EUR 25 million, which the Group booked to restructuring expenses. These included transformation costs for activities to secure and achieve the vision for 2024, most notably activities for reducing IT-related expenses.

Income taxes

In financial year 2022, the BayernLB Group reported tax expenses of EUR 64 million (FY 2021: tax expenses of EUR 259 million). The item consisted of current tax expenses of EUR 128 million (FY 2021: tax expenses of EUR 132 million) and deferred tax income of EUR 64 million (FY 2021: tax expenses of EUR 127 million). The current tax expenses comprised current tax income for previous years of EUR 80 million (FY 2021: tax expenses of EUR 28 million). The deferred tax income in the financial year 2022 was mainly due to an increase in the value of tax loss carryforwards and temporary tax losses in BayernLB's consolidated tax group. The deferred taxes on loss carryforwards are measured using a recoverable analysis and tax planning calculations for the respective reporting unit and consolidated tax group of BayernLB, based on corporate planning.

Results of operations of the segments

The segment report is based on the monthly internal management report to the Board of Management and reflects the profitability of the BayernLB Group's segments.

The segment structure of the BayernLB Group was unchanged on the previous year and, as at 31 December 2022, comprised three segments under the business strategy:

- Real Estate & Savings Banks/Financial Institutions, including BayernLabo, and the subsidiaries Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)
- Corporates & Markets
- DKB – comprising the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group.

Another component of the BayernLB Group is the Central Areas & Others segment, which includes the earnings from the Group Treasury Division and the consolidation entries not allocated to the other segments.

The contributions of the individual segments to the profit before taxes of EUR 1,122 million (FY 2021: EUR 816 million) are shown below:

EUR million	Real Estate & Savings Banks/ Financial Institutions		Corporates & Markets		DKB		Central Areas & Others (including Consolidation)	
	2022	2021	2022	2021	2022	2021	2022	2021
Profit/loss before taxes	287	271	154	87	354	369	328	88
Cost/income ratio (CIR)	55.2%	57.0%	59.5%	65.8%	62.5%	60.8%	–	–
Return on equity (RoE)	15.0%	16.0%	5.2%	2.7%	9.9%	10.8%	–	–
RWAs	13,678	12,705	20,583	21,078	25,623	24,633	5,428	4,898

Real Estate & Savings Banks/Financial Institutions segment

- Real Estate Business Area again reports rising operating earnings and an uptick in new business.
- Savings Banks & Financial Institutions Business Area once again benefits from a good performance in the precious metals business and the positive impact from the change in interest rates.
- Real Estate & Savings Banks/Financial Institutions segment posts profit before taxes of EUR 287 million (FY 2021: EUR 271 million), higher than in the previous year.

The Real Estate Business Area again made a significant contribution to the segment's earnings by posting a profit before taxes of EUR 187 million (FY 2021: EUR 164 million). The main reason for the higher earnings was the increase in net interest income and net commission income to a total of EUR 315 million (FY 2021: EUR 280 million) owing to the expansion in the volume of business. Risk provisions were higher than in the previous year, coming in at EUR 36 million (FY 2021: EUR 26 million) due to the creation of additional risk provisions (PMA).

The Savings Banks & Financial Institutions Business Area's profit before taxes was EUR 76 million (FY 2021: EUR 38 million), which was twice as high as in the previous year. Besides the continued high demand for precious metals products, the income side benefited from the positive effects of the rise in interest rates. Administrative expenses decreased to EUR 142 million (FY 2021: EUR 156 million) due to the ongoing transformation process. Earnings were also flattered by the small net EUR 1 million in risk provisions, which stood in stark contrast to the negative EUR 6 million in net allocations to risk provisions in the previous year.

BayernLabo posted profit before taxes of EUR 25 million (FY 2021: EUR 38 million). The fall in this result was mostly due to the changed interest rate environment and resulting effects on earnings from hedging interest rate risk.

Profit before taxes at Real I.S. amounted to EUR 31 million, which was above the previous year (FY 2021: EUR 27 million). The main drivers of the rise in earnings were portfolio fees from the increase in business volume and higher sales fees, which more than offset the increase in administrative expenses caused by the expansion in business volume.

BayernInvest's profit before taxes was lower year on year, falling to EUR 4 million (FY 2021: EUR 5 million). The decline in earnings was due to measurement losses caused by negative market trends, which were reflected by a loss on fair value measurement of EUR 2 million). Measurement gains from an equity interest were neutralised by an increase in administrative expenses.

Corporates & Markets segment

- Core business reports significantly higher volumes in credit business and an expansion of customer business with financial markets products in a volatile market situation.
- Previous year impacted by positive one-off effects and measurement gains as a result of market growth.
- Net fall in risk provisions largely due to revaluation of risks from the coronavirus pandemic.
- Administrative expenses shrink due to the segment focusing on competitive products and services in the customer business.

The Corporates & Markets segment generated a profit before taxes of EUR 154 million (FY 2021: profit before taxes of EUR 87 million). The jump in earnings was mainly due to lower net risk provisions and reduced administrative expenses.

In financial year 2022, net risk provisions fell back to EUR 17 million (FY 2021: EUR 60 million) in spite of setting aside additional risk provisions for the exposure to Russia, Belarus and Ukraine. Besides good portfolio quality, the main drivers for this were the improved market conditions in the sectors focused on as a result of the re-evaluation of the risks from the coronavirus pandemic.

Administrative expenses in the segment sank to EUR 250 million (2021: EUR 283 million) as a result of the rigorous focus in the customer business.

On the income side, the segment's performance was slightly down on the previous year, mainly due to the lower net interest income of EUR 292 million (FY 2021: EUR 315 million). Besides one-off positive effects in the previous year, the decline was largely the result of the downsizing of the winding-down portfolio in line with strategy, which overshadowed the effect of the positive performance by the Corporates core business.

The expansion of business volumes in the corporate customer business was also reflected in an increase in net commission income to EUR 87 million (FY 2021: EUR 80 million).

Gains or losses on fair value measurement remained stable at EUR 41 million (FY 2021: EUR 38 million) in a volatile market environment, with the fall in earnings in CVA management compensated by higher earnings in the business with CO_2 certificates.

DKB segment

- Significant increase in net interest income due to the pivot in interest rates, hedge accounting effects and higher tender bonuses offset the high measurement-related charges on earnings from retail funds and losses from hedging transactions.
- Higher net commission income due to a good performance in the credit and debit card business.
- Higher administrative expenses due to the implementation of strategic growth and digitalisation targets.

The DKB segment generated a profit before taxes of EUR 354 million, which was close to the previous-year figure (FY 2021: EUR 369 million).

Net interest income and net commission income came in significantly higher than in the previous year at EUR 1,390 million (FY 2021: EUR 1,077 million). Net interest income went up to EUR 1,310 million (FY 2021: EUR 1,023 million) after benefiting not only from the effects of the interest rate pivot on the customer business but also from the amortisation of the considerably stronger negative measurement effects from hedge accounting compared with the previous year. In addition, taking account of the reinvestment of funds, the TLTRO III interest rate subsidies received were higher at EUR 136 million (FY 2021: EUR 107 million). The increase in net commission income to EUR 80 million (FY 2021: EUR 53 million) was mainly due to the positive performance in the card business.

The gains and losses on fair value measurement line item, which in the previous year benefited considerably from measurement gains on the DKB sustainability funds, ended the financial year well into negative territory due to market turmoil, with a loss of EUR 44 million (FY 2021: gain of EUR 51 million). The gains or losses on hedging item also had a strong negative impact on earnings, as the losses from the hedging instruments as a result of the jump in interest rates over the year were much worse than in previous years at EUR 175 million (FY 2021: loss of EUR 3 million).

Risk provisions stood at a negative EUR 13 million (FY 2021: a net positive EUR 3 million) largely as a result of net allocations to the post-model adjustment.

DKB's status as Germany's second-largest online bank was further cemented by an increase in retail customer numbers to around EUR 5.3 million (FY 2021: just over 5 million). To safeguard its market position for the long term, additional investments were made in the financial year on sales, digitalisation and workforce build-up, which pushed up administrative expenses to EUR 740 million (FY 2021: EUR 689 million).

Expenses from the bank levy and deposit guarantee scheme remained at the previous year's level of EUR 79 million (FY 2021: EUR 79 million).

Central Areas & Others segment

- Earnings significantly boosted by the sale of buildings not necessary for operations and through the release of restructuring provisions.
- Previous year's performance impacted by tender bonus; adjusted for this one-off gain, earnings were up at Group Treasury.
- Segment performance still considerably impacted by expenses for the bank levy.

The Central Areas & Others segment produced a profit before taxes of EUR 328 million (FY 2021: EUR 88 million). The jump in earnings was largely due to one-off income from the sale of buildings not necessary for operations at the Munich location amounting to EUR 299 million (FY: EUR 101 million) and a restructuring gain of EUR 106 million (FY 2021: EUR 2 million). The latter was mainly the outcome of the reversal of restructuring provisions through profit or loss due to the expiry of the personnel instruments underlying the personnel-related restructuring provisions from the Fokus 2024 transformation programme and a jump in the discount rate.

Net interest income in the segment was below the previous year's level at EUR 140 million (FY 2021: EUR 165 million). The decline of EUR 25 million was due in part to higher distributions from equity interests in the previous year and shifts from net interest income to gains or losses on fair value measurement. With a view to the previous year, it should be noted that net interest income in 2021 largely comprised two material one-off offsetting effects which cancelled each other out overall. Net interest income in the previous year benefited from a TLTRO III interest rate subsidy of EUR 59 million, which did not apply in the reporting year as the funds had been fully repaid in 2021. In addition, net interest income in the previous year was impacted by the transfer of income of EUR 59 million from net interest income to gains or losses on fair value measurement when the clearing activities from LCH.Clearnet were moved to Eurex Clearing.

Gains or losses on fair value measurement was far below the previous year with a net loss of EUR 2 million (FY 2021: net gain of EUR 43 million) and was mainly affected by measurement losses at Group Treasury caused by strong market movements.

Gains or losses on financial investments came in with a loss of EUR 14 million, which was significantly more negative than in the previous year (FY 2021: gain of EUR 39 million) due to measurement losses in the investment portfolio and the sale of securities.

Administrative expenses went up compared with the previous year by EUR 36 million to EUR 182 million. Besides measurement-related adjustments to pension obligations as a result of early retirements under Fokus 2024, there was a major effect on this item from temporarily higher expenses for transformation projects.

There was a net increase in risk provisions of EUR 6 million (FY 2021: net decrease of EUR 40 million) compared with the previous year, where recoveries on receivables resulted in a significant reduction.

As in the previous year, the earnings were heavily affected by the mandatory contribution to the bank levy, which went up to EUR 61 million (2021: EUR 48 million) due to the raising of the size of the contribution. The mandatory contribution to the deposit guarantee scheme was not required in financial year 2022 (FY 2021: 69 million) as the target volume which BayernLB has to provide for the guarantee scheme was already reached in full in 2021.

The BayernLB Group's net assets

Assets

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Cash reserves	2,151	17,542	(87.7)
Loans and advances to banks	61,438	56,266	9.2
Loans and advances to customers	165,939	158,988	4.4
Risk provisions	(1,201)	(1,117)	7.5
Portfolio hedge adjustment assets	(4,651)	231	–
Assets held for trading	11,495	8,880	29.5
Positive fair values from derivative financial instruments (hedge accounting)	256	509	(49.6)
Financial investments	18,035	20,085	(10.2)
Investment property	21	25	(16.0)
Property, plant and equipment	415	445	(6.6)
Intangible assets	214	170	25.5
Tax assets	778	690	12.8
Non-current assets or disposal groups classified as held for sale	–	65	(100.0)
Other assets	4,453	3,775	18.0
Total assets	**259,343**	**266,554**	**(2.7)**

Cash reserves and loans and advances to banks

Cash reserves and loans and advances to banks decreased by EUR 10.2 billion compared with the end of 2021 to a total of EUR 63.6 billion (FY 2021: EUR 73.8 billion). The volume of cash reserves meanwhile rose by EUR 15.4 billion to EUR 2.2 billion, while loans and advances to banks fell by EUR 5.2 billion to EUR 61.4 billion (FY 2021: EUR 56.3 billion). The decline in the cash reserves was mainly due to the decrease in DKB's central bank balances, which fell by EUR 12.4 billion to EUR 1.0 billion, largely as a result of the partial repayment from the utilisation of the ECB's TLTRO III refinancing programme of EUR 18.3 billion and the lower reinvestment of the funds. As a result, DKB reduced its drawdowns from TLTRO III as at 31 December 2022 to EUR 8.5 billion (FY 2021: EUR 26.8 billion). DKB's loans and advances to banks fell by EUR 2.1 billion to EUR 23.2 billion). BayernLB's cash reserves dropped by EUR 3.0 billion to just under EUR 1.1 billion, while loans and advances to banks climbed by EUR 7.3 billion to EUR 38.2 billion, primarily due to the investing of incoming funds in the daily maturing segment.

Loans and advances to customers

Loans and advances to customers increased by EUR 7.0 billion to EUR 165.9 billion (FY 2021: EUR 159.0 billion), at BayernLB by EUR 1.9 billion to EUR 76.7 billion and at DKB by EUR 5.1 billion to EUR 89.3 billion.

Risk provisions

Risk provisions rose year on year by EUR 84 million to EUR 1,201 million. The risk provisions recognised as at the reporting date included a post-model adjustment (PMA) of EUR 362 million (FY 2021: EUR 356 million) to take account of the potential future risks to lending activities in various macroeconomic scenarios. Of this, EUR 224 million (FY 2021: EUR 228 million) related to BayernLB and EUR 138 million (FY 2021: EUR 128 million) to DKB. For further information about the PMA, refer to the notes to the consolidated financial statements.

Risk provisions for loans serviced by customers and banks (Stages 1 and 2) increased by EUR 37 million to EUR 484 million (FY 2021: EUR 447 million). The provision for non-performing loans (Stage 3) climbed by EUR 45 million year on year to EUR 657 million (FY 2021: EUR 612 million). The provision for loans already impaired upon initial recognition remained mostly stable at EUR 60 million (FY 2021: EUR 58 million).

Portfolio hedge adjustment

The portfolio hedge adjustment reflects the interest rate-related changes in the value of fixed-interest hedged items for which the fair value hedge accounting in the form of portfolio hedges was used. As at the reporting date, the BayernLB Group’s portfolio hedge adjustment was much lower, at a negative EUR 4.7 billion (FY 2021: positive EUR 0.2 billion). Of this amount, a negative EUR 3.8 billion (FY 2021: positive EUR 308 million) was attributable to DKB. The main reason for this fall was rising interest rates on the market. The interest rate-related changes in the value of the hedged items were offset by changes in the value of hedges. Both effects were recognised under gains or losses on hedge accounting.

Assets held for trading

Assets held for trading increased by EUR 2.6 billion to EUR 11.5 billion as at the reporting date (FY 2021: EUR 8.9 billion), with receivables from trading activities increasing by EUR 1.1 billion to EUR 1.7 billion (FY 2021: EUR 0.5 billion). The positive fair values from financial instruments increased by EUR 1 billion to EUR 8.2 billion (FY 2021: EUR 7.2 billion), largely as a result of the USD/EUR exchange rate over the course of the year. Bonds and other fixed-income securities rose by EUR 0.8 billion to EUR 1.6 billion (FY 2021: EUR 0.8 billion), mainly due to the jump in bond trading activity during 2022. At the same time, the trading portfolio of equities and other non-fixed income securities fell to EUR 12 million (FY 2021: EUR 0.3 billion) due to a large transaction.

Investment property and property, plant and equipment

As at the reporting date, investment property sank to EUR 21 million (FY 2021: EUR 25 million) and property, plant and equipment to EUR 415 million (FY 2021: EUR 445 million). The fall was due to the sale in the previous year of BayernLB real estate not needed for operations and was connected with the Bank’s strategic realignment.

Intangible assets

Intangible assets rose by EUR 44 million to reach EUR 214 million as at the end of the year (FY 2021: EUR 170 million). This was due to strategically important investments in IT and the process landscape at BayernLB and DKB.

Non-current assets or disposal groups classified as held for sale

As at the reporting date, there were no non-current assets or disposal groups held for sale in the BayernLB Group (FY 2021: EUR 65 million). The previous year’s figure comprised assets classed as available for sale as a result of the winding down of non-core business in the Corporates & Markets segment in line with strategy.

Other assets

Other assets rose by EUR 678 million to EUR 4,453 million (FY 2021: EUR 3,775 million). As a result of the significant increase in the IFRS discount rate used to discount pension obligations, there was a jump in the asset surplus from offsetting the present value of defined benefit pension obligations against earmarked plan assets of EUR 405 million to EUR 426 million (FY 2021: EUR 21 million). In addition, holdings of precious metals increased by EUR 133 million to EUR 495 million (FY 2021: EUR 362 million) and the carrying amounts of emissions certificates held by EUR 37 million to EUR 2,916 million (FY 2021: EUR 2,879 million).

Liabilities

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Liabilities to banks	60,964	76,447	(20.3)
Liabilities to customers	123,304	119,292	3.4
Securitised liabilities	45,771	43,880	4.3
Liabilities held for trading	10,931	8,343	31.0
Negative fair values from derivative financial instruments (hedge accounting)	512	1,073	(52.3)
Provisions	1,104	1,768	(37.5)
Tax liabilities	118	98	20.3
Liabilities of disposal groups	–	28	(100.0)
Other liabilities	647	627	3.2
Subordinated capital	2,451	2,689	(8.9)
Equity	13,540	12,307	10.0
Total liabilities	**259,343**	**266,554**	**(2.7)**

Liabilities to banks

Liabilities to banks stood at EUR 61.0 billion as at the reporting date, a EUR 15.4 billion decrease versus the value as at the end of 2021 (FY 2021: EUR 76.4 billion). The main decreases were in liabilities from call money and term deposits (by EUR 16.7 billion), current accounts (by EUR 0.4 billion) and registered Pfandbriefs issued (by EUR 0.2 billion). By contrast, liabilities from pass-through transactions went up (by EUR 1.4 billion), as did other liabilities (by EUR 0.3 billion) and securities repurchase transactions (by EUR 0.2 billion). While BayernLB's liabilities to banks rose by EUR 1.5 billion to EUR 37.8 (FY 2021: EUR 36.3 billion), DKB's fell by EUR 17.0 billion to EUR 23.1 billion (FY 2021: EUR 40.1 billion). During the reporting year, DKB made a partial repayment of EUR 18.3 billion of funds from the TLTRO III refinancing programme.

Liabilities to customers

Liabilities to customers increased by EUR 4.0 billion to EUR 123.3 billion compared with the end of the previous year (FY 2021: EUR 119.3 billion). In addition to a significant increase in liabilities from current accounts (EUR +12.6 billion), there was a decrease in liabilities from call money and term deposits (EUR -6.3 billion), registered public Pfandbriefs issued (EUR -1.4 billion) and registered securities (EUR -1.0 billion). DKB had the highest volume of liabilities to customers as at the reporting date, with an amount of EUR 85.2 billion (FY 2021: EUR 83.5 billion). BayernLB's volume rose by EUR 2.3 billion to EUR 38.1 billion (FY 2021: EUR 35.8 billion).

Securitised liabilities

Securitised liabilities increased by EUR 1.9 billion to EUR 45.8 billion (FY 2021: EUR 43.9 billion). Of this, EUR 44.9 billion (FY 2021: EUR 43.8 billion) related to BayernLB and EUR 4.7 billion (FY 2021: EUR 4.2 billion) to DKB. Holdings of issued bonds and notes stood at EUR 38.1 billion (FY 2021: EUR 37.1 billion). The other securitised liabilities stood at EUR 7.7 billion (FY 2021: EUR 6.8 billion). Within securitised liabilities, the programme for issuing short-term money market instruments had a volume of EUR 7.1 billion (FY 2021: EUR 6.0 billion).

Liabilities held for trading

Liabilities held for trading increased by EUR 2.6 billion compared with the end of 2021 to EUR 10.9 billion (EUR 8.3 billion). The main reasons for the increase were interest-related measurement effects, which increased by EUR 1.8 billion to EUR 6.2 billion (FY 2021: EUR 4.4 billion), and currency-related measurement effects, which rose by EUR 1.3 billion to EUR 3.2 billion (FY 2021: EUR 1.9 billion). Liabilities from trading transactions stood at EUR 1.2 billion (FY 2021: EUR 0.9 billion).

Provisions

Provisions dropped by EUR 664 million to EUR 1,104 million (FY 2021: EUR 1,768 million). Of this amount of provisions reported, EUR 477 million (FY 2021: EUR 924 million) related to provisions for pensions and EUR 627 million (FY 2021: EUR 844 million) to other provisions.

The fall in provisions for pensions in financial year 2022 was largely due to the substantial increase in the IFRS discount rate used to discount pension, allowances and death benefit obligations. With interest rate levels soaring, the present value of pension obligations in the BayernLB Group fell to EUR 3,097 million (FY 2021: EUR 4,315 million). The change in the present value of pension obligations of EUR -1,218 million was to a large extent (EUR -1,375 million; FY 2021: EUR 301 million) due to the change in the discount rate and to adjusted experienced-based assumptions – including about salary and pension trends – amounting to EUR 109 million (FY 2021: EUR 71 million). The BayernLB Group reports pension provisions after netting the present value of pension obligations against qualified plan assets. As at the reporting date, qualified plan assets with a fair value of EUR 3,065 million (FY 2021: EUR 3,435 million) were used for offsetting. Through BayernLB Treuhand e. V., Munich (contractual trust arrangements (CTA)), BayernLB had the highest amount of plan assets available for offsetting in the amount of EUR 2,827 million (FY 2021: 3,129 million). As at 31 December 2022, these were employed to fund all of BayernLB's earmarked pension, allowances and death benefit obligations. The resulting surplus was recognised as net assets in the other assets line item.

The other provisions fell back by EUR 217 million to EUR 627 million (FY 2021: EUR 844 million) and included restructuring provisions of EUR 357 million (FY 2021: EUR 530 million). The recognised restructuring provisions mainly comprised contractually agreed obligations in connection with staff reductions, especially under the Fokus 2024 transformation programme at BayernLB. Compared with the previous year, restructuring provisions went down mainly due to the reversal of personnel-related restructuring provisions in connection with the expiry of the personnel instruments on 30 September 2022 and also owing to measurement-related releases as a result of increased discount rates and experienced-based measurement adjustments.

Liabilities of disposal groups

No liabilities of disposal groups were recognised in financial year 2022. The previous year's amount related to the winding down of non-strategy compliant products in the Corporates & Markets segment.

Subordinated capital

As at 31 December 2022, subordinated capital stood at EUR 2,451 million (FY 2021: EUR 2,689 million), a decrease of EUR 238 million due to maturities.

Equity

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Subscribed capital	3,412	3,412	–
Capital surplus	2,182	2,182	–
Retained earnings	8,101	6,548	23.7
Revaluation surplus	(392)	78	–
Foreign currency translation reserve	1	2	(50.0)
Distributable profit	225	75	>100.0
Non-controlling interests	11	11	–
Equity	**13,540**	**12,307**	**10.0**

The equity of EUR 13.5 billion recognised in the balance sheet as at 31 December 2022 was EUR 1.2 billion higher than the comparable figure for the previous year. Capital market turmoil caused IFRS actuarial interest rates to soar in financial year 2022; however, valuation discounts on price-sensitive assets triggered price losses within the plan assets, especially the CTA. Retained earnings (EUR +1,553 million) were therefore significantly boosted by the recognised gains from the remeasurement of defined benefit obligation pension commitments in the amount of EUR 1,205 million (FY 2021: EUR 365 million). This was offset by the high losses from plan assets amounting to EUR 417 million (FY 2021: gain of EUR 1 million), EUR 346 million of which arose from BayernLB's CTA. The revaluation surplus declined significantly by EUR 470 million to a negative EUR 392 million, mainly due to the negative effect from the measurement of bonds, notes and other fixed-income securities at fair value through other comprehensive income. More extensive and detailed information on the specific line items of the balance sheet can be found under “Notes to the balance sheet” and ”Supplementary disclosures” in the notes to the consolidated financial statements.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

The banking supervisory capital under CRR/CRD IV as per the prepared consolidated financial statements as at 31 December 2022 was as follows:

EUR billion	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Common Equity Tier 1 capital (CET1 capital)	11,357	10,966	3.6
Own funds	13,919	13,657	1.9
Total RWAs	65,311	63,315	3.2
Common Equity Tier 1 (core tier 1 ratio) in percent	17.4	17.3	0.1
Total capital ratio (%)	21.3	21.6	(0.3)

Owing to an increase in business volumes in line with the strategy, the value of the RWAs as at 31 December 2022 was EUR 2.0 billion above the previous year's level. Common Equity Tier 1 capital rose to EUR 11.4 billion so that the CET1 ratio increased slightly year on year to 17.4 percent.

The return on capital pursuant to section 26a para. 1 KWG[41] was 0.4 percent (FY 2021: 0.2 percent). Details on country by country reporting, which is also governed by section 26a para. 1 sentence 4 KWG, can be found after the Auditor's Report as an appendix to these annual financial statements.

The BayernLB Group's financial position

Liquidity

The BayernLB Group ensured it had sufficient liquidity reserves at all times during financial year 2022 (including for a stress scenario). Further information on refinancing and the liquidity situation is provided in the risk report of this management report.

	31 Dec 2022	31 Dec 2021	31 Dec 2021
In %	Submitted financial statements	Submitted financial statements	Adopted financial statements
LCR	175.4	271.2	271.2
NSFR	127.3	136.6	137.1

As per the prepared consolidated financial statements, the liquidity coverage ratio (LCR) declined to 175.4 percent (FY 2021: 271.2 percent after adoption) and was therefore well above the 100.0 percent threshold required by the regulator.

The BayernLB Group's net stable funding ratio (NSFR) was 127.3 percent (FY 2021: 137.1 percent after adoption) and was therefore well above the 100.0 percent threshold required by the regulator.

41 *Ratio of consolidated net income/loss to consolidated total assets.*

Money and capital markets were buffeted by the war between Russia and Ukraine; rising energy and raw materials prices and bottlenecks; and the positive interest rate trend – all amid persistently high inflation. The BayernLB Group's liquidity and solvency were assured at all times. In addition, its liquidity management always had the capacity to respond to new market developments in good time. The BayernLB Group had access to the capital market with a broad range of products. Besides unsecured refinancing instruments (preferred and non-preferred senior bonds, Tier 2 subordinated capital and additional Tier 1 capital), the Group can also issue secured funding instruments, in particular mortgage Pfandbriefs and public Pfandbriefs, if it needs to raise financing. Pfandbriefs are an integral part of the mix of refinancing options at its disposal. They provide the BayernLB Group with stable access to long-term funding, and at a lower cost than unsecured sources of funding. Its issues take the form of large-volume benchmark bonds right through to private placements. Another refinancing component is the ECB's targeted longer-term refinancing operations (TLTRO III), in which DKB was participating in the total volume of EUR 8.5 billion (FY 2021: EUR 26.8 billion) as at 31 December 2022.

Further information on refinancing and the liquidity situation is provided in the risk report section of this management report.

Ratings

The rating agencies Moody's Investors Service (Moody's) and Fitch Ratings (Fitch) assigned the following ratings to BayernLB:

	Moody's	Fitch
Issuer rating	Aa3 (positive)	A– (stable)
Long term, preferred senior unsecured	Aa3 (positive)	A
Long term, non-preferred senior unsecured	A2	A–
Short term, unsecured	P– 1	F1
Public Pfandbriefs	Aaa	–
Mortgage Pfandbriefs	Aaa	–

Overall assessment of the BayernLB Group's net assets, financial position and results of operations

The results of operations were extremely good in 2022. The BayernLB Group's net assets and financial position were stable in financial year 2022. The Group had comfortable levels of liquidity throughout the reporting period.

BayernLB’s annual financial statements under HGB

BayernLB prepares its annual financial statements in accordance with the provisions of the German Commercial Code (HGB), the Ordinance Regulating the Accounting Requirements for Financial Institutions and Financial Service Providers (RechKredV), the provisions of the Pfandbrief Act (PfandBG), the supplementing regulations of the Bayerische Landesbank Act, and the Bank’s Statutes.

Statement by the Board of Management on BayernLB’s business performance in 2022

The macroeconomic and sector-specific conditions for BayernLB[42] were largely aligned with those of the BayernLB Group and are described in the report on the economic position in the combined management report.

BayernLB posted net income of EUR 225 million

In a challenging market environment with rising interest rates, high inflation and additional stress from the war between Russia and Ukraine, BayernLB posted an operating profit of EUR 151 million (FY 2021: EUR 141 million), an increase of EUR 10 million on the previous year. This performance was mainly built on a net interest income and net commission income at the previous year’s level, lower administrative expenses and an improved net income from the trading portfolio. BayernLB also benefited from the proceeds from the sale of buildings recognised under other operating income. Its earnings were hit by the jump in risk provisions and the losses in the value of the cover assets recognised in other operating expenses.

The Bank reported a gain on extraordinary items of EUR 65 million (FY 2021: EUR -11 million). The main reason for the year-on-year increase was the release of personnel-related restructuring provisions owing to the expiry of the Fokus 2024 personnel instruments at the end of the third quarter of 2022.

The net profit stood at EUR 225 million (FY 2021: EUR 75 million) and was therefore above expectations. The profit for financial year 2022 to be distributed to the shareholders was EUR 225 million (2021: EUR 75 million).

The credit and trading business continued to account for a major part of BayernLB’s net assets. Both the business and credit volumes and total assets were higher as at the end of financial year 2022.

EUR billion	31 Dec 2022	31 Dec 2021	Change in %
Total assets	151.0	141.9	6.4
Business volume[1]	183.7	174.9	5.1
Credit volume[2]	126.5	115.4	9.6

1 Total assets plus contingent liabilities and loan commitments.

2 Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

42 Unless otherwise stated, BayernLB includes BayernLB Bank, the foreign branches and BayernLabo in the description of the financial position and financial performance.

BayernLB's results of operations

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Net interest income	846	961	(12.0)
Net commission income	217	201	7.8
Gross profit	**1,062**	**1,162**	**(8.5)**
Staff costs	(568)	(561)	1.3
Operating expenses	(383)	(420)	(8.7)
Administrative expenses	**(951)**	**(981)**	**(3.0)**
Net income or net expenses of the trading portfolio	238	119	>100
Other operating profit/loss	2	97	(98.0)
Risk provisions	(231)	418	–
Gains or losses on measurement	32	(673)	–
Operating profit/loss	**151**	**141**	**7.1**
Gains or losses from extraordinary items	65	(11)	–
Income taxes	9	(56)	–
Net profit	**225**	**75**	**>100**
Profit brought forward from previous year	–	–	–
Withdrawals from retained earnings	–	–	–
Allocations to retained earnings	–	–	–
Distributable profit	**225**	**75**	**>100**

Rounding differences may occur in the tables.

Net interest income

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Interest income	2,735	1,974	38.5
Interest expenses	(1,936)	(1,072)	80.6
Current income from other equities and non-fixed income securities, participations/equity interests and shares in affiliated companies	9	24	(64.3)
Income from profit-pooling agreements, profit transfer agreements and partial profit transfer agreements	38	35	10.5
Net interest income	**846**	**961**	**(12.0)**

Net interest income, the difference between interest income and interest expenses – including current income on equities and other non-fixed income securities, participations/equity interests, shares in affiliated companies and profit transfers – fell by EUR 115 million in financial year 2022 to EUR 846 million (FY 2021: EUR 961 million).

In an improved interest rate environment and having successfully grown new credit business, BayernLB reported a EUR 761 million increase in interest income to EUR 2,735 million (FY 2021: EUR 1,974 million). This was largely from loans and advances to banks (EUR +310 million) and loans and advances to customers (EUR +158 million). The positive interest rate trend led to a fall in negative interest on asset items, which are partly reported under interest income, and therefore helped boost interest income markedly (EUR +265 million).

Interest expenses climbed by EUR 864 million to EUR 1,936 million (FY 2021: EUR 1,072 million). The big drop in positive interest rates on liability items, which are reported under interest expenses, had a positive effect (EUR +331 million). Interest expenses from liabilities to customers (EUR +134 million), interest expenses from liabilities to banks (EUR +68 million) and interest expenses from interest rate derivatives in the non-trading portfolio (EUR +117 million) also went up.

The current income from equities and other non-fixed income securities, participations/equity interests and shares in affiliated companies decreased by EUR 15 million to EUR 9 million (FY 2021: EUR 24 million), largely due to lower distributions.

The earnings contributions from profit transfers from subsidiaries rose slightly to EUR 38 million (FY 2021: EUR 35 million). In connection with the revocation of the letter of comfort and the termination of the CPLTA between BayernLB and DKB in financial year 2021, DKB again allocated its profits from its normal business operations for financial year 2022 to its reserve pursuant to section 340g of the German Commercial Code to strengthen its regulatory capital. No profits were therefore distributed to BayernLB.

Net commission income

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Credit business	143	131	9.1
Securities business	33	27	20.1
Payments/account management	18	17	6.1
Trustee and administered loans	17	16	5.5
Documentary business	3	3	–
Gains or losses on diversification	1	(1)	–
Other commissions	2	7	>100
Net commission income	**217**	**201**	**7.8**

The Bank’s net commission income rose year on year by EUR 16 million to EUR 217 million (FY 2021: EUR 201 million). The biggest contribution, EUR 143 million, came from the credit business (FY 2021: EUR 131 million), followed by EUR 33 million from the securities business (FY 2021: EUR 27 million).

Administrative expenses

Administrative expenses improved compared with the previous year to EUR 951 million (FY 2021: EUR 981 million). The item consisted of staff costs of EUR 568 million (FY 2021: EUR 561 million) and general expenses of EUR 383 million (FY 2021: EUR 420 million). Of the total amount of the staff costs, EUR 526 million (FY 2021: EUR 521 million) related to BayernLB core Bank and EUR 42 million (FY 2021: EUR 41 million) to BayernLabo. The principal negative factor for BayernLB core Bank was the EUR 21 million increase in expenses for pensions and other employee benefits to EUR 204 million (FY 2021: EUR 183 million). This was mainly the result of actuarial measurement effects (actuarial interest rate smoothed out over 10 years and changes in assumptions for salary and pension trends).

In 2022, the downsizing measures issued for BayernLB core Bank as part of Fokus 2024 were implemented according to plan.

The EUR 37 million fall in general expenses was mainly due to the significant drop in expenses for the mandatory contributions to the bank levy and deposit guarantee scheme. Overall, this was down EUR 55 million year on year to EUR 61 million (FY 2021: EUR 116 million). The mandatory contribution to the bank levy went up by EUR 13 million to EUR 61 million (FY 2021: EUR 48 million). The reason for the higher amount was the increase in the target volume due to the increase in covered deposits in the eurozone. As in previous years, BayernLB used the option to provide 15 percent of the annual contribution of the bank levy in the form of fully secured irrevocable payment obligations (UZV), which were not booked to expenses.

BayernLB did not have to make any contributions to the deposit guarantee scheme in financial year 2022 (FY 2021: EUR 69 million). Once BayernLB revoked the letter of comfort for DKB with effect from 30 November 2021 and terminated the control and profit and loss transfer agreement (CPLTA) effective 30 September 2021, the legal grounds for including risks and deposits in the calculation of BayernLB's contribution ceased to apply. As a result, BayernLB already achieved its target volume for the deposit guarantee scheme in 2021.

Other general expenses were higher than in the previous year at EUR 322 million (FY 2021: EUR 303 million). This was mainly the outcome of the planned increase in transformation costs relating to IT.

Net income or net expenses of the trading portfolio

In 2022, the Bank generated a net income from the trading portfolio of EUR 238 million (FY 2021: EUR 119 million). A big contribution, EUR 193 million, came from the interest rate-related business (FY 2021: EUR 69 million) and EUR 53 million from the precious metals business (FY 2021: EUR 41 million). As at 31 December 2022, an allocation of EUR 26 million (FY 2021: allocation of EUR 13 million) was made to the fund for general bank risks pursuant to section 340g HGB.

Other operating profit

After netting other operating expenses, income and other taxes, the Bank posted an other operating profit of EUR 2 million in the reporting year (FY 2021: profit of EUR 97 million). Other operating income and income from other taxes of EUR 395 million (FY 2021: EUR 1,122 million) were offset in the reporting year by other operating expenses of EUR 393 million (FY 2021: EUR 1,025 million).

Other operating income included proceeds realised in financial year 2022 from the sale of real estate not required for operations at the Munich location. As it continued to strategically realign, the Bank disposed of additional properties in the reporting year in order to reduce costs, producing income of EUR 299 million (FY 2021: EUR 101 million). However, the net expense of EUR 295 million for the plan assets reported under other operating expenses (FY 2021: net income of EUR 23 million) had a negative impact. This was mainly the result of losses of value in BayernLB's CTA of EUR 310 million (FY 2021: net income of EUR 1 million).

Risk provisions and gains or losses on measurement

As at 31 December 2022, risk provisions and gains or losses on measurement were as follows:

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Gains or losses on credit business	(186)	409	–
Gains or losses on liquidity reserve securities	(46)	9	–
Risk provisions	**(231)**	**418**	**–**
Gains or losses on the measurement of fixed asset securities and hedging derivatives	2	(3)	–
Gains or losses on participations/equity interests	30	(670)	–
Gains or losses on measurement	**32**	**(673)**	**–**

In financial year 2022, BayernLB posted a big net jump in risk provisions of EUR 231 million (FY 2021: net fall of EUR 418 million).

The credit business posted the largest increase in net risk provisions:

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021	Change in %
Net gains or losses on general loss allowances	(232)	7	–
Net gains or losses on single loss allowances	(80)	(127)	(37.3)
Provisions for off-balance sheet loan losses	(1)	(3)	(72.7)
Other risk provisions in the credit business	50	21	>100
Taxed reserves	73	475	(84.5)
Direct writedowns	–	–	–
Recoveries on written down receivables	3	36	(91.2)
Gains or losses on credit business	**(186)**	**409**	**–**

The increase in net risk provisions in the credit business in the reporting year was mainly the result of the change to the methodology for calculating general loan loss provisions. BayernLB applied the new requirements for calculating general loan loss provisions in accordance with IDW RS BFA 7 for the first time in financial year 2022. The Bank utilised the option to calculate general loan loss provisions on the basis of the IFRS 9 risk provisioning methodology. In doing so, effects from the regular review of macroeconomic scenarios, the ongoing war between Russia and Ukraine, and supply chain problems were also considered in the form of a post-model adjustment (PMA). The application of the PMA within the scope of IDW RS BRA 7 had a significant impact on the general loan loss provisions reported as at the end of 2022 amounting to EUR 245 million (FY 2021: EUR 53 million). BayernLB also used reserves of provisions set aside in previous years in accordance with section 340f HGB to compensate for the first-time application of BFA 7.

Net additions for individual risk provisions in the loan origination business were lower than expected in financial year 2022. This demonstrated, among other things, the high quality of the credit portfolio.

Measurement losses on securities in the liquidity reserve stood at EUR 46 million (FY 2021: gains of EUR 9 million). The key drivers here were the negative losses on the measurement of bonds of EUR 30 million (FY 2021: gain of EUR 6 million).

The measurement gain was EUR 32 million (FY 2021: loss of EUR 673 million). In the previous year, gains or losses on participations/equity interests was significantly affected by a writedown in the book value of DKB in the amount of EUR 703 million. In the reporting year, a writeup of EUR 73 million was due to the earnings growth at DKB. This was offset by expenses from loss transfers of EUR 38 million, most of which related to one participation.

Operating profit

The operating profit before taxes amounted to EUR 151 million (FY 2021: EUR 141 million).

Gains or losses from extraordinary items

Overall, the Bank reported an extraordinary gain of EUR 65 million for financial year 2022 (FY 2021: loss of EUR 11 million). This was made up of extraordinary income of EUR 90 million (FY 2021: EUR 21 million) and extraordinary expenses of EUR 25 million (FY 2021: EUR 32 million). The extraordinary income included the release of EUR 87 million from the reversal of the personnel-related restructuring provisions remaining at the end of the Fokus 2024 staff reduction programme. In September 2022, BayernLB core Bank completed the personnel measures to be carried out under the Fokus 2024 transformation programme. Besides measurement-related adjustments to restructuring provisions reported as at the reporting date (EUR 9 million), extraordinary expenses largely comprised transformation costs for activities to secure and achieve the vision for 2024 (EUR 16 million). Highlights here were measures to cut IT and building-related costs. Most of the expenses were for specialist and legal consulting services.

Income taxes

The gains or losses on income taxes line item closed the year with a gain of EUR 9 million (FY 2021: loss of EUR 56 million) and included the tax expense for the current year of EUR 66 million (FY 2021: tax expense of EUR 33 million) and tax income for previous years of EUR 75 million (FY 2021: tax expense of EUR 23 million).

Distributable profits

As at 31 December 2022, the Bank had distributable profits of EUR 225 million (FY 2021: 75 million).

BayernLB's net assets

Assets

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Cash reserves	516	3,667	(85.9)
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	590	441	33.7
Loans and advances to banks	39,898	32,437	23.0
Loans and advances to customers	75,111	72,532	3.6
Bonds, notes and other fixed-income securities	13,849	14,151	(2.1)
Equities and other non-fixed income securities	105	95	10.9
Trading portfolio	7,388	5,097	45.0
Equity interests	283	288	(1.8)
Shares in affiliated companies	3,023	2,953	2.4
Assets held in trust	6,004	5,721	4.9
Intangible assets	102	83	22.6
Property, plant and equipment	233	284	(18.0)
Other assets	3,543	3,776	(6.2)
Prepaid expenses	349	352	(1.0)
Positive difference from asset offsetting	11	61	(82.8)
Total assets	**151,004**	**141,939**	**6.4**

Cash reserves

At the end of financial year 2022, BayernLB had a cash reserve of EUR 516 million, far below the previous year's figure of EUR 3.7 billion. The amount was low due to the reporting date and included EUR 474 million (FY 2021: EUR 2,840 million) of credit balances with Deutsche Bundesbank. The decrease was in favour of the increase in the deposit facility reported under loans and advances to banks.

Debt instruments issued by public entities

In the financial year, BayernLB increased its holdings at the New York branch to EUR 590 million (FY 2021: EUR 441 million) by increasing its purchases of US Treasury bills.

Loans and advances to banks

As at 31 December 2022, loans and advances to banks increased by EUR 7.5 billion to EUR 39.9 billion (FY 2021: EUR 32.4 billion). With a EUR 6.0 billion jump to EUR 11.4 billion, the increase was mainly related to overnight deposits, primarily at Deutsche Bundesbank (deposit facility).

Loans and advances to customers

Loans and advances to customers increased by EUR 2.6 billion as at 31 December 2022 to EUR 75.1 billion (FY 2021: EUR 72.5 billion). At EUR 1.8 billion (FY 2021: EUR 0.9 billion), most of the increase related to loans and advances to foreign customers, which stood at EUR 27.4 billion (FY 2021: EUR 25.6 billion). Loans and advances to domestic customers amounted to EUR 47.7 billion (FY 2021: EUR 46.9 billion), an increase of EUR 0.8 billion (FY 2021: decrease of EUR 1.2 billion).

Bonds, notes and other fixed-income securities

Bonds, notes and other fixed-income securities dropped by EUR 0.3 billion to EUR 13.8 billion (FY 2021: 14.1 billion) due to scheduled final maturities. As at the reporting date, securities in the investment portfolio rose by EUR 0.6 billion to EUR 7.2 billion (FY 2021: EUR 6.6 billion), while securities in the liquidity reserve went down by EUR 0.9 billion to EUR 6.7 billion (FY 2021: EUR 7.6 billion). This change was primarily due to the reclassification of securities in the liquidity reserve in financial year 2022.

Equities and other non-fixed income securities

As at the reporting date, BayernLB had holdings of equities and other non-fixed income securities worth EUR 105 million (FY 2021: EUR 95 million). There was an increase in investment fund shares.

Trading portfolio (assets)

As at the reporting date, the volume of the trading portfolio (assets) increased by around EUR 2.3 billion to EUR 7,388 million (FY 2021: EUR 5,097 million). This was mainly due to the EUR 1.4 billion increase in receivables in the trading portfolio as a result of securities repurchase agreements concluded in the trading portfolio for the first time (EUR +1.7 billion). In contrast, holdings of Schuldschein note loans fell back by EUR 0.3 billion. The positive fair values of derivatives financial instruments stood at EUR 3.2 billion (FY 2021: EUR 2.5 billion). The principal reason for the rise was currency-related business (EUR +0.6 billion).

Participations/equity interests and shares in affiliated companies

There was only a marginal change in the carrying amount of participations/equity interests, which fell to EUR 283 million (FY 2021: EUR 288 million). Shares in affiliated companies increased from EUR 2,953 million to EUR 3,023 million, mainly as a result of a writeup in DKB's carrying amount in the financial year. This was preceded in the previous year by a writedown of EUR 703 million.

Assets held in trust

Assets held in trust rose by EUR 283 million to EUR 6,004 million in financial year 2022 (FY 2021: EUR 5,721 million). This was the result of the ongoing high utilisation of government subsidies from the Free State of Bavaria and the Kreditanstalt für Wiederaufbau, Frankfurt am Main (KfW). As at 31 December 2022, of the assets held in trust EUR 5.6 billion related to BayernLabo and EUR 0.4 billion to BayernLB.

Intangible assets and tangible assets

Intangible assets rose by EUR 19 million as at the end of the year to EUR 102 million (FY 2021: EUR 83 million) and were linked to strategically important investments to achieve the IT bank management vision.

The Bank’s portfolio of intangible assets as at 31 December 2022 recorded a decrease of EUR 51 million to EUR 233 million (FY 2021: EUR 284 million). This was because of the sale of additional buildings not required for operations at the Munich location.

Other assets

Compared with the previous year, other assets fell by EUR 234 million to EUR 3,543 million (FY 2021: EUR 3,776 million). The fair values from forward transactions on CO_2 emissions certificates fell by EUR 269 million to EUR 115 million (FY 2021: EUR 383 million); however, the carrying amounts of CO_2 emissions certificates went up by EUR 37 million to EUR 2,916 million (FY 2021: EUR 2,879 million). The reduction of holdings to 36,095,267 units (FY 2021: 36,253,659 units) was offset by the increase in the price for CO_2 certificates to EUR 81 per tonne (FY 2021: EUR 79 per tonne).

Positive difference from asset offsetting

As at 31 December 2022, BayernLB reported a positive difference from asset offsetting of EUR 11 million (FY 2021: EUR 61 million). These surplus assets arose mainly from the offsetting of the plan assets held by BayernLB Treuhand e.V., Munich (CTA) against earmarked pension obligations.

Liabilities

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Liabilities to banks	40,279	39,784	1.2
Liabilities to customers	38,224	34,876	9.6
Securitised liabilities	45,724	44,003	3.9
Trading portfolio	6,853	3,084	>100
Liabilities held in trust	6,004	5,721	4.9
Other liabilities	549	1,397	(60.7)
Deferred income	224	320	(30.0)
Provisions	1,325	1,074	23.3
Subordinated liabilities	2,548	2,638	(3.4)
Fund for general banking risks	1,211	1,127	7.5
Equity	8,063	7,913	1.9
Total liabilities	**151,004**	**141,939**	**6.4**

Liabilities to banks

Liabilities to banks increased by EUR 0.5 billion to EUR 40.3 billion (FY 2021: EUR 39.8 billion). While liabilities to domestic banks increased by EUR 2.3 billion to EUR 38.5 billion (FY 2021: EUR 36.2 billion), liabilities to foreign banks fell by half to EUR 1.8 billion (FY 2021: EUR 3.6 billion). This development mainly took place in the limited maturity band.

Liabilities to customers

Liabilities to customers increased by EUR 3.3 billion to EUR 38.2 billion (FY 2021: EUR 34.9 billion). Of this increase, EUR 3.1 billion related to liabilities to domestic customers, which, at EUR 32.4 billion (FY 2021: EUR 29.3 billion), accounted for the greatest share. Liabilities to public-sector customers climbed by EUR 4.9 billion to EUR 11.8 billion (FY 2021: 6.9 billion). Liabilities to retail customers and companies fell to EUR 20.6 billion (FY 2021: EUR 22.4 billion).

Securitised liabilities

There was a EUR 1.7 billion increase in securitised liabilities to EUR 45.7 billion (FY 2021: EUR 44.0 billion). The Bank's holdings of issued bonds and notes rose by around EUR 1 billion to EUR 38.1 billion (FY 2021: EUR 37.2 billion). Mortgage Pfandbriefs made up the biggest proportion, rising by EUR 2.8 billion to EUR 8.4 billion (FY 2021: EUR 5.6 billion). The other securitised liabilities also increased by around EUR 1 billion to EUR 7.7 billion (FY 2021: EUR 6.8 billion). This was due to an expansion in the issuance programmes and rising demand for sustainable refinancing products. Holdings of short-term money market instruments stood at EUR 7.1 billion as at the year-end (FY 2021: EUR 6.0 billion).

Trading portfolio (liabilities)

The value of the trading portfolio (liabilities) stood at EUR 6,853 million, which was much higher than the previous year's figure of EUR 3,084 million. At EUR 5,276 million, a large proportion of this was attributable to the negative fair values of derivatives in the trading portfolio (FY 2021: EUR 2,166 million). This increase in negative fair value was mainly due to developments in the interest rate-related business (EUR +2.5 billion) and the currency-related business (EUR +0.7 billion). Liabilities in the trading portfolio rose to EUR 1,577 million (2021: EUR 918 million).

Liabilities held in trust

Liabilities held in trust rose in line with the trust assets by EUR 283 million to EUR 6,004 million (FY 2021: EUR 5,721 million).

Other liabilities

Other liabilities dropped by EUR 848 million, or more than half, to EUR 549 million (FY 2021: EUR 1,397 million). This was mainly due to the big fall in the fair values of forward transactions on emissions certificates of EUR 732 million to EUR 285 million (FY 2021: EUR 1,047 million). Numerous transactions were closed out in the reporting year due to the sharp rise in interest rates.

Provisions

As at the reporting date, the Bank had provisions of EUR 1,325 million (FY 2021: EUR 1,074 million). Of these, EUR 602 million (FY 2021: EUR 215 million) were provisions for pensions, EUR 54 million (FY 2021: EUR 93 million) for tax provisions and EUR 669 million (FY 2021: EUR 766 million) for other provisions.

The big increase in pension provisions in the reporting year was mainly the result of the change in the trend for the collectively agreed payscale caused by inflation, the subsequent adjustment of pension commitments in connection with early retirements under the Fokus 2024 transformation programme and the fall in the HGB (German Commercial Code) discount rate for pension obligations. As BayernLB's pension provisions are reported on a net basis after offsetting against earmarked plan assets, changes in the present value of the plan assets also had an effect on the amount of the reported pension provisions. As at 31 December 2022, the plan assets eligible for offsetting amounted to EUR 2,875 million (FY 2021: EUR 3,159 million), EUR 2,827 million (FY 2021: EUR 3,129 million) of which was almost entirely related to the CTA. The contraction in the present value of the CTA was mainly the outcome of measurement losses on fixed-income securities. An asset surplus of EUR 11 million (FY 2021: EUR 61 million) from offsetting was booked to the positive difference from asset offsetting line item.

Other provisions fell by EUR 97 million year on year to EUR 669 million (FY 2021: EUR 766 million). As at the end of the third quarter of 2022, BayernLB core Bank had completed its staff reduction measures under Fokus 2024. BayernLB core Bank released restructuring provisions of EUR 87 million covering the severance agreements not contractually concluded by the end of the downsizing measures. In light of the delayed impact of the staff reduction and transformation measures, the Bank recognised restructuring provisions of EUR 360 million as at 31 December 2022 (FY 2021: EUR 492 million).

Subordinated liabilities

As at 31 December 2022, the Bank reported subordinated liabilities of EUR 2,548 million (FY 2021: EUR 2,638 million). The main reason for the lower figures was maturing securities held by the New York branch.

Fund for general banking risks

The fund for general banking risks went up by EUR 84 million to EUR 1,211 million (FY 2021: EUR 1,127 million). A special item pursuant to section 340e para. 4 HGB in the amount of EUR 98 million (FY 2021: EUR 72 million) was reported under the fund for general banking risks.

Equity

As at 31 December 2022, the Bank's equity as reported on the balance sheet was as follows:

EUR million	31 Dec 2022	31 Dec 2021	Change in %
Subscribed capital	3,413	3,413	–
Capital surplus	2,182	2,182	–
Retained earnings	2,243	2,243	–
Distributable profit	225	75	2.0
Equity	**8,063**	**7,913**	**–**

The distributable profits of financial year 2021 were distributed to BayernLB's shareholders in the amount of EUR 75 million in the reporting year. Subject to the approval of the Annual General Meeting, the distributable profits of EUR 225 million of financial year 2022 will also be paid to the shareholders.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

The banking supervisory capital under CRR/CRD IV as per the prepared consolidated financial statements as at 31 December 2022 was as follows:

EUR billion	31 Dec 2022	31 Dec 2021	Change in %
Total RWAs	44.4	43.0	3.2
Own funds	11.1	11.2	(0.2)
Core capital	8.7	8.6	1.2
Common Equity Tier 1 capital (CET1 capital)	8.7	8.6	1.2
Total capital ratio (%)	25.1	25.9	(0.8) pp[1]
Common Equity Tier 1 (core tier 1 ratio) (%)	19.6	20.0	(0.4) pp[1]

1 Percentage points.

As at 31 December 2022, the return on capital employed as defined in section 26a para. 1 sentence 4 of the German Banking Act (KWG)[43] was 0.2 percent (FY 2021: 0.0 percent).

BayernLB’s financial position

During financial year 2022, it was ensured that liquidity reserves at BayernLB were adequate, even in stress situations. The liquidity situation is described in the risk report presented in the combined management report. Therefore, no detailed analysis is provided here and readers are referred to the information in the risk report and the notes to the consolidated financial statements and the cash flow statement of the BayernLB Group.

Overall assessment of BayernLB’s net assets, financial position and results of operations

BayernLB’s results of operations were good in 2022 and exceeded expectations. BayernLB’s net assets and financial position were solid in financial year 2022. The Bank’s liquidity was good throughout the reporting period.

43 Ratio of net profit for the year and total assets.

Risk report

Principles

This risk report sets out the risk situation of the BayernLB Group and BayernLB as at 31 December 2022. The following explanations refer primarily to risk management in the BayernLB Group. The BayernLB key figures at the individual bank level are shown in addition to those at Group level. A separate explanation is provided where processes and procedures differ.

This risk report was prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments and risks to which the BayernLB Group was exposed as at the end of the reporting period. Presentation of the risks is principally based on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach).

For information on the inclusion of forbearance exposures in risk-based management, refer to the intensive support, restructuring and workout and forbearance section of the report. The relevant quantitative data is to be found in the "Portfolio overview in accordance with IFRS 7.34 a (management approach)" section.

The risk report further contains information required in accordance with German Accounting Standard GAS 20.

Key developments in 2022

- Risk situation stable overall
- Risk-oriented expansion of new business in line with strategy
- Risk-bearing capacity maintained at all times
- Liquidity position remains healthy

Even though the negative consequences of the coronavirus pandemic still had a material impact on the risk situation in 2022, additional recovery effects could be seen, especially in sectors hard hit by the pandemic. However, the general economic situation was tense and fraught with great uncertainty. This is due to a variety of factors, important ones being supply bottlenecks, the direct and indirect effects of the war between Russia and Ukraine, substantial rises in energy prices, Russia shutting down gas supplies to Europe and the increase in inflation in conjunction with a jump in interest rates. Thanks to its active risk management, the BayernLB Group's risk situation was very robust, despite the challenging conditions.

Gross credit volume rose only slightly, by EUR 1.1 billion to EUR 329.9 billion. New business in the Commercial Real Estate sub-portfolio and in the target sectors of energy and technology in the Corporates sub-portfolio grew in line with strategy. However, there was a decline in liquidity investments at the Deutsche Bundesbank.

Portfolio quality remained high, even taking into account of the fraught current general economic situation, with an investment-grade share of 89.6 percent.

Risk-bearing capacity was maintained throughout the financial year, as the provision of economic capital was solid at all times. In addition, the BayernLB Group had a good supply of liquidity on hand.

ESG risks

The BayernLB Group has been addressing the topic of sustainability for many years. In 2022, the BayernLB Group took a major step forward, particularly in implementing the ECB's expectations in its guide on climate-related and environmental risks. The internal project launched for this purpose at BayernLB and DKB in 2021 continues to support and monitor the progress of the implementation measures, especially with regard to the requirements of the EU Taxonomy Regulation and disclosure requirements under the CRR. Besides the analysis of ESG risk drivers as part of the risk inventory, the main issues in 2022 were additional detailed quantitative analyses in the main risk types and expanding the scope to include other environmental risks (biodiversity), as well as the gradual completion of the ESG assessment of the credit portfolio using the internal ESG assessment tool. An additional internal climate stress test on transitory risks in the credit portfolio, the findings from the ECB climate stress test and the ECB's assessment as part of the thematic review also provide impetus for risk management. At the same time, the BayernLB Group focused on improving its pool of data in order to capture ESG risk in a standardised manner (including energy efficiency data on real estate, analysing physical risks at real estate locations of the principal outsourcing and service companies and capturing borrowers' CO_2 emissions data). Based on this, internal risk reporting (Group risk report and sector portfolio reports) and governance were supplemented in various areas to include the handling of ESG risks.

Internal risk management system

Management structure

The organisation of the boards below the Board of Management reflects the European regulatory structure led by the ECB, involving the Single Supervisory Mechanism (SSM) and Supervisory Review and Evaluation Process (SREP), with the objective of making corporate management more consistent and transparent within the BayernLB Group. Besides the existing boards, a Group-wide Interest Rate Management Board was set up in 2022 between BayernLB and DKB to manage interest rate risks uniformly and therefore make optimal use of the economic capital available for interest rate risk within the Group. The Investment Board was dissolved on 31 December 2022. As it was still exercising its functions in 2022, it is included in this presentation.

Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting processes, the effectiveness of the risk management system, particularly the internal control system and internal audit activities, as well as the correction of open audit findings.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation at BayernLB Group and BayernLB level, and decides on loans requiring approval by the Supervisory Board under the German Banking Act (KWG) and BayernLB's Competence Regulations.

In addition to the above-mentioned committees, the Supervisory Board is supported by the Executive and Nominating Committee, the Compensation Committee and the BayernLabo Committee.

Board of Management

In managing the business and the organisation, the Board of Management is supported by the following boards in particular.

Senior management (boards)

At senior management level, the boards generally act across the segments, without any direct involvement by the Board of Management.

The Capital Board, chaired by the head of the Finance Division, monitors and manages changes in and allocations of risk-weighted assets (RWAs) at BayernLB.

The Credit Risk Board, chaired by the head of the Risk Office Credit Analysis Division, is the highest competence holder on credit matters below the Board of Management and deals with sector portfolio, country and product reports and policy issues regarding credit risk management.

The Product Board, chaired by the Group Risk Control Division, is responsible for complying with MaRisk requirements for the launch of business activities in new products. It is mainly responsible for the approval of new products and regularly approving the valuation models used and changes to these models.

The Investment Board is the highest decision-making body below the Board of Management with the authority to allocate capital and resources for the respective business areas and is responsible for the business area-specific management carried out on the basis of centrally issued rules and ratios and the strategic targets of these areas. The Investment Board was dissolved on 31 December 2022 and its tasks transferred to the Sales units. The Board of Management is regularly consulted about investment decisions and issues related to profitability.

Other boards set up by the Board of Management include the Remuneration Board, the Project & Investment Board, the Interest Rate Management Board and the NFR (Non-Financial Risk) Board.

Organisation

Besides segregating the duties of the Sales and Risk Office units and the Trading and Settlement units, a business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Financial Office, and Operating Office central areas as well as the Corporate Center.

Risk Office

BayernLB's Risk Office (RO) comprises the Group Risk Control, Credit Analysis RO, Credit Consulting and Research divisions.

Group Risk Control independently identifies, evaluates, analyses, communicates, documents and monitors all risk types at an aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and committees with independent and risk-appropriate reports. In addition, the Group Risk Control Division is also responsible for managing non-financial risks (outsourcing risk, information security risk and business continuity management).

In addition to periodic and ad hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also includes external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with segregation of duties being ensured at all times. In this management process, the Credit Analysis RO Division is responsible for analysing, evaluating and managing the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the Credit Risk Strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. The same applies to DKB.

The Credit Consulting Division looks after the recovery and resolution exposures and is responsible for BayernLB's credit portfolio management. The Division performs the roles of both the Sales units and the Risk Office for the exposures assigned to it. On 1 February 2023, after the original reporting period had come to an end, the Credit Consulting Division was merged with the Credit Analysis RO Division under the new division name of Credit Risk Management.

The main responsibilities of the Research Division are observing global economic and, insofar as they are relevant for the banking and financial markets, political trends, as well as financial market developments worldwide, particularly in Germany, the eurozone and the US, on an ongoing basis. The Division prepares analyses and forecasts on all macroeconomic topics, on real estate, on financial market trends (money, bond and equity markets) and on megatrends. The Division is also responsible for preparing analyses on the credit market and for issuers, corporate bonds and Schuldschein note loans, for services to support BayernLB's issuing and placing business and for country risk and sector analysis.

Financial Office

Operational implementation of uniform Group-wide accounting standards is the responsibility of the Financial Office Central Area, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and ensuring its effectiveness.

Its key tasks include preparing the annual financial statements, consolidated financial statements and the combined management report of BayernLB and the BayernLB Group, establishing accounting policies, initiating accounting-related projects and providing guidance on national and international developments in accounting.

The Financial Office Central Area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts.

The annual financial statements, consolidated financial statements and combined management report are compiled in accordance with the accounting principles by the Board of Management, checked by the auditor and approved by the Supervisory Board. The Supervisory Board has set up an Audit Committee whose duties include discussing the audit reports and preparing the resolutions for the Supervisory Board’s approval of the consolidated financial statements and the combined management report. Upon request, the auditor takes part in the discussions of the Audit Committee and Supervisory Board on the consolidated financial statements and reports on the key findings of its audit.

In addition, the Financial Office Central Area is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standards for methods and procedures.

Operating Office

The Operating Office Central Area is responsible for BayernLB’s operating processes and supporting these in the Operations & Banking Services, Credit Services & Purchasing and Information Technology divisions.

Besides processing payments, Operations & Banking Services deals with trading transactions, foreign notes and coins and physical precious metals, and facility management.

The Credit Services & Purchasing Division pools the credit-related tasks, frees up the Sales and Credit Analysis units to concentrate on their primary tasks, and, with its standardised, lean processes, makes a key contribution to boosting customer business and achieving the planned business growth. It is also responsible for central purchasing.

The Information Technology Division is responsible for providing IT governance functions, IT services and the strategic management of the IT units in all foreign branches.

Corporate Center

The Group Compliance & Sustainability Division monitors and ensures compliance with legal and supervisory requirements and is responsible for sustainability management. In particular, the Division also coordinates the compliance activities of the subsidiaries.

The Audit Division audits BayernLB’s business operations and reports directly to the CEO. Taking a risk-oriented auditing approach, its auditing activities extend to all activities and processes within BayernLB. Its activities also include important processes and activities outsourced to third parties. As Group internal auditor, the Audit Division also supplements the internal auditing units of the subordinate companies.

The Legal Services & BoM Support, Group Development & Transformation and Human Resources divisions also report directly to the CEO. Furthermore, after the reporting period on 1 January 2023, the Human Resources Division was merged with Legal Services & BoM Support and Human Resources & Group Development (formerly Group Development & Transformation).

Internal control system in risk management

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (SFO)). The potential impact on control procedures and their intensity in the event of material changes to structures and procedures and IT systems is analysed in accordance with a defined process.

Group and institution-level instructions on risk management are prepared on the basis of the risk guidelines for the Bank and Group. These rules govern the risk management and controlling processes used for the timely identification, full documentation, risk measurement and appropriate disclosure of significant risks. They are regularly reviewed, updated and published internally.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other.

The Group Risk Strategy, which is based on the Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Supervisory Board's Risk Committee. The general objectives and guidelines of the Risk Strategy and the strategic requirements for the different types of risk are drawn up based on the Business Strategy.

The BayernLB and BayernLB Group Risk Strategy for 2022 encompasses the following main objectives:

- Ensure on a sustainable basis that the amount and quality of risk-bearing capacity is appropriate from both a normative and economic perspective (capital and liquidity adequacy)
- Ensure solvency at all times
- Ensure the BayernLB Group only takes on risks it is able to assess and manage
- Ensure quality takes priority over quantity when it comes to portfolio growth
- Maintain a risk culture that promotes the identification of and a conscious approach to risks and ensures that decision-making processes produce results which are also balanced from a risk perspective
- Sales and Risk units are jointly responsible for earnings after risk provisions
- In managing the material, significant risks, take ever greater account of the ESG risk drivers
- The BayernLB Group sets itself high fundamental ethical standards in its business activities and actively aligns its business activities to ESG criteria and sustainability (by adhering to the sustainability strategy and guidelines)
- The employee incentive schemes (remuneration system) are consistent with the Business and Risk Strategy

The economic capital available for allocation in the BayernLB Group is based on the long-term capital available and was allocated within the BayernLB Group by risk type. In the Risk Strategy, the risk appetite (sum of the limits allocated to the risk types plus the allocation reserves) was determined overall and by risk type.

The basis for setting the Risk Strategy is the annual risk inventory carried out in accordance with MaRisk and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the equity interests and special-purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory requirements. The BayernLB Group's overall risk profile is then presented to the Board of Management. The major risks at the BayernLB Group and BayernLB are credit risk, market risk, liquidity risk, operational risk, risk associated with equity interests and pension basis risk, business and strategic risk and reputational risk. Climate and environmental risks are also qualitatively and quantitatively assessed and analysed in the risk inventory as a risk driver. The individual risk types and the significant individual risks they include are discussed below.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan. The Business Strategy is an essential element in the preparation of the Group Risk Strategy and the preparation, intra-year review and updating of the capital planning.

Integrated risk and earnings reporting

Trends in performance, capital, liquidity and risk are combined into a monthly Group management report presented to the Board of Management. As a component of the integrated reporting, the Group management report provides an initial impression of the current situation of the BayernLB Group and the Group units with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on (in particular on the Group risk status, which is updated shortly after the end of each month, and the detailed quarterly Group risk report). The Board of Management meetings on the Group management report also include regular reports on specific, current focal topics.

The instruments used to manage and monitor the achievement of Business and Risk Strategy goals are constantly refined at Group level.

The processes involved in managing regulatory capital adequacy and economic capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure BayernLB has the proper amount of regulatory capital, the objectives, methods and processes below have been established: The starting point for the allocation of regulatory capital is the BayernLB Group's own funds planning. Own funds are defined as Common Equity Tier 1 capital (CET1), Additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. BayernLB does not currently have any Additional Tier 1 capital. Tier 2 capital comprises mostly long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 ratio (ratio of Common Equity Tier 1 capital to RWAs) and the total capital ratio (ratio of own funds to RWAs) for the BayernLB Group. It establishes upper limits for credit risks, market risks, credit valuation adjustments (CVA) and operational risks arising from the business activities in the planning period.

In the planning process, regulatory capital is distributed to each planning unit based on the RWA component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and DKB.

RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management, combined with an internally determined capital ratio. Compliance with the RWA budgets available to each Group unit is continuously monitored. The Board of Management receives monthly reports on current RWA utilisations.

In addition to the CRR, BayernLB is subject to the European Central Bank's Supervisory Review and Evaluation Process (SREP). Due to the SREP findings, BayernLB was assigned a total capital ratio of 10 percent on a consolidated basis.

With a CET1 ratio of 17.4 percent as at 31 December 2022, the BayernLB Group has a very solid capital base.

Details on increases or decreases in the Group's supervisory ratios are provided in the report on the economic position in the combined management report. BayernLB publishes additional information in the disclosure report in accordance with section 26a German Banking Act (KWG). The disclosure report can be found on BayernLB's website under "Investor Relations/Financial Reports".

Economic capital adequacy (risk-bearing capacity)

The Internal Capital Adequacy Assessment Process (ICAAP) is monitored for both BayernLB and for the BayernLB Group. The consolidated risk units includes DBK as well as BayernLB. The aim of ICAAP is to ensure that there is sufficient economic capital at all times to fully cover the risks assumed.

The normative and economic aspects are closely coordinated in keeping with the ECB's guidelines on the design of internal bank processes to ensure that banks maintain an adequate capital base and sufficient liquidity. The capital and the capital components are the starting point for the normative and economic perspectives. Economic capital is based on the normative capital and economically adjusted (e.g. by deducting deferred tax assets).

The planning of economic risks for the risk-bearing capacity calculation and the planning over the next five years are integral parts of the Group planning process described in the regulatory capital adequacy section. The risk assessment is based on the risks that could have a significant economic impact on the capital position. These are identified and reviewed as part of the risk inventory, which ensures that both the normative and economic perspectives of risks are uniformly and consistently taken into account.

The Group Risk Strategy, in tandem with the Business Strategy, sets the risk appetite and the framework for risk planning. The Risk Strategy conservatively allows only a proportion of the economic capital to be allocated to risks in the course of business activities.

Stress testing

To produce an in-depth, forward-looking analysis of normative and economic capital adequacy of even unexpected scenarios, risk-bearing capacity is calculated based on the Business Strategy and supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. The integration of different divisions in relation to scenario definition makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner.

The BayernLB Group's stress-testing programme includes both a potential severe economic downturn (global economic crisis) and other market-wide and idiosyncratic scenarios. Even under the assumption of a prolonged economic crisis owing to current geopolitical risk, there would be sufficient risk-bearing capacity, despite a considerable increase in the risk capital requirement.

The stress tests are performed consistently for both the normative and the economic perspective. Given the increasing relevance of ESG risks, climate stress tests are also performed on physical and transitory risks and incorporated into the stress-testing programme in stages.

The impact of adverse changes in risk factors both on specific risk types and across risk types is analysed using hypothetical scenarios. The latter in particular have a major role in the analysis of ad hoc scenarios. They also take into account potential threat scenarios for the BayernLB Group that are triggered by external situations (e.g. a cyber attack).

Sensitivity analysis too plays a part in the comprehensive evaluation of risk-bearing capacity by increasing the transparency with regard to the impact of potential changes in individual risk factors (such as the implications of changes in interest rates).

Inverse stress tests are conducted at BayernLB Group level as an integral element of the stress testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the continued existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types.

Current situation

The table below shows year-on-year changes in risk capital requirements at the BayernLB Group and BayernLB (confidence level 99.90 percent).

Risk capital requirements at the BayernLB Group

EUR million	31 Dec 2022	31 Dec 2021
Credit risk	1,650	1,302
Market risk	1,833	1,396
Pension basis risk	140	249
Operational risk	438	531
Risk associated with equity interests	121	92
Business and strategic risk (includes reputational risk)	108	110
Liquidity cost risk	26	24
Total	**4,316**	**3,704**

Risk capital requirements at BayernLB

EUR million	31 Dec 2022	31 Dec 2021
Credit risk	1,202	882
Market risk	951	845
Pension basis risk	139	246
Operational risk	295	338
Risk associated with equity interests	77	81
Business and strategic risk (includes reputational risk)	368	306
Liquidity cost risk	26	24
From capital provided within the BayernLB Group	466	485
Total	**3,524**	**3,207**

The BayernLB Group had adequate risk-bearing capacity at all times, as the provision of economic capital was solid.

The increase in the economic risk capital requirement in credit risk was due in part to the introduction of safety premiums for idiosyncratic risks. In addition, a safety margin was introduced as a result of the implementation of the EBA repair adjustment for, for example, the corporates and banks rating procedures. Furthermore, increases in exposures and ratings changes in the energy and mobility sectors led to a higher risk capital requirement.

The increase in the economic risk capital requirement in market risk was attributable to the increased market volatility in the uncertain market environment (war between Russia and Ukraine and the ongoing coronavirus pandemic).

Pension basis risk fell owing to much higher discount rates.

The drop in the risk capital requirement in operational risk was the result of the adjusted model risks in the OpRisk statistical calculation tool.

The BayernLB Group's economic capital was EUR 11.7 billion (FY 2021: EUR 11.1 billion), while BayernL's was EUR 9.1 billion (FY 2021: EUR 8.1 billion).

Risk appetite remained at EUR 7.8 billion (FY 2021: EUR 7.8 billion) in the case of the BayernLB Group and was EUR 5.6 billion (FY 2021: EUR 6.3 billion) for BayernLB Bank.

Recovery plan

The BayernLB Group has a recovery plan in place, in accordance with the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)), Minimum Requirements for the Design of Recovery Plans (Mindestanforderungen an die Ausgestaltung von Sanierungsplänen (MaSan)), and as solicited by the supervisory authorities. This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the internal risk reporting.

In the 2022 recovery plan, one major change was that the number of stress scenarios was raised from two to four after the relief measures granted by the supervisor for Covid-19 pandemic came to an end. Besides an idiosyncratic and global scenario, the Bank therefore included a combination scenario of idiosyncratic and market-wide events and a market-wide scenario relating to the conflict between Russia and Ukraine. The thresholds for the one and two-stage indicators in the recovery plan, which are set mainly at the Group level and are based on the German Recovery and Resolution Act (SAG)) and Minimum Requirements for the Design of Recovery Plans (MaSan), all have the status green , except for the GDP indicator. BayernLB Research set the GDP indicator to amber in September 2022 after the expectation for economic growth in Germany for 2023 was forecast to be in negative territory. The triggering of an early warning threshold does not lead to any immediate management measures, so no recommendations for action needed to be made to the Board of Management.

Resolution plan

In the EU regulation on a uniform Single Resolution Mechanism (SRM Regulation) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)), lawmakers directed resolution authorities at the European and national level to maintain resolution plans for banks that can be activated in an emergency to avert threats to the financial system, where possible without the need for public money.

BayernLB complied with its legal obligations by assisting the responsible resolution authorities (the Single Resolution Board (SRB) and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin)) in its work to make further improvements to a resolution plan for the BayernLB Group and took measures to ensure its resolvability in compliance with the preferred resolution strategies determined by the authorities. In respect of the independent MREL guidance for DKB, which will apply from 1 January 2024, the first measures to build up the necessary internal MREL instruments (iMREL) to be held by BayernLB will be prepared over the course of 2023.

Credit risk

Definition

BayernLB defines credit risk as the risk of losses (in value) from all transactions giving rise to an actual, possible or contingent claim by the Bank against a borrower, counterparty, obligor or issuer (hereinafter referred as “borrower” for simplicity’s sake), whenever these losses (in value) result from a default or change in the borrower’s credit rating (migration risks) and/or from a change in the value of collateral provided.

Credit risk also includes in particular the country risk borne of country-specific circumstances (e.g. political or economic crises, or currency restrictions). A distinction is made between transfer risk and country risk in the sense of a credit event caused by the country itself. Transfer risk is the risk of a loss occurring if, due to government transfer restrictions, a borrower is unable to meet its obligations in a foreign currency or the institution is unable to access an amount paid. Country risk as a credit event risk is the risk of a loss resulting from macroeconomic and (socio)political events in a country, in particular as the result of a crisis arising from parallel changes in credit ratings (including default) of those borrowers that are attributable to that country from a risk perspective.

Organisation

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification. Credit decisions which, pursuant to the KWG or the Competence Regulations, require the approval of the Board of Management or Risk Committee of the Supervisory Board are discussed and voted on in advance by the Credit Risk Board, which itself is a competence holder.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB's Board of Management sit on DKB's Supervisory Board and its committees.

The Group Risk Control Division is responsible for measuring and monitoring credit risks.

Risk Strategy

The Credit Risk Strategy – which forms part of the comprehensive Risk Strategy – is determined by the Board of Management for BayernLB and the BayernLB Group, taking account of risk-bearing capacity considerations.

Risk measurement

Risk classification procedure

In accordance with the Internal Ratings-Based approach (IRBA), the BayernLB Group mainly uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works mainly with RSU Rating Service Unit GmbH & Co. KG, Munich, and Sparkassen Rating und Risikosysteme GmbH, Berlin. All rating procedures are subjected to a regular validation process to ensure they are able to correctly determine the default probabilities in each customer and financing segment. Validation includes both quantitative and qualitative analyses of the rating factors and the overall models. The accuracy and calibration of the procedures, and the data quality and the design of the models are examined using statistical and qualitative analyses and user feedback from daily application. The procedures are regularly modified where necessary.

Due to new supervisory requirements, it was decided in 2020 that in future the parameters probability of default (PD), loss given default (LGD) and credit conversion factor (CCF) will be estimated without a margin of conservatism (best estimate) and that the margin of conservatism will be disclosed separately. This was first implemented in 2020 for the parameters LGD and CCF, as the supervisory review and approval for the parameter PD is currently awaited or pending due to BayernLB's IRBA status. The implementation for the parameter PD took place in 2022 for the countries and transfer risks, corporates and banks rating procedures. The timeframe for full implementation will depend on the supervisory approval processes.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) drawdown of unutilised lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions, the current fair value is taken as the basis. Any replacement risks are taken account of by means of an add-on.

Collateral valuation and loss ratios

The fair value is taken as the starting point for collateral valuation. It is reviewed on both a scheduled and ad hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on this individual collateral valuation, the Bank estimates the size of the loss given default for the collateralised portion of a receivable using models for realisation ratios (average expected proceeds from the realisation of collateral). The Bank calculates the size of the loss for the unsecured portion of the receivable (unsecured loss given default) using the customer segment-specific models. These models are likewise updated and refined mainly in partnership with RSU GmbH & Co. KG, Munich, and Sparkassen Rating und Risikosysteme GmbH, Berlin, using pooled data and internal loss data. All models are regularly validated and checked for their representativeness.

Expected loss

Expected loss per transaction/per borrower is a (risk) ratio which not only takes account of the expected amount of the receivable at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. When reviewing a portfolio this ratio can be used as an indicator of its expected risk level.

Expected losses are also relevant for the calculation of standard risk costs. Expected losses are also incorporated into the calculation of portfolio risk provisions in accordance with IFRS 9 and HGB.

Unexpected loss

The BayernLB Group calculates unexpected loss at portfolio level using a simulated credit portfolio model which quantifies default and migration risks as well as the uncertainty in determining loss ratios on a one-year horizon with a confidence level of 99.90 percent. Dependencies among borrowers in the portfolio are quantified using a country and sector-specific model and through idiosyncratic dependencies (e.g. Group interdependencies). Settlement risks and defaulted positions are additionally taken into account. The impact of an individual business partner on the unexpected loss of the whole portfolio is also calculated for risk analysis purposes.

Risk monitoring

The following instruments are used for monitoring and limiting credit risks at the BayernLB Group:

Early warning

The aim of the early warning system is to identify negative changes in the risk profile of a business partner at an early stage so as to be able to undertake suitable measures in good time to reduce the risk. To achieve this objective, a list of various risk signals has been created to give an early indication of a deterioration in risk.

The risk signals of the early warning system fall under quantitative signals (e.g. based on market price information about business partners or exposure data from feeder systems) and qualitative signals that are based on the expert opinion of relationship managers and analysts.

Under the defined, system-driven early warning process the responsible analysts react promptly and appropriately to indicated deteriorations in risk and, if necessary, take measures and enter them in the early warning system. As part of this process, the business partner's form of support is reviewed and modified, if necessary.

Credit risk limits for borrowers and borrower units

In keeping with MaRisk, credit risks at borrower and borrower unit level are monitored daily using a limit system. BayernLB and DKB each conduct their own monitoring. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). Where the limits within the BayernLB Group add up to at least EUR 400 million per economic borrower unit, a Group-wide limit (Group limit) is required. BayernLB's Group Risk Control Division monitors the Group limit centrally. To limit risk concentrations, the maximum gross credit volume for each economic borrower unit is limited to EUR 400 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. good credit rating, profitability and strategy). These customers are individually listed in the quarterly internal risk report with their Group limit and gross credit volume.

Sector and country limits

To manage risk concentrations, limits are set for sectors and countries. Sector and country limits apply Group-wide. Limits are set on gross credit volumes and, in some cases, also on the net credit volume for specific countries. Limits are set by BayernLB's Board of Management or can be delegated by it, based in part on an analysis of the sector, country and portfolio structure and a vote taken under the lead of the Credit Analysis RO Division. In addition to sector and country limits, additional specific portfolio guidelines and individual transaction conditions can be set and approved by the Board of Management or in accordance with the delegation regulations to safeguard portfolio quality. Sector and country limits and portfolio guidelines are monitored centrally by BayernLB's Group Risk Control Division. Compliance with the individual transaction conditions is reviewed in the course of the approval process. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Risk capital requirements

BayernLB manages unexpected losses/risk capital requirements using appropriate limits at Group, individual institution and business-area levels. This also includes the positions that are built up in connection with the contractual trust arrangement (CTA) to secure risks from pension obligations in the BayernLB Group. In addition, the Bank regularly calculates risk sensitivities with regard to relevant input parameters (especially default probabilities, loss ratios and correlations) and supplements them with various stress tests.

Collateral

Another key way in which risks are limited is by accepting the customary types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with the relevant directives, which set out the procedures for valuing the collateral, any discounts to be applied, and how often the valuation must be reviewed. Net risk positions are calculated on the basis of the liquidation value of the collateral.

As part of its IRBA approval, the supervisory authority has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

The BayernLB Group employs derivative instruments to reduce credit and market risks. In derivatives trading, the usual practice is to conclude master agreements for the purposes of close-out netting. In many cases there are collateral agreements restricting the default risk to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Limits are imposed as part of the generally applicable limitation process for credit risk.

Intensive support, restructuring & workout, and forbearance

Problem exposures are all exposures that require special attention due to their elevated risk situation, i.e. categorised as requiring intensive support or restructuring and workout.

By initiating suitable measures at an early stage as part of an intensive support or restructuring and workout, BayernLB aims to prevent or minimise potential losses from occurring.

At BayernLB, the Credit Consulting (CC) Division is responsible for restructuring and workout and therefore acts as an independent workout unit as defined in the regulatory requirements. At DKB this function is performed by the institution’s own Credit Consulting Division.

Forbearance measures are approved as part of restructuring and workout. All exposures where forbearance measures have been agreed are designated as forborne exposures. Such measures aim to enable the borrower to regain the ability to repay their loan or to minimise potential losses. Forbearance measures exist in all cases where concessions have been granted to a counterparty in financial difficulties in the form of refinancing/restructuring and/or the original terms and conditions of the loan agreement have been modified (e.g. a deferral, waiver or standstill agreement).

Exposures cease to be reported as forborne if all of the following criteria are met:

- The exposure has no longer been rated as non-performing for more than two years (probationary period) or, in the case of a performing exposure, at least two years have passed since the last approved forbearance measure (good conduct period).
- Principal and interest payments have been duly made during the probationary period/good conduct period on a material portion of payments due
- None of the borrower’s exposure is more than 30 days overdue at the end of the probationary period.

Quantitative data on forborne exposures is shown as renegotiated credits in the "Portfolio overview in accordance with IFRS 7.34 a (management approach)" section.

Risk provisions

Refer to the default risk section of the notes for details on how risk provisions are calculated and assets written down.

Where necessary, due account has been taken of the risks in the credit business through risk provisions. Details are set out in the notes.

ESG risks

ESG risks are already considered in the credit risk management process by taking a variety of perspectives. This starts with the risk inventory and takes in the credit approval process, internal stress tests and risk reporting.

In 2020, BayernLB already began analysing and evaluating the potential impact of physical and transitory risks in the risk inventory from a qualitative perspective. In 2021, the Bank performed quantitative analyses and, in 2022, expanded its focus to include other environmental risks (e.g. biodiversity).

As part of the risk inventory, the Bank analysed and evaluated in great depth the transmission channels for climate and environmental risks. It recorded more than 130 transmission channels for various risks and sub-portfolios, primarily identifying minor impacts in the process. Most of the risks deemed transitory related to political measures. For example, legal requirements or a tightening of CO_2 targets and CO_2 prices might be relevant for the Corporates sub-portfolio. The Real Estate sub-portfolio may be affected by energy efficiency guidelines, for example. Risks from changes in consumer and/or investor behaviour may also become relevant. By contrast, technological progress would be considered more of an opportunity rather than a risk driver. Physical risks are mainly regarded as related to natural disasters.

The credit approval process is preceded by an analysis of ESG risks within the scope of the internal ESG assessment (ESGA). This consists of three modules: the ESG risk, ESG impact and ESG reputational risk modules. The ESG risk module of the ESG assessment supports Sales and Risk Office units during the detailed assessment of ESG risks at business partner level. The first step here is to analyse the borrower’s exposure and business model. As part of the ESG risk module, a distinction is made between three categories that can have an impact on a customer's default risk, creditworthiness and ability to service their debts:

- Environmental/climate risks, which can be broken down further into physical and transitory risks of climate change
- Social risks arising from the lack of perceived interaction with employees and suppliers, in particular by stakeholders, e.g. violations of human and labour rights
- Governance risks arising from deficiencies in the design of structures, policies and processes in companies relating to management functions and their monitoring; these include, for example, corruption and bribery, antitrust violations and balance sheet manipulation.

The answers to these questions provide the basis for assessing the customer’s ESG risk management and for mitigating measures and their effectiveness. The ESGA enables sustainability risks and the positive impact of financing on the achievement of climate and sustainability goals in the portfolio to be identified at an advanced level. The Bank started with the Corporates, Real Estate and Project Finance sub-portfolios and assessed each borrower and each transactions in the context of a new transaction. Through refinements to the ESGA, it is possible to assess the Financial Institutions and the Public Sector sub-portfolio.

DKB takes a portfolio approach when assessing ESG risks. The portfolio is assessed in the categories of low, medium and high ESG risk. When evaluating the ESG impact, DKB looks at the verifiable sustainability benefit of the financing. At the same time, the portfolio is classified as ESG Plus, ESG Basic or ESG Neutral. Whereas the classification as ESG Basic is based on qualitative assessments, a portfolio classified as ESG Plus must comply with the technical standards defined in the EU taxonomy.

During the reporting period, ESG-specific information was integrated into the internal Group risk report and has been reported to the Board of Management and the Risk Committee of the Supervisory Board every quarter since September 2022. The focus in this case is on the ESG risk assessment of BayernLB and DKB borrowers (ESG risk module) and their future performance.

Both the risk assessments (ESG risk module) and sustainability benefits of the financing (ESG impact module) are also included in the sector portfolio reports. In the Corporates sectors and in the Real Estate portfolio, the reports contain both qualitative and quantitative statements on the ESG criteria. In the sector portfolio reports on financial institutions, sovereigns, the public sector and retail, the Bank currently shows qualitative information and supplements it with quantitative data based on how the assessments are progressing.

The ESG criteria were also integrated into the credit process. This ensures that the ESG criteria are factored into the planning of new business and that the portfolio is aligned with ESG criteria.

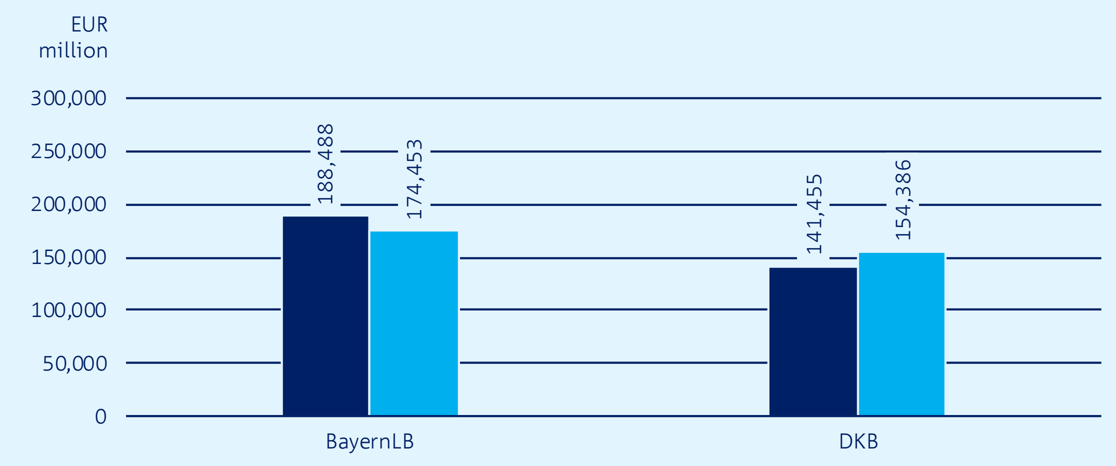
Current situation

The following presentation of credit risk is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board (management approach). The figures are, in turn, based on an economic perspective and therefore deviate in some aspects from the rules applicable for accounting purposes (e.g. undrawn internal current account limits are taken into account). There may also be deviations from the accounting-based scope of consolidation, as, in accordance with MaRisk, internal risk management includes only BayernLB and DKB.

Portfolio overview in accordance with IFRS 7.34 a (management approach)

The figures for the management approach include BayernLB and DKB.

Gross credit volume by Group unit



■ Total as at 31 Dec 2022: EUR 329,943 million
■ Total as at 31 Dec 2021: EUR 328,838 million

The gross credit volume for credit transactions comprises the gross lending volume – drawdowns plus unutilised commitments – and undrawn overdraft facilities. This is calculated from fair values for trading transactions and, in the case of derivatives transactions from potential future exposure, with a confidence level of 95 percent.

Compared with 31 December 2021, the BayernLB Group's gross credit volume rose by EUR 1.1 billion or 0.3 percent to EUR 329.9 billion. Excluding the decreased liquidity investments at the Deutsche Bundesbank, the gross credit volume rose by EUR 5.3 billion.

The largest rise occurred in the Commercial Real Estate (EUR 3.5 billion) and Corporates (EUR 3.4 billion) sub-portfolios, in which the business volume was mainly expanded in the key target sector of energy (EUR 3.6 billion). By contrast, there was a drop in the gross credit volume in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio (EUR 5.2 billion), mainly as a result of the fall in liquidity investments in the Group held at the Deutsche Bundesbank (EUR 4.2 billion). The marked fall in liquidity investments by DKB (EUR 14.3 billion) was partly offset by increased liquidity investments by BayernLB (EUR 10.1 billion). In addition, the gross credit volume went down in the Retail/Other sub-portfolio (EUR 1.1 billion), largely due to DKB. The core business with real estate financing and retail loans continued to grow in line with strategy. However, this was offset by a marked drop in the gross credit volume of DKB Visa cards (EUR 3.4 billion) in connection with the launch of the DKB Visa debit card.

In the reporting period, the overall economic situation was negatively impacted by the direct and indirect effects of the war between Russia and Ukraine, supply bottlenecks, interest rate rises and inflation. On the other hand, the signs of recovery seen last year in connection with rating improvements in sectors of the Corporates sub-portfolio particularly impacted by the coronavirus pandemic continued.

Gross credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

	BayernLB Group			BayernLB		DKB	
EUR million	31 Dec 2022	31 Dec 2021	Change (in %)	31 Dec 2022	31 Dec 2021	31 Dec 2022	31 Dec 2021
Countries/Public Sector/Non-Profit Organisations	94,999	100,245	(5.2)%	48,342	38,345	46,658	61,901
Corporates	76,355	72,941	4.7%	51,589	49,975	24,766	22,966
Commercial Real Estate	66,992	63,459	5.6%	32,972	30,874	34,020	32,585
Financial Institutions	54,257	53,798	0.9%	52,357	51,841	1,900	1,957
Retail/Other	37,339	38,395	(2.8)%	3,228	3,419	34,111	34,976
Of which Retail	37,252	38,326	(2.8)%	3,141	3,349	34,111	34,976
Total	**329,943**	**328,838**	**0.3%**	**188,488**	**174,453**	**141,455**	**154,386**

Net credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

	BayernLB Group			BayernLB		DKB	
EUR million	31 Dec 2022	31 Dec 2021	Change (in %)	31 Dec 2022	31 Dec 2021	31 Dec 2022	31 Dec 2021
Countries/Public Sector/Non-Profit Organisations	92,074	97,593	(5.7)%	45,997	36,219	46,078	61,374
Corporates	63,877	60,374	5.8%	42,710	40,920	21,168	19,454
Commercial Real Estate	16,564	17,077	(3.0)%	8,846	8,599	7,718	8,478
Financial Institutions	51,601	51,213	0.8%	49,800	49,359	1,800	1,854
Retail/Other	24,241	26,529	(8.6)%	259	256	23,982	26,273
Of which Retail	24,155	26,460	(8.7)%	173	187	23,982	26,273
Total	**248,358**	**252,786**	**(1.8)%**	**147,612**	**135,354**	**100,746**	**117,432**

Net credit volume is calculated as gross credit volume less the value of collateral. The significant decrease in the unsecured liquidity investments at the Deutsche Bundesbank in particular led to a significant decrease of EUR 4.4 billion in net credit volume. Other effects largely offset each other in the reporting period.

The collateral volume in the Group jumped by EUR 5.5 billion. This change was largely the result of a higher volume of charges over properties (EUR 5.5 billion), which was due to the (traditionally highly collateralised) expansion of business in the Commercial Real Estate sub-portfolio in line with the strategy and in residential construction financing in DKB's Retail/Other sub-portfolio. More minor changes in the other types of collateral offset each other for the most part.

The BayernLB Group's collateral ratio jumped from 23.1 percent to 24.7 percent owing to the reduction in unsecured exposure at the Deutsche Bundesbank and the significant rise in collateral volume during the reporting period.

Gross credit volume at the BayernLB Group is broken down below by rating category, region, issuer risk, replacement risk, net credit volume by size and sub-portfolio.

Breakdown by rating

The following tables show the gross credit volume at the BayernLB Group by rating category and sub-portfolio.

Gross credit volume by rating category

31 Dec 2022 Rating categories (EUR million)	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	Total
Countries/Public Sector/ Non-Profit Organisations	92,259	1,272	1,009	432	11	17	94,999
Corporates	24,030	35,076	11,051	4,434	289	1,476	76,355
Commercial Real Estate	34,744	24,530	6,475	567	416	260	66,992
Financial Institutions	50,809	3,101	241	52	–	54	54,257
Retail/Other	18,466	11,237	6,178	999	274	184	37,339
BayernLB Group	**220,308**	**75,216**	**24,954**	**6,483**	**990**	**1,991**	**329,943**
Of which BayernLB	**123,436**	**46,153**	**13,464**	**3,656**	**239**	**1,540**	**188,488**
Of which DKB	**96,872**	**29,063**	**11,490**	**2,828**	**752**	**451**	**141,455**

31 Dec 2021 Rating categories (EUR million)	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	Total
Countries/Public Sector/ Non-Profit Organisations	97,776	1,194	1,075	170	12	19	100,245
Corporates	21,931	32,361	11,855	4,877	402	1,515	72,941
Commercial Real Estate	33,960	21,519	6,520	996	150	314	63,459
Financial Institutions	50,815	2,578	319	80	–	7	53,798
Retail/Other	20,109	10,675	6,213	958	252	189	38,395
BayernLB Group	**224,590**	**68,328**	**25,981**	**7,080**	**816**	**2,043**	**328,838**
Of which BayernLB	**112,287**	**42,026**	**14,463**	**3,843**	**307**	**1,526**	**174,453**
Of which DKB	**112,304**	**26,301**	**11,518**	**3,237**	**509**	**517**	**154,386**

Gross credit volume at the BayernLB Group in the master rating (MR) categories 0–7 fell by EUR 4.3 billion in the reporting period. This decrease was primarily attributable to the following: The Countries/Public-Sector/Non-Profit Organisations sub-portfolio went down by EUR 5.5 billion in these rating categories, largely as a result of the reduction in gross credit volume at the Deutsche Bundesbank (by EUR 4.2 billion). Gross credit volume in the Retail/Other /sub-portfolio also declined by EUR 1.6 billion, which was mainly the outcome of the major EUR 3.3 billion drop in exposure from credit card limits in these rating categories in connection with the launch of the Visa debit card. In the Corporates and Real Estate sub-portfolios, the gross credit volume in the rating categories MR 0-7 increased by EUR 2.1 billion and EUR 0.8 billion, respectively, mainly due to new business. The net effect of rating migration played only a minor role in these two sub-portfolios, as the gross credit volume which migrated into the rating categories MR 0-7 due to improved creditworthiness and the gross credit volume which migrated into inferior rating categories due to a deterioration in creditworthiness in the reporting period mostly offset each other.

The credit volume also increased by a significant EUR 6.9 billion in the rating categories MR 8-11. All sub-portfolios contributed to this increase: Commercial Real Estate (EUR 3.0 billion), Corporates (EUR 2.7 billion), Retail/Other (EUR 0.6 billion), Financial Institutions (EUR 0.5 billion) and Countries/Public-Sector/Non-Profit Organisations (EUR 0.1 billion). The main reason behind the higher lending volume in these rating categories was the expansion of business. In the Corporates and Commercial Real Estate sub-portfolios, a positive net migration of existing business from lower rating categories also contributed to this growth in gross credit volume.

In total, the investment-grade business volume (MR 0–11) rose by EUR 2.6 billion. Accordingly, the investment-grade share of the Group portfolio also improved from 89.1 percent to 89.6 percent.

Gross credit volume in rating categories MR 12-14 and MR 15-18 fell by a total of EUR 1.0 billion and EUR 0.6 billion, respectively. The principal reason for these declines was the reduction in business in the Corporates sub-portfolio in line with strategy. In addition, the Commercial Real Estate sub-portfolio experienced a deterioration in ratings in the rating categories MR 19-21. The percentage share in these rating categories fell slightly in each case from 7.9 percent to 7.6 percent (MR 12-14) and from 2.2 percent to 2.0 percent (MR 15-18).

In the rating categories MR 19-21, business volume rose slightly by EUR 0.2 billion, mainly due to a deterioration in the ratings of certain customers in the Commercial Real Estate sub-portfolio. The percentage in these rating categories rose accordingly, from 0.2 percent to 0.3 percent.

The BayernLB Group’s non-performing loan ratio (NPL ratio) remained unchanged at 0.6 percent during the reporting period. While BayernLB saw a marginal fall from 0.9 percent to 0.8 percent, DKB posted a stable ratio of 0.3 percent.

Adequate risk provisions were set aside to cover loans moved into the default categories (MR 22-24). A detailed breakdown of risk provisioning can be found in the notes.

In summary, the BayernLB Group’s already high portfolio quality was maintained or improved slightly during the reporting period. One reason for this was the very selective and risk-oriented management of new business, focusing on existing customers with good credit ratings. Another was the continuation of the recovery from the previous year in the ratings in sectors hit especially hard by the coronavirus pandemic despite the still gloomy macroeconomic situation. As a result, the investment-grade share of the portfolio was increased and the NPL ratio kept consistently very low.

Due to the general economic situation outlined above, the outlook for 2023 is highly uncertain.

Renegotiated credits

The definition of renegotiated credits (forbearance pursuant to Art. 47b CRR) remained unchanged since the previous financial year. Countries around the world undertook a variety of measures to reduce the macroeconomic consequences of the coronavirus pandemic. Consumers in Germany were able to exercise the option of a legislative moratorium until 30 June 2020 (see Article 240 section 3 EGBGB). The supervisory authorities also permitted institutions to agree private moratoria among themselves, provided these comply with the EBA Guidelines (EBA/GL/2020/02 in conjunction with EBA/GL/2020/08 and EBA/GL/2020/15) criteria.

Measures approved as part of a moratorium cannot be regarded as forbearance pursuant to Art. 47b CRR. At the BayernLB Group, only the legislative moratorium for consumers was applied until 30 June 2020. All other measures associated with the coronavirus pandemic are decided upon by considering each borrower on an individual basis and are subject to the regular requirements on forbearance testing.

Current situation

Loans and advances subject to coronavirus-related (forbearance) measures, government and private moratoria and public guarantees associated with the coronavirus pandemic as at 31 December 2022

EUR million	31 Dec 2022	31 Dec 2021
Loans subject to an EBA-compliant moratorium[1]	72.4	91.6
Loans subject to coronavirus-related forbearance measures[2]	576.5	739.6
New loans subject to coronavirus-related public guarantees[3]	213.5	478.1
Total	**862.4**	**1,309.3**

1 The volume shown includes loans and advances to customers and relates exclusively to the expired legislative moratorium for consumers.
2 The volume shown includes loans and advances to customers.
3 The volume shown includes loans and advances to customers. As yet unutilised credit commitments (no disbursement has taken place) are not taken into account here.

The credit volume subject to an EBA-compliant moratorium was strictly confined to DKB's retail portfolio. The loans subject to coronavirus-related (forbearance) measures aggregate all individually agreed measures as a result of the coronavirus crisis.

The majority of the new loans subject to coronavirus-related public guarantees are guaranteed by KfW and LfA.

On 16 December 2022, the EBA announced it would withdraw its guidelines on Covid-19 reporting and disclosure on 1 January 2023 due to their decreasing relevance. Therefore, the presentation above on loans and advances subject to the coronavirus-related (forbearance) measures was made for the last time on 31 December 2022.

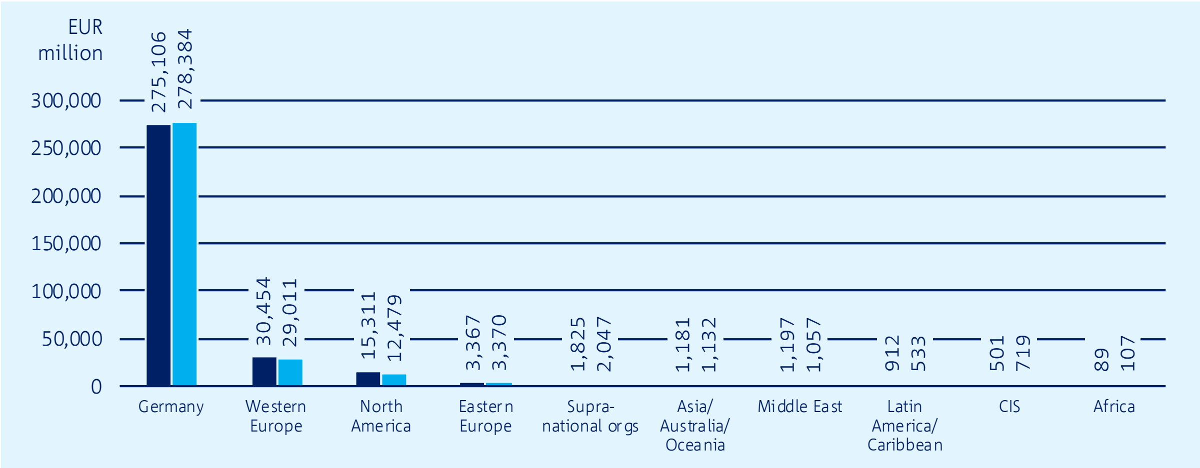
Forbearance exposures

	Renegotiated credits/deferrals		Impairments		Collateral/financial guarantees received	
EUR million	31 Dec 2022	31 Dec 2021	31 Dec 2022	31 Dec 2021	31 Dec 2022	31 Dec 2021
Loans and advances to banks	–	5.1	–	(4.8)	–	–
Loans and advances to customers	1,182.0	1,299.7	(389.7)	(346.7)	221.0	290.8
Financial investments	–	–	–	–	–	–
Credit commitments	135.8	432.8	(19.9)	(19.2)	3.8	42.9
BayernLB Group	**1,317.8**	**1,737.6**	**(409.6)**	**(370.7)**	**224.7**	**333.7**

Breakdown by region

The following table shows gross credit volume by region.

Gross credit volume by region



■ Total as at 31 Dec 2022: EUR 329,943 million
■ Total as at 31 Dec 2021: EUR 328,838 million

In line with the Business Strategy and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 83.4 percent (FY 2021: 84.7 percent). BayernLB is responsible for the bulk of foreign business. A very small proportion of DKB's business is conducted abroad.

Gross credit volume in Germany fell marginally in the Group by EUR 3.3 billion to EUR 275.1 billion (FY 2021: EUR 278.4 billion). The Countries/Public-Sector/Non-Profit Organisations (EUR 6.8 billion), Retail/Other (EUR 1.1 billion) and Financial Institutions (EUR 0.6 billion) sub-portfolios experienced declines, with the reduction in deposits at Deutsche Bundesbank a major factor in the marked fall in the sub-portfolio mentioned first here. This was offset in Germany by an increase in the Corporates sub-portfolio (EUR 2.8 billion) and Commercial Real Estate (EUR 2.3 billion) sub-portfolios.

Outside of Germany, the most significant change in gross credit volume was in the North America and in Western Europe (excluding Germany) regions. In North America, business volumes rose by EUR 2.8 billion or 22.7 percent, mainly due to the Countries/Public-Sector/Non-Profit Organisations (EUR 1.3 billion), Financial Institutions (EUR 1.0 billion) and Commercial Real Estate (EUR 0.8 billion) sub-portfolios. In Western Europe, the volume went up by EUR 1.4 billion or 5.0 percent. The main drivers here were the Corporates (EUR 1.0 billion) and Commercial Real Estate (EUR 0.4 billion) sub-portfolios.

The changes in exposure in the other regions largely evened each other out in the reporting period. The rise in the Latin America/Caribbean region (EUR 0.4 billion) was offset by declines in supranational organisations (EUR 0.2 billion) and the CIS region (EUR 0.2 billion).

The majority of the remaining business volume in Russia, Ukraine and Belarus is protected, inter alia by German Euler-Hermes export insurance. During the reporting period, the net credit volume was reduced from EUR 0.2 billion to below EUR 0.1 billion.

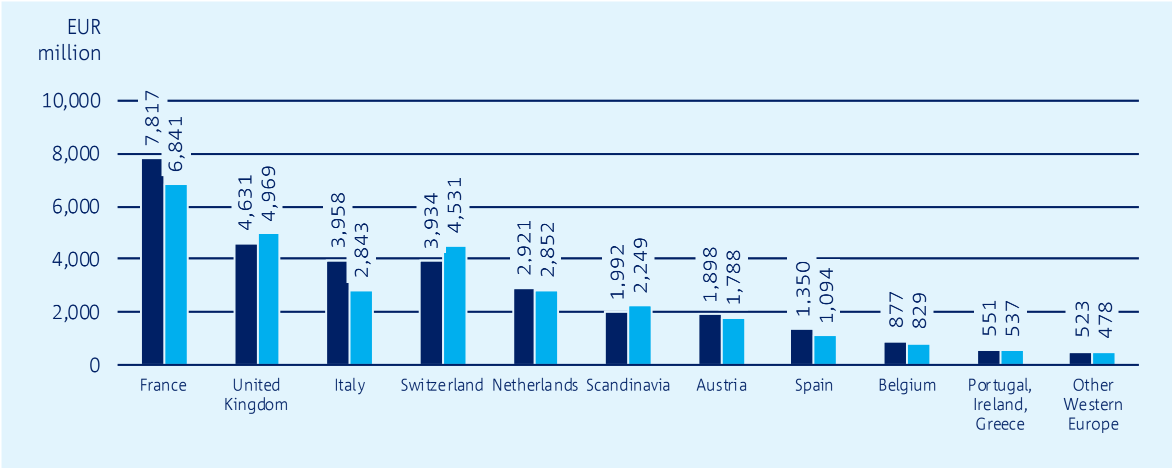
Gross and net exposure in the CIS states (including Ukraine)

	Gross		Net	
EUR million	**31 Dec 2022**	**31 Dec 2021**	**31 Dec 2022**	**31 Dec 2021**
Russia	327.2	482.8	72.2	139.6
Azerbaijan	75.5	89.5	3.7	5.7
Ukraine	72.1	91.3	4.0	10.4
Uzbekistan	14.2	17.9	1.2	1.5
Turkmenistan	7.3	11.5	0.3	0.5
Kazakhstan	3.2	5.4	3.2	5.4
Belarus	1.5	20.7	0.3	14.5
BayernLB Group	**500.9**	**718.9**	**84.9**	**177.7**

Generally speaking, country risks and risk/return ratios in lending abroad continued to be very closely managed and monitored given the economic and political uncertainties in various countries.

The following table shows the BayernLB Group's gross credit volume in western European countries (excluding Germany).

Gross credit volume in western European countries (excluding Germany)



■ Total as at 31 Dec 2022: EUR 30,454 million
■ Total as at 31 Dec 2021: EUR 29,011 million

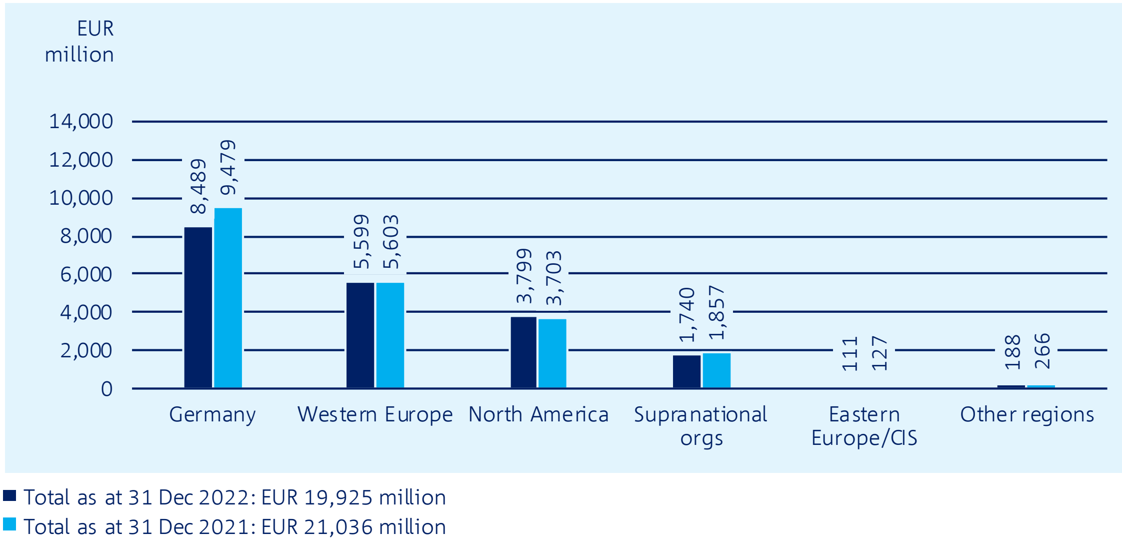
Gross credit volume in Western Europe (excluding Germany) rose in the reporting period by around EUR 1.4 billion to EUR 30.5 billion (FY 2021: EUR 29.0 billion). There was a major increase in business volume in Italy (EUR 1.1 billion), France (EUR 1.0 billion) and Spain (EUR 0.3 billion). The expansion in these countries occurred mainly in the energy, commercial real estate and insurance sectors.

Gross credit volume fell back in Switzerland (EUR 0.6 billion) and the United Kingdom (EUR 0.3 billion) in particular. In these countries, most of the decrease occurred in the insurance, energy and banking sectors.

Issuer risk

The following table shows gross issuer risk by region within the BayernLB Group.

Gross issuer risk by region

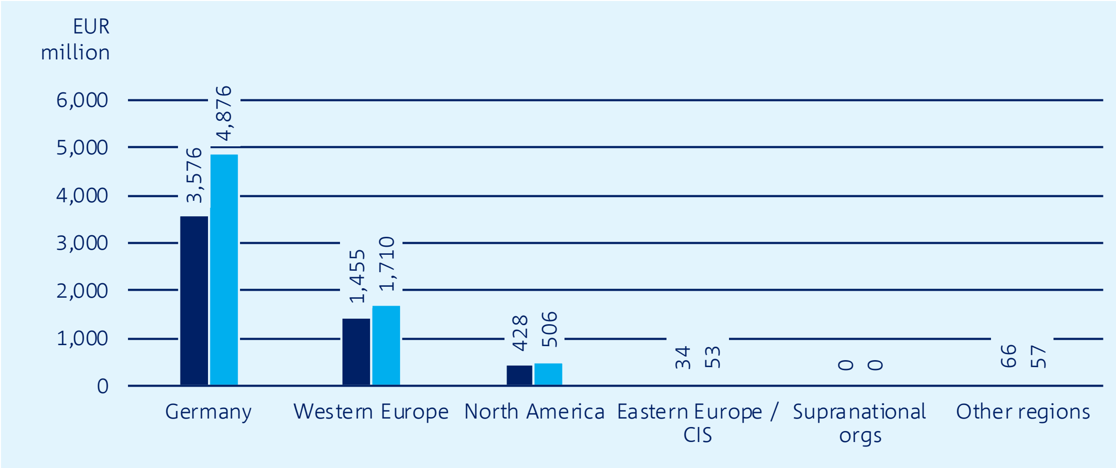


Gross issuer risk volume fell in the reporting period by about EUR 1.1 billion to EUR 19.9 billion (FY 2021: EUR 21.0 billion). Germany (EUR 1.0 billion) and supranational organisations (EUR 0.1 billion) accounted for the bulk of the fall in gross issuer risks. In the Western Europe region, exposure remained virtually constant, albeit with small shifts: increases in Italy (EUR 0.2 billion) and Spain (EUR 0.2 billion) in particular were offset by decreases mainly in France (EUR 0.2 billion), Norway (EUR 0.1 billion) and Denmark (EUR 0.1 billion).

Replacement risk

The following table shows the BayernLB Group's gross replacement risk by region.

Gross replacement risk by region



■ Total as at 31 Dec 2022: EUR 5,560 million
■ Total as at 31 Dec 2021: EUR 7,203 million

Gross replacement risk volume fell in the reporting period by EUR 1.6 billion to EUR 5.6 billion (FY 2021: EUR 7.2 billion). Besides the usual bank management, repayments in the non-cash lending and securities repurchase transactions product classes played a role too. Germany accounted for the bulk of the drop (EUR 1.3 billion), with the Financial Institutions sub-portfolio in particular posting a fall (EUR 1.4 billion) here. In addition, the gross replacement risk fell back slightly in the regions of Western Europe (EUR 0.3 billion) and North America (EUR 0.1 billion), with Switzerland (EUR 0.2 billion) and the Netherlands (EUR 0.1 billion) being the big contributors in Western Europe.

Breakdown by size category

The following table shows net credit volume by size.

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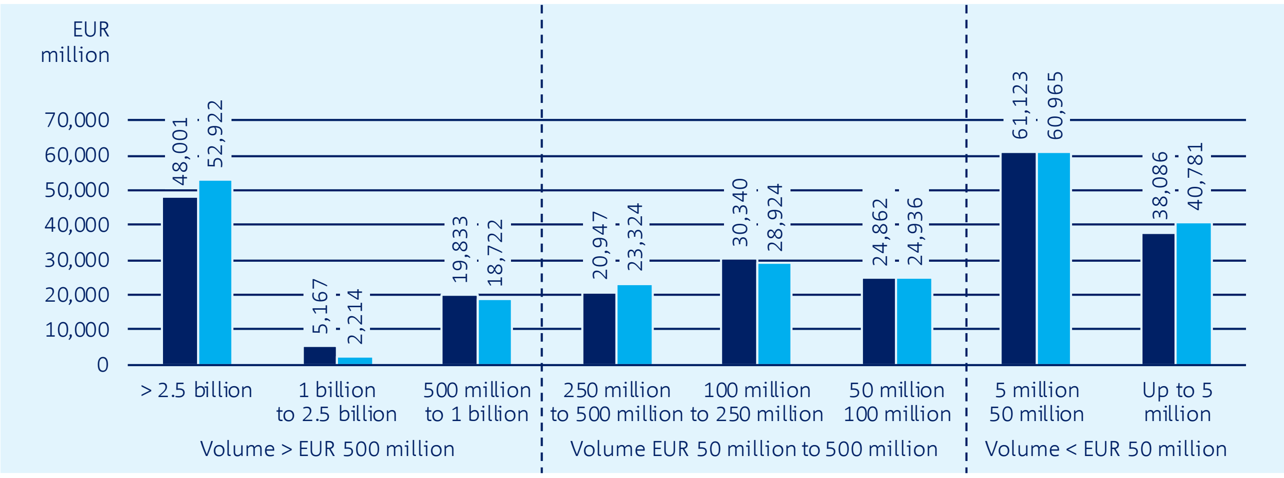
Net credit volume by size



■ Total as at 31 Dec 2022: EUR 248,358 million
■ Total as at 31 Dec 2021: EUR 252,786 million

The net credit volume with customers in the more than EUR 2.5 billion category plunged by EUR 4.9 billion to EUR 48.0 billion (FY 2021: EUR 52.9 billion), mainly as a result of a reduction in deposits at the Deutsche Bundesbank (EUR 4.2 billion). This size category only contains loans and advances to top-rated German and US government entities with a first-class credit score.

Net credit volume in the more than EUR 500 million to EUR 2.5 billion category went up by around EUR 4.1 billion to EUR 25.0 billion (FY 2021: EUR 20.9 billion). The increase in these size categories stemmed from a higher gross credit volume in the Corporates (EUR 3.1 billion) and Countries/Public-Sector/Non-Profit Organisations (EUR 1.2 billion) sub-portfolios and a decline in volume in the Financial Institutions sub-portfolio (EUR 0.2 billion). These categories predominantly include savings banks, German and international banks and insurers, large DAX companies and government entities. The individual credit ratings fall solely in the investment-grade range, mainly in the rating categories MR 0-7 (EUR 23.3 billion) and, to a lesser extent, the rating categories MR 8-11 (EUR 1.7 billion). The net credit volume in these size categories over the reporting period was entirely down to BayernLB customers.

The size category with a net credit volume of EUR 250 million to EUR 500 million posted a decline of EUR 2.4 billion to EUR 20.9 billion (FY 2021: EUR 23.3 billion) in the reporting year, which was, however, also due to the expansion of business with existing customers and a corresponding shift to the size categories above. All relevant sub-portfolios contributed to the drop in this size category: Countries/Public-Sector/Non-Profit Organisations (EUR 1.0 billion), Corporates (EUR 0.7 billion), Financial Institutions (EUR 0.5 billion) and Commercial Real Estate (EUR 0.3 billion).

The high granularity of the portfolio was maintained. Although the net credit volume in the size categories up to EUR 250 million fell slightly to EUR 154.4 billion (FY 2021: EUR 155.6 billion) as at the reporting date, this was disproportionately low compared with the fall in the total net credit volume, so that percentage shares in the size categories rose to 62.2 percent (FY 2021: 61.6 percent). Both institutions account for a significant proportion of the net credit volume in these size categories.

Countries/Public-Sector/Non-Profit Organisations sub-portfolio

Gross credit volume in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio fell by EUR 5.2 billion or 5.2 percent to EUR 95.0 billion (FY 2021: EUR 100.2 billion). Although there was an increase in volume at BayernLB of EUR 10.0 billion to EUR 48.3 billion, it was more than offset by a big fall at DKB of EUR 15.2 billion to EUR 46.7 billion.

The change in the gross credit volume at BayernLB was largely the result of three movements. The business volume with the Deutsche Bundesbank rose by a significant EUR 10.1 billion to EUR 16.4 billion. In addition, foreign central bank positions were expanded by EUR 1.3 billion, with the credit volume as at the reporting date almost exclusively accounted for by the Federal Reserve Bank of New York. However, transactions with German state governments declined by EUR 1.3 billion.

The decline in the gross credit volume at DKB was largely due to the reduction of the position with the Deutsche Bundesbank by EUR 14.3 billion to EUR 24.1 billion, which was mainly related to the repayment of the TLTRO III refinancing tender. Furthermore, DKB’s business volume with the German public sector also contracted by around EUR 1.0 billion.

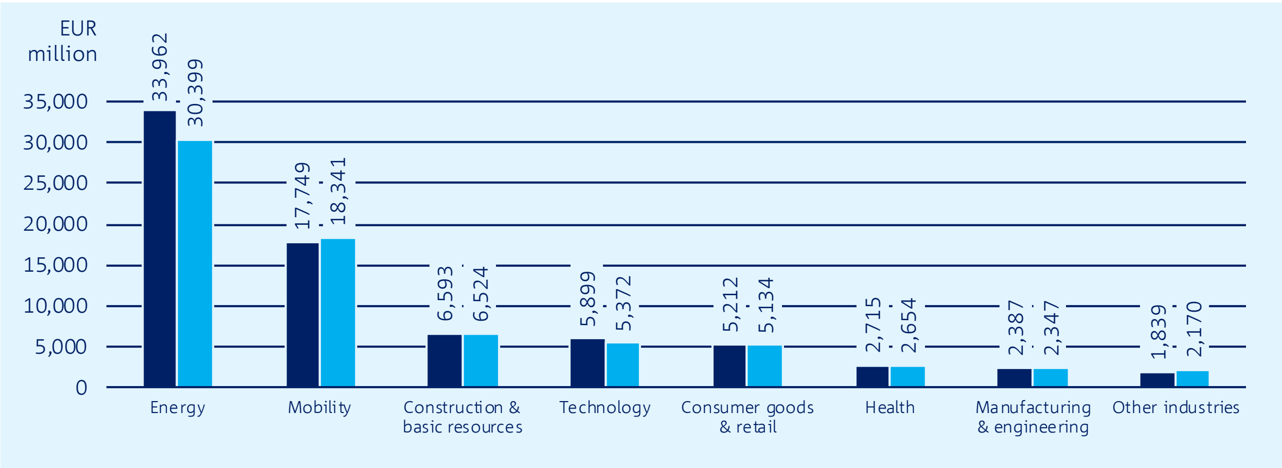
The central bank positions held by BayernLB and DKB are primarily for the purpose of managing liquidity and are therefore subject to considerable fluctuations in value between reporting dates.

The investment-grade share in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio remained very high at 98.5 percent as at the reporting date (FY 2021: 98.7 percent).

Corporates sub-portfolio

The Corporates sub-portfolio was confronted by significant challenges in the 2022 financial year. Besides the turmoil on energy markets, there were supply bottlenecks, inflation and concerns about a recession due to the war between Russia and Ukraine. However, the sub-portfolio's risk profile remained stable and indeed improved slightly, which was also down to very selective and risk-oriented management of new business, focusing on existing investment-grade customers in the target sectors. The business volume in the Corporates sub-portfolio grew to EUR 76.4 billion (FY 2021: EUR 72.9 billion) through significant expansion of business in the energy target sector. At the same time, further progress was made in line with the strategy of winding down exposures in other industries which are no longer profitable, so gross credit volume in the sector was scaled back further.

Sector breakdown within the Corporates sub-portfolio



■ Total as at 31 Dec 2022: EUR 76,355 million
■ Total as at 31 Dec 2021: EUR 72,941 million

The following four sectors, which are examined in more detail below, accounted for the majority of the changes in business volume.

Gross credit volume in energy, the largest and most important sector strategically, rose by EUR 3.6 billion or 11.7 percent to EUR 34.0 billion. Due to the turmoil in the energy market caused by the war between Russia and Ukraine, demand for financing was higher, particularly in the grid operators & utilities sub-sector, where much of the increase (EUR 3.2 billion) was accounted for by investment-grade counterparties which remained stable even in the challenging market environment. Besides renewable energy, traditional corporate financing in this sub-sector therefore continued to play an important role within the energy sector. The portfolio is distributed in a granular fashion across customers from all stages of the sector's value chain, from the generation, transmission and distribution of electricity to integrated energy utilities and municipal utilities. The gross credit volume was also expanded by EUR 0.4 billion in renewable energy. The majority of these transactions are structured as project financings that benefit to a large degree from long-term, feed-in tariffs mandated under German law. In line with strategy, the renewable energy sub-sector, which mostly relates to the financing of solar and wind farms, continues to form the main focus of the entire energy portfolio, accounting for 53.6 percent. As the financing for renewables is predominantly granted by DKB, this subsidiary continues to account for an above-average share of the energy sector, at 58.9 percent. In view of the special situation in the energy market, with lots of new business arranged at BayernLB, especially in grid operators & utilities, DKB's share of the energy sector went down marginally in the reporting period (FY 2021: 60.7 percent). At 89.6 percent (FY 2021: 87.6 percent), the majority of the financing volume in the energy sector was in Western Europe, with Germany accounting for 76.6 percent (FY 2021: 75.4 percent).

A drop in gross credit volume took place in the target sector of mobility, which in the rail & bus, aviation & space, ships and automotive & logistics sub-sectors covers the full value chain, including vehicle manufacturers, suppliers, transportation companies and lessors. The business volume in this area fell back by EUR 0.6 billion to EUR 17.7 billion, with BayernLB being the cause of the decline and still accounting for most of the portfolio at 93.1 percent (FY 2021: 93.3 percent). A fall also occurred in the rail & bus (EUR 0.6 billion) and aviation & space, ships (EUR 0.3 billion) sub-sectors in the reporting period. However, the gross credit volume in automotive & logistics increased (EUR 0.3 billion). The total volume was divided almost equally between three sub-sectors: rail & bus (34.2 percent), aviation & space, ships (33.0 percent) and automotive & logistics (32.8 percent).

In the innovation-driven technology sector with its high-end technology, IT and telecommunications sub-sectors, business volume was expanded by EUR 0.5 billion to EUR 5.9 billion in line with strategy. This increase was strongly driven by telecommunications and network operators (EUR 0.4 billion) and took place at BayernLB, while business volume at DKB stayed almost the same in the reporting period. As a result, BayernLB's share in the technology sector increased slightly to 94.9 percent (FY 2021: 94.3 percent).

In the other industries sector, further progress was made in the reporting period to wind down exposures that are no longer profitable, in line with strategy. Accordingly, the gross credit volume contracted by EUR 0.3 billion to EUR 1.8 billion. The reduction in volume largely took place in media (EUR 0.2 billion) and defence (EUR 0.1 billion) in the BayernLB portfolio. The other industries sector was almost wholly accounted for by BayernLB, with DKB's share remaining a very low 1.9 percent.

Despite the tough macroeconomic situation, the investment-grade share in the Corporates sub-portfolio improved further to 77.4 percent (FY 2021: 74.4 percent), the reason for which was the selective choice of new business and improvements in the credit ratings of some customers. Based on current conditions, ratings are expected to remain relatively stable, although there is still some uncertainty due to potential changes in the political and macroeconomic situation.

The German home market, which is key for the BayernLB Group, continued to drive the Corporates sub-portfolio, with a high share of 74.7 percent (FY 2021: 74.4 percent).

The high granularity of the sub-portfolio was largely maintained. The proportion of customers with a gross credit volume of less than EUR 50 million edged down to 48.9 percent (FY 2021: 50.2 percent).

During the reporting period, employees made a start on classifying both new and existing customers based on their ESG risk. From a risk perspective, the Corporate and Commercial Real Estate sub-portfolios were prioritised, with the majority of customers in both with only minor ESG risks. Material ESG risks were mainly identified in the mobility, and consumer goods & retail sectors of the Corporates sub-portfolio, but also at a low level overall.

Commercial Real Estate sub-portfolio

In line with strategy, the Commercial Real Estate sub-portfolio recorded a considerable increase in gross credit volume. The expansion amounted to around EUR 3.5 billion or 5.6 percent so that the business volume as at the reporting date was EUR 67.0 billion (FY 2021: EUR 63.5 billion). Of the increase in gross credit volume, EUR 2.1 billion related to BayernLB and EUR 1.4 billion to DKB so that the gross credit volume as at the reporting date at BayernLB was EUR 33.0 billion, while at DKB it was EUR 34.0 billion.

EUR 22.7 billion (FY 2021: EUR 21.2 billion) of the gross credit volume at BayernLB was accounted for by the commercial sector, while EUR 10.3 billion (FY 2021: EUR 9.6 billion) was attributable to the residential sector. The increase in the commercial sector was mainly in offices (EUR 1.2 billion) and managed real estate (EUR 0.6 billion), while there was a small fall in the other asset classes (EUR 0.4 billion). BayernLB's main focus is still on financing commercial real estate.

At DKB, the residential sector achieved a business volume of EUR 30.5 billion (FY 2021: EUR 29.3 billion), while the commercial sector recorded a volume of EUR 3.6 billion (FY 2021: EUR 3.3 billion). The rise in gross credit volume at DKB was largely the result of business in the residential property sector, in particular with housing companies (EUR 1.0 billion) and residential property developers (EUR 0.2 billion). The increase in the commercial sector was fully attributable to the social/public housing asset class (EUR 0.3 billion).

Business growth was mainly in the German domestic market with a EUR 2.3 billion rise in business volume. In addition, there were noteworthy increases in the US (EUR 0.8 billion), France (EUR 0.5 billion) and Italy (EUR 0.2 billion). Business in the Netherlands declined slightly (EUR 0.2 billion).

There was another improvement in the already good quality in the Commercial Real Estate sub-portfolio. The investment-grade share rose to 88.5 percent (FY 2021: 87.4 percent). The proportion accounted for by Germany remained high at 84.9 percent (FY 2021: 85.9 percent). The high quality of the portfolio with regard to granularity and collateralisation was mostly maintained: as at the reporting date, the proportion of customers with a gross credit volume of less than EUR 50 million was 49.7 percent (FY 2021: 50.6 percent). The collateral volume increased by around EUR 4.0 billion to EUR 50.4 billion, while the collateralisation ratio jumped to 75.3 percent (FY 2021: 73.1 percent).

In 2022, the increased financing costs and higher bond yields as an alternative investment led in some cases to considerable drops in transaction volumes, especially towards the end of the year, on the commercial real estate market, but particularly on the residential investment market. All commercial asset classes were affected by these yield rises (albeit to differing degrees). Prime yields soared, especially in the fourth quarter. The upwards trend in yields will probably continue in 2023, and we do not anticipate a countermovement (i.e. yields to start falling again) until the macroeconomic environment improves and long-term yields retreat once more. In spite of this, the portfolio quality in the Commercial Real Estate sub-portfolio was kept very high, thanks in part to the rigorously selective approach we use in choosing exposures. But due to the high cost base with regard to materials prices, wage costs, ESG requirements and land prices, transaction volumes on the real estate market are expected to be subdued until further notice.

Financial Institutions sub-portfolio

Gross credit volume in the Financial Institutions sub-portfolio rose by around EUR 0.5 billion to EUR 54.3 billion (FY 2021: EUR 53.8 billion), an increase of 0.9 percent.

Gross credit volume in the sub-portfolio breaks down as follows: EUR 52.4 billion related to BayernLB and around EUR 1.9 billion to DKB.

Gross credit volume in the savings banks sector, the largest sector by volume, decreased by EUR 0.6 billion to EUR 27.8 billion. The reason for the decline was lower new subsidies business. Following the high demand in previous years, this declined to a lower/normalised level, partly on account of a lack of subsidies for new buildings.

The banking sector posted an increase in gross credit volume, rising by EUR 0.3 billion to EUR 20.1 billion. This was largely the result of the movements described below. Gross credit volume went up in the case of global credit banks (EUR 0.7 billion), mortgage banks (EUR 0.3 billion), investment banks (EUR 0.2 billion) and clearing houses (EUR 0.2 billion). On the other hand there were declines, primarily with Landesbanks (EUR 0.8 billion), supranational credit institutions (EUR 0.5 billion) and domestic credit banks (EUR 0.3 billion). These changes were mostly down to fluctuations between reporting dates relating to investments to maintain liquidity and hedging activities as well as slightly increasing trade finance activities. In addition, business with leasing companies and forfeiting companies was expanded by EUR 0.5 billion and EUR 0.1 billion, respectively.

Business volume in the insurance sector jumped by around EUR 0.7 billion and amounted to EUR 6.4 billion as at the reporting date. The expansion was largely due to reinsurers (EUR 0.3 billion) and pure life insurance companies (EUR 0.3 billion).

The quality of the sub-portfolio, which was already at a very high level, improved slightly. The investment-grade share rose to 99.4 percent (FY 2021: 99.2 percent). The Germany share fell back slightly and stood at 70.5 percent as at the reporting date (FY 2021: 72.2 percent).

Retail/Other sub-portfolio

In the Retail/Other sub-portfolio, gross credit volume dropped by EUR 1.1 billion, or 2.8 percent, to EUR 37.3 billion.

Business volume at BayernLB fell slightly (EUR 0.2 billion), which was largely down to BayernLabo. The retail customer business ceased to be part of the core business of BayernLB core Bank (excluding BayernLabo) several years ago and is therefore being wound down as planned. Its volume stood at EUR 0.3 billion as at the reporting date. Within the BayernLB Group, the retail business is successfully operated by the Group subsidiary DKB.

Gross credit volume at DKB contracted by EUR 0.9 billion to EUR 34.1 billion. Real estate financing (EUR 2.2 billion) and private loans (EUR 0.6 billion) remained strong growth drivers in the sub-portfolio, in which the expansion strategy was successfully implemented in the reporting period. However, this growth was offset by significant falls at DKB Visa cards (down EUR 3.4 billion) as a result of the introduction of the DKB Visa debit card. In addition, current account overdraft facilities were also slightly down (EUR 0.2 billion).

Germany's share of the sub-portfolio remained unchanged at nearly 100 percent throughout the Group.

Summary

BayernLB performed well in the challenging overall economic situation, which was marked by the direct and indirect impact of the war between Russia and Ukraine, such as energy price rises, supply bottlenecks, higher interest rates and inflationary trends.

Despite this exceptionally difficult environment, the BayernLB Group succeeded in maintaining or even slightly improving the quality of its portfolio, which was also due to the selective and risk-oriented management of new business.

Particular highlights were the business expansion in the strategically important Commercial Real Estate and Corporates sub-portfolios. In the case of Corporates, the growth was mainly due to stable investment-grade counterparties in the energy sector as a result of high financing needs in the energy market caused by the war between Russia and Ukraine.

The good portfolio quality must also be emphasised in this regard. Despite falling business volumes with the Deutsche Bundesbank, the investment-grade share increased markedly. The non-performing loan ratio was steady at 0.6 percent during the reporting period. The signs of recovery in connection with improvements in ratings in sectors of the Corporates sub-portfolio particularly impacted by the coronavirus pandemic continued in the reporting period.

Owing to the uncertainties regarding the future direction of the risk factors described above, there is still an elevated risk of a deterioration in the economic situation with potential negative effects on creditworthiness and portfolio quality.

Risk associated with equity interests

Definition

Risk associated with equity interests at the BayernLB Group is defined as the risk incurred through acquiring equity interests. A distinction is made between risks associated with equity interests in the narrower and broader sense.

Risk associated with equity interests in the narrower sense comprises the following business activities, which could result in potential financial losses from the equity interests acquired. These arise, for example, from the provision of equity or equity-like financing (e.g. silent partner contributions), suspension of dividends, partial writedowns, losses on disposals or reductions in hidden reserves, liability risks and/or profit and loss transfer agreements, e.g. assumption of losses (under letters of comfort or company agreements) and contribution commitments.

Risks associated with equity interests in the broader sense are defined as risks in relation to equity interests which, independently of risks associated with equity interests in the narrower sense, have an influence on the risk profile of the BayernLB Group via other risk types.

Risk Strategy

The Group strategy for risks associated with equity interests, derived from the overarching BayernLB Group Risk Strategy, forms the framework for dealing with the risks associated with equity interests. The Bayerische Landesbank Act, the Statutes and the Rules of Procedure of the BayernLB Board of Management set further overall conditions for the Group Risk Strategy.

BayernLB has classified its investment portfolio into equity interests relevant to the business model, equity interests under public mandate and equity interests not relevant to the business model (with/without exit status). DKB, BayernInvest and Real I.S. are the equity interests that form an integral part of the Group business model. The BayernLB Group would like to dispose of the equity interests that have been assigned exit status.

Organisation

Group Risk Control is responsible for setting standards and for internal risk reporting at portfolio level. The BayernLB Group has an independent central unit with the authority to issue guidelines for all methods relating to monitoring risk associated with equity interests. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Measuring, managing and monitoring risk

A classification procedure for identifying and measuring risk with clear guidelines on the early detection of risks has been implemented for all direct equity interests held by BayernLB. Key factors in this regard are risk-based early warning indicators and the assessment of the maximum potential loss. Where BayernLB also provides debt capital, it examines any additional risks, particularly those arising from its status as a lender.

Measures and requirements to identify, manage and monitor risks associated with equity interests in the broader sense are defined and implemented according to the respective risk type.

Risk capital requirements for risk associated with equity interests are measured in ICAAP using the PD/LGD method in accordance with CRR/CRD IV. For CRR/CRD IV reporting, risks associated with equity interests are measured using the simple risk weighting method.

The risks from direct equity interests are identified using the relevant procedures (classification and early warning) and reported to the Board of Management as part of the risk reporting process.

Similar processes apply to DKB. These are closely integrated into the entire Group strategy, planning, management and monitoring process.

ESG risks

ESG risks are becoming increasingly important in risk management and can potentially have an impact on risk associated with equity interests. Therefore, all significant equity interests (excluding DKB) were examined for the systemic impact of climate and environmental risks on risk associated with equity interests and the potential effects on risk-bearing capacity. As a result, no significant negative effects from ESG risks on risk capital requirements from equity interests are expected.

Current situation

As at 31 December 2022, the economic risk capital requirement had increased to EUR 121 million (FY 2021: EUR 92 million) at the BayernLB Group. As at 31 December 2022, the economic risk capital requirement at BayernLB had increased to EUR 77 million (FY 2021: EUR 81 million).

The changes in the Group were mostly due to DKB. This was mainly due to changes in how the DKB equity interest in VISA is treated under the methodology used. At BayernLB, the risk capital requirement went down due to a value adjustment during the period of the annual financial statements, leading to a reduction in the carrying amount of the equity interest.

Summary

The implementation of the planned winding down of equity interests that have been assigned exit status was again driven forward.

‚Business and strategic risk

Definition

Business and strategic risk (or simply “business risk”) is defined as the risk of an unexpected change in the economic, political, social, ecological, legal, technical or regulatory environment that has not already been taken account of, either explicitly or implicitly, by other risk types covered by the risk-bearing capacity calculation.

Organisation

Group Risk Control estimates the business risk for the purposes of the risk bearing capacity calculation and analyses changes to those risks.

Risk Strategy

The management of business risk is defined in the strategy for non-financial risks as part of BayernLB’s Risk Strategy. The management and monitoring of the relevant parameters for business risk forms part of the BayernLB Group’s management cycle.

Measuring and monitoring risk

Business risk is estimated based on target/actual historical deviations in the income statement items identified as pertinent to business risk using an analytical value-at-risk approach. The economic capital limits of business risk are monitored monthly on a Group-wide basis. As part of Group risk reporting the Board of Management is informed monthly and the Risk Committee of the Supervisory Board is informed quarterly about the risk situation.

ESG risks

In the case of business and strategic risk, the Bank considers mainly medium-term transitory risks (political measures and investor and consumer sentiment), which could push down interest and commission income and push up administrative expenses and capital requirements in the medium and long term. This is analysed further and monitored in the multi-year planning.

Current situation

As at 31 December 2022, the BayernLB Group’s risk capital requirement stood at EUR 108 million (FY 2021: EUR 110 million) while BayernLB’s was at EUR 368 million (FY 2021: EUR 306 million).

Summary

The risk capital requirement for business risk remained within the allocated risk appetite during the reporting period.

Market risk

Definition

Market risk is the risk of financial losses due to changes in prices on money, currency, capital and commodity markets. The potential losses arise through the financial transactions conducted in the course of the Bank's business activities (in both the trading and banking books) whose performance changes according to changes in market risk factors/market prices. Accordingly, the BayernLB Group breaks down its market risks into interest rate risks (further broken down into present-value general, present-value specific and earnings-related interest rate risks), currency risks, equity price risks, commodity risks and volatility risks. The market risk factors also include the valuation interest rate for pension obligations.

Organisation

Group institutions are responsible for the operational monitoring of their market risks; this is performed internally by their own risk-monitoring units. The market risks at BayernLB and DKB are included in a daily Group-wide risk report. Group Risk Control is responsible for setting Group-wide methodological standards and for the overall, Group-wide monitoring of market risk.

Risk Strategy

The Risk Strategy sets out the strategic principles for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks are measured, monitored and may only be assumed within approved limits.

The amount of economic capital provided as backing for market risks is broken down by risk unit and individual market risk type and implemented in the form of value-at-risk (VaR) limits. In accordance with the current Business and Risk Strategy, market risks are entered into primarily for the purposes of liquidity and asset-liability management. In addition, market risks arise from customer-driven trading positions, which are managed based on the portfolio situation, and from non-core business. The gradual building up of plan assets via a contractual trust arrangement (CTA) will reduce the impact of interest rate risks arising from BayernLB's pension obligations. The risk of primary effects arising is considered to be limited due to the composition of the portfolio. The product range may, however, need to be restricted in order to meet sustainability criteria. Financing and capital market transactions within the BayernLB Group are always executed in compliance with the sustainability strategy and with environmental, social and ethical criteria.

Risk measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99 percent. BayernLB and DKB both use the historical simulation approach. The introduction of a new market risk system at DKB has also allowed DKB to show volatility risk separately since the end of April 2022. Volatility risk had previously been included in the present value general interest rate risk at DKB. Customer deposits at DKB are modelled using the dynamic replication method.

Both contractual and legal termination rights on loan transactions are represented as options and incorporated into the risk calculation. When considering the interest rate risk from external credit margins, BayernLB takes a premium in the risk capital requirement into account. The interest rate risk in external credit margins is shown in the daily VaR at DKB. Market risks that cannot be covered by the VaR limit calculation are taken into account in the risk capital requirements through the use of alternative risk assessment methods (e.g. stress test estimates). Market risk measurement methods are continuously checked for the quality of their forecasting. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). The backtesting results at both DKB and BayernLB fell within the amber zone of the Basel traffic light approach, in particular owing to the heightened market volatility as at 31 December 2022. Consequently, both BayernLB and DKB apply appropriate premiums when reporting the risk capital requirements or the VaR results (only at DKB).

For reporting the risk capital requirement as part of the economic risk-bearing capacity, one-day VaR is scaled to a one-year horizon, i.e. it is assumed risk positions are closed or hedged over a one-year time horizon. This takes particular account of market liquidity risk – the risk of having to close out risk positions on financial terms that are less favourable than had been expected.

Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads) which are relevant for accounting and reporting are also modelled.

The outcomes of risk measurement for market risks must always be looked at in the context of the assumptions used in the model (primarily the confidence level selected, the holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests simulating extraordinary changes in market prices are conducted monthly on the risk positions and the potential risks are analysed accordingly. Additional stress tests are used at the level of the individual institutions. Stress tests take into account all relevant types of market risk, are regularly reviewed, and their parameters are modified where necessary.

Besides the present value risk measurement methods already described, the Bank calculates the potential negative impact on the income statement and balance sheet capital in the banking book from changes in the general interest rate level and margins as part of earnings-oriented interest rate risk. The components of earnings-oriented interest rate risk are net interest income risk (risk in terms of net interest income in the period) and fair value risk (risk in terms of the fair values of instruments recognised at fair value in the period).

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for market risks.

Risk monitoring

At the BayernLB Group, several tools are used to monitor and limit market risks. In addition to the institution-specific risk capital requirement limits, these include in particular one-day VaR and corresponding VaR limits, risk sensitivities (including related sensitivity limits for trading units engaged in a high number of transactions and high-risk transactions) and stress tests, which in different forms are used to assess risk-bearing capacity. The risk monitoring of the individual limit units is performed separately for the trading and banking books. This accounts for the respective underlying discretionary purpose and achieves a close interlinking of economic and supervisory capital adequacy. DKB does not execute any trading book transactions.

Market risks are monitored, agreed with officers responsible for the trading position and reported daily at BayernLB independently of Trading. At DKB the A custody account is monitored daily and the other banking book monitored weekly. If a VaR limit is breached, appropriate measures are initiated as part of an escalation procedure.

Interest rate risk in the banking book forms part of the risk calculation and monitoring processes in the risk-controlling units. In particular, in the case of interest rate risk in the banking book the fall in the present value in respect of the pre-defined interest rate scenarios is monitored monthly at institution level and across the Group, and referenced against the corresponding supervisory thresholds or warning thresholds (threshold for the +/-200 basis point scenario: 20 percent of own funds; warning threshold for the additional interest rate scenarios (parallel scenarios, pivot scenarios or a short-term interest rate increase/decrease): 15 percent of Tier 1 capital). As at 31 December 2022, the calculated change in present value both at the BayernLB Group and at BayernLB was below the (warning) thresholds. The interest rate risk coefficient for the +/-200 basis point scenario was 8 percent of own funds for both the BayernLB Group and BayernLB. Over the course of monitoring earnings-oriented interest rate risk, individual limit breaches were detected in July and August 2022 due to the jump in interest rates and the associated diminishing effect of the regulatory interest rate floor for the negative interest rate range on net interest income risk at Group level under the interest rate reduction scenarios. The limits were therefore adjusted to the new interest rate level so that the BayernLB Group could still maintain its capital and interest rate positioning during the inflection in interest rates under way.

As part of Group risk reporting the Board of Management is informed monthly and the Risk Committee of the Supervisory Board informed quarterly about the market risk situation.

ESG risks

In the case of market risk, over 50 transmission channels were recorded for various risks and sub-portfolios. Most were assessed as having low or no risks. Medium risk was detected for a small share of the sub-portfolio with a higher level of CO_2 intensity. Within transitory risks, most risks were associated with political measures (CO_2 targets and CO_2 prices) and with investor and consumer sentiment. Physical risks mainly occur from natural disasters. Climate and environmental risks can arise in market risks, especially indirectly through second-round effects (e.g. if the credit spreads of certain types of issuers widen).

Current situation

Due to the business model and the great importance of pension obligations, the BayernLB Group’s market risks were mainly concentrated on general and specific interest rate risks. The introduction of a new market risk system at DKB has also allowed DKB to show volatility risk separately since the end of April 2022. Volatility risk had previously been included in the general interest rate risk at DKB. The extent of the loan termination options at DKB permitted by the German Civil Code in particular means that volatility risk at Group level plays a significant role. In addition, equity risks have risen with the gradual building up of the CTA. All other types of risk play a much less significant role by comparison. The risks in the banking book are of considerably greater significance than those in the trading book.

Overall, total VaR rose at Group level by around EUR 17 million compared with 31 December 2021. The increase in risk chiefly originated at DKB and can be attributed for the most part to the steep rise in market volatility in the uncertain market environment (war between Russia and Ukraine, rising inflation and the ongoing coronavirus pandemic). Payer swaps were taken out at DKB successively to reduce open interest rate positions. The increased market volatility also led to occasional increases in risk at BayernLB over the year. In a year-on-year comparison there was no overall major change in risk for the total VaR, although the Bank observed significantly higher diversification across the individual sub-risk types at the end of 2022 compared with the end of 2021. The risk-increasing effects from the increased market volatility and increased Treasury short positions were mainly neutralised at BayernLB by the higher actuarial interest rate and related lower risk sensitivity in the pension obligations.

The risk capital requirement limits for market risk at Group and institution level were increased in the first half of 2022 (at the expense of the allocation reserve available for stress and crisis situations) as a result of the impact of increased macroeconomic uncertainties and the high limit utilisation on risk-bearing capacity, in particular at DKB. At DKB, there was an additional increase in the risk capital requirement limit for market risks.

VaR contribution of market risks by risk type and banking/trading book at the BayernLB Group (confidence level 99 percent, holding period 1 day)

EUR million	31 Dec 2022	31 Dec 2021	31 Dec 2022 Of which banking book	31 Dec 2022 Of which trading book	1 Jan – 31 Dec 2022 Average	1 Jan – 31 Dec 2022 Maximum	1 Jan – 31 Dec 2022 Minimum
General interest rate VaR	79.6	63.1	79.4	1.7	71.2	88.6	55.7
Specific interest rate VaR (credit spreads)	21.2	12.4	20.8	2.3	17.3	25.6	10.9
Currency VaR	2.5	1.9	2.4	0.3	2.8	5.8	1.5
Equities VaR	18.9	11.7	18.9	0.0	16.2	19.3	11.2
Commodities VaR	3.3	2.5	0.0	3.3	2.6	3.7	1.7
Volatility VaR	25.0	1.6	25.6	0.6	18.3[2]	30.1[2]	1.0[2]
Total VaR[1]	**81.9**	**65.0**	**81.4**	**4.3**	**80.9**	**107.1**	**58.3**

VaR contribution of market risks by risk type and banking/trading book at BayernLB (confidence level 99 percent, holding period 1 day)

EUR million	31 Dec 2022	31 Dec 2021	31 Dec 2022 Of which banking book	31 Dec 2022 Of which trading book	1 Jan – 31 Dec 2022 Average	1 Jan – 31 Dec 2022 Maximum	1 Jan – 31 Dec 2022 Minimum
General interest rate VaR	46.7	37.4	46.4	1.7	36.2	49.5	23.1
Specific interest rate VaR (credit spreads)	18.0	12.0	17.7	2.3	15.3	24.7	10.2
Currency VaR	1.6	1.4	1.5	0.3	2.0	4.8	1.0
Equities VaR	13.4	7.4	13.4	0.0	10.9	13.5	7.1
Commodities VaR	3.3	2.5	0.0	3.3	2.6	3.7	1.7
Volatility VaR	0.7	1.6	1.2	0.6	1.3	2.7	0.6
Total VaR[1]	**39.9**	**38.8**	**39.4**	**4.3**	**37.3**	**53.3**	**24.9**

1 *When calculating the risk-bearing requirement for BayernLB, in addition to showing the VaR contributions, risk-bearing capacity takes into account monthly VaR premiums for risks on external credit margins and credit risks on money market transactions and a risk premium for some downstream risk aspects in the case of XVA risk.*

2 *Due to DKB's separate disclosure of value at risk since the end of April 2022, the average, maximum and minimum values are only of limited use.*

Summary

2022 was chiefly characterised by a jump in interest rates and an increase in market volatility, which led in particular to a noticeable increase in risk at DKB. At BayernLB, the risk-increasing effects of the elevated market volatility were compensated for mainly by the reduced present value position of pension obligations. Due to the continued uncertain conditions and large scenario fluctuations from 2022, which are factored into the risk history, relatively high market risk utilisations are to be expected in 2023 as well.

Pension basis risk

Definition

Pension basis risk is defined as loss potential with an immediate impact on core capital, resulting from an adverse impact on the present values of the pension obligations for BayernLB arising from changes in trend factors, mortality tables or other factors. There are pension obligations for those entitled to and those who are recipients of benefits of BayernLB's civil service-style pension (direct and indirect).

Organisation

Group Risk Control monitors pension basis risk for the BayernLB Group. DKB's pension basis risk is classified as non-material from a stand-alone perspective in the risk inventory, but is also taken into account in order to ensure the consistency of the Group-level analysis.

Risk Strategy

The risk capital requirement for pension basis risk is limited and monitored separately.

Risk measurement

The risk capital requirement for pension basis risk (risk from pension liabilities) is calculated using a scenario-based approach. The parameters for the recognition of changes in adverse trend factors are derived from a historical time series and past experience. A maximum stress is also calculated from the trend factors.

Risk monitoring

The risk capital limits of the pension basis risk are monitored monthly on a Group-wide basis. As part of Group risk reporting, the Board of Management is informed monthly and the Risk Committee of the Supervisory Board informed quarterly about the pension basis risk situation.

ESG risks

Pension basis risk considers climate and environmental risks, which can result in changes to trend factors, mortality tables and other factors (e.g. healthcare costs).

Current situation

The aftermath of the coronavirus pandemic and expectations of inflationary or recessionary trends in the near future have not yet significantly increased risks in the underlying trend volatility and therefore the risk capital requirement. The increase in discount rates since the previous year-end reduced the impact of trend factors on net present value.

The risk capital requirements for pension basis risk as at 31 December 2021 amounted to around EUR 249 million at the BayernLB Group and around EUR 246 million at BayernLB. As at 31 December 2022, the risk capital requirement dropped to around EUR 140 million in the BayernLB Group and about EUR 139 million at BayernLB due to a jump in discount rates.

Summary

The risk capital requirement for pension basis risk is in line with expectations.

Liquidity risk

Definition

Liquidity risk is defined as the risk that payment obligations falling due cannot be met in full or as due (insolvency risk) or that funding is only procurable at above-market rates (liquidity cost risk) in the event of a liquidity crunch. This section looks first at insolvency risk. The liquidity cost risk, which is also taken into account in the risk-bearing capacity calculation, is dependent in part on the development of the refinancing structure (funding mix), which is subsequently presented.

Organisation

As at 31 December 2022, responsibility for strategic and operational liquidity management in the BayernLB Group was vested in the Group Treasury Central Area. Liquidity management ensures adequate liquidity reserves at all times and the management of ad hoc liquidity on the market. Group-wide risk controlling of liquidity risks is conducted by Group Risk Control. This Division also prepares liquidity overviews, such as liquidity gap analyses and limiting ratios as the basis for controlling and monitoring liquidity risks. The Board of Management decides on the necessary liquidity management and funding measures and defines these in relevant strategies. The Board of Management has delegated tasks and competencies in relation carrying out liquidity risk management to Group Treasury and Group Risk Control.

Risk Strategy

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The objective of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure long-term access to the market.

These strategic targets are detailed for daily management in the Group Risk Guidelines, framework instructions and instruments, including the framework instruction "Management of liquidity risks" and the Group Treasury Guidelines in combination with the liquidity management instrument. There is a business continuity plan to safeguard liquidity in the event of emergencies. This defines the processes, management tools and hedging instruments needed to avert potential or address acute crises. It also contains an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

The BayernLB Group actively manages its liquidity reserves in accordance with the regulatory requirements of pillars 1 and 2 (Basel III). The active management of liquidity reserves also includes complying with the net stable funding ratio (NSFR) and the liquidity coverage ratio (LCR) requirements contained in CRR and its subsequent regulations pursuant to the Delegated Regulation (DelReg). In line with regulatory requirements, the BayernLB Group's figures for these ratios are regularly reported.

The Additional Liquidity Monitoring Metrics (ALMM) for the BayernLB Group were also reported regularly to the supervisory authorities in the year under review. Changes to regulatory requirements that have an impact on liquidity risk, such as from new versions of CRR or new implementing regulations, are continuously monitored in order to ensure they are implemented as scheduled in close cooperation with all units affected. This ensures reporting requirements can be met and liquidity efficiently managed in the future.

Risk measurement

The BayernLB Group prepares daily liquidity overviews to measure, analyse, monitor and report on liquidity risk. These project and compare the liquidity gaps, i.e. the net deterministic and non-deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity to an accuracy of one day.

In terms of volumes and timing, the liquidity counterbalancing capacity quantifies the ability of the BayernLB Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are deposits with central banks, holdings of highly liquid securities eligible as collateral at the central bank and other collateral eligible for discounting at the central bank.

Liquidity risks from an off-balance sheet conduit (Corelux S.A.) are fully incorporated. Model assumptions are regularly validated using backtesting and adjusted.

To be adequately prepared for various risk situations, the BayernLB Group also calculates and limits its liquidity on the basis of its management scenario and several stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile to a series of extreme hypothetical stress scenarios. A check is also carried out to identify conditions that represent inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and funding structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported internally every quarter to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2022.

Risk management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and available assets in the registers of cover. The liquid funds that these can generate serve to cover unplanned cash outflows, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities, while limits are placed only on terms of up to five years. To safeguard the solvency of the BayernLB Group and its funding capacity, suitable instruments are used to create a funding structure that is balanced in terms of maturity, instruments and currencies. The key management tool is the Group-wide funding planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up in BayernLB is another instrument to efficiently manage liquidity risks. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of assets in the register of cover for Pfandbriefs is set by law. This, combined with matching currencies and maturities, ensures that Pfandbriefs issued by BayernLB meet high standards on the market. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

The Bank also met the minimum supervisory Liquidity Coverage Ratio (LCR) at all times in the reporting year through its integrated management of ad hoc liquidity. LCR in the BayernLB Group amounted to 175.4 percent as at 31 December 2022 (FY 2021: 271.2 percent) and 144.3 percent at BayernLB (FY 2021: 154.6 percent). The LCR is calculated by comparing the available highly liquid assets with the net cash outflows for the following 30 days. The minimum ratio required by the regulator is 100.0 percent.

The net stable funding ratio (NSFR) for the BayernLB Group, which was published for the first time in 2021 in accordance with CRR II, was 127.3 percent as at 31 December 2022 (FY 2021: 136.6 percent), far higher than the minimum ratio of 100.0 percent required by the regulator.

DKB has its own measures in place to ensure it complies with its specific liquidity requirements. The relevant requirements were complied with during the period under review.

Risk monitoring

Group Risk Control monitors liquidity risks independently of Trading, calculates ratios derived from the daily scenario-based liquidity overviews and sets limits on them.

The risk appetite set by the BayernLB Group limits ad hoc and structural liquidity surpluses separately by currency and across all currencies combined. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the defined stress scenarios are sufficient is key to complying with the liquidity risk limits. Time-to-wall shows the earliest point in time at which the forecast liquidity needs cease to be met by the liquidity counterbalancing capacity. The time-to-wall figures to be observed every day and the scenario-dependent minimum liquidity surplus limits to be observed in euro and other currencies are set out at the BayernLB Group's strategy for liquidity risks.

In 2022 limiting liquidity risks once again ensured the BayernLB Group was solvent and able to fund itself at all times and made a valuable contribution to optimising the management of short-term and structural liquidity.

BayernLB’s intraday liquidity risks were appropriately managed, monitored and reported in 2022. Its intraday liquidity risk management takes intraday cash flows in US dollars, the only material foreign currency for BayernLB in this area, into account along with euro cash flows.

The BayernLB Group will continue to adapt the monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available unutilised limits and other relevant ratios are included in the risk reports submitted regularly to the Board of Management and the responsible managing units.

ESG risks

In the case of liquidity risk, the transmission channels of physical and transitory risks were mainly based on liquidity outflows from deposits (natural persons and institutional investors) and commitments. Relevant sectors were identified and the potential volume determined. This indicated that each individual climate and environmental risk has a characteristic impact on the liquidity risk. At BayernLB, transitory risks are predominant, while at DKB it is physical risks.

Current situation

The liquidity situation as at 31 December 2022 is shown based on the maturity structures in accordance with IFRS 7.39 and IFRS 16.58 on the one hand and an economic approach on the other.

In accordance with IFRS 7.39, the breakdown of financial liabilities by contractual maturity structure is shown below.

Contractual maturities of financial liabilities at the BayernLB Group[1]

31 Dec 2022 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	105,947	117,814	136,707	181,746
Liabilities from derivatives	(413)	(3,217)	(3,239)	(1,110)
Total	**105,534**	**114,597**	**133,468**	**180,636**

31 Dec 2021 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	99,518	109,438	125,165	187,539
Liabilities from derivatives	(946)	(1,844)	(3,034)	(2,714)
Total	**98,572**	**107,594**	**122,131**	**184,824**

1 The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.

The BayernLB Group’s open irrevocable commitments decreased slightly to EUR 27.5 billion (FY 2021: EUR 29.2 billion), The volume of contingent liabilities from guarantees and indemnity agreements rose slightly to EUR 12.9 billion (FY 2021: EUR 11.7 billion), However, in contrast to the economic liquidity situation shown below, call probabilities have not been factored into these volumes.

The maturities of lease liabilities in accordance with IFRS 16.58 were structured as follows as at 31 December 2022:

Contractual maturities of financial lease liabilities

31 Dec 2022 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	**25.3**	**4.2**	**19.3**	**68.7**

31 Dec 2021 EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	**19.5**	**3.6**	**17.7**	**68.7**

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity in each maturity band. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions.

The BayernLB Group management scenario showed the following results as at 31 December 2022 compared with 31 December 2021:

Economic liquidity situation at the BayernLB Group and at BayernLB

31 Dec 2022 Cumulative figures in EUR million	**Up to 1 month**	**Up to 3 months**	**Up to 1 year**	**Up to 5 years**
BayernLB Group				
Liquidity counterbalancing capacity	68,198	68,506	61,388	53,246
Liquidity gap	24,462	32,619	35,236	22,995
Total liquidity surplus	**43,736**	**35,887**	**26,152**	**30,251**
BayernLB				
Liquidity counterbalancing capacity	28,236	29,395	26,582	15,688
Liquidity gap	13,472	18,449	24,584	8,032
Total liquidity surplus	**14,763**	**10,945**	**1,998**	**7,655**

31 Dec 2021 Cumulative figures in EUR million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
BayernLB Group				
Liquidity counterbalancing capacity	69,504	66,920	58,571	65,030
Liquidity gap	18,177	25,899	27,678	37,072
Total liquidity surplus	**51,327**	**41,021**	**30,894**	**27,957**
BayernLB				
Liquidity counterbalancing capacity	28,334	26,193	23,846	12,309
Liquidity gap	9,987	14,064	18,519	6,088
Total liquidity surplus	**18,347**	**12,129**	**5,327**	**6,222**

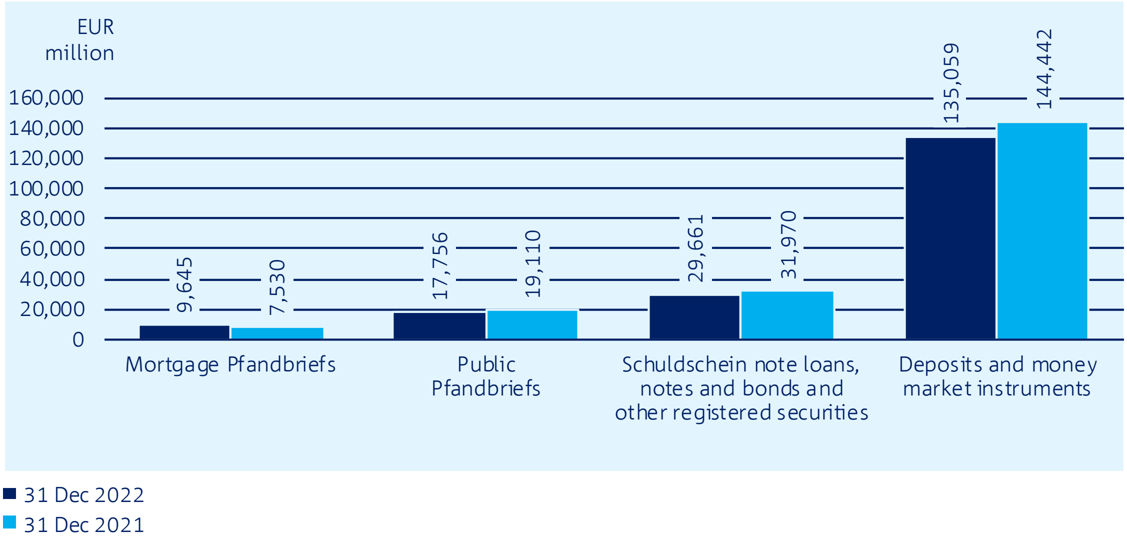
The BayernLB Group and BayernLB had a good liquidity position throughout the reporting period despite the unexpected war between Russia and Ukraine and the subsequent volatility in markets.

BayernLB's good liquidity situation was partly due to big central bank deposits resulting from customer deposits and regular issuance activity across all funding classes, including sustainable bonds. Furthermore, in 2022 Group subsidiary DKB cemented its already strong position in the market through growth in customer deposits and lending activities.

The changes in liquidity overviews between 31 December 2021 and 31 December 2022 primarily showed a marked increase in the lending business at the BayernLB Group. Given the maturity transformation in funding, this resulted in an increase in the liquidity gaps, especially in the maturity bands of up to one year.

The funding structure of the BayernLB Group for 2022 compared to the previous year was as follows:

Funding structure



In 2022, the primary market for BayernLB's issues was generally receptive. However, due to the war between Russia and Ukraine and fears of inflation, spreads on all categories of debt widened at the start of the year. Owing to the higher interest rate volatility, there was particularly strong demand on the capital market for bonds with short maturities. In spite of this situation, BayernLB successfully sold longer maturities, especially in Pfandbrief format.

In addition to equity, BayernLB's structural funding derives mainly from capital market issues, deposits and subsidised loans and ad hoc funding in the money market. The BayernLB Group has drawn on the ECB's longer-term refinancing facilities (TLTRO III) since 2020, but this was mostly repaid in 2022. As a result, the change in the year-on-year drawings under TLTRO III was as follows:

TLTRO III drawings at the BayernLB Group

EUR billion	31 Dec 2022	31 Dec 2021
BayernLB	–	–
DKB	8.5	26.8
BayernLB Group	**8.5**	**26.8**

The carrying amount of the issues went down at the BayernLB Group, whereas the nominal value rose slightly. EUR 5 billion (gross[44]) was placed in secured issues. Overall, BayernLB issued a total of four Pfandbriefs in benchmark format and an additional covered bond in the amount of USD 250 million. In connection with the adjustment of Moody's rating methodology, demand for non-preferred issues fell. In 2022, the (gross[44]) funding volume of structural unsecured liquidity realised at BayernLB amounted to around EUR 3.0 billion (of which around EUR 1.6 billion was non-preferred format). Adjusted for the partial repayment of the TLTRO, deposits rose slightly.

44 Gross sales with no reduction for repurchases; excluding intra-Group transactions.

There was unrestricted access to all funding sources in spite of the tough geopolitical and macroeconomic conditions.

As the municipal and development bank of the Free State of Bavaria BayernLabo's liabilities are covered by a 100 percent state guarantee. In line with its mandate, BayernLabo is publicly funded via the KfW and the Landwirtschaftliche Rentenbank. The capital market is a further source of funding. BayernLabo meets ad hoc liquidity requirements by drawing time deposits at BayernLB. In 2022 BayernLabo placed new issues worth around EUR 500 million net.

Customer deposits represented the largest source of funds in the DKB funding mix. In addition, much of the lending business is funded in the form of on-lending loans from development banks. The company's funding activities also include capital market issues. DKB's funding requirements continued to be met principally by growth in deposits in 2022.

BayernLB's issuer rating, which is good compared with European benchmarks, was Aa3 (Moody's) and A- (Fitch). Both rating agencies rated the outlook as stable.

Economic and regulatory ratios and management limits, such as the internal limits, LCR and NSFR, were comfortably complied with throughout the reporting period.

In the coming financial years, liquidity management and monitoring at the BayernLB Group will continue to revolve around the funding options available. The focus will continue to be on ensuring liquidity reserves in the BayernLB Group and at BayernLB are always adequate, even in stress situations.

As well as actively managing liquidity reserves, the management of supervisory and economic liquidity risk will continue to be built around a broadly diversified funding structure. This is supported by a reliable base of domestic investors and retail customer deposits at the subsidiary DKB.

Summary

Thanks to a forward-looking liquidity management, the BayernLB Group and BayernLB had good liquidity throughout the period under review.

Reporting of products as defined in section 46f paras 6 and 7 KWG

The following tables show the debt instruments and structured financial products as defined in section 46f KWG, i.e. according to their seniority of payment under bankruptcy law:

Debt instruments as defined in section 46f para. 6 KWG (non-preferred senior) at the BayernLB Group

EUR million	31 Dec 2022	31 Dec 2021
Liabilities to banks	3,674	3,824
Of which Schuldschein note loans	2,143	2,241
Of which other registered securities	1,531	1,583
Liabilities to customers	5,552	6,389
Of which Schuldschein note loans	856	833
Of which other registered securities	4,696	5,556
Securitised liabilities	16,031	18,642
Liabilities held for trading	333	410
Total	**25,590**	**29,266**

Debt instruments as defined in section 46f paras. 5 and 7 KWG (preferred senior) at the BayernLB Group

EUR million	31 Dec 2022	31 Dec 2021
Liabilities to banks	184	121
Of which Schuldschein note loans	124	40
Of which other registered securities	59	81
Liabilities to customers	612	612
Of which Schuldschein note loans	129	28
Of which other registered securities	484	584
Securitised liabilities	10,449	6,261
Of which Schuldschein note loans	3,608	2,382
Of which money market instruments	6,840	3,878
Liabilities held for trading	404	477
Total	**11,648**	**7,470**

First-time inclusion of additional positions in section 46f paras. 5 and 7 KWG and the corresponding adjustment of the previous year.

Operational risk

Definition

In line with the regulatory definition pursuant to CRR, the BayernLB Group defines operational risk as the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events. This includes legal risks.

In 2022, the following non-financial risks were identified as significant operational risks during the risk inventory carried out pursuant to MaRisk: general legal risk, compliance risk and tax law risk, fraud risk; information security risk (including cyber risk), HR risks, project risk, outsourcing risk, model risk and other operational risks.

General legal risk is the risk that the Bank will incur losses as a result of (actual or alleged) non-compliance with applicable legal regulations. This includes breaches of contractual arrangements and erroneous contractual provisions. Legal risk arises from errors in the application of the law, amongst other things, especially when entering into contracts.

Compliance risk is a component of legal risk and includes the risk that the Bank will incur losses as a result of non-compliance with applicable legal regulations.

Tax law risk, part of legal risk, is the risk arising from BayernLB breaching applicable tax law.

Fraud risk covers the risk of a loss being incurred for the BayernLB Group due to punishable actions, whether carried out internally or externally.

Information security risk describes the risk relating to the availability, integrity and confidentiality of information. It is derived from the individual data protection requirements.

HR risk includes unforeseeable costs arising from the acquisition and employment, training and retraining and permanent retention of employees who are critical to the success of the business and for compliance with legal and regulatory requirements at all times.

Project risk is the risk of additional costs being incurred under a project without an increase in the countervalue. A distinction is made between project risk associated with inadequate project structures, poor performance of employees, risk arising from contracts with external service providers – all of which fall under operational risk – and risk arising from planning uncertainties (such as those created by strategic decisions taken erroneously or late). These risks form part of business and strategic risk.

Outsourcing risk arises when errors are made in agreements with outsourcing companies, performance is poor or the outsourcing company defaults.

Model risk is the risk of loss that may arise when using results or basing decisions on results from models that are incorrect or incorrectly used.

OpRisk events that cannot be allocated to other OpRisk sub-types due to their nature, particularly those caused by external events or actions of employees (e.g. processing errors), are allocated to other operational risks. This risk sub-type acts as a “miscellaneous” category of OpRisk sub-types.

When conducting the risk inventory, the Bank analysed the impact of climate and environmental risks on operational risks in detail in 2022. No new material risks emerged from this which appear to make it necessary to expand the Risk Strategy.

Organisation

Operational risks are managed and monitored both centrally in Group Risk Control and, for non-financial risks, decentrally in the responsible divisions (e.g. the Legal Services & BoM Support Division for general legal risks).

Group Risk Control has the authority to establish guidelines for all methods, processes and systems used to estimate operational risks. DKB is included in the BayernLB Group's loss event reporting procedure.

Risk Strategy

The treatment of operational risks is set out in the Risk Strategy and related sub-risk strategies and guidelines for non-financial risks. The strategic objective is to minimise or avoid risk based on a cost-benefit analysis. This requires operational risks to be identified and assessed as completely as possible.

Moreover, as part of ensuring risk-bearing capacity, the risk appetite and limits are set for operational risks, and compliance with these is monitored on an ongoing basis.

Risk measurement

Operational risks are quantified for the calculation of risk-bearing capacity using the operational value at risk (OpVaR) calculation. The calculation is based on the losses incurred at BayernLB and DKB, the external losses collected via a data consortium and the potential losses identified as part of the operational risk self-assessment (OSA) and scenario analyses at BayernLB and DKB. The calculation applies a loss distribution approach, using a confidence level of 99.90 percent. The key model assumptions and parameters used in the model are reviewed once a year.

In addition to recording losses, OSA (OpRisk self-assessment), which was repeated in 2022, serves as an important database for OpRisk management activities. In particular, this assessed the risks already identified and updated them where necessary. The assessment also took into consideration the results of Group-internal risk analyses (e.g. project analysis). The OSA also specifically addressed and dealt with current issues (e.g. effects of the Fokus 2024 transformation project relevant to OpRisk and sustainability risks with an OpRisk background).

The standard regulatory approach is used to calculate the regulatory capital backing for operational risks.

Risk management and monitoring

Operational risks at BayernLB Group are reported to the Board of Management monthly as part of the regular reporting on risk and on an ad hoc basis if material loss events occur. Transpired loss events, changes in the risk profile (risks and scenarios) and the resulting capital charges form a major part of the regular reporting.

Operational risks are included in stress analyses and the monitoring of risk-bearing capacity across all types of risk, and integrated into the overall management of risk and the Risk Strategy.

ESG risks

An analysis of actual historical loss events found the potential for losses when it comes to operational risk was almost negligible in the case of physical risks. In addition, the recorded loss events could not be clearly linked to climate change. In respect of potential risks, however, the Bank analysed the BayernLB Group's locations for physical risks (e.g. flooding, storms, hail, tornadoes, etc.) and the locations for critical outsourcing (e.g. data centres). Even if the BayernLB Group is not aware of any transitory loss events, the second line (e.g. the Legal Services & BoM Support Division) monitors legal and potential liability risks. This includes in particular the monitoring of case law.

Business continuity management

Business continuity management (BCM) is used at the BayernLB Group to manage risks to the continuation of business operations and deal with crisis situations. BCM establishes core procedures for continuing/restoring operations and has an integrated emergency/crisis management procedure for handling events that could have a sustained impact on activities and resources.

The crisis management exercise carried out in financial year 2022 successfully demonstrated the Bank's emergency and crisis resilience. The effectiveness of the process-specific business continuity plans was also verified through emergency exercises in the departments. By implementing a Bank-wide alert tool, it is possible to respond promptly to potential disruptions which could put the Bank's ability to continue as a going concern at risk, and to implement appropriate emergency and crisis-management measures. Business continuity was maintained at all times during the financial year and not jeopardised at any point.

BCM is anchored in the framework instruction on BCM for BayernLB and the BayernLB Group and in the BCM strategy and Group management directive. The requirements include identifying time-critical activities and processes and specifying business continuity plans and restarting procedures to protect these. They also cover regular testing of the effectiveness and suitability of the measures defined. Care is taken to ensure that the interfaces between disruption, emergency and crisis management are clearly defined and that clear escalation and de-escalation processes are in place. As part of BCM annual reporting, BayernLB's business continuity officer reports regularly to the member of the Board of Management responsible for BCM on compliance with standards by Group companies.

Current situation

The BayernLB Group's economic capital fell to EUR 438 million as at 31 December 2022 (FY 2021: EUR 531 million), while BayernLB's dropped to EUR 295 million (FY 2021: EUR 338 million).

Compared with the previous year, the losses incurred at the BayernLB Group following the implementation of loss minimisation measures decreased to EUR 11.6 million (restated FY 2021: EUR 15.8 million).

Losses reported at BayernLB decreased year on year to EUR 0.6 million (FY 2021: EUR 7.4 million). The majority of the losses were accounted for by the event category execution, delivery and process management.

At DKB, the total losses resulting from operational risks following the implementation of loss minimisation measures rose year on year to EUR 11.0 million (FY 2021: EUR 8.4 million). The majority of the losses were accounted for by the event category external fraud. The provisions still recognised in 2021 for the impact of the Federal Court of Justices' ruling on the mechanism for amending general terms and conditions and for the European Court of Justice's ruling on required components in consumer credit agreements (in the amount of EUR 7.0 million) were released in 2022; only EUR 26,000 of losses materialised.

There were no loss events associated with climate and environmental risks during the reporting period.

Summary

The total losses resulting from operational risks incurred at the BayernLB Group following the implementation of loss minimisation measures decreased.

General overview

The risk situation remained stable, despite the challenging geopolitical and macroeconomic environment in 2022. We expect the high degree of uncertainty in the markets to persist in 2023, but consider the BayernLB Group to be well equipped to deal with it, thanks to its proven, active risk management.

The BayernLB Group had adequate risk-bearing capacity at all times during the reporting period. The stress scenarios conducted also confirmed that adequate capital is held. The liquidity situation remained good. Where necessary, due account was taken of the risks in the credit business through risk provisions.

Regulatory solvency requirements were met. Equity capital for the purpose of risk coverage amounted to EUR 13.9 billion at the BayernLB Group and EUR 11.1 billion at BayernLB (figures as per the prepared financial statements as at 31 December 2022; further details are reported in the notes under capital management).

The risk management and controlling system at the BayernLB Group had appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic perspective.

Report on expected developments and opportunities

The following outlook is for a horizon of one year, which corresponds to the timeframe used in the management process within the Group. The report on expected developments and opportunities is based on the expectations and estimates of the BayernLB Group and may be affected by unforeseeable events. This can mean that the actual performance of the business may deviate either positively or negatively from the expectations described below due to political or economic conditions or other factors.

The Bank conducts its planning on a rolling basis, which also allows it to exploit opportunities that temporarily arise both swiftly and systematically and to duly respond to unexpected risks. Its significant risks are described in the risk report.

Macroeconomic forecast

Economy, inflation and monetary policy

2023 will start with economic weakness in large parts of the world.[45] The spike in inflation has eroded purchasing power, especially in industrialised nations, and a more hawkish monetary policy has tightened financing conditions. Even though the future direction of inflation remains highly uncertain and the target values are out of sight, there are still many factors pointing to falling inflation in the US and Europe over the course of 2023. Therefore, central banks will probably hold back from tightening the interest rate screws further after the first half of 2023. Consequently, we expect an economic recovery to set in from the middle of the year. However, the persistent high levels of uncertainty will likely prove a dampener.

Whereas in Western industrialised countries the loss of purchasing power and tighter financing conditions will lead to falling demand, the removal of coronavirus restrictions in China will likely trigger an economic upturn at the start of 2023. With the opening up in China, supply chain problems will continue to ease and it will be possible to clear the large backlog in orders in many sectors. But due to its greater nationalistic focus, China's upturn will not stimulate the global economy to the same extent that it did in 2021 after the first wave of the pandemic. Despite the anticipated stabilisation in the Chinese real estate market, building activity and therefore demand for commodities will probably remain limited. This means upwards pressure on commodity prices will stay moderate in the first half of the year. With the expected global economic recovery over the course of 2023, however, we predict they will pick up, thereby preventing consumer price momentum from easing notably.

In Germany, the recession forecast for autumn/winter 2022/23 will likely be deeper than in the eurozone as a whole. Given the energy price shock which has hit Germany hard owing to its strategic partnership for Russia over many years, we forecast real gross domestic product will contract by 0.9 percent. This means it will be in last place again among the major eurozone countries. Only industry will have a stabilising effect due to the huge order backlog, which can be cleared thanks to the easing of supply problems. Construction and consumer-related sectors will be significantly affected. Inflation will probably move over 6.8 percent in 2023, but this forecast

45 See BayernLB Research, Perspektiven 10/2022; updated in Perspektiven 02/2023.

is subject to a high degree of uncertainty. The reason for this is the energy price cap, which will mitigate the considerable increases in electricity and gas prices expected at the start of the year. All this will leave a huge crisis in consumer confidence in its wake. Although government support programmes should be able to prevent additional damage to the economy, a recovery is not expected until the end of 2023.

Following the hefty hikes in interest rates in the second half of 2022, the policy pursued by the Fed and ECB will no longer be supportive. Even if the central bankers know that their policies will only take effect after some considerable time lag (about half a year), they can only stop raising rates when inflation starts to retreat, despite the economy slipping into recession. The risk is too great that inflation expectations, which are already above target, will continue to climb and that excessive wage increases will keep the period of high inflation rumbling on. We forecast inflation will peak in mid-2023, including in the eurozone, and that the Fed and ECB will call time on the cycle of rate hikes and tighten monetary policy “only” via quantitative measures. This will squeeze liquidity, which should keep financial market volatility high.

What applies to Germany as a whole applies to Bavaria: soaring prices are souring consumer sentiment at the same time as surging interest rates are stamping out the long-standing real estate boom and throttling the construction sector. Both developments will probably be big factors pushing Bavaria into recession in autumn/winter 2022/23. SMEs, the Mittelstand and the dynamic start-up scene are also labouring under high input and financing costs. But the economy could get support overall from industry, which is still benefiting from a big backlog in orders, especially in the cyclical capital goods sector. However, this is heavily dependent on the political climate, as Germany has very strong trading links with the US and China. With the US expected to move into a mild recession, foreign trade may well soften. We do not expect the economy to heal until the second half of 2023. There is one ray of hope from the robust employment market: it is unlikely that the rate of unemployment will rise much (based on full employment at 3.1 percent (2022)), and demand for labour will remain high.

On the exchange rate front, BayernLB is expecting the dollar to depreciate to EUR/USD 1.12 by the end of 2023. We anticipate that the ECB will hike its key interest rate (deposit rate) to 3.25 percent by mid-2023. Under these circumstances, the greenback’s high valuation against the euro (as measured by purchasing power parity of more than EUR/USD 1.40, according to the OECD[46]) will likely come under pressure, especially as the market might anticipate the Fed’s first cut in interest rates (towards the end of 2023). The franc should also lose ground against a euro strengthened by the ECB, falling slightly to EUR/CHF 1.00. We are predicting only a mild recession in spring/summer 2023 (a soft landing in the US) and therefore are not anticipating any great leap in risk aversion on markets which would cause the franc to strongly appreciate against the euro. For sterling, we believe the currency will lose minimal value against the euro to fall to EUR/GBP 0.90 by the end of 2023, as the currently weak British economy should improve over the course of the year and we do not think the Bank of England will start lowering the cost of borrowing before the end of 2024.

46 See OECD, www.oecd.org/sdd/prices-ppp/purchasingpowerparitiespppsdata.htm.

Financial and real estate markets

On bond markets, yields on Bunds and US Treasuries should be kept at an elevated level by the continuation of the interest rate rises by the Fed and ECB at the start of the year, followed by a pause in the hikes. Further support to this trend will come from a more restrictive liquidity policy by the Fed sticking to its quantitative tightening policy, the ECB moving to reduce the size of its balance sheet and the supply of bonds remaining plentiful. But yields will be dented by the economic cooling, a slowdown in the pace of inflation over time and the anticipation of an end to rate hikes by central banks. Unless base rate expectations are substantially raised again, we expect 10-year government bond yields to fall moderately from the peaks reached in autumn/winter 2022/23, albeit with noticeable volatility. Our forecast is for the yield on 10-year Bunds to climb to 2.25 percent by the end of 2023, with the yield on 10-year US Treasuries at 3.5 percent.

Covered bond investors will also have to contend with high positive net new supply in 2023. Although EUR 122.0 billion of fixed income is due to mature, it is anticipated gross issues of new debt will exceed EUR 180.0 billion. For example, banks are increasingly needing to find cheap funding on capital markets, as a replacement will be needed for the central bank money outstanding. Spreads will probably widen in some cases, as potential changes to the ECB's monetary policy, especially the purchase programmes, and the high volume of new issues will cause spread volatility to go up. But spreads will still be supported by banks being in a fundamentally good condition and the increasing attractiveness of this asset class for investors, owing to the higher yields.

In the corporate market, the ECB will withdraw liquidity for the first time since June 2016 when it starts reducing APP reinvestments from March 2023. Markets have likely already priced in the interest rate hikes set to come in the first half of 2023, as well as the complete discontinuation of APP reinvesting over the course of 2023. After a weak start for the economy, the picture for the macro-environment should look better over the year, with inflation heading south and positive growth returning, supporting a modest tightening of spreads (to 75 basis points at the end of 2023, as measured by iBoxx Non-Financials). These trends should find support from slight falls in sovereign yields and lower net new issuance.

Although the factors influencing stock markets are likely to be a mixed bag in 2023, we are cautiously optimistic. One stabilising factor is that investors already braced themselves in 2022 for weaker conditions with higher interest rates, an economic downturn and geopolitical risks. This has already translated into a significant market shakeout, and many investors are holding above-average liquidity portfolios that can be invested in equities again once risk appetite increases. Positive factors are the opening up of China after the end to its zero-Covid policy, the avoidance of gas shortages in Europe in winter, peak inflation now in the rear-view mirror and the likely end to rate hikes by central banks. But we still face headwinds from the after-effects of monetary tightening and the economic softening, although these will probably not be as bad as feared. Faced with unrelentingly high core inflation, there is also a risk that central banks will behave more hawkishly than expected. They are also still tightening liquidity policy. All in all, our expectation is that blue-chip stock indices in the eurozone and the US will close in positive territory again in 2023 following the big price falls of the previous year. We predict that the German DAX stock market index will close the year at 15,500.

The global rises in interest rates and the gloomier picture for economies will cause property prices in Germany to fall in 2023, putting an end to the years-long boom in residential and commercial real estate markets. In spite of this real estate will remain an alternative for institutional investors, despite the pick-up in bond yields. The focus will be on modern office real estate with indexed leases in central locations in Europe's major cities. Logistics properties will continue to be comparatively popular as well. On the other side of the coin, bricks-and-mortar retail will continue to suffer from the ongoing structural shift towards online retailing and from high inflation, which is dampening consumers' appetite to spend. Despite a big jump in revenues and improved sentiment in the hotel industry in 2022, we are not anticipating a full recovery in travel activity, especially in the business trip segment.

Sector forecasts

2023 will be the first year in nearly a decade in which negative interest rates are no longer relevant. With the monetary policy pivot by central banks and the reduction in excess liquidity this has brought about, the banking industry will begin the move back to the "normal" world in core areas.

While the higher interest rates should spell a turnaround in net interest margins and support banks' earnings, the extent to which risk costs and non-performing loans increase or banks' business activities are constrained will depend on how the economy does and what the fundamental political conditions are. A good starting point is the outstanding asset quality of German banks, even if the economic outlook in Germany is not so bright compared with the rest of Europe. Owing to the high level of inflation, we foresee increases in administrative expenses which will need to be carefully managed in order not to put the cost savings of recent years at risk. The loss of the TLTROs with no replacement will mean capital markets and the structuring of deposit conditions for customers will become more important sources of financing for banks.

Banks will also have to tackle familiar challenges such as increased competition and pressure to digitalise. Digitalisation has also been given a push by the coronavirus pandemic and is forcing banks to adapt their business models in a targeted way for the future and invest in IT.

After the European Commission unveiled a draft to finalise Basel III and introduce Basel IV into the Union, the two other trilogue partners worked out their positions too. It can therefore be assumed that the negotiations on the new regulations will be concluded this year, although the precise details and inclusion of regulations on crypto-investments in the negotiations will be on the table for discussion. All parties appear to have an interest in the main softening of the rules compared with the Basel standards, e.g. the delayed launch of the output floor and the longer transition periods for European problem areas.

The EBA stress test, which examines the resilience of the sector to an adverse scenario, will be repeated in 2023. Following the first climate stress test in 2022, banks are working on refining their ESG risk management. Based on the results of the stress test, the ECB has issued individual requirements for the large banks, for example. The banks face challenges in this area, especially in obtaining the relevant data and translating findings into a comprehensive sustainability strategy.

This scenario takes the assumption that a hypothetical worsening of geopolitical tensions will lead to plunging GDP, persistent inflation and high interest rates. The calibration of the scenario in respect of the decline in GDP has been the most severe so far.

Regulatory environment

In the future, as has unerringly been the case in previous years, the banking supervisory authorities will continue to account for a large proportion of new regulatory requirements issued.

Capital Requirements Regulation (CRR)

Looking ahead to the next few years, the implementation in Europe of the finalised Basel III regulations in particular will move more sharply into focus. In October 2021, the European Commission’s draft of the next CRR update, CRR III, was released. After the trilogue negotiations are concluded, the final CRR III is not expected to be published before the end of 2023. Binding application is envisaged from 1 January 2025, according to a Commission draft.

The main revisions to the regulations concern the credit risk standardised approach (CRSA) and the internal ratings-based approach (IRBA). An output floor of 72.5 percent is also being introduced, which will limit the advantages of using the IRBA and link it to the results of the CRSA.

Even though the Commission’s draft contains EU-specific rules adjustments and transitional arrangements compared with the Basel rules, there could be a significant increase in capital requirements, particularly as a result of the introduction of the output floor once the transitional arrangements come to an end.

The European Banking Authority (EBA) is currently reviewing Common Equity Tier 1 capital instruments issued prior to the entry into force of the European Banking Regulation (CRR). The review thus also covers the capital contribution made by the Free State of Bavaria to BayernLabo's assets.

Digital transformation

As one of its supervisory priorities, the ECB announced it would be devoting more attention to the risks posed by the digital transformation of banks. For example, it will be formulating supervisory expectations of digital transformation strategies and conducting further on-site inspections and follow-ups.

EU taxonomy and sustainability

The topic of sustainability will remain a focus of banking regulators over the next few years. The focus in EU taxonomy will move to a new indicator: the green assets ratio (GAR), which banks must report as of 2024.

And with the introduction of European sustainability reporting standards over the next few years, the scope of sustainability reporting will be extended in stages.

EBS stress test for 2023

Over the coming year, the EBA will again run an EU-wide bank stress test in order to provide supervisors and market participants with transparency and comparable results on banks' resilience in crisis situations, especially in respect of their capital adequacy. The final methodology and economic scenarios which will be considered will be published at the start of 2023, with the results expected by July 2023.

Harmonisation of internal models (TRIM/EBA repair)

In 2020, the ECB, in cooperation with national supervisors, completed Project "TRIM "(Targeted Review of Internal Models), the purpose of which was to review on an EU-wide basis the models used in the banking sector. Based on the findings and the resulting additional supervisory requirements of the EBA, which are currently being looked at by the banks as part of the "EBA repair programme", various banking requirements are being drawn up and will have to be complied with over the coming years.

Geopolitical situation

The growing macroeconomic risks and macroeconomic uncertainties as a result of the war between Russia and Ukraine have prompted the ECB to continue giving high priority to the resilience of the European banking sector. Besides the EBA stress test planned for 2023, it is expected that, in respect of lending and monitoring processes, model reviews and on-site inspections, supervisors will increasingly focus their normal activities on portfolios potentially affected by the energy crisis.

Risks from real estate financing

With the publication of the final Financial Stability Data Collection Ordinance (FinStabDev) on 2 February 2021, the foundations were laid for future data requirements by the Bundesbank to improve the analysis of the macroprudential risk situation, with a focus on residential property financing in Germany. Statistical data collection on residential real estate financing (WIFSta) will be conducted for the first time after the end of the first quarter of 2023.

Company forecasts

Expectations regarding the BayernLB Group

Key forecast assumptions

In its forecast for financial year 2023, the BayernLB Group has made the following key assumptions:

- Macroeconomic environment still dominated by high inflation rates; more interest rate hikes expected in response
- Noticeable reluctance to invest in real estate markets; employment market stable
- Competition remains intense with financial sector under heavy pressure to digitalise and cut costs
- Capital market financing becomes increasingly important for banks
- Continued systematic implementation of target strategic investments at BayernLB and DKB, while maintaining strict cost discipline

For our key financial performance indicators, we are expecting the following developments in what remains a very volatile macroeconomic environment:

	Results for 2022	Outlook for 2023
Profit/loss before taxes	EUR 1,122 million	EUR 600 million - EUR 800 million
Return on equity (RoE)	10.5%	>6%
Cost/income ratio (CIR)	56.2%	<60%
Common Equity Tier 1 (CET1) capital ratio	17.4%	>15%
Leverage ratio	4.5%	>4%

BayernLB anticipates it will be able to comfortably bear risks and therefore maintain a solid capital base at all times in 2023.

Under supervisory rules, a liquidity coverage ratio (LCR) of at least 100 percent is mandatory. The BayernLB Group anticipates that it will easily exceed the floor of this ratio in 2023 and will stay at a high level with a slight downward trend. For the end of 2023, the BayernLB Group is forecasting an LCR in the region of around 149 percent.

For 2023, the BayernLB Group is forecasting an NSRF in the region of 115.0-130.0 percent.

In 2023, the net profit for the year after taxes (HGB) is expected to be roughly on a par with financial year 2022.

The outlook for 2023 is still fraught with significant uncertainty due to the ongoing war between Russia and Ukraine, high geopolitical risks and inflation. We are expecting economic and financial consequences which will impact economic activity and therefore the business performance and financial targets/management ratios of the BayernLB Group.

Future plans for the BayernLB Group

Confirmed again in 2022, the strategic target vision and the financial guidelines defined for this will form the strategic framework within which the BayernLB Group will operate. In view of this, in 2023 the Bank will also be pursuing the strategic goals and objectives outlined in the section on the business model and Group strategy.

The fundamental indicators for the successful implementation of the BayernLB Group's business strategy are to have a solid capital base, a stable core business, and to have implemented the Fokus 2024 transformation as planned, including meeting the cost targets set. The main areas of the Group-wide Fokus 2024 transformation programme in 2023 will be achieving further growth in the real estate and structured asset finance business, ongoing improvements to the IT infrastructure and internal bank management processes, and steadily transforming DKB into a modern tech bank. The goals here under the corporate strategy include profitable growth in the retail customer segment and a stronger focus on cost discipline.

The financial guidelines for realising the transformation to the target structure include keeping RWA volumes within the BayernLB Group largely constant, with the aim of achieving a figure of EUR 70.0 billion in 2024. The BayernLB Group also plans to achieve a return on equity (RoE) of at least 7.5 percent and a cost/income ratio (CIR) of under 55 percent. On top of this, it is aiming for a Common Equity Tier 1 ratio (on a consolidated basis) of more than 14 percent in 2024.

Based on this systematic and sustainable strategy, the BayernLB Group will be working over the next few years to steadily increase the share of the portfolio that is ESG-compliant and impactful. The Bank will continue working on and driving forward all relevant topics in the sustainability strategy. Among other things, the Bank aims to significantly increase the share of ESG-compliant financing and attain a climate-neutral portfolio before 2050.

Despite the large-scale modernisation of IT and processes at BayernLB and DKB and extensive macroeconomic and geopolitical challenges, the BayernLB Group plans to produce good and increasing profits from operating activities while maintaining a solid capital base. This means that the BayernLB Group should be in a position to fund its comprehensive transformation from its own resources.

Our expectations for the operating business segments and the strategic direction of the BayernLB Group are dependent on various external and internal factors. The ability to implement the strategic goals on time and in full may be impeded by the reduced earnings capacities of some of the core business areas in the current challenging macroeconomic and market environment, especially in view of the war between Russia and Ukraine, high inflation, a looming global recession and changes in the regulatory requirements for the Group. The BayernLB Group could be adversely affected by a prolonged downturn in local, region or global economic conditions.

Expectations regarding the operating business segments

Real Estate & Savings Banks/Financial Institutions segment

The main thrust of the strategic approach taken in the real estate business remains unchanged. This is to gradually but selectively expand commercial and residential real estate financing in the established asset classes of office, residential, logistics, retail and managed real estate. To strengthen the planned path to growth, the Board of Management gave the go-ahead to the further improved Immo 2024 business area strategy, which the segment started to implement at the end of 2021. Besides Germany, business activities will continue to be centred on Western Europe, selected countries in Eastern Europe and the US. To better diversify income and risks, the foreign share in the portfolio will be raised from 36 percent to around 43 percent in the medium term. Most of the expansion will take place through the Paris, London, Milan and New York branches, as well as the Amsterdam branch, which will start operations in 2023, while market developments will be constantly monitored, especially with regard to the current macroeconomic situation. The approach to sales will be to achieve high market penetration by having a stronger on-site presence to provide all-round customer support across the entire product range. In parallel, the segment will refine its sustainable financing solutions, expand active new syndicated business and improve its placement ability for real estate financing.

In the real estate business, BayernLB will crank up the financing of sustainable products across all the aforementioned asset classes in Germany and selected established international markets. It will incorporate sustainable finance expertise into commercial and project finance encompassing state-subsidised loans and in conjunction with syndicate banks and savings banks. The segment will also supplement financing with specialised services along the Group's entire value chain, such as Bayern Facility Management GmbH, Munich's "Check-Up Energie", an energy use assessment involving building appraisals and optimisation of energy consumption, and LB Immobilienbewertungsgesellschaft mbH, Munich's sustainability criteria integrated into appraisals in Germany, Europe and the US, which indicate the value and performance of a property.

BayernLB sees itself as an expert and reliable partner for financial institutions and the public sector. BayernLB will continue to work successfully and in a trusting partnership with the savings banks, based on a support model which is sales and customer-centric and has a holistic focus. As the central bank to the Bavarian savings banks, BayernLB offers the savings banks and their customers a focused and future-oriented range of products and services, despite the increasing trend to pool expertise within the Savings Banks Finance Group, e.g. in the international business. The systematic expansion of the sustainable range of services and the steady strengthening of the leading market position in the precious metals business will support the solid growth of the segment; the negative impact of the interest rate pivot on the foreign notes & coins and precious metals business can probably be largely offset, not least by expanding the customer base. The Bank's sustainability strategy is also being rigorously implemented in the savings banks, financial institutions and public sector customer groups. This involves developing and selling sustainable financial products and services for these customer groups both within the Group and in collaboration with selected cooperation partners.

Corporates & Markets segment

For the Corporates & Markets segment, the main priority, besides continuing to refine the strategic realignment implemented in 2021, will be to adequately respond to the changed market conditions as a consequence of the war between Russia and Ukraine.

The impact and effects of the energy crisis triggered in particular by the war between Russia and Ukraine and the general economic cooling have become visible in parts of the Corporates Division. After a period of dynamic growth up to 2021, a slowdown materialised for the first time in 2022. The altered financing requirements on the market also led to a temporary shift in demand at BayernLB from renewable energy to new asset classes, such as LNG terminals, gas-fired power stations, electricity grids, battery factories, etc., and to shifts towards corporate finance, mainly on the back of companies' increased liquidity requirements.

The new market conditions were considered in the current medium-term planning. However, the Bank anticipates that, over the next few years, sustainable growth in the financing of renewable energy projects will close the gap between current electricity generation and the amount needed for the energy transition, as the fall in 2022 is considered to be the temporary result of an interplay between external factors and not the outcome of a change of tune among politicians and companies.

In parallel, a series of measures will continue to strengthen the sector expertise upon which the realignment is based and drive forward the systematic development of sustainable financing solutions.

The Markets Division will continue its strategy of implementing the comprehensive transformation programme by focusing its offering on strategically relevant products.

The Non-Core Corporates & Markets (NCCM) Division will support the strategic realignment for the entire segment through the systematic and structured winding down of non-core business bundled into one unit. The Division will be shut down at the end of 2023 after the winding down process is largely wrapped up.

In view of the current geopolitical and economic challenges, the Corporates & Markets segment is therefore positioning itself on a more stable and forward-looking footing to take advantage of the changed dynamics of the market through its focus on the sectors of the future.

DKB segment

DKB is expecting its market segments – retail customers and corporate customers – to post a good business performance, thus enabling it to make further progress on digitalising and improving internal processes in order to make the customer experience even more satisfying, increase scalability and accelerate business processes. For a detailed forecast for the DKB segment, refer to DKB's combined management report.

Opportunities and risks

The following section focuses on future trends and events which may give rise to opportunities and risks, based on the expectations for the BayernLB Group and its strategic direction.

Macroeconomic opportunities and risks

A number of political and geopolitical risks and events might negatively impact the BayernLB Group's business environment, including a weaker economy, financial market corrections and compliance risks.

The biggest economic risks in 2023 come from the world of politics. The power struggle between the US and China is putting the international order and global trade in jeopardy. Regional conflicts and the struggle for access to commodities, notably energy, and intermediate products, could prove exceptionally challenging for the strongly export-oriented German economy.

The Russian war in Ukraine will remain a source of unrest in the immediate neighbourhood. The risk of gas shortages in Germany is ever-present in the face of an unfavourable supply situation and the weather. In addition, the high rate of inflation could result in the monetary policy decision-makers slamming on the brakes too hard, jacking interest rates up even higher. Further major setbacks in the financial markets or the real estate market could also trip up the economy. An aggressive or resistant strain of the coronavirus, lockdowns and supply problems are now less likely but cannot be ruled out for good yet.

In addition, the high rate of inflation could result in the monetary policy decision-makers slamming on the brakes too hard and jacking interest rates up. A big sell-off on overbought financial markets and rising risk aversion in the real estate market could then also trip up the economy. In addition, the risk of a military conflagration in Europe has also risen in light of the war between Russia and Ukraine.

The opportunities in the economic forecast are expansive fiscal policy being more effective, private consumption proving resilient and the energy supply being obliged to restructure, causing prices to fall again more quickly. In the electrical and manufacturing & engineering industries, orders could be processed more quickly if supply chain problems are increasingly resolved, leading to a strong expansion in production.

Company-specific opportunities and risks

Overall, the BayernLB Group is still committed to the strategic direction it has taken, even in light of the geopolitical and economic challenges. Given its balanced positioning in its various areas of business, BayernLB considers itself to be resilient in the face of a crisis. Consequently, it can be innovative and forward-looking, particularly in the context of its strategic transformation.

The Bank's strategic transformation over a number of years creates both opportunities and risks. From today's perspective, the latter includes only the partial or delayed implementation of the agreed measures and a related higher need for capital expenditure and inflation-linked increases in costs. As part of the transformation, the BayernLB Group is involved in project activities under long-term contracts which are awarded in highly competitive tender processes. The contracts generally come with risk, as they may involve taking on virtually all risks associated with the completion of the project, including warranty obligations after accepting the project.

The strategic realignment of the BayernLB Group agreed in 2019 will lead to a higher share of foreign business and longer maturities in the credit portfolio in some cases, a changed risk structure due to a stronger focus of the business model on certain asset classes and the ambitions for growth in the retail customer segment at DKB. The Bank has already worked out specific measures to mitigate these factors, including building up additional expertise in the relevant sectors of the future, focusing on the foreign markets the Bank is already familiar with, increasing regional diversification in the real estate business, and strengthening the Bank's placement ability. The planned expansion of its business activities in real estate, in the foreign notes and coins and precious metals business and at DKB as part of its strategic realignment will provide the Bank with opportunities to tap additional earnings potential and also focus on promising topics such as renewable energy and Industry 4.0. In addition, the targeted efficiency improvement and digitalisation measures have the potential to generate earnings and cut down on costs, although it will be some time before this bears fruit with a better bottom line.

Although the ongoing process of digitalisation and supervisory authorities' increased focus on sustainability pose potential risks (as they would result in changes to market and customer requirements), they also offer the BayernLB Group opportunities to modify, fine-tune and refine its business model.

Factoring in the war between Russia and Ukraine, which comes in addition to the ongoing coronavirus pandemic, there is huge uncertainty about the future direction of the economy. It is anticipated the economy and therefore Germany will be negatively impacted by the sanctions on Russia that have already been agreed and those that are still expected, along with that country's potential response to them. The strength of the impact is, however, very difficult to ascertain and will depend on how the war progresses and the associated sanctions. BayernLB is continuously evaluating these developments and their impact on BayernLB's risk situation as part of its risk management and monitoring.

Regulatory opportunities and risks

Additional costs could come from ever more ESG requirements by governments, investors and customers, as well as restrictions on financing greenhouse gas-intensive technology. There are further risks not just from the growing numbers of requirements in the regulatory environment but also the Group's commitment to its own sustainability and climate-protection goals. But a favourable political and regulatory environment, including the transition to a low-carbon economy, could build more positive sentiment for investing in industry, which would support the growth of our markets. Furthermore, government initiatives and subsidies (including tax reforms, green and digital promotion programmes, research and development and similar measures) could mean more government spending, for example, on infrastructure, health, mobility and digitalisation investments, and ultimately provide opportunities to get involved in some way.

In addition, because of its membership of the institutional guarantee scheme of the Landesbanks and also due to the European bank levy, BayernLB may be called upon to make a special payment if conditions deteriorate to the extent that a package of compensation and support measures is required, and this could have unforeseeable effects on the BayernLB Group’s financial position and financial performance and liquidity situation.

The regulator has not yet clarified the calculation of contributions for the bank levy for the period from 2024 onwards, after the regular building-up phase. As regards the bank levy, it is initially expected that a comparable contribution to 2022 will be made at the end of the regular building-up phase in 2023. BayernLB has calculated significantly lower contributions for the bank levy for the following years depending on the annual growth in covered deposits.

Given the expectations by the supervisory authorities that the deposit guarantee scheme will be refined, it is anticipated that the Savings Banks Finance Group will, in coordination with the ECB and BaFin, agree on implementing the changes to this scheme.

Furthermore, a shadow could also be cast should stricter than currently anticipated regulatory requirements be introduced.

On the other hand, the BayernLB Group may also find opportunities in the aforementioned conditions over the forecast period if the outcome for the factors is more positive than expected.

The BayernLB Group's consolidated financial statements

Statement of comprehensive income

Income statement

EUR million	Notes	2022	2021
Interest income		5,120	4,682
Interest income from financial instruments determined using the effective interest method		3,750	3,198
Interest income – other		1,370	1,484
Interest expenses		(2,983)	(2,816)
Interest expenses from financial instruments determined using the effective interest method		(1,606)	(1,327)
Interest expenses – other		(1,377)	(1,489)
Net interest income	(28)	2,137	1,866
Risk provisions	(29)	(70)	(48)
Net interest income after risk provisions		2,067	1,818
Commission income		912	823
Commission expenses		(489)	(443)
Net commission income	(30)	424	380
Gains or losses on fair value measurement	(31)	67	190
Gains or losses on hedge accounting	(32)	(177)	(20)
Gains or losses on derecognised financial assets	(33)	(3)	6
Gains or losses on financial investments	(34)	(11)	46
Administrative expenses	(35)	(1,569)	(1,520)
Expenses for the bank levy and deposit guarantee scheme	(36)	(140)	(195)
Other income and expenses	(37)	356	108
Gains or losses on restructuring	(38)	108	2
Profit/loss before taxes		**1,122**	**816**
Income taxes	(39)	(64)	(259)
Profit/loss after taxes		**1,058**	**556**
Profit/loss attributable to non-controlling interests		(3)	(3)
Consolidated profit/loss		**1,055**	**553**

Rounding differences may occur in the tables.

Statement of comprehensive income

EUR million	Notes	2022	2021
Profit/loss after taxes as per the income statement		**1,058**	**556**
Components of other comprehensive income temporarily not recognised in profit or loss			
Changes in the revaluation surplus containing gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category	(63)	(555)	(66)
Change not including deferred taxes		(718)	(99)
Change in measurement		(1,551)	(320)
Reclassification adjustment due to realised gains and losses		833	222
Change in deferred taxes		164	32
Changes in the revaluation surplus containing changes in the fair value of currency swaps arising from currency basis spread fluctuations	(63)	9	(5)
Change not including deferred taxes		9	(5)
Change in measurement		9	(5)
Reclassification adjustment due to realised gains and losses		–	–
Change in deferred taxes		–	–
Currency-related change	(63)	–	(3)
Change not including deferred taxes		–	(3)
Change in measurement		–	(3)
Reclassification adjustment due to realised gains and losses		–	–
Change in deferred taxes		–	–
Components of other comprehensive income permanently not recognised in profit or loss			
Rating-related changes in the fair value of financial liabilities from the “fair value option” category recognised through other comprehensive income	(63)	77	(14)
Change not including deferred taxes		116	(23)
Change in the revaluation surplus for rating-related changes in the fair value of financial liabilities from the “fair value option” category		115	(25)
Change in retained earnings for realised rating-related changes in the fair value of financial liabilities from the “fair value option” category		1	2
Change in deferred taxes		(39)	9
Change due to remeasurement of defined benefit plans	(63)	726	337
Change not including deferred taxes		790	349
Change in measurement		790	349
Change in deferred taxes		(65)	(12)
Other comprehensive income after taxes		**256**	**248**
Total reported comprehensive income recognised and not recognised in profit or loss		**1,314**	**804**
Attributable:			
To BayernLB shareholders		1,311	800
To non-controlling interests		3	3
Total comprehensive income attributable to BayernLB shareholders:			
From continuing operations		1,311	800
From discontinued operations		–	–

Rounding differences may occur in the tables.

Balance sheet

Assets

EUR million	Notes	31 Dec 2022	31 Dec 2021
Cash reserves	(7, 40)	2,151	17,542
Loans and advances to banks	(8, 41)	61,438	56,266
Loans and advances to customers	(8, 42)	165,939	158,988
Risk provisions	(9, 43)	(1,201)	(1,117)
Portfolio hedge adjustment assets	(10)	(4,651)	231
Assets held for trading	(11, 44)	11,495	8,880
Positive fair values from derivative financial instruments (hedge accounting)	(12, 45)	256	509
Financial investments	(13, 46)	18,035	20,085
Investment property	(14, 47)	21	25
Property, plant and equipment	(14, 48)	415	445
Intangible assets	(15, 49)	214	170
Current tax assets	(26, 50)	64	103
Deferred tax assets	(26, 50)	714	587
Non-current assets or disposal groups classified as held for sale	(16, 51)	–	65
Other assets	(17, 52)	4,453	3,775
Total assets		**259,343**	**266,554**

Rounding differences may occur in the tables.

Liabilities

EUR million	Notes	31 Dec 2022	31 Dec 2021
Liabilities to banks	(18, 53)	60,964	76,447
Liabilities to customers	(18, 54)	123,304	119,292
Securitised liabilities	(18, 55)	45,771	43,880
Liabilities held for trading	(19, 56)	10,931	8,343
Negative fair values from derivative financial instruments (hedge accounting)	(20, 57)	512	1,073
Provisions	(21, 58)	1,104	1,768
Current tax liabilities	(26, 59)	118	98
Liabilities of disposal groups	(22, 60)	–	28
Other liabilities	(23, 61)	647	627
Subordinated capital	(24, 62)	2,451	2,689
Equity	(63)	13,540	12,307
Equity excluding non-controlling interests		13,529	12,297
Subscribed capital		3,412	3,412
Capital surplus		2,182	2,182
Retained earnings		8,101	6,548
Revaluation surplus		(392)	78
Foreign currency translation reserve		1	2
Distributable profit		225	75
Non-controlling interests		11	11
Total liabilities		**259,343**	**266,554**

Rounding differences may occur in the tables.

Statement of changes in equity

	Parent								Non-controlling interests	
EUR million	Subscribed capital	Compound instruments	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	**Equity before non-controlling interests**		**Consolidated equity**
As at 31 Dec 2020[1]	**3,412**	**–**	**2,182**	**5,726**	**165**	**5**	**75**	**11,565**	**18**	**11,583**
Adjusted as per IAS 8	–	–	–	–	–	–	–	–	–	–
As at 1 Jan 2021	**3,412**	**–**	**2,182**	**5,726**	**165**	**5**	**75**	**11,565**	**18**	**11,583**
Changes in the Revaluation surplus										
Changes in the fair value of debt instruments - FVOCIM[3]	–	–	–	–	(66)	–	–	(66)	–	(66)
Rating-related changes in the fair value of financial liabilities - FVPLD (FVO)[4]	–	–	–	2	(16)	–	–	(14)	–	(14)
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	–	(5)	–	–	(5)	–	(5)
Currency-related changes	–	–	–	–	–	(3)	–	(3)	–	(3)
Changes due to remeasurement of defined benefit plans	–	–	–	337	–	–	–	337	–	337
Other comprehensive income	–	–	–	339	(87)	(3)	–	248	–	248
Consolidated profit/loss	–	–	–	–	–	–	553	553	3	556
Total comprehensive income	–	–	–	339	(87)	(3)	553	800	3	804
Capital increase/ capital decrease	–	–	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	–	6	–	–	–	6	–	6
Allocations to/withdrawals from reserves	–	–	–	478	–	–	(478)	–	–	–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital	–	–	–	–	–	–	–	–	–	–
Distribution of profits	–	–	–	–	–	–	(75)	(75)	(10)	(85)
As at 31 Dec 2021	**3,412**	**–**	**2,182**	**6,548**	**78**	**2**	**75**	**12,297**	**11**	**12,307**

EUR million	Parent								Non-controlling interests	
	Subscribed capital	Compound instruments	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	**Equity before non-controlling interests**		**Consolidated equity**
As at 31 Dec 2021	**3,412**	**–**	**2,182**	**6,548**	**78**	**2**	**75**	**12,297**	**11**	**12,307**
Adjusted as per IAS 8[2]	–	–	–	(5)	–	–	–	(5)	–	(5)
As at 1 Jan 2022	**3,412**	**–**	**2,182**	**6,543**	**78**	**2**	**75**	**12,291**	**11**	**12,302**
Changes in the										
Revaluation surplus										
Changes in the fair value of debt instruments - FVOCIM[3]	–	–	–	–	(555)	–	–	(555)	–	(555)
Rating-related changes in the fair value of financial liabilities - FVPLDD (FVO)[4]	–	–	–	1	76	–	–	77	–	77
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	–	9	–	–	9	–	9
Currency-related changes	–	–	–	–	–	–	–	–	–	–
Changes due to remeasurement of defined benefit plans	–	–	–	726	–	–	–	726	–	726
Other comprehensive income	–	–	–	727	(470)	–	–	256	–	256
Consolidated profit/loss	–	–	–	–	–	–	1,055	1,055	3	1,058
Total comprehensive income	–	–	–	727	(470)	–	1,055	1,311	3	1,314
Capital increase/ capital decrease	–	–	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	–	2	–	–	–	2	–	2
Allocations to/withdrawals from reserves	–	–	–	830	–	–	(830)	–	–	–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital	–	–	–	–	–	–	–	–	–	–
Distribution of profits	–	–	–	–	–	–	(75)	(75)	(3)	(78)
As at 31 Dec 2022	**3,412**	**–**	**2,182**	**8,101**	**(392)**	**1**	**225**	**13,529**	**11**	**13,540**

Rounding differences may occur in the tables.

Details on equity can be found in note 63.

1 Adjusted as per 31 December 2020 (see 2021 Annual Report, note 2).

2 Adjusted as per IAS 8 as a result of the modified retrospective application of the amendments to IAS 37 (see note 1).

3 Revaluation surplus - gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category.

4 Revaluation surplus - rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income, and reclassification of the rating-related changes in the fair value of these financial liabilities to retained earnings.

Cash flow statement

EUR million	1 Jan – 31 Dec 2022	1 Jan – 31 Dec 2021
Profit/loss after taxes	**1,058**	**556**
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
Amortisation, depreciation, writedowns, loss allowances and writeups on receivables and fixed assets	266	185
Changes to provisions	(541)	(908)
Changes to other items not affecting cash flow	1,691	(109)
Gains or losses on the sale of assets	(290)	(136)
Other adjustments (net)	(2,103)	(1,528)
Sub-total	**80**	**(1,941)**
Changes to assets and liabilities from operating activities		
Loans and advances		
To banks	(5,171)	(114)
To customers	(1,840)	(5,714)
Risk provisions	(79)	(92)
Securities (unless financial investments) and derivatives	757	4,057
Other assets from operating activities	(679)	(1,666)
Liabilities		
To banks	(15,531)	453
To customers	3,915	9,267
Securitised liabilities	1,608	589
Other liabilities from operating activities	(106)	(185)
Cash flows from hedging derivatives	(486)	896
Interest and dividends received	7,900	5,761
Interest paid	(5,812)	(4,161)
Income tax payments	29	(32)
Cash flow from operating activities	**(15,417)**	**7,118**
Proceeds from the sale of		
Financial investments	10	45
Investment property	88	109
Property, plant and equipment	272	20
Intangible assets	–	–
Payments for the acquisition of		
Financial investments	(7)	(2)
Investment property	(8)	(6)
Property, plant and equipment	(68)	(22)
Intangible assets	(90)	(65)
Cash flow from investing activities	**196**	**78**
Disbursements to company owners and minority shareholders	(78)	(85)
Changes in cash from subordinated capital (net)	(144)	998
Cash outflow/inflow from changes to non-controlling interests	–	–
Cash flow from financing activities	**(222)**	**913**
Cash and cash equivalents at end of previous period	17,542	9,342
+/- cash flow from operating activities	(15,417)	7,118
+/- cash flow from investing activities	196	78
+/- cash flow from financing activities	(222)	913
+/- exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	52	91
Cash and cash equivalents at end of period	**2,151**	**17,542**

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 74.

Notes

Notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), entered in the Commercial Register at Munich District Court (HRA 76030), for financial year 2022 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under section 315e para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRSs also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2022 have been applied.

The consolidated financial statements contain the statement of comprehensive income including the income statement, the balance sheet, the statement of changes in equity, the cash flow statement and the notes, including the segment report. The presentation currency is the euro.

Unless otherwise stated, all amounts are given in EUR million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables.

The information on the nature and extent of risks arising from financial instruments (IFRS 7.31 to IFRS 7.42) is provided in the combined management report (see the credit risk, risk associated with equity interests, market risk and liquidity risk sections of the risk report), with the exception of the information on default risk as per IFRS 7.35A to IFRS 7.38, which is disclosed in the notes.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group's accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on the assumption of a going concern.

Income and expenses are treated on an accruals basis and recognised through profit or loss in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the respective standards. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, provisions, deferred taxes, and the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

Impact of amended and new International Financial Reporting Standards

In the reporting year, the following amended standards and interpretations had to be applied for the first time:

- *IFRS 3*

  As a result of the amendments to IFRS 3 Business Combinations, the reference in IFRS 3 has been updated to the revised 2018 conceptual framework. IFRS 3 also now stipulates that if an acquirer acquires liabilities (with the exception of contingent liabilities) that fall within the scope of IAS 37 or IFRIC 21, the acquirer must apply the rules of IAS 37 or IFRIC 21 instead of the conceptual framework and is also prohibited from recognising acquired contingent liabilities. The changes had no impact on BayernLB's consolidated financial statements as at 31 December 2022.

- *IAS 16*

  With the amendments to IAS 16 Property, Plant and Equipment, the main changes included rules stipulating that, in future, proceeds from selling items produced while bringing an asset into the location and condition necessary for it to be capable of operating in the manner intended by management must be recognised in profit or loss and no longer be deducted from the cost of the asset. There was no impact on BayernLB's consolidated financial statements as at 31 December 2022.

- *IAS 37*

  The amendments to IAS 37 Provisions, Contingent Liabilities and Contingent Assets stipulate that when an entity is determining whether a contract is onerous, it must include all the costs of fulfilling the contract that can be directly related to the contract. The implementation of these amendments, which must be applied in modified form retrospectively, had no material impact on the consolidated financial statements of the BayernLB Group as at 31 December 2022.

- *Improvements to the IFRS – 2018-2020 cycle*

  In the annual improvements to IFRS, several changes were made, including minor amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards and IFRS 9 Financial Instruments and IAS 41 Agriculture. For BayernLB, the amendments had no impact on the consolidated financial statements as at 31 December 2022.

As permitted in the reporting year, BayernLB elected not to engage in voluntary, early application of the following amended or newly issued standards incorporated into European law by the European Commission, whose application becomes mandatory in financial year 2023:

- *IFRS 17*

  In May 2017, the International Accounting Standards Board (IASB) published the new Standard IFRS 17 Insurance Contracts, which contains new rules on the recognition of insurance contracts. IFRS 17 replaces IFRS 4 Insurance Contracts. To simplify the requirements in the new standard and provide some reliefs for implementing it, the IASB published an amendment to IFRS 17 in June 2020. This includes postponing first-time mandatory application of IFRS 17 (including the amendments) to the financial years beginning on or after 1 January 2023. The new standard (including the amendments) was transposed into European law in November 2021.

  In December 2021, the IASB issued further amendments to IFRS 17, which include rules on the presentation of comparative information upon first-time application of IFRS 17 and IFRS 9. The amendments were incorporated into European law in September 2022 and also take effect in financial years beginning on or after 1 January 2023.

  BayernLB does not expect any impact on its consolidated financial statements as a result of the new standard (including the amendments).

- *IAS 1*

  In February 2021, the IASB published amendments to IAS 1 Presentation of Financial Statements, which specify the content of the disclosures on the accounting policies in the notes. The amendments were incorporated into European law in March 2022 and take effect in the financial year beginning on or after 1 January 2023. No impact on BayernLB’s consolidated financial statements is expected as a result.

- *IAS 8*

  In February 2021, the IASB issued amendments to IAS Accounting Policies, Changes in Accounting Estimates and Errors introducing a definition for accounting estimates. This was transposed into European law in March 2022. The amendments take effect in financial years beginning on or after 1 January 2023. No impact on BayernLB's consolidated financial statements is expected from these amendments.

- *IAS 12*

  In May 2021, the IASB published amendments to IAS 12 Income Taxes. These stipulate that deferred taxes must be applied to transactions that, upon first-time recognition of an asset and a liability, give rise to temporary differences that are taxable and eligible for a deduction. The amendments were incorporated into European law in August 2022 and take effect in financial years beginning on or after 1 January 2023. No material impact on BayernLB's consolidated financial statements is expected from these amendments.

The IASB has also issued the following amended standards in particular which have not yet been incorporated into European law:

- *IFRS 16*

  In September 2022, the IASB published amendments to IFRS 16 Leases, which contain rules for the subsequent measurement of a lease liability in the case of a sale and leaseback transaction. The amendments take effect in financial years beginning on or after 1 January 2024. BayernLB does not expect any material impact on its consolidated financial statements as a result.

- *IAS 1*

  In January 2020 and October 2022, the IASB issued amendments to IAS 1 Presentation of Financial Statements that alter the criteria for classifying liabilities as current or non-current. The amendments take effect for the financial years beginning on or after 1 January 2024. No impact on BayernLB's consolidated financial statements is expected from these amendments.

(2) Changes on the previous year

In the first half of 2022, loss given default (LGD) was refined in respect of the model structure, data basis and estimation methodology. This led to a reduction in LGDs during the reporting year and therefore a small reduction in risk provisions for Stage 1 and Stage 2. The changes to the estimates will also have an impact on future periods which currently cannot be reliably estimated.

In addition, in the second half of 2022 changes were made to the rating systems for corporates, banks, countries and transfer risks to comply with the "Guidelines on PD estimation, LGD estimation and the treatment of defaulted exposures" (EBA/GL/2017/16). These centre on the rules for calculating default rates and the best estimate of the probability of default (PD). The impact of changes to estimates on the reporting year cannot be reliably determined by the system. Following some test calculations, the Bank anticipates only a moderate rise in risk provisions in Stage 1 and Stage 2 overall. The changes to the estimates will also have an impact on future periods which currently cannot be reliably estimated.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 15 (FY 2021: 14) subsidiaries that are consolidated in accordance with IFRS 10.

As before, it does not include any companies within the scope of consolidation that are measured at equity.

Changes in the consolidated Deutsche Kreditbank Aktiengesellschaft sub-group

On 1 January 2022, the previously unconsolidated DKB Wohnungsbau und Stadtentwicklung GmbH, Berlin (DKB WSE) was renamed DKB Immobilien GmbH, Berlin and included in the consolidated financial statements of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB). At the same time, the subsidiaries DKB PROGES EINS GmbH, Berlin and DKB PROGES ZWEI GmbH, Berlin were divested to DKB Immobilien GmbH. The effects of adding DKB Immoblien GmbH to the DKB's scope of consolidation were immaterial.

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. Ninety-six (FY 2021: 107) companies were not consolidated or measured at equity due to their negligible importance individually or collectively to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these non-consolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 85).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group, regardless of their legal structure. These also include structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where the decision-making power of the governing body is permanently limited.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Power of decision is exercised on the basis of voting rights if the BayernLB Group holds more than 50 percent of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive power over the relevant activities. Other contractual rights that may give it controlling influence are primarily rights of appointment to or removal from corporate bodies, and rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (principal-agent relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50 percent of the voting rights, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50 percent of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When consolidating an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the equity on the date of acquisition. Where there is an acquisition within the meaning of IFRS 3, this equity is the balance of the assets and liabilities of the acquired company measured at their fair value at initial consolidation, adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Equity interests in subsidiaries not owned by the parent company are disclosed under the equity item as non-controlling interests. If an entity deemed to be controlled under IFRS 10 is incorporated into the consolidated financial statements and the interests in it are not considered equity pursuant to IAS 32, as is the case with an investment fund for example, the interests in the net assets of this debt instrument not belonging to the parent company are recognised under other liabilities and not in equity.

If further equity interests are acquired in a company that is already fully consolidated, the transaction is not classified as a corporate acquisition as defined in IFRS 3, as a controlling relationship was already in existence. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating the additional interests acquired against equity are therefore offset against retained earnings within other comprehensive income.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as an acquisition as defined in IFRS 3 if control already existed. Where this is the case, the positive or negative differences remaining after eliminating against equity are offset against retained earnings within other comprehensive income.

In the event of a restructuring within the Group, the BayernLB Group uses predecessor accounting if the criteria set out in IFRS 3 are met. In such cases, the acquiring subsidiary carries forward the carrying amounts of the parent company.

Joint arrangements are based on contractual arrangements on the basis of which two or more partners have joint control. Joint control exists if the partners must cooperate to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have rights to the net assets of the arrangement. If, however, the partners have direct rights to the assets and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent partnership or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in the form of a civil law partnership (e.g. a consortium) whose legal form does not confer separation of the vehicle's assets and liabilities from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence exists if the BayernLB Group holds, as an investor, 20 percent or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20 percent of the voting rights, but, on the basis of other factors, has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity's governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20 percent of the voting rights in the entity, but cannot exercise significant influence due to contractual or legal restrictions.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date. If the financial year differs in a specific case, the respective subsidiary will prepare for consolidation purposes additional financial disclosures with the same reporting date used by the parent company.

When consolidating debt and earnings and eliminating intra-Group earnings from subsidiaries, all receivables and liabilities, income and expenses and intra-Group earnings from transactions within the Group are eliminated provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

Upon first-time recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. When translating currency in subsequent periods, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was calculated. Income and expenses in a foreign currency are translated into the functional currency at the end of the month using the ECB average exchange rate. Gains or losses on currency translation are recognised through profit or loss in gains or losses on fair value measurement.

The balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are, if their functional currency is not the euro, translated into euros at the exchange rate of the respective currency on the reporting date and the expenses and income translated into euros at the ECB's annual average rate. Currency exchange rate differences arising from this translation are reported in the foreign currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive or obliged to make the agreed payments. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IFRS 9, are recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which, as a rule, is the cost of acquisition.

The classification of financial instruments is dependent on the business model in which the financial asset is held (business model criterion) and on the contractually agreed cash flow characteristics of the respective financial asset (cash flow criterion).

The business model is determined on the basis of the objective set by management for how groups of financial assets are managed together:

- Financial assets held to collect contractually agreed cash flows are assigned to the "hold to collect" business model
- Financial assets held to collect contractually agreed cash flows and with a view to being sold are assigned to the "hold to collect and sell" business model
- Financial assets held for trading or that do not meet the criteria of the "hold to collect" or "hold to collect and sell" business model are assigned to the "other" business model.

When analysing the cash flow criterion, the Bank must examine each financial asset to determine if the contractually agreed cash flows are solely payments of principal and interest. Contractually agreed cash flows that are solely payments of principal and interest have the characteristics of a typical credit agreement. Interest is normally compensation for the time value of money and default risk, but can also incorporate compensation for other underlying credit risks (e.g. liquidity risk), costs (e.g. administrative costs) in connection with the holding of a financial asset over a certain period of time, and a profit margin. Repayments are repayments of the outstanding capital amount. In the BayernLB Group, the analysis of the cash flow criterion includes in particular an evaluation of the following contractual features: repayment, termination, interest rate, currency, renewal agreement, credit agreement clause and quasi-equity. If an investment is made in certain assets (principally in non-recourse financing), the Bank checks compliance with internal ratios (e.g. loan-to-value) relating to these financing transactions in addition to the general cash flow criterion. If the internal indicators are not complied with, the cash flow criterion is not met.

Financial assets are measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets measured at fair value through profit or loss

These include financial assets mandatorily measured at fair value through profit or loss (including derivatives in accordance with IFRS 9) and financial assets for which the fair value option was applied (financial assets designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- Financial assets mandatorily measured at fair value through profit or loss:

  These include debt instruments that are assigned to the “other” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading or are not classified as “investments in equity instruments designated at fair value through other comprehensive income”. In addition, the “financial assets mandatorily measured at fair value through profit or loss” category also includes debt instruments that are assigned to the “hold to collect” or “hold to collect and sell” business models but do not meet the cash flow criterion.

  These instruments are measured at fair value. The measurement gains or losses are booked to gains or losses on fair value measurement unless they are measurement gains or losses from equity instruments not held for trading and which are measured at fair value through profit or loss; in this case they are shown in gains or losses on financial investments. Gains or losses on fair value measurement also includes realised and current income. Current income from financial instruments not held for trading and derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

  If debt instruments are allocated to the “other” business model, they are reported in the balance sheet line item assets held for trading in the same way as derivatives and equity instruments held for trading. Debt instruments that must be measured at fair value through profit or loss based on the analysis of the cash flow criterion must be shown under the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. Equity instruments not held for trading and which are measured at fair value through profit or loss are reported under financial investments. As at the reporting date, the holdings of the BayernLB Group for the most part consisted of assets held for trading and financial investments.

- Financial assets designated at fair value through profit or loss (fair value option):

  The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies. These instruments are measured at fair value. Measurement gains or losses are recognised under gains or losses on fair value measurement. Current income is reported under net interest income.

  The financial assets designated to the fair value option must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group only had financial investments (fixed-income securities).

Financial assets measured at amortised cost

These include debt instruments that are assigned to the “hold to collect” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise loans and deposits with central banks.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in gains or losses on derecognised financial assets. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, to the section on hedge accounting.

The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers, financial investments and other assets. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Loss allowances for the financial assets reported in the balance sheet items cash reserves, loans and advances to banks, loans and advances to customers and other assets are shown separately in the asset item risk provisions. In the case of securities included in the balance sheet item financial investments, any necessary loss allowances are deducted from the carrying amount of the financial asset. As at the reporting date, the BayernLB Group only had loss allowances for loans and advances to banks and loans and advances to customers. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 77.

Financial assets measured at fair value through other comprehensive income

This includes the financial assets mandatorily measured at fair value through other comprehensive income and equity instruments designated at fair value through other comprehensive income.

- Financial assets mandatorily measured at fair value through other comprehensive income:

  These include debt instruments that are assigned to the “hold to collect and sell” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise fixed-income securities.

  These instruments are measured at fair value. Measurement gains and losses are reported in the revaluation surplus within other comprehensive income. Current income is reported under net interest income. If financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are derecognised, the amounts booked in the revaluation surplus are reclassified to the income statement. These released gains or losses are shown in gains or losses on financial investments or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, to the section on hedge accounting.

  The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group had holdings mostly in cash reserves and liabilities held for trading.

  Any necessary loss allowances are shown in the revaluation surplus within other comprehensive income. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 77.

- Investments in equity instruments designated at fair value through other comprehensive income:

  This includes equity instruments not held for trading and for which the option has been used to assign them to the “investments in equity instruments designated at fair value through other comprehensive income” category.

  This category has not been used in the BayernLB Group to date.

Financial liabilities are also measured according to the related measurement category. The categories are differentiated as follows:

Financial liabilities measured at fair value through profit or loss

These include financial liabilities held for trading (including derivatives in accordance with IFRS 9) and financial liabilities for which the fair value option is applied (financial liabilities designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- Held-for-trading financial liabilities:

  Besides financial liabilities not used for trading purposes, this category includes derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria.

  These instruments are measured at fair value. Measurement gains or losses are reported under gains or losses on fair value measurement. Realised and current income is also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

  Financial liabilities in the held-for-trading category (including derivatives) are shown in the balance sheet line item liabilities held for trading.

- Fair value option:

  The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies or to avoid bifurcating embedded derivatives which must be separated or if a group of financial assets or financial liabilities is managed in accordance with a documented risk management or investment strategy and the change in value is assessed through the fair value and the information on this group calculated on this basis is forwarded to the management in key positions. These instruments are measured at fair value. Measurement gains or losses must be recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Changes in value resulting from the Bank's own default risk (rating-related changes in the fair value) are not recognised through profit or loss but are recognised in the revaluation surplus within other comprehensive income, unless this would lead to or exacerbate a mismatch in the disclosure or measurement. There are no such recognition or measurement inconsistencies in the BayernLB Group at present. When financial liabilities in the "fair value option" category are derecognised, the amounts derecognised in the revaluation surplus are reclassified to retained earnings within equity.

Financial liabilities (mainly structured issues and liabilities with embedded derivatives) designated to the fair value option must be reported in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities and subordinated capital. In the BayernLB Group, primarily loans and advances to banks, loans and advances to customers and securitised liabilities were held as at the reporting date.

Financial liabilities measured at amortised cost

These include financial liabilities not used for trading purposes and for which the fair value option is not applied.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in net interest income or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, to the section on hedge accounting.

The financial liabilities falling within this category must be shown in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities, other liabilities and subordinated capital. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has for the most part transferred all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or have expired.

Modification

In the case of contractual amendments to financial assets and financial liabilities that lead to a change in contractual cash flows but are not so significant that they result in derecognition, the gross carrying amount of the financial instrument is remeasured by discounting the modified contractual payments at the original or credit risk-adjusted effective interest rate (non-significant modification). Any resulting modification gain or loss is recognised through profit or loss. In subsequent accounting, the amortised cost of non-significantly modified financial instruments is amortised over their remaining term.

If the contractual rights to cash flows are modified so that they are deemed de facto to have been extinguished or expired, the financial instrument is derecognised and the modified financial instrument booked (significant modification). Any resulting income or expense is recognised through profit or loss. Subsequent accounting is based on the category to which the modified financial instrument is assigned.

Gains or losses on non-significant modifications of contractually agreed cash flows of financial assets whose loss allowances are measured in the amount of the 12-month credit loss are recognised in net interest income, while those of financial assets whose loss allowances are measured in the amount of the lifetime expected credit loss are reported in the risk provisions. Gains or losses on non-significant modifications of contractually agreed cash flows of financial liabilities are shown in net interest income. Gains or losses on significant modifications of financial assets in the “financial assets measured at amortised cost” category are booked to the “gains or losses on derecognised financial assets” category, while financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are carried to gains or losses on financial investments or other income and expenses; in the case of financial liabilities, the gains or losses are reported in net interest income or other income and expenses. Income and expenses from the amortisation of the amortised costs of significantly and non-significantly modified financial assets are presented under net interest income.

When distinguishing between significant and insignificant modifications, the BayernLB Group applies both qualitative criteria (e.g. changes in borrower, currency or type of financial instrument) and quantitative criteria (e.g. adjustment of interest rates or maturities).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Fair value

The fair value of a financial instrument is the price that would be received for the sale of an asset or paid for the transfer of a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. This means that pricing is regular, bid-ask spreads are small and several price contributors exist with only slightly different prices.

If no active market exists, fair value is calculated using a range of measurement methods including measurement models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques applied maximise the use of relevant observable inputs and minimise the use of non-observable inputs.

In the case of financial instruments, differences may arise between the transaction price and the fair value upon recognition determined through a valuation model (day one profit or loss). If the market used to determine the fair value differs from the market in which the transaction was concluded and the valuation model uses unobservable inputs to a significant extent, this difference must be recognised uniformly as a day one profit or loss reserve in the assets held for trading and reversed through profit or loss over the term.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instruments' value based on their cash flow structures, taking account of their nominal values, residual maturities and the agreed day-count convention. If the financial instrument has a contractually agreed cash flow, the cash flow structure is calculated using the agreed cash flows. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity, secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations are used for fair value measurement.

To determine the fair values of asset-side loans and advances whose loss allowances are measured in the amount of the 12-month expected credit losses (Stage 1 of the general approach for determining loss allowances), in the amount of the lifetime expected credit losses (Stage 2 of the general approach for determining loss allowances) or in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and purchased or originated credit-impaired financial assets (POCI)) for which, however, the creation of a risk provision was not necessary despite credit impairment, the contractually agreed cash flows are discounted using the cost curve plus transaction-specific measurement spreads. This also applies to POCI that were no longer credit-impaired on the reporting date. The cost curve corresponds to the risk-free yield curve and a liquidity spread curve, which differs depending on the currency and cover status of the transaction. In addition to a constant margin over the term of the transaction, which is determined at the time the transaction is concluded, the transaction-specific valuation spread includes an updated risk component that reflects the creditworthiness of the business partner over time. Optional components included in credit agreements (e.g. termination options) are valued using common assessment methods. When determining the fair values of credit transactions whose loss allowances are measured in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and POCI), and for which a risk provision was necessary due to the credit impairment, the expected losses are taken into account by adjusting the cash flows for the risk costs and consequently not including them in the discounting in the form of a credit spread. The fair values of credit transactions measured at fair value through profit or loss are determined using the same approach on the basis of credit spreads observable on the market.

In the case of borrowing, cash flows are discounted using the risk-free yield curve plus a liquidity spread curve which reflects BayernLB's current credit rating and differs depending on the currency and the cover status of the transaction.

The liquidity spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

As mid-rate inputs are usually used when theoretically measuring fair values of derivatives, an accounting fair-value discount is determined on the basis of bid-ask spreads. In the case of OTC derivatives, discounting takes account of the collateral status and currency. In addition, the Bank takes account of counterparty risk and own default risk using credit valuation adjustments (CVA) and debit valuation adjustments (DVA). These values are calculated by conducting a Monte Carlo simulation of future fair values, taking account of any netting or collateral agreements and weighting default probabilities based on credit spreads. The Bank also factors in bank-specific financing conditions using a funding valuation adjustment (FVA). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The Bachelier model has been used since financial year 2022 to measure interest rate options at negative interest rates. This is an analytical model based on the assumption of normally distributed interest rates. The following inputs are used when measuring: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

The binomial model is used for options with several possible exercise dates. Publicly accessible market data is also used in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

Summary of the principal valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Bachelier model
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76, Trinomial tree (Cox-Ross-Rubinstein)
Equity/index options	Black-Scholes, Roll-Geske-Whaley
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren), in which the expected and valuation-relevant cash flows are based on budgeted values of the companies in question, which are discounted to the valuation date using a risk-adjusted capitalisation rate based on a capital asset pricing model.

The valuation models presented above are therefore used to calculate the fair values of financial instruments in the "financial assets measured at fair value through profit or loss", "financial assets measured at amortised cost", "financial assets measured at fair value through other comprehensive income", "financial liabilities measured at fair value through profit or loss" and "financial liabilities measured at amortised cost" categories. The balance sheet items most affected are cash reserves, loans and advances to banks, loans and advances to customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks, liabilities to customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Derivative financial instruments embedded in financial liabilities are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of compound (structured) products, no separation is made if the fair value option has been applied.

Hedge accounting

For risk management purposes, derivative financial instruments are used to hedge recognised financial assets and recognised financial liabilities. These hedged items are accounted for and measured on the basis of whether they meet hedge accounting criteria or are economic hedges.

The BayernLB Group conducts hedge accounting in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39 in order to hedge interest rate risk and in the form of group fair value hedges in accordance with IFRS 9 in order to hedge currency risks (see note 68).

Derivatives used to hedge the fluctuations in the fair value of financial assets and financial liabilities on the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. If the currency basis spread of a financial instrument is separate from a financial instrument and exempt from being designated as a hedging instrument, fair value changes arising from currency basis spread fluctuations are booked as hedging costs to other comprehensive income. The carrying amounts of hedged items in a micro hedge are adjusted in line with gains or losses on measurements attributable to the hedged risk and are recognised in the income statement. Where the fluctuations in the fair value are hedged in a portfolio hedge, the cumulative gains or losses on measurement attributable to the hedged risk for financial assets are recognised under portfolio hedge adjustment assets and the carrying amounts of the hedged items left at amortised cost.

Changes in the fair value of hedging instruments carried to profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income. Derivative financial instruments (hedge accounting) are reported under positive fair values from derivative financial instruments (hedge accounting) or negative fair values from derivative financial instruments (hedge accounting).

Derivative financial instruments in economic hedges (derivatives for hedging fair value option transactions and derivatives in other economic hedges) that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as financial assets measured at fair value through profit or loss or financial liabilities measured at fair value through profit or loss. The amounts are reported under assets held for trading or liabilities held for trading. Measurement gains or losses are reported under gains or losses on fair value measurement. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash, demand deposits at central banks, debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks. Cash and balances at central banks are recognised at nominal value. Debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks are financial assets assigned to the "hold to collect and sell" business model. These are measured at fair value and not carried to the income statement (see the comments on financial assets mandatorily measured at fair value through other comprehensive income in note 6).

(8) Loans and advances

Loans and advances to banks are non-derivative financial assets which are allocated to the "hold to collect" or "hold to collect and sell" business models regardless of whether they meet the cash flow criterion. These items are measured according to the related measurement category (refer to note 6).

If the criteria for offsetting financial assets and financial liabilities are met, receivables and liabilities from repurchase agreements with central and bilateral counterparties are shown netted.

(9) Risk provisions

Risk provisions comprise loss allowances for financial assets in the "financial assets measured at amortised cost" category which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets. For the calculation of loss allowances, including a breakdown of loss allowances and adjustments as a result of post-model adjustments, refer to note 77.

Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

(11) Assets held for trading

Assets held for trading include debt instruments that are assigned to the “other” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading. Refer to note 6 for information on financial assets mandatorily measured at fair value through profit or loss (including derivatives).

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with positive fair values, which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise bonds, notes and other fixed-income securities, equities and other non-fixed income securities, equity interests and other financial investments. Debt instruments allocated to the “hold to collect” or “hold to collect and sell” business models, regardless of whether they meet the cash flow criterion, and equity instruments not held for trading are recorded. These items are measured according to the related measurement category (refer to note 6).

(14) Investment property and property, plant and equipment

Land or buildings held for the purposes of earning rental income or capital appreciation is reported on the balance sheet under investment property.

Property, plant and equipment comprises owner-occupied property, furniture and office equipment (including equipment leased under operating leases). These balance sheet line items comprise, besides own assets, capitalised rights as a lessee to use the underlying assets.

Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If a theoretical division of the property is impossible, the entire property is reported as an investment asset if only a non-material proportion (less than 10 percent) is held for internal operations.

Upon first-time recognition, property, plant and equipment is recognised at cost. Subsequent costs are capitalised if they lead to a significant improvement in the asset and thus add to the future economic benefit of the asset. Depreciable property, plant and equipment is subsequently reported on the balance sheet after deducting for straight-line depreciation corresponding to the useful life. BayernLB applies the option under IAS 40 to measure investment property at amortised cost.

Useful life is determined by considering the expected physical wear and tear, technical obsolescence and legal and contractual restrictions. In the case of buildings, the components are depreciated over their specific useful life (component approach).

All property, plant and equipment and investment property is depreciated on a straight-line basis over the following periods:

- Buildings 10-93 years
- Furniture and office equipment 3-25 years

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Depreciation and impairment of investment property is reported under other income and expenses, while depreciation and impairment of property, plant and equipment is shown under administrative expenses. Writeups are reported in other income and expenses.

For materiality reasons acquisitions of low-value property, plant and equipment are recognised directly in administrative expenses. Profits and losses from the sale of property, plant and equipment and investment property are reported under other income and expenses.

(15) Intangible assets

Intangible assets comprise internally generated intangible assets and other intangible assets (purchased software).

The development costs of internally generated intangible assets are capitalised where their production is likely to result in an inflow of economic benefits and costs can be determined reliably. Expenditure on research is not capitalised but recognised through profit or loss.

Intangible assets are reported on the balance sheet at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases. Useful life is determined by considering the expected technical obsolescence and legal and contractual restrictions.

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and of the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Amortisation and impairment of intangible assets is reported under administrative expenses. Writeups are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the held-for-sale category and the assets of disposal groups in the held-for-sale category.

The conditions for designation as held for sale are met if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is highly probable. For this, a decision must be taken by management to carry out the sale, with the expectation it will be completed within the next 12 months.

Non-current assets or disposal groups classified as held for sale are recognised at the end of the reporting period at the lower of carrying amount or fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. This item includes emissions certificates, precious metals and claims from reinsurance. The measurement depends on the regulations for the respective asset.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are non-derivative financial liabilities not used for trading purposes. These items are measured according to the related measurement category (refer to note 6).

If the criteria for offsetting financial assets and financial liabilities are met, receivables and liabilities from repurchase agreements with central and bilateral counterparties are shown netted.

(19) Liabilities held for trading

Liabilities held for trading includes, besides financial liabilities not used for trading purposes, derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria. For measurement of financial liabilities in the “held for trading” category (including derivatives), refer to note 6.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(20) Negative fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with negative fair values which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Provisions are made for pensions and similar obligations as a result of pension plans covering commitments regarding retirement pensions and disability and surviving dependants' benefits. The benefits provided by the BayernLB Group vary according to the legal and economic circumstances prevailing in the country concerned and generally depend on the length of service and salary of the individual employee. For a description of the defined benefit plans in the BayernLB Group, refer to the explanations in note 58.

Some of the defined benefit plans are financed by asset contributions in the form of a Contractual Trust Arrangement (CTA) and by qualifying insurance policies.

The defined benefit obligations are measured by independent actuaries using the projected unit credit method. This takes into account the current pension payments and vested retirement benefits as at the reporting date and also the expected changes in certain parameters such as salary and pension trends. The discount rates used to calculate the present value of pension obligations are based on yields on high-quality, fixed-rate corporate bonds – at maturities and currencies that match the pension payments – on the respective markets as at the reporting date. No high-quality, fixed-rate corporate bonds are available as a benchmark for very long terms. The relevant discount rates are determined by extrapolation from the observable market yields along the yield curve.

The following actuarial assumptions are used:

In %	2022	2021
Discount rate for retirement benefits	3.7	1.1
Discount rate for medical costs and death benefits	3.7	1.2
Changes in salaries[1]	2.3	2.0
Changes in benefits[2]	2.0	1.8
Changes in medical costs	5.5	5.5

1 In the case of non-payscale employees, a different assumption of a 2.5 percent change in estimated future salaries was used as a basis.
2 Eligible social insurance pensions at BayernLB in Germany were dynamised at a rate of 2.5 percent.

The rates are measured in Germany on the basis of the biometric probabilities according to the "Heubeck Richttafeln 2018G" actuarial tables and in other countries on the basis of country-specific mortality tables.

The plan assets used to cover pension obligations are measured at fair value as at the reporting date and set off against the corresponding commitments. If plan assets exceed pension obligations, the resulting asset is reported under other assets. The asset is recognised mainly on the basis of the future economic benefits it will provide, taking account of future charges from a reduction in contributions due to existing minimum funding requirements being met. Depending on the regulatory or contractual provisions, the plan assets are accounted for under the asset ceiling rules.

The service cost is classified as staff costs. Past service cost arises when a defined benefit plan is introduced or changes are made to the benefits payable under an existing defined benefit plan. It is recognised immediately as an expense.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is recognised in retained earnings directly in the period it arises.

Expected income from plan assets and interest expenses from the compounding of pension obligations are reported under net interest income.

In addition, some Group companies provide their employees with defined contribution plans due to statutory or contractual provisions. These defined contribution plans involve no commitments on the part of the company beyond paying contributions to an external pension provider. The payments are recognised as an expense and reported under administrative expenses at the time of the payment obligation. No pension provisions need to be made.

Other provisions

Other provisions include provisions for off-balance sheet transactions, restructuring provisions and other provisions.

Provisions for off-balance sheet transactions are made for contingent liabilities and other liabilities where there is a risk of default. They include loss allowances for financial guarantees and for irrevocable and revocable credit commitments to which the impairment rules in accordance with IFRS 9 are applied (for calculation of loss allowances, including a breakdown of loss allowances, refer to note 77), in addition to provisions for other contingent liabilities and other commitments in accordance with IAS 37.

Restructuring provisions are recognised for termination benefits in accordance with IAS 19 and obligations under contracts in accordance with IAS 37. These are recognised if the BayernLB Group has a detailed formal plan for the restructuring measures and has already begun to carry it out, or if the major details of the restructuring have been announced.

Miscellaneous provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

The size of the provision corresponds to the best estimate of the amount that would be required to settle the liability as at the reporting date. The risks and uncertainties associated with the liability are factored into the calculation.

Where the effect of the time value of money is material, provisions are discounted and the present value of the expenditures required to settle the liability is reported. To this end a pre-tax discount rate is used that reflects the current market assessments of the time value of money and the risks specific to the liability.

(22) Liabilities of disposal groups

This item comprises the debts of disposal groups in the held-for-sale category.

(23) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. This item includes deferred income and accruals. The measurement depends on the regulations for the respective liability.

The line item also includes financial liabilities to non-controlling interests holding shares in DKB sustainability funds that are part of the DKB sub-group and to which the fair value option is applied.

(24) Compound instruments

Debt and equity instruments are classified in accordance with IAS 32, taking account of IDW statement HFA 45 on the presentation of financial instruments under IAS 32. A financial instrument is therefore recognised in equity if

- it evidences a residual interest in the assets of an entity after deducting all of its liabilities (IAS 32.11) and
- in particular, it contains no contractual obligation to deliver cash or other financial assets to the contractual partner (IAS 32.16).

The contractual terms of the compound instruments used by BayernLB result in the following accounting treatment and measurement in the consolidated financial statements.

As they are compound financial instruments, dated silent partner contributions, including those that are callable by the lender, must be divided into their equity and debt components (split accounting). The fair value of the debt component was initially measured by discounting the nominal value of the compound instrument as a whole by its effective interest rate. The value is recognised in the balance sheet in the subordinated capital item. In subsequent years, interest on the debt component accrues and the resulting expense is reported in net interest income. The equity component – which as a residual interest as defined in IAS 32.11 corresponds to the present value of expected future distributions – is recognised in equity. Distributions on compound instruments are made only if their payment does not produce or increase a net accumulated loss in the separate accounts prepared under the German Commercial Code (HGB).

If a compound financial instrument shares in the losses, this affects the repayment of the nominal value of the compound instrument and therefore the debt component whose present value must be adjusted as necessary to take account of the changed cash flow expectations in accordance with IFRS 9.B5.4.6. The income resulting from the change in the present value (or expenses resulting from replenishing the instrument in subsequent years) is recognised in other income and expenses.

(25) Leasing

Leases are agreements whereby the lessor conveys to the lessee the right to use an asset for an agreed period of time in return for a fee. They are recognised and measured on the basis of whether the BayernLB Group acts as a lessee or lessor.

The BayernLB Group as lessee

As at the date of preparation, lease liabilities are recognised at the net present value of the lease payments not yet made at the time. At the same time, the Bank capitalises a right to use the underlying asset that corresponds to the net present value of future lease payments plus initial direct costs, upfront payments and dismantling costs, less any incentive payments received. The BayernLB Group elects to use the option under IFRS 16 to apply the exemption from recognising in the balance sheet short-term leases or leases where the underlying asset is of low value. The rules in IFRS 16 do not apply to leases of intangible assets. Except for real estate leases, the BayernLB Group does not separate non-lease and lease components from each other.

Right-of-use assets are capitalised in subsequent measurements less straight-line depreciation or amortisation based on the useful life of the underlying assets or the term of the lease. In doing so the Bank also takes account of any impairments or remeasurements of lease liabilities. The carrying amount of the lease liability is adjusted for the accrued interest, the lease payments made and any remeasurements. The right-of-use asset is recognised under property, plant and equipment. Lease liabilities are shown under other liabilities.

Depreciation and impairments of right-of-use assets are reported in administrative expenses. Interest expenses for lease liabilities are reported under net interest income. Lease payments associated with short-term leases and leases where the underlying asset is of low value are recognised in administrative expenses or in other income and expenses.

The BayernLB Group as lessor

Leases are recognised and measured on the basis of whether they are classified as finance or operating leases. Since effectively all risks and rewards associated with ownership of the underlying assets remain with the BayernLB Group as lessor, all leases are operating leases.

In the case of operating leases, the leased asset is recognised at amortised cost (see note 14). The lease payments received by the lessee are recognised in other income and expenses. Depreciation and impairments are reported in administrative expenses and other income and expenses.

(26) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates and netting against expected tax refunds or tax liabilities.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific relevant income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or passed by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in other comprehensive income if the underlying item is recognised through other comprehensive income.

Income tax expenses and income calculated on profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

Segment reporting

(27) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. A total of four segments, which are unchanged on the previous year, are shown in the report, comprising the three business segments Real Estate & Savings Banks/Association, Corporates & Markets and Deutsche Kreditbank (DKB), supplemented by the Central Areas & Others (including Consolidation) segment. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned. The Central Areas & Others (including Consolidation) segment is not aggregated for segment reporting purposes but separately as Central Areas & Others and consolidation entries not allocated to any segment in the Consolidation column.

Segment reporting is based on IFRS 8 and thus on the monthly management reports submitted to the Board of Management, which serves as the chief operating decision maker as defined in IFRS 8.7. The management reports – and hence the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from banking transactions and financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 is not available because the cost of producing the information would be excessively high.

The risk-weighted assets (RWA) shown include the figures as at the reporting date for credit risk, market risk, credit value adjustments and operational risk arising from the business activities. For the Group, the average regulatory capital available over the reporting period is reported as equity. For this, Common Equity Tier 1 (CET1) capital is calculated using the supervisory regulations in force at the time. For the purposes of internal management, economic capital is allocated to the segments in the amount of 14 percent of their average risk-weighted assets. Economic capital is reconciled to regulatory capital in the column headed “Consolidation”.

The return on equity (RoE) shown is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). The cost/income ratio (CIR) is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Segment reporting as at 31 December 2022

EUR million	Real Estate & Savings Banks/Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Net interest income	396	292	1,310	133	7	**2,137**
Risk provisions	(35)	(17)	(13)	(6)	–	**(70)**
Net commission income	272	87	80	(17)	–	**424**
Gains or losses on fair value measurement	71	41	(44)	5	(7)	**67**
Gains or losses on hedge accounting	–	–	(175)	(1)	–	**(177)**
Gains or losses on derecognised financial assets	–	–	(3)	–	–	**(3)**
Gains or losses on financial investments	3	(3)	3	(17)	3	**(11)**
Administrative expenses	(396)	(250)	(740)	(183)	1	**(1,569)**
Expenses for the bank levy and deposit guarantee scheme	–	–	(79)	(61)	–	**(140)**
Other income and expenses	(24)	3	13	370	(6)	**356**
Gains or losses on restructuring	–	–	1	104	3	**108**
Profit/loss before taxes	**287**	**154**	**354**	**328**	**–**	**1,122**
RWAs	13,678	20,583	25,623	5,428	–	**65,311**
Average economic/regulatory capital	1,907	2,941	3,568	781	1,463	**10,660**
RoE (in %)	15.0	5.2	9.9			**10.5**
CIR (%)	55.2	59.5	62.5			**56.2**

Segment reporting as at 31 December 2021

EUR million	Real Estate & Savings Banks/Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Net interest income	363	315	1,023	153	11	**1,866**
Risk provisions	(32)	(60)	3	40	–	**(48)**
Net commission income	271	80	53	(24)	–	**380**
Gains or losses on fair value measurement	57	38	51	59	(16)	**190**
Gains or losses on hedge accounting	–	1	(3)	(17)	–	**(20)**
Gains or losses on derecognised financial assets	–	1	4	–	–	**6**
Gains or losses on financial investments	–	2	5	39	–	**46**
Administrative expenses	(402)	(283)	(689)	(148)	2	**(1,520)**
Expenses for the bank levy and deposit guarantee scheme	–	–	(79)	(116)	–	**(195)**
Other income and expenses	13	(6)	1	101	–	**108**
Gains or losses on restructuring	–	–	–	1	1	**2**
Profit/loss before taxes	**271**	**87**	**369**	**89**	**(1)**	**816**
RWAs	12,705	21,078	24,633	4,898	–	**63,315**
Average economic/regulatory capital	1,699	3,210	3,431	746	1,193	**10,279**
RoE (in %)	16.0	2.7	10.8			**7.9**
CIR (%)	57.0	65.8	60.8			**59.0**

Notes on delimitation of segments

The Real Estate & Savings Banks/Financial Institutions segment incorporates business with commercial and residential real estate customers, the savings banks, the public sector, insurers, credit institutions and institutional customers. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo), consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich are allocated to this segment. The Real Estate Division focuses on long-term commercial real estate financing in Germany and selected foreign markets and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Financial Institutions Division functions as the central hub for the Bank's working relationship with the savings banks and public sector in Germany and the services it provides to insurers, credit institutions, pension funds and asset managers at national and international level. Its strategic activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of

BayernLB's business model as both customers and sales partners. The Division also serves state and municipal customers and public agencies in Germany, as well as credit institutions, insurers and institutional customers worldwide, which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. In addition, an extensive network of institutional customers provides BayernLB with a broad investor pool. The Savings Banks & Financial Institutions Division also offers a broad range of products and services in an expanding foreign notes and coins and precious metals business as a market leader in the Savings Banks Finance Group. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria, special-purpose associations, school associations and the Free State of Bavaria.

The Corporates & Markets segment comprises the business area of the same name in which BayernLB's financing and capital market activities for corporate customers and institutional investors are bundled together. In the Corporates business, BayernLB serves Mittelstand and large corporate customers focused on forward-looking sectors (energy, mobility, technology, manufacturing & engineering, and construction & basic resources), with the sector team taking an integrative approach. Besides DAX, MDAX, family and international companies in selected markets worldwide, it also has on its books corporate customers of the Bavarian savings banks, which are supported in the syndicated loan business. The products and services on offer in the Corporates business are varied and include traditional loan financing, structured financial products for project financing, leasing, asset financing, securitisation, and export and trade financing for customers active outside of Germany. The Markets Division is a central supplier of financial market products for BayernLB customers. Its strategic activities include a focused range of securities, issuance rights and interest rate and currency products. The Division also provides market access for BayernLB's own treasury activities. The Non-Core Corporates & Markets (NCCM) Division is responsible for winding down the non-core portfolios of the Corporates & Markets Business Area which have been selected for scaling back as part of the strategic realignment and focus on BayernLB's customer business, while seeking at the same time to maximise value.

The DKB segment comprises the business of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group within the BayernLB Group. In addition to providing online banking for its retail customers, DKB's business activities also include the infrastructure and corporate banking markets. In these markets DKB specialises largely in business with customers in promising and relatively non-cyclical sectors with long-term growth potential, such as residential property, renewable energy, agriculture and nutrition.

The Central Areas & Others segment incorporates the earnings contributions from the central areas Group Treasury, Corporate Center, Financial Office, Operating Office, Risk Office (including Credit Consulting) and Others. The activities of the Group Treasury Division include asset and liability management and the related money market activities and liquidity management. Earnings contributions from money market transactions for customers are shown in the respective customer segment. The segment includes transactions that cannot be allocated to either a business area or a central area. The Consolidation column, disclosed with the segment on an aggregate basis, includes consolidation entries not allocated to any segment. These mainly arise from differences in the way intra-Group transactions are measured and the application of hedge accounting to cross-segment derivatives transactions.

A breakdown of BayernLB's earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, and gains or losses on financial investments) and RWA by geographical region is provided as follows:

Information by geographical region as at 31 December 2022

EUR million	Germany	Europe (ex Germany)	America	Group
Banking operations after risk provisions	2,255	16	96	2,367
RWAs	63,057	6	2,248	65,311

Information by geographical region as at 31 December 2021

EUR million	Germany	Europe (ex Germany)	America	Group
Banking operations after risk provisions	2,341	16	63	2,420
RWAs	61,252	9	2,054	63,315

Notes to the statement of comprehensive income

(28) Net interest income

EUR million	2022	2021
Interest income	**5,120**	**4,682**
Interest income from financial instruments determined using the effective interest method	3,750	3,198
From lending and money market transactions	3,384	2,580
From financial investments	82	72
Modification gains from non-significant modifications of financial assets[1]	1	1
From the amortisation of significant and non-significant modifications of financial assets	2	1
From negative interest	282	545
Interest income – other	1,370	1,484
From lending and money market transactions	76	69
From financial investments	23	29
From hedge accounting derivatives	422	410
From derivatives in economic hedges	666	613
From negative interest	170	361
Other interest income	14	2
Interest expenses	**(2,983)**	**(2,816)**
Interest expenses from financial instruments determined using the effective interest method	(1,606)	(1,327)
For liabilities to banks and customers	(918)	(709)
For securitised liabilities	(403)	(213)
For subordinated capital	(82)	(72)
From the amortisation of significant and non-significant modifications of financial assets	(3)	(2)
From negative interest	(175)	(306)
Other interest expenses	(25)	(24)
Interest expenses – other	(1,377)	(1,489)
For liabilities to banks and customers	(90)	(99)
For securitised liabilities	(28)	(35)
For hedge accounting derivatives	(531)	(418)
For derivatives in economic hedges	(514)	(493)
From negative interest	(199)	(425)
Other interest expenses	(15)	(19)
Total	**2,137**	**1,866**

1 Modification gains or losses from modifications of contractually agreed cash flows of financial assets, the loss allowances for which are measured in the amount of the 12-month expected credit losses.

Total interest income amounted to EUR 3,204 million (FY 2021: EUR 2,278 million) for financial assets measured at amortised cost and EUR 86 million (EUR 67 million) for financial assets mandatorily measured at fair value through other comprehensive income. Total interest expenses for financial liabilities not measured at fair value through profit or loss were EUR 1,145 million (FY 2021: EUR 474 million).

(29) Risk provisions

EUR million	2022	2021
Income from risk provisions	**1,121**	**1,021**
From the release of risk provisions for on and off-balance sheet transactions	1,089	963
Income from the writeup of purchased or originated credit-impaired financial assets	6	3
From recoveries on written down receivables	26	55
Expenses for risk provisions	**(1,192)**	**(1,069)**
From additions to risk provisions for on and off-balance sheet transactions	(1,191)	(1,069)
Total	**(70)**	**(48)**

Refer to note 77 for details about the post-model adjustment shown as at 31 December 2022.

(30) Net commission income

EUR million	2022	2021
Commission income	**912**	**823**
Securities business	106	120
Credit business	205	190
Payments	64	60
Documentary business	7	7
Credit card business	253	172
Fund business	225	223
Trust transactions	17	16
Other	35	36
Commission expenses	**(489)**	**(443)**
Securities business	(63)	(70)
Broker fees	(11)	(13)
Credit business	(88)	(86)
Payments	(55)	(56)
Documentary business	(1)	(1)
Credit card business	(171)	(118)
Fund business	(95)	(95)
Other	(4)	(4)
Total	**424**	**380**

Net commission income includes a fee recognised as an expense of EUR 79 million (FY 2021: EUR 75 million) from financial instruments not measured at fair value through profit or loss.

(31) Gains or losses on fair value measurement

EUR million	2022	2021
Net trading income	**109**	**45**
Interest-related transactions	(37)	14
Currency-related transactions	57	31
Equity-related and index-related transactions and transactions with other risks	(1)	(41)
Credit derivatives	2	(8)
Other financial transactions	92	51
Refinancing of trading portfolios	–	3
Trading-related commission	(6)	(6)
Fair value gains or losses on debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	**(92)**	**117**
hFair value gains or losses on financial instruments in the “fair value option” category	**50**	**29**
Of which:		
Profit/loss attributable to non-controlling interests arising from the capital consolidation	34	(24)
Total	**67**	**190**

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from derivatives in economic hedges, from debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading, and from financial instruments in the “fair value option” category, are reported under net interest income.

(32) Gains or losses on hedge accounting

EUR million	2022	2021
Gains or losses on micro fair value hedges	**(1)**	**(19)**
Gains or losses on the measurement of hedged items	(10)	(49)
Gains or losses on the measurement of hedging instruments	9	30
Gains or losses on portfolio fair value hedges	**(177)**	**(3)**
Gains or losses on the measurement of hedged items	(5,005)	(657)
Gains or losses on the measurement of hedging instruments	4,829	654
Gains or losses on group fair value hedges	**1**	**2**
Gains or losses on the measurement of hedged items	(22)	245
Gains or losses on the measurement of hedging instruments	23	(243)
Total	**(177)**	**(20)**

(33) Gains or losses on derecognised financial assets

EUR million	2022	2021
Gains on derecognised financial assets	**7**	**10**
Gains on disposals	2	4
Gains on significant modifications	5	7
Losses on derecognised financial assets	**(9)**	**(5)**
Losses on disposals	–	(1)
Losses on significant modifications	(10)	(4)
Total	**(3)**	**6**

The amounts relate to financial assets in the “financial assets measured at amortised cost” category.

(34) Gains or losses on financial investments

EUR million	2022	2021
Gains or losses on financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category	**(2)**	**12**
Income from financial investments	1	12
Gains on disposals	1	12
Expenses from financial investments	(2)	–
Losses on disposals	(2)	–
Fair value gains or losses on equity instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	**(9)**	**34**
Total	**(11)**	**46**

(35) Administrative expenses

EUR million	2022	2021
Staff costs	**(837)**	**(844)**
Salaries and wages	(659)	(661)
Social security contributions	(94)	(93)
Of which:		
Employer contributions to statutory pension scheme	(50)	(46)
Expenses for pensions and other employee benefits	(84)	(91)
Of which:		
Expenses for defined contribution plans	(12)	(11)
Other administrative expenses	**(636)**	**(588)**
Expenses for real estate[1]	(38)	(31)
Data processing costs	(305)	(289)
Office costs	(6)	(6)
Advertising	(39)	(37)
Communication and other selling costs	(82)	(58)
Membership, legal and consulting fees	(122)	(122)
Miscellaneous administrative costs	(45)	(44)
Expenses from the amortisation, depreciation, loss allowances and writedowns of property, plant and equipment and intangible assets	**(95)**	**(88)**
Total	**(1,569)**	**(1,520)**

1 *Not including investment property.*

(36) Expenses for the bank levy and deposit guarantee scheme

EUR million	2022	2021
Expenses for the bank levy	(104)	(75)
Expenses for the deposit guarantee scheme	(37)	(120)
Total	**(140)**	**(195)**

(37) Other income and expenses

EUR million	2022	2021
Other income	**455**	**194**
Rental income from investment property	2	3
Gains on the sale of investment property	76	101
Gains on the sale of property, plant and equipment and intangible assets	223	–
Income from the release of provisions	49	40
Gains on repurchases of own issues	44	1
Interest income from tax refunds due	18	8
Sundry other income	43	39
Other expenses	**(99)**	**(86)**
Current expenses from leased investment property	(2)	(2)
Expenses from the depreciation of investment property	(1)	(1)
Losses on repurchases of own issues	(4)	(8)
Expenses from loss transfers	(2)	(3)
Expenses from establishing provisions	(37)	(4)
Other taxes	(5)	(2)
Interest expenses from tax arrears	(6)	(10)
Sundry other expenses	(42)	(54)
Total	**356**	**108**

Sundry other income and sundry other expenses included principally income and expenses that are not typical for banks.

(38) Gains or losses on restructuring

EUR million	2022	2021
Income from restructuring measures	146	32
Expenses for restructuring measures	(38)	(30)
Total	**108**	**2**

The gain from restructuring measures mainly comprises the reversal of restructuring provisions and the gain as a result of the increase in the discount rate.

(39) Income taxes

EUR million	2022	2021
Current income taxes	**(128)**	**(132)**
Domestic and foreign corporation tax including solidarity surcharge	(38)	(73)
Municipal trade tax/foreign local taxes	(89)	(59)
Deferred taxes	**64**	**(127)**
Domestic and foreign corporation tax including solidarity surcharge	27	(66)
Municipal trade tax/foreign local taxes	37	(61)
Total	**(64)**	**(259)**

Tax expenses totalled EUR 64 million in the reporting year (FY 2021: EUR 259 million).

Current tax expenses of EUR 128 million (FY 2021: EUR 132 million) arose largely from the current income taxes in the reporting year of the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) in the amount of EUR 134 million. For the consolidated tax group of BayernLB, there was offsetting current tax income of EUR 6 million; this included tax income for previous years of EUR 72 million.

The deferred tax income of EUR 64 million (FY 2021: EUR 127 million of deferred tax expenses) mainly arose as a result of the utilisation of recoverable tax loss carryforwards and the change in the value of the loss carryforwards and temporary differences in the consolidated tax group of BayernLB.

The effective tax expenses recognised in the reporting year were EUR 303 million lower (FY 2021: EUR 8 million) than the estimated tax expenses. The factors responsible for this difference are shown in the table below.

EUR million	2022	2021
Profit/loss before taxes	1,122	816
Group tax rate (in %)	32.7	32.8
Estimated tax expenses (–)/income (+)	**(367)**	**(267)**
Effects from differing local tax rates	(10)	42
Effects from taxes from previous years recognised in the reporting year	80	(24)
Effects from changes in tax rates	(2)	16
Effects from other non-deductible operating expenses	(39)	(26)
Effects from tax-free income	11	25
Effects from permanent accounting differences	12	2
Effects from revaluations and corrections	256	(22)
Other	(5)	(5)
Effective tax expenses (–)/income (+)	**(64)**	**(259)**
Effective tax rate (in %)	**5.7**	**31.7**

In the reporting year, based on the applicable tax rates for corporate income tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.7 percent as at the reporting date (FY 2021: 32.8 percent).

The slight fall in the Group tax rate was due to an adjustment in the average trade tax rate in the consolidated tax group of BayernLB.

The impact from deviating local tax rates of EUR -10 million (FY 2021: EUR 42 million) was largely related to the tax-exempted foreign funds of DKB and BayernLabo's tax exemption.

The effects of changes in tax rates arose as a result of the New York branch.

The taxes recognised for previous years were largely due to BayernLB's tax assets for previous years.

The tax effect from non-deductible operating expenses primarily arose from the non-deductible bank levy in the consolidated tax group of BayernLB and with respect to DKB. Offsetting tax-free income arose primarily from tax-exempt dividends and sales proceeds from non-consolidated companies at BayernLB level.

Tax effects of impairments and recognition corrections amounting to EUR 256 million (FY 2021: EUR -22 million) were generated largely from the increase in the value of the tax loss carryforwards from the consolidated tax group of BayernLB and the deductible temporary differences compared with the previous year.

Notes to the balance sheet

(40) Cash reserves

EUR million	2022	2021
Cash	50	282
Deposits with central banks	1,511	16,819
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	590	441
Total	**2,151**	**17,542**

(41) Loans and advances to banks

EUR million	2022	2021
Loans and advances to domestic banks	56,218	52,165
Loans and advances to foreign banks	5,220	4,101
Total	**61,438**	**56,266**

Loans and advances to banks by maturity

EUR million	2022	2021
Payable on demand	**37,645**	**32,153**
With residual maturity of	**23,793**	**24,113**
Up to 3 months	3,271	4,085
Between 3 months and 1 year	3,261	2,808
Between 1 year and 5 years	7,516	7,780
More than 5 years	9,746	9,440
Total	**61,438**	**56,266**

(42) Loans and advances to customers

EUR million	2022	2021
Loans and advances to domestic customers	**137,222**	**131,650**
Government entities/companies under public law	23,155	25,085
Private companies/private individuals	114,066	106,564
Loans and advances to foreign customers	**28,717**	**27,339**
Government entities/companies under public law	1,444	2,096
Private companies/private individuals	27,273	25,243
Total	**165,939**	**158,988**

Loans and advances to customers by maturity

EUR million	2022	2021
With residual maturity of	**164,763**	**157,817**
Up to 3 months[1]	13,011	12,641
Between 3 months and 1 year	15,601	14,827
Between 1 year and 5 years	54,706	53,508
More than 5 years	81,445	76,841
Perpetual maturities	**1,176**	**1,172**
Total	**165,939**	**158,988**

1 Including loans and advances to customers due on demand.

(43) Risk provisions

EUR million	2022	2021
Loss allowances – Stage 1	229	180
Loss allowances – Stage 2	255	267
Loss allowances – Stage 3	657	612
Loss allowances – POCI	60	58
Total	**1,201**	**1,117**

Risk provisions comprise loss allowances for financial assets in the "financial assets measured at amortised cost" category, which, as in the previous year, are recognised exclusively in the balance sheet line items loans and advances to banks and loans and advances to customers.

The loss allowances are broken down in the BayernLB Group as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial assets whose credit risk has not significantly increased since first-time recognition and are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets for which the default risk has increased significantly since first-time recognition but which are not credit-impaired financial assets (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as at the reporting date but which were not at the time of purchase or origination (Stage 3)
- Loss allowances for purchased or originated credit-impaired financial assets (POCI)
- Loss allowances for trade receivables where the loss allowances are always measured in the amount of the lifetime expected credit losses (simplified approach)

Whereas reclassifications to Stage 3 from Stage 1 or Stage 2 are shown separately in the changes in loss allowances, reclassifications from Stage 3 to Stage 1 or Stage 2 result in the release of loss allowances at Stage 3 and additions to loss allowances at Stage 1 or Stage 2.

Changes in loss allowances – Stage 1

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2022	2021	2022	2021	2022	2021
As at 1 Jan	**4**	**1**	**176**	**154**	**180**	**155**
Currency-related changes	–	–	–	1	**–**	**1**
Changes in the expected credit loss due to changes in the risk parameters	3	2	31	13	**35**	**15**
Additions due to lending/purchases	2	1	63	50	**65**	**51**
Releases due to disposals/redemptions/sales	(2)	(1)	(32)	(37)	**(34)**	**(38)**
Reclassifications to Stage 1 from Stage 2	8	1	29	25	**37**	**26**
Reclassifications from Stage 1 to Stage 2	(7)	–	(41)	(24)	**(48)**	**(25)**
Reclassifications from Stage 1 to Stage 3	–	–	(6)	(5)	**(6)**	**(5)**
As at 31 Dec	**9**	**4**	**220**	**176**	**229**	**180**

Changes in loss allowances – Stage 2

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2022	2021	2022	2021	2022	2021
As at 1 Jan	**5**	**4**	**262**	**295**	**267**	**299**
Currency-related changes	–	–	2	1	**2**	**(1)**
Changes in the expected credit loss due to changes in the risk parameters	24	2	111	116	**135**	**117**
Additions due to lending/purchases	2	1	25	21	**27**	**22**
Releases due to disposals/redemptions/sales	(2)	(1)	(122)	(121)	**(123)**	**(122)**
Reclassifications to Stage 2 from Stage 1	7	–	41	24	**48**	**25**
Reclassifications from Stage 2 to Stage 1	(8)	(1)	(29)	(25)	**(37)**	**(26)**
Reclassifications from Stage 2 to Stage 3	(9)	–	(54)	(46)	**(63)**	**(46)**
As at 31 Dec	**19**	**5**	**236**	**262**	**255**	**267**

Changes in loss allowances – Stage 3

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2022	2021	2022	2021	2022	2021
As at 1 Jan	**6**	**6**	**605**	**575**	**612**	**581**
Currency-related changes	–	–	(1)	6	**(1)**	**6**
Changes in the expected credit loss due to changes in the risk parameters	13	–	75	106	**88**	**106**
Additions due to lending/purchases	–	–	25	32	**25**	**32**
Releases due to disposals/redemptions/sales	–	–	(52)	(66)	**(52)**	**(66)**
Utilisations/writedowns	–	–	(77)	(91)	**(77)**	**(91)**
Unwinding	–	–	(15)	(11)	**(15)**	**(11)**
Reclassifications to Stage 3 from Stage 1	–	–	6	5	**6**	**5**
Reclassifications to Stage 3 from Stage 2	9	–	54	46	**63**	**46**
Transfers/other changes	–	–	9	4	**9**	**4**
As at 31 Dec	**28**	**6**	**628**	**605**	**657**	**612**

Changes in loss allowances – POCI

EUR million	Loans and advances to customers	
	2022	2021
As at 1 Jan	**58**	**49**
Currency-related changes	(1)	(3)
Changes in the expected credit loss due to changes in the risk parameters	7	15
Additions due to lending/purchases	1	3
Releases due to disposals/redemptions/sales	(3)	(3)
Utilisations/writedowns	(2)	(1)
Unwinding	–	(1)
Transfers/other changes	1	–
As at 31 Dec	**60**	**58**

The total volume of non-discounted expected credit losses as at first-time recognition of financial assets whose creditworthiness was impaired when they were acquired or issued was EUR 11 million in the reporting year (FY 2021: EUR 25 million). All of these relate to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets measured at amortised cost” category, which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets, stood at EUR 229,491 million (FY 2021: EUR 232,005 million) as at the reporting date and was as follows:

EUR million	2022	2021
Financial assets – Stage 1	209,320	213,829
Financial assets – Stage 2	18,333	16,478
Financial assets – Stage 3	1,641	1,499
Financial assets – POCI	151	155
Trade receivables – simplified approach	45	44
Total	**229,491**	**232,005**

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

	Cash reserves		Loans and advances to banks		Loans and advances to customers		Other assets		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
As at 1 Jan	**17,100**	**9,342**	**51,133**	**50,734**	**145,574**	**136,584**	**22**	**25**	**213,829**	**196,685**
Currency-related changes	53	41	55	140	134	435	–	–	**242**	**616**
Changes in the scope of consolidation	–	–	–	–	10	–	1	–	**11**	**–**
Lending/purchases	33,875	86,682	307,356	303,526	68,654	66,445	33	17	**409,917**	**456,670**
Disposals/redemptions/ sales	(49,468)	(78,964)	(301,045)	(305,929)	(61,712)	(59,295)	(19)	(20)	**(412,244)**	**(444,207)**
Non-significant modifications	–	–	–	–	(2)	(15)	–	–	**(2)**	**(15)**
Reclassifications to Stage 1 from Stage 2	–	–	4,504	2,808	8,350	7,056	–	–	**12,854**	**9,864**
Reclassifications to Stage 1 from Stage 3	–	–	–	–	46	22	–	–	**46**	**22**
Reclassifications from Stage 1 to Stage 2	–	–	(3,977)	(1,027)	(11,057)	(5,540)	–	–	**(15,034)**	**(6,568)**
Reclassifications from Stage 1 to Stage 3	–	–	–	–	(110)	(46)	–	–	**(110)**	**(46)**
Transfers/other changes	–	–	(230)	880	41	(72)	–	–	**(189)**	**808**
As at 31 Dec	**1,561**	**17,100**	**57,796**	**51,133**	**149,927**	**145,574**	**36**	**22**	**209,320**	**213,829**

Changes in gross carrying amounts – Stage 2

EUR million	Loans and advances to banks 2022	Loans and advances to banks 2021	Loans and advances to customers 2022	Loans and advances to customers 2021	Total 2022	Total 2021
As at 1 Jan	**5,129**	**5,437**	**11,348**	**13,379**	**16,478**	**18,816**
Currency-related changes	66	147	42	178	**108**	**325**
Lending/purchases	14,840	17,698	7,015	5,348	**21,856**	**23,046**
Disposals/redemptions/sales	(15,873)	(16,368)	(6,087)	(5,797)	**(21,961)**	**(22,165)**
Reclassifications to Stage 2 from Stage 1	3,977	1,027	11,057	5,540	**15,034**	**6,568**
Reclassifications to Stage 2 from Stage 3	–	–	39	46	**39**	**46**
Reclassifications from Stage 2 to Stage 1	(4,504)	(2,808)	(8,350)	(7,056)	**(12,854)**	**(9,864)**
Reclassifications from Stage 2 to Stage 3	(34)	–	(350)	(534)	**(385)**	**(534)**
Transfers/other changes	18	(4)	–	244	**18**	**240**
As at 31 Dec	**3,619**	**5,129**	**14,715**	**11,348**	**18,333**	**16,478**

Changes in gross carrying amounts – Stage 3

EUR million	Loans and advances to banks 2022	Loans and advances to banks 2021	Loans and advances to customers 2022	Loans and advances to customers 2021	Total 2022	Total 2021
As at 1 Jan	**7**	**7**	**1,492**	**1,317**	**1,499**	**1,323**
Currency-related changes	–	–	10	16	**10**	**16**
Lending/purchases	–	–	319	225	**319**	**225**
Disposals/redemptions/sales	(2)	–	(608)	(553)	**(610)**	**(553)**
Utilisations/writedowns	–	–	(11)	(7)	**(11)**	**(7)**
Non-significant modifications	–	–	–	1	–	1
Reclassifications to Stage 3 from Stage 1	–	–	110	46	**110**	**46**
Reclassifications to Stage 3 from Stage 2	34	–	350	534	**385**	**534**
Reclassifications from Stage 3 to Stage 1	–	–	(46)	(22)	**(46)**	**(22)**
Reclassifications from Stage 3 to Stage 2	–	–	(39)	(46)	**(39)**	**(46)**
Transfers/other changes	–	–	25	(18)	**25**	**(18)**
As at 31 Dec	**39**	**7**	**1,603**	**1,492**	**1,641**	**1,499**

Changes in gross carrying amounts – POCI

EUR million	Loans and advances to customers 2022	2021
As at 1 Jan	**155**	**133**
Currency-related changes	–	1
Lending/purchases	58	73
Disposals/redemptions/sales	(58)	(64)
Utilisations/writedowns	(2)	–
Non-significant modifications	(3)	22
Transfers/other changes	1	(8)
As at 31 Dec	**151**	**155**

Changes in gross carrying amounts – simplified approach

EUR million	Other assets 2022	2021
As at 1 Jan	**44**	**38**
Lending/purchases	21	23
Disposals/redemptions/sales	(21)	(20)
Transfers/other changes	–	3
As at 31 Dec	**45**	**44**

(44) Assets held for trading

EUR million	2022	2021
Bonds, notes and other fixed-income securities	**1,614**	**828**
Money market instruments	842	525
Bonds and notes	772	303
Equities and other non-fixed income securities	**12**	**293**
Equities	12	293
Loans and advances	**1,688**	**574**
Schuldschein note loans	282	546
Loan syndications	126	28
Other receivables	1,279	–
Positive fair values from derivative financial instruments (not hedge accounting)	**8,181**	**7,185**
Total	**11,495**	**8,880**

Assets held for trading by maturity

EUR million	2022	2021
With residual maturity of	**11,479**	**8,587**
Up to 3 months	2,302	1,216
Between 3 months and 1 year	1,664	1,002
Between 1 year and 5 years	3,138	1,470
More than 5 years	4,374	4,900
Perpetual maturities	**17**	**293**
Total	**11,495**	**8,880**

(45) Positive fair values from derivative financial instruments (hedge accounting)

EUR million	2022	2021
Positive fair values from micro fair value hedges	122	453
Positive fair values from portfolio fair value hedges	11	–
Positive fair values from group fair value hedges	123	55
Total	**256**	**509**

Positive fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2022	2021
With residual maturity of		
Up to 3 months	–	3
Between 3 months and 1 year	–	1
Between 1 year and 5 years	148	129
More than 5 years	108	376
Total	**256**	**509**

(46) Financial investments

EUR million	2022	2021
Bonds, notes and other fixed-income securities	**17,115**	**19,063**
Bonds and notes	17,115	19,063
Equities and other non-fixed income securities	**389**	**433**
Equities	281	333
Investment units	101	87
Other non-fixed income securities	7	12
Equity interests	**510**	**565**
Interests in unconsolidated subsidiaries	159	170
Interests in joint ventures not measured at equity	1	1
Interests in associates not measured at equity	3	3
Other equity interests	347	392
Other financial investments	**21**	**24**
Total	**18,035**	**20,085**

Financial investments by maturity

EUR million	2022	2021
With residual maturity of	**17,136**	**19,087**
Up to 3 months	1,399	1,111
Between 3 months and 1 year	1,503	2,295
Between 1 year and 5 years	9,320	9,275
More than 5 years	4,914	6,405
Perpetual maturities	**899**	**998**
Total	**18,035**	**20,085**

For the presentation of the loss allowances for financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category refer to note 63.

The gross carrying amount of financial assets in the “financial assets in the measured at amortised cost” category amounted to EUR 9 million (FY 2021: EUR 11 million), all of which comprised bonds and notes in Stage 1.

Changes in gross carrying amounts

	Stage 1	
EUR million	2022	2021
As at 1 Jan	**11**	**75**
Lending/purchases	–	13
Disposals/redemptions/sales	(2)	(77)
As at 31 Dec	**9**	**11**

(47) Investment property

EUR million	2022	2021
Leased property	21	25
Total	**21**	**25**

Changes in investment property

EUR million	2022	2021
Cost		
As at 1 Jan	52	57
Additions	8	6
Transfers	(13)	–
Disposals	–	(11)
As at 31 Dec	48	52
Depreciation, writedowns and writeups		
As at 1 Jan	(27)	(29)
Depreciation	(1)	(1)
Transfers	2	–
Disposals	–	3
As at 31 Dec	(27)	(27)
Carrying amount		
As at 1 Jan	25	28
As at 31 Dec	21	25

Additions to investment property included EUR 0 million (2021: 6 EUR million) from an acquisition.

In the first half of the year, investment property of EUR 11 million (FY 2021: EUR 0 million) was reallocated to the non-current assets or disposal groups held for sale line item of the balance sheet and sold in the second half of the year (see note 51).

As at the reporting date, the fair value of investment property was EUR 16 million (FY 2021: EUR 72 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

As at the reporting date, there was a restriction on the realisability of an investment property in the amount of EUR 21 million (FY 2021: EUR 13 million).

(48) Property, plant and equipment

EUR million	2022	2021
Property	**230**	**275**
Owner-occupied property	225	269
Assets leased under operating leases	5	5
Furniture and office equipment	**47**	**46**
Right-of-use assets from leases	**139**	**124**
Total	**415**	**445**

Changes in property, plant and equipment

EUR million	Property[1]		Furniture and office equipment		Right-of-use assets from leases		Total	
	2022	2021	2022	2021	2022	2021	2022	2021
Cost								
As at 1 Jan	377	390	137	133	192	198	**706**	**721**
Currency-related changes	–	–	–	–	2	2	**2**	**2**
Additions	11	2	17	13	41	7	**68**	**22**
Transfers	(62)	–	–	–	–	–	**(62)**	**–**
Disposals	–	(15)	(8)	(10)	(10)	(15)	**(18)**	**(40)**
As at 31 Dec	325	377	146	137	224	192	**696**	**706**
Depreciation, writedowns and writeups								
As at 1 Jan	(103)	(98)	(91)	(87)	(68)	(48)	**(261)**	**(233)**
Currency-related changes	–	–	–	–	–	–	**(1)**	**(1)**
Depreciation	(8)	(9)	(15)	(14)	(26)	(26)	**(49)**	**(48)**
Transfers	15	–	–	–	–	–	**15**	**–**
Disposals	–	4	7	10	8	7	**16**	**20**
As at 31 Dec	(96)	(103)	(99)	(91)	(85)	(68)	**(280)**	**(261)**
Carrying amount								
As at 1 Jan	275	293	46	46	124	150	**445**	**489**
As at 31 Dec	230	275	47	46	139	124	**415**	**445**

1 Including assets leased under operating leases.

In the first half of the year, owner-occupied property with a carrying amount of EUR 48 million (FY 2021: EUR 0 million) was reallocated to the non-current assets or disposal groups held for sale line item of the balance sheet and sold in the second half of the year (see note 51).

Expenditure on construction in progress in the reporting year of EUR 12 million (FY 2021: EUR 2 million) was capitalised.

(49) Intangible assets

EUR million	2022	2021
Internally generated intangible assets	93	77
Other intangible assets	121	94
Total	**214**	**170**

Intangible assets largely comprise internally generated and purchased software.

Changes in intangible assets

EUR million	Internally generated intangible assets 2022	2021	Other intangible assets 2022	2021	Total 2022	2021
Cost						
As at 1 Jan	166	140	313	280	**479**	**419**
Additions	39	27	51	39	**90**	**65**
Disposals	(1)	–	(6)	(5)	**(7)**	**(5)**
As at 31 Dec	205	166	358	313	**562**	**479**
Depreciation, writedowns and writeups						
As at 1 Jan	(90)	(74)	(219)	(201)	**(309)**	**(275)**
Depreciation	(22)	(16)	(24)	(23)	**(46)**	**(39)**
Impairments	(1)	–	–	–	**(1)**	**–**
Disposals	1	–	6	5	**7**	**5**
As at 31 Dec	(112)	(90)	(237)	(219)	**(349)**	**(309)**
Carrying amount						
As at 1 Jan	77	66	94	79	**170**	**144**
As at 31 Dec	93	77	121	94	**214**	**170**

(50) Current and deferred tax assets

EUR million	2022	2021
Current tax assets	**64**	**103**
Germany	64	103
Abroad	1	–
Deferred tax assets	**714**	**587**
Germany	630	526
Abroad	84	61
Total	**778**	**690**

Current tax assets arose predominantly from reimbursement claims in the consolidated tax group of BayernLB and amounted to EUR 56 million (FY 2021: EUR 103 million). This included income tax receivables of EUR 38 million (FY 2021: EUR 55 million), which were capitalised in accordance with IFRIC 23.

The following deferred taxes under assets and liabilities relate to recognition and measurement differences in individual balance sheet items, and to tax loss carryforwards:

EUR million	Deferred tax assets 2022	Deferred tax liabilities 2022	Deferred tax assets 2021	Deferred tax liabilities 2021
Loans and advances to banks and customers including risk provisions in Germany	686	325	262	120
Assets held for trading	–	629	2	584
Positive fair values from derivative financial instruments (hedge accounting)	1,332	1,192	23	296
Financial investments	423	7	47	46
Property, plant and equipment	15	29	2	28
Other assets	6	249	29	25
Liabilities to banks and customers	737	1,269	249	6
Securitised liabilities	4	196	118	10
Liabilities held for trading	892	–	321	–
Negative fair values from derivative financial instruments (hedge accounting)	154	2	403	1
Provisions	162	–	326	2
Other liabilities	6	62	7	271
Subordinated capital	–	37	10	1
Loss carryforwards and other	294	–	178	–
Sub-total	**4,711**	**3,997**	**1,977**	**1,390**
Less netting	3,997	3,997	1,390	1,390
Total deferred taxes less loss allowances and netting	**714**	**–**	**587**	**–**

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of BayernLB were fully netted, as the applicable tax laws permit current tax liabilities to be offset against current tax assets.

The change in net deferred income tax assets and liabilities (increase in surplus assets) of EUR 127 million (FY 2021: decrease in surplus assets of EUR 93 million) did not match the deferred tax income of EUR 64 million (FY 2021: deferred tax expenses of EUR 127 million).

This was due to changes in deferred taxes of EUR 60 million (FY 2021: EUR 30 million) recognised in other income and expenses. Of this, a partial amount of EUR -65 million was attributable to the reserve for defined benefit pension plans (FY 2021: EUR -12 million). The remaining amount of EUR 125 million (FY 2021: EUR 42 million) comprised the revaluation surplus for gains or losses on fair value measurement of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category and rating-related changes in the fair value of financial liabilities from the “fair value option” category recognised through other comprehensive income. An amount of EUR 3 million resulting from currency translation differences was also shown in retained earnings (FY 2021: EUR 4 million).

Tax loss carryforwards and instalments for which a deferred tax asset has been recognised or not recognised are listed separately in the table below for all types of loss relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of BayernLB were calculated based on the findings of the tax audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies subject to taxation in Germany may be used indefinitely.

EUR million	2022	2021
Corporation tax		
Loss carryforwards	3,223	3,381
Loss carryforwards for which a deferred tax asset has been recognised	949	609
Loss carryforwards for which no deferred tax asset has been recognised	2,274	2,772
Expire after 10 years	1,765	1,733
May be used indefinitely	509	1,039
Municipal trade tax		
Loss carryforwards	1,474	1,808
Loss carryforwards for which a deferred tax asset has been recognised	1,082	538
Loss carryforwards for which no deferred tax asset has been recognised	392	1,270
Expire after 10 years	214	573
May be used indefinitely	178	697

The deferred tax assets recognised on loss carryforwards relate to the tax planning for the relevant company/consolidated tax group of BayernLB.

No deferred tax assets were recognised for deductible temporary differences of EUR 2,153 million (FY 2021: EUR 2,979 million).

The sum of the temporary differences associated with equity interests in subsidiaries, branches, joint ventures and associates for which no deferred tax liability is recognised under IAS 12.39 amounted to EUR 116 million (FY2021: EUR 127 million).

Due to tax losses not previously recognised at BayernLB level, BayernLB's deferred tax expense was reduced by EUR 115 million (FY 2021: EUR 0 million).

(51) Non-current assets or disposal groups classified as held for sale

EUR million	2022	2021
Loans and advances to customers	–	70
Risk provisions	–	(5)
Total	**–**	**65**

In connection with the strategic realignment of its business model (the Fokus 2024 transformation programme), BayernLB decided in 2022 to divest additional real estate not necessary for operations. On 5 August 2022, BayernLB concluded a notarised property sales contract to sell four properties at the Munich location which are not necessary for operations. This was executed in rem on 4 October 2022.

The credit exposures classified as held for sale as at 31 December 2021 were transferred or reclassified to the balance sheet items loans and advances to customers and risk provisions as a result of withdrawn sales applications in the reporting year (see the changes in loss allowances and gross carrying amounts below).

The loss allowances for financial assets measured at amortised cost deducted from the carrying amount of non-current assets or disposal groups held for sale amounted to EUR 0 million as at the reporting date (FY 2021: EUR 5 million).

Changes in loss allowances

EUR million	Stage 3	
	2022	**2021**
As at 1 Jan	**5**	**–**
Currency-related changes	2	–
Unwinding	(1)	–
Transfers/other changes	(6)	5
As at 31 Dec	**–**	**5**

The gross carrying amount of financial assets in the “financial assets in the measured at amortised cost” category amounted to EUR 0 million (FY 2021: EUR 70 million) as at the reporting date and was as follows:

EUR million	2022	2021
Financial assets – Stage 1	–	49
Financial assets – Stage 3	–	21
Total	**–**	**70**

The table below shows the extent to which changes in the gross carrying amount of financial assets and contract assets contributed to changes in the loss allowance.

Changes in gross carrying amounts

EUR million	Stage 1		Stage 3		Total	
	2022	**2021**	**2022**	**2021**	**2022**	**2021**
As at 1 Jan	**49**	**–**	**21**	**–**	**70**	**–**
Currency-related changes	–	1	(1)	–	**(1)**	**1**
Sales	(6)	(58)	(1)	–	**(7)**	**(58)**
Transfers/other changes	(43)	107	(18)	21	**(61)**	**128**
As at 31 Dec	**–**	**49**	**–**	**21**	**–**	**70**

(52) Other assets

EUR million	2022	2021
Emissions certificates	2,916	2,879
Precious metals	495	362
Assets from defined benefit plans	426	21
Claims from reinsurance	233	232
Other assets	383	303
Total	**4,453**	**3,775**

EUR 540 million (FY 2021: EUR 397 million) of other assets are due after more than 12 months.

The fair value of emissions certificates was calculated using prices quoted on active markets for similar financial instruments (Level 2 of the fair value hierarchy) and was EUR 2,916 million (FY 2021: EUR 2,879 million) as at the reporting date.

(53) Liabilities to banks

EUR million	2022	2021
Liabilities to domestic banks	58,087	73,044
Liabilities to foreign banks	2,877	3,403
Total	**60,964**	**76,447**

Liabilities to banks by maturity

EUR million	2022	2021
Payable on demand	**4,663**	**4,672**
With residual maturity of	**56,301**	**71,775**
Up to 3 months	2,762	3,414
Between 3 months and 1 year	4,907	29,660
Between 1 year and 5 years	24,484	16,448
More than 5 years	24,148	22,252
Total	**60,964**	**76,447**

Liabilities to banks by product

EUR million	2022	2021
Schuldschein note loans/issues	**4,919**	**5,193**
Schuldschein note loans	2,267	2,281
Registered public Pfandbriefs issued	565	815
Mortgage Pfandbriefs issued	496	433
Other registered securities	1,590	1,664
Book-entry liabilities	**56,045**	**71,254**
On-lending business/subsidised loans	37,917	36,567
Overnight and time deposits	13,076	29,782
Current account liabilities	3,917	4,333
Securities repurchase transactions	248	20
Other liabilities	886	553
Total	**60,964**	**76,447**

Liabilities to banks included refinancing funds at amortised cost with a carrying amount of EUR 8,418 million (FY 2021: EUR 26,532 million), which arose from participation in the ECB's targeted longer-term refinancing operations (TLTRO). They are accounted for in accordance with the requirements of IFRS 9. The interest rate in the TLTRO III is a market rate as the funding rates offered by the ECB correspond to the specific market rates to be used for the ECB's monetary transactions. Up to 23 June 2022, the interest rate for this funding was dependent on net lending of eligible loans increasing. Owing to the BayernLB Group's very good business performance, the interest rate up to 23 June 2022 was the average interest rate for the deposit facility less a discount of 50 basis points. From 24 June 2022, there has been no discount on the interest. The net interest income from the TLTRO, from the new estimate of the cash flows and from the reinvested funds for the BayernLB Group in the reporting year totalled EUR 136 million (FY 2021: EUR 166 million).

(54) Liabilities to customers

EUR million	2022	2021
Liabilities to domestic customers	**115,365**	**112,052**
Government entities/companies under public law	14,383	10,077
Private companies/private individuals	100,982	101,976
Liabilities to foreign customers	**7,938**	**7,240**
Government entities/companies under public law	1,792	2,032
Private companies/private individuals	6,147	5,208
Total	**123,304**	**119,292**

Liabilities to customers by maturity

EUR million	2022	2021
With residual maturity of		
Up to 3 months[1]	101,369	98,129
Between 3 months and 1 year	7,503	4,498
Between 1 year and 5 years	5,190	5,775
More than 5 years	9,241	10,891
Total	**123,304**	**119,292**

1 Including liabilities to customers due on demand in the amount of EUR 89,751 million (FY 2021: EUR 87,977 million).

Liabilities to customers by product

EUR million	2022	2021
Schuldschein note loans/issues	**14,029**	**16,361**
Schuldschein note loans	985	860
Registered public Pfandbriefs issued	6,058	7,420
Mortgage Pfandbriefs issued	1,806	1,940
Other registered securities	5,180	6,140
Book-entry liabilities	**109,274**	**102,931**
Overnight and time deposits	29,908	36,230
Current account liabilities	78,779	66,204
Other liabilities	587	497
Total	**123,304**	**119,292**

(55) Securitised liabilities

EUR million	2022	2021
Bonds and notes issued	**38,114**	**37,056**
Mortgage Pfandbriefs	7,343	5,157
Public Pfandbriefs	11,132	10,875
Other bonds and notes	19,639	21,024
Other securitised liabilities	**7,657**	**6,824**
Money market instruments	7,070	6,037
Miscellaneous securitised liabilities	587	787
Total	**45,771**	**43,880**

Securitised liabilities by maturity

EUR million	2022	2021
With residual maturity of		
Up to 3 months	8,453	5,482
Between 3 months and 1 year	3,902	6,315
Between 1 year and 5 years	21,546	20,239
More than 5 years	11,871	11,844
Total	**45,771**	**43,880**

(56) Liabilities held for trading

EUR million	2022	2021
Liabilities	**1,165**	**916**
Liabilities from short sales	207	29
Other liabilities	958	888
Negative fair values from derivative financial instruments (not hedge accounting)	**9,766**	**7,427**
Total	**10,931**	**8,343**

Liabilities held for trading by maturity

EUR million	2022	2021
With residual maturity of		
Up to 3 months	1,260	1,291
Between 3 months and 1 year	1,357	921
Between 1 year and 5 years	3,083	2,293
More than 5 years	5,231	3,838
Total	**10,931**	**8,343**

(57) Negative fair values from derivative financial instruments (hedge accounting)

EUR million	2022	2021
Negative fair values from micro fair value hedges	353	926
Negative fair values from portfolio fair value hedges	1	19
Negative fair values from group fair value hedges	158	129
Total	**512**	**1,073**

Negative fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2022	2021
With residual maturity of		
Up to 3 months	38	10
Between 3 months and 1 year	49	42
Between 1 year and 5 years	178	305
More than 5 years	248	716
Total	**512**	**1,073**

(58) Provisions

EUR million	2022	2021
Provisions for pensions and similar obligations	**477**	**924**
Other provisions	**627**	**844**
Provisions for off-balance sheet transactions	112	147
Loss allowances for financial guarantees/credit commitments as per IFRS 9	90	119
Provisions for other contingent liabilities/other commitments	22	28
Restructuring provisions	357	530
Miscellaneous provisions	158	167
Total	**1,104**	**1,768**

EUR 373 million (FY 2021: EUR 607 million) of other provisions are due after more than 12 months.

Provisions for pensions and similar obligations

The majority of the pension obligations in the BayernLB Group relate to direct or indirect pension commitments at BayernLB. The Bank has both employer- and employee-funded pension plans. In addition to retirement pensions, the pension benefits include disability and surviving dependants' benefits. The current pension payments are adjusted for inflation in accordance with the tariff increases for employees of public-sector banks and for some recipients in accordance with section 16 of the Occupational Pensions Act (Betriebsrentengesetz).

At BayernLB, the core element of the promised defined benefit obligations provided directly by the employer to employees in Germany is the full benefits package (Gesamtversorgungszusage), modelled on the pension system for civil servants ("pension eligibility"). No more employees are being added to the number of employees eligible for civil-servant style pension benefits as BayernLB closed the scheme to new entrants at the end of the first quarter of 2009. The size of the pension commitments for defined benefit plans is based largely on each employee's salary and length of service. Civil-servant style pension benefits are agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also includes entitlements to allowances in the event of illness and an entitlement to payments of death benefits. Both the benefit payments and death benefits are recognised in accordance with the rules for defined benefit plans.

To fulfil the defined benefit obligations and benefit obligations under retirement provision law for active and former employees and their surviving dependants who fall under the guarantee obligation, coverage assets were transferred to a legally independent trust association, BayernLB Treuhand e. V., Munich (trust association) under the framework of the Bank's own contractual trust arrangement (CTA). The assets held by the trust association qualify as plan assets. The contractual trust agreement concluded between BayernLB and the trust association also established insolvency protection for the immediate commitments of the company retirement fund based on the underlying plan assets. The trust association agreements place no funding obligations on the trustor. The trust association's executive bodies consist of the Board of Management and the Members' Meeting. The trust association currently comprises 12 members and three members of the Board of Management elected by the Members' Meeting. The Board of Management of BayernLB is responsible for the trust association's investment strategy, decides on the investment guidelines and monitors their implementation.

BayernLB has two legally independent support funds, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I is a buffer-financed provident fund that manages defined benefit obligations to former employees entitled to or in receipt of vested benefits. Versorgungskasse II is an insured provident fund that manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB made an individually determined one-off contribution in the form of a capital component for those employees who agreed to switch their occupational retirement benefits to the new pension system. This contribution was converted into plan assets and took the form of a one-off payment when the life insurance contract was concluded. Versorgungskasse II is responsible for paying the pension benefits and has reinsurance cover from Allianz Lebensversicherungs-AG, Stuttgart (Allianz Leben), with BayernLB as the beneficiary of the life insurance contracts. A contractual trust agreement was concluded between BayernLB (trustor) and Willis Towers Watson Gruppen CTA (trustee) to safeguard the entitlements from the life insurance policies. As assets held in trust, BayernLB incorporated the reinsurance policies covering its pension commitments into the CTA. The assets managed under the CTA do not qualify as offsettable plan assets. As the beneficial owner, BayernLB reports the reimbursement rights from reinsurance as an asset on the balance sheet under other assets. Their amounts and maturities correspond to the pension benefits. BayernLB makes regular contributions to Versorgungskassen I and II in accordance with thresholds defined by fiscal law.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit providers not part of the Group (ÖBAV Unterstützungskasse e. V., Munich and BVV Versorgungskasse des Bankgewerbes e. V., Berlin). These providers conclude reinsurance to fund occupational retirement benefits. As far as the basic provision is concerned, the contributions to the pension institutions comprise employer-funded allowances based on a defined percentage of annual remuneration. In addition to the basic provision, employees can also pay supplementary contributions into the pension institution through deferred compensation via the employer. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension rises. As an annual pension rise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally in the net amount like defined benefit plans in accordance with IAS 19, but accounted for under the accounting regulations as defined contribution plans due to their economic substance. This means that the contribution payments made to the external benefit providers are recognised as pension costs and therefore in administrative expenses, while the present value of the pension obligations and the plan assets used to cover them are of the same size so that no pension provisions for these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension rise guarantee will be utilised in a financially significant amount.

Risks from defined benefit plans and plan assets

Both the defined benefit obligations and the plan assets are subject to fluctuations over the course of time, which can have a negative or positive impact on the financing status.

Risks arise from defined benefit obligations in the BayernLB Group in particular from changes in discount rates (including underlying interest rates), fluctuations in the inflation rate and collective wage agreements, as well as increases in life expectancy. The significant influence of the discount rates on the amount of pension obligations is primarily due to the long-term nature of the obligations. Significant risks in connection with commitments to provide benefits are related to rising healthcare costs.

The fair value of the plan assets is materially affected by the performance of the capital markets. Unfavourable trends, in equities and fixed-income securities in particular, can reduce the fair values of the investment assets. A broad diversification of investment assets and the ongoing monitoring of income and risk contribute to reducing the investment risk. The majority of the assets are invested in the currency of the respective plan to reduce the currency risk. Plan assets are invested in a range of asset classes to prevent risk concentrations. Where necessary, additional capital is injected to cover future obligations from defined benefit pension plans. The investment strategies match the maturity structure of the assets with the expected payout dates. The investment strategies are checked regularly and adjusted, if required. An investment committee, partly composed of representatives (entitled to vote) from the Group Treasury and Group Risk Control divisions and BayernLabo, is responsible for the adoption of the investment strategies.

The risks arising on the obligations side from the pension plans in the BayernLB Group are part of the Bank's Group-wide risk strategy and are governed by the sub-risk strategy for pension basis risks.

Provisions for pensions and similar obligations recognised in the balance sheet

The provisions for pensions recognised in the balance sheet are broken down as follows:

EUR million	2022	2021
Present value of pension obligations	3,097	4,315
Fair value of plan assets	(3,065)	(3,435)
Effects of the asset ceiling	19	23
Assets from defined benefit plans	426	21
Pension provisions recognised	**477**	**924**

Reimbursement rights of EUR 233 million (FY 2021: EUR 232 million) were furthermore recognised in the BayernLB Group as assets and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

EUR million	Present value of pension obligations		Fair value of plan assets		Effects of the asset ceiling		Assets from defined benefit plans		Pension provisions recognised	
	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
As at 1 Jan	**4,315**	**4,688**	**(3,435)**	**(2,730)**	**23**	**6**	**21**	**4**	**924**	**1,968**
Currency-related changes	(6)	8	7	(8)	(1)	–	–	–	**–**	**–**
Current service cost	47	57	–	–	–	–	(13)	(1)	**34**	**53**
Past service cost	14	11	–	–	–	–	(11)	–	**3**	**10**
Interest income/expenses	50	37	(39)	(23)	–	–	(1)	–	**10**	**14**
Changes due to remeasurement	(1,205)	(365)	417	(1)	(2)	16	398	1	**(393)**	**(330)**
Employer contributions	–	–	(113)	(758)	–	–	11	–	**(102)**	**(757)**
Employee contributions	1	1	(1)	(1)	–	–	–	–	**–**	**–**
Benefits paid	(120)	(121)	99	86	–	–	–	–	**(21)**	**(34)**
Transfers/other changes	–	–	–	–	–	–	21	1	**21**	**–**
As at 31 Dec	**3,097**	**4,315**	**(3,065)**	**(3,435)**	**19**	**23**	**426**	**5**	**477**	**924**

Present value of pension obligations

As at the reporting date, the present value of the BayernLB Group's pension obligations was EUR 3,097 million (FY 2021: EUR 4,315 million). Of this, EUR 2,071 million (FY 2021: EUR 2,926 million) was attributed to salary-related direct commitments, EUR 537 million (FY 2021: EUR 848 million) to allowances in the event of illness, and EUR 490 million (FY 2021: EUR 541 million) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefit providers.

The current pension obligations had an average term (capital tie-up period) of 15 years (FY 2021: 18 years).

The changes arising from the remeasurement of the net present value of pension obligations are due to changes in actuarial assumptions. Of this, EUR -1,315 million (FY 2021: EUR -293 million) relates to changes in financial assumptions and EUR 109 million (FY 2021: EUR -71 million) to experience-based changes (including salary and pension trends).

To calculate the impact of changes in assumptions on the present value of pension obligations, a sensitivity analysis is conducted by the external actuaries for each major measurement parameter in the same way as for the original measurement of the present value of pension obligations using the projected unit credit method. Potential correlations between the individual assumptions were not taken into account here.

A change in the assumptions used to calculate the net present value of pension obligations (see note 21) of 0.5 percentage points in each case would, as at the reporting date, impact the net present value of the pension obligations as follows:

EUR million	0.5 percentage point increase 2022	0.5 percentage point increase 2021	0.5 percentage point decrease 2022	0.5 percentage point decrease 2021
Discount rate	(183)	(348)	204	376
Changes in salaries and benefits[1]	148	258	(135)	(231)
Changes in medical costs	48	85	(43)	(75)

1 In the sensitivity calculations, changes in estimated future salaries and benefits are shown together. These incorporate the offsetting impact from a change in the social insurance pension trend by +/– 0.25 percentage points.

An increase in life expectancy (biometrics) by one year increased the pension provisions by EUR 136 million (FY 2021: EUR 166 million).

Fair value of plan assets

The BayernLB Group's plan assets comprised:

EUR million	Prices quoted on active markets 2022	Prices quoted on active markets 2021	Prices not quoted on active markets 2022	Prices not quoted on active markets 2021
Cash and cash equivalents	**–**	**–**	**1,281**	**1,862**
Equity instruments	**–**	**–**	**532**	**398**
Fund units	–	–	532	398
Debt instruments	**93**	**92**	**1,159**	**1,083**
Corporate bonds	65	23	531	431
Government bonds	18	32	216	209
Reinsurance	–	–	158	166
Other debt instruments	10	37	254	276
Total	**93**	**92**	**2,972**	**3,342**

The plan assets may only be used to fulfil the pension and benefit obligations and cover the expenses incurred in the administration of the investment assets. EUR 2.8 billion (FY 2021: EUR 3.1 billion) of the plan assets related to BayernLB's CTA.

Effects of the asset ceiling

As at 31 December 2022, the pension plan of a foreign branch reported pension assets in excess of pension obligations.

Change in the fair value of the reimbursement rights reported as an asset

EUR million	2022	2021
As at 1 Jan	**232**	**229**
Interest income	5	5
Benefits paid	(3)	(2)
As at 31 Dec	**233**	**232**

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in Germany in its role as an employer to provide funding that matches employees' entitlements in Versorgungskasse II.

The pension expenses recognised in the income statement were as follows:

EUR million	2022	2021
Current service cost	(47)	(57)
Past service cost	(14)	(11)
Interest income/expenses	(6)	(9)
Total	**(67)**	**(76)**

The pension expenses in the reporting year totalling EUR 67 million (FY 2021: EUR 76 million) were recognised under net interest income in the amount of EUR 6 million (FY 2021: EUR 9 million) and under administrative expenses in the amount of EUR 61 million (FY 2021: EUR 67 million).

Expected contributions to the BayernLB Group's pension plans in financial year 2023 were estimated to be EUR 126 million (FY 2021: EUR 122 million).

The defined contribution plans involve defined contributions made to external insurers or funds. These pension plans involve no contractual obligations or risks for the BayernLB Group beyond payment of the defined contributions.

Other provisions

Provisions as per IAS 37

Changes in provisions

	Provisions for off-balance sheet transactions[1]		Restructuring provisions		Other provisions		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
As at 1 Jan	**28**	**28**	**535[2]**	**586**	**167**	**199**	**731**	**814**
Currency-related changes	–	–	–	–	–	–	**–**	**1**
Utilisation	–	–	(67)	(51)	(37)	(123)	**(103)**	**(175)**
Releases	(23)	(14)	(100)	(26)	(42)	(35)	**(165)**	**(75)**
Additions	18	13	35	27	72	127	**125**	**168**
Interest	–	–	–	–	–	–	**–**	**1**
Changes in discount rate	–	–	(45)	(6)	(14)	(2)	**(59)**	**(8)**
Transfers/other changes	(1)	–	(1)	–	11	–	**9**	**–**
As at 31 Dec	**22**	**28**	**357**	**530**	**158**	**167**	**537**	**725**

1 Not including loss allowances for financial guarantees and for irrevocable and revocable credit commitments to which the impairment rules in accordance with IFRS 9 are applied.
2 Adjustment in accordance with IAS 8 as a result of the modified retrospective application of the amendments to IAS 37 (see note 1).

The restructuring provisions mainly comprised contractually agreed obligations in connection with staff reductions under the Fokus 2024 transformation programme at BayernLB.

Miscellaneous provisions include personnel-related provisions which are mainly short-term in nature. This line item also includes provisions in connection with loss events, the costs of storing business documents, litigation costs and equity interests.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of litigation, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

Loss allowances for financial guarantees/credit commitments as per IFRS 9

The loss allowances for financial guarantees and for revocable and irrevocable credit commitments to which the impairment rules under IFRS 9 apply amounted to EUR 90 million (FY 2021: EUR 119 million) as at the reporting date and were as follows (for the breakdown of the loss allowances see note 43):

EUR million	**2022**	**2021**
Loss allowances – Stage 1	36	29
Loss allowances – Stage 2	30	63
Loss allowances – Stage 3	24	24
Loss allowances – POCI	1	2
Total	**90**	**119**

Changes in loss allowances

EUR million	Stage 1 2022	Stage 1 2021	Stage 2 2022	Stage 2 2021	Stage 3 2022	Stage 3 2021	POCI 2022	POCI 2021	Total 2022	Total 2021
As at 1 Jan	**29**	**26**	**63**	**56**	**24**	**30**	**2**	**1**	**119**	**113**
Currency-related changes	–	–	2	3	–	–	–	–	**3**	**3**
Changes in the expected credit loss due to changes in the risk parameters	13	(1)	7	14	(4)	(1)	(1)	1	**15**	**13**
Additions due to lending	24	23	16	32	7	7	–	2	**47**	**64**
Releases due to disposals	(22)	(20)	(63)	(37)	(6)	(7)	–	(2)	**(91)**	**(67)**
Unwinding	–	–	–	–	(1)	(1)	–	–	**(1)**	**(1)**
Reclassifications to Stage 1 from Stage 2	8	4	(8)	(4)	–	–	–	–	**–**	**–**
Reclassifications to Stage 2 from Stage 1	(16)	(4)	16	4	–	–	–	–	**–**	**–**
Reclassifications to Stage 3 from Stage 2	–	–	(4)	(3)	4	3	–	–	**–**	**–**
Transfers/other changes	–	–	–	–	(1)	(6)	(1)	–	**(2)**	**(6)**
As at 31 Dec	**36**	**29**	**30**	**63**	**24**	**24**	**1**	**2**	**90**	**119**

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial assets in the reporting year was EUR 3 million (FY 2021: EUR 1 million).

The exposure to financial guarantees and revocable and irrevocable credit commitments stood at EUR 55,785 million as at the reporting date (FY 2021: EUR 59,569 million) and was as follows:

EUR million	2022	2021
Financial guarantees/credit commitments – Stage 1	50,865	50,641
Financial guarantees/credit commitments – Stage 2	4,816	8,561
Financial guarantees/credit commitments – Stage 3	100	365
Financial guarantees/credit commitments – POCI	4	2
Total	**55,785**	**59,569**

The table below shows the extent to which changes in the exposure to financial guarantees and credit commitments contributed to changes in the loss allowance.

Change in exposure as at 31 December 2022

EUR million	Stage 1 2022	Stage 2 2022	Stage 3 2022	POCI 2022	Total 2022
As at 1 Jan	**50,641**	**8,561**	**365**	**2**	**59,569**
Currency-related changes	65	310	1	–	**377**
Lending/purchases	38,187	7,555	104	7	**45,854**
Disposals/redemptions/sales	(41,206)	(8,374)	(430)	(5)	**(50,016)**
Reclassifications to Stage 1 from Stage 2	6,406	(6,406)	–	–	**–**
Reclassifications to Stage 1 from Stage 3	3	–	(3)	–	**–**
Reclassifications to Stage 2 from Stage 1	(3,211)	3,211	–	–	**–**
Reclassifications to Stage 2 from Stage 3	–	7	(7)	–	**–**
Reclassifications to Stage 3 from Stage 1	(21)	–	21	–	**–**
Reclassifications to Stage 3 from Stage 2	–	(49)	49	–	**–**
Transfers/other changes	–	–	1	–	**1**
As at 31 Dec	**50,865**	**4,816**	**100**	**4**	**55,785**

Change in exposure as at 31 December 2021

EUR million	Stage 1 2021	Stage 2 2021	Stage 3 2021	POCI 2021	Total 2021
As at 1 Jan	**50,134**	**8,419**	**270**	**13**	**58,836**
Currency-related changes	266	394	–	–	**660**
Lending/purchases	36,415	8,945	187	17	**45,564**
Disposals/redemptions/sales	(35,890)	(9,353)	(212)	(28)	**(45,484)**
Reclassifications to Stage 1 from Stage 2	3,606	(3,606)	–	–	–
Reclassifications to Stage 1 from Stage 3	–	–	–	–	–
Reclassifications to Stage 2 from Stage 1	(3,877)	3,877	–	–	–
Reclassifications to Stage 2 from Stage 3	–	2	(2)	–	–
Reclassifications to Stage 3 from Stage 1	(7)	–	7	–	–
Reclassifications to Stage 3 from Stage 2	–	(116)	116	–	–
Transfers/other changes	(6)	–	(1)	–	**(6)**
As at 31 Dec	**50,641**	**8,561**	**365**	**2**	**59,569**

Refer to note 77 for details about the post-model adjustment shown as at 31 December 2022.

(59) Current and deferred tax liabilities

EUR million	2022	2021
Current tax liabilities	**118**	**98**
Germany	118	98
Total	**118**	**98**

The current income tax liabilities largely resulted from the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) (EUR 68 million) and the consolidated tax group of BayernLB (EUR 50 million).

A breakdown of deferred income tax liabilities is given in note 50, alongside the breakdown for deferred tax assets.

(60) Liabilities of disposal groups

EUR million	2022	2021
Liabilities to banks	–	28
Total	**–**	**28**

The liabilities to banks reported as at 31 December 2021 and off-balance sheet exposure of EUR 1 million relating to irrevocable Stage 3 credit commitments were reclassified to the portfolio in the reporting year in the same way as the related receivables from customers (see the comments in note 51).

(61) Other liabilities

EUR million	2022	2021
Accruals	236	242
Lease liability from right-of-use assets	141	126
Non-controlling interests (debt instruments)	126	139
Other liabilities	144	120
Total	**647**	**627**

EUR 133 million (FY 2021: EUR 115 million) of other provisions are due after more than 12 months.

(62) Subordinated capital

EUR million	2022	2021
Subordinated liabilities	2,421	2,659
Profit participation certificates (debt component)	29	29
Dated silent partner contributions (debt component)	1	1
Total	**2,451**	**2,689**

Subordinated capital by maturity

EUR million	2022	2021
With residual maturity of	**2,422**	**2,660**
Up to 3 months	26	24
Between 3 months and 1 year	107	115
Between 1 year and 5 years	312	234
More than 5 years	1,978	2,287
Perpetual maturities	**29**	**29**
Total	**2,451**	**2,689**

(63) Equity

EUR million	2022	2021
Equity excluding non-controlling interests	**13,529**	**12,297**
Subscribed capital	3,412	3,412
Statutory nominal capital	2,800	2,800
Capital contribution	612	612
Capital surplus	2,182	2,182
Retained earnings	8,101	6,548
Statutory reserve	1,268	1,268
Other retained earnings	6,834	5,281
Revaluation surplus	(392)	78
Foreign currency translation reserve	1	2
Distributable profit	225	75
Non-controlling interests	**11**	**11**
Total	**13,540**	**12,307**

Subscribed capital

BayernLB Holding AG, Munich holds 100 percent of BayernLB's nominal capital. As at 31 December 2022, the Free State of Bavaria's equity interest in BayernLB Holding AG was about 75 percent and the equity interest of the Association of Bavarian Savings Banks, Munich was around 25 percent.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and of 28 December 1995, each as most recently amended by agreement on 23 December 2005. The special-purpose assets transferred are used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable since 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

Capital surplus

The capital surplus is derived mainly from additional contributions to the parent company's equity.

Retained earnings

Allocations to the reserves from earnings generated in previous years and the reporting year are reported in retained earnings.

In addition, retained earnings includes the impact from the remeasurement of defined benefit pension plans.

Revaluation surplus

EUR million	2022	2021
Gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category	(613)	110
Loss allowances for financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category	8	3
Rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income	125	10
Changes in the fair value of currency swaps from currency basis spread fluctuations recognised through other comprehensive income	(8)	(17)
Deferred taxes recognised through other comprehensive income	96	(29)
Total	**(392)**	**78**

The loss allowances for financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category were as follows (for the breakdown of the loss allowances see note 43):

EUR million	2022	2021
Loss allowances – Stage 1	3	2
Loss allowances – Stage 2	5	1
Loss allowances – POCI	1	1
Total	**8**	**3**

Changes in loss allowances – Stage 1

	Financial investments	
EUR million	2022	2021
As at 1 Jan	**2**	**3**
Changes in the expected credit loss due to changes in the risk parameters	–	**(2)**
Additions due to lending/purchases	1	**–**
Reclassifications to Stage 1 from Stage 2	3	**1**
Reclassifications from Stage 1 to Stage 2	(2)	**–**
As at 31 Dec	**3**	**2**

Changes in loss allowances – Stage 2

	Financial investments	
EUR million	2022	2021
As at 1 Jan	**1**	**3**
Changes in the expected credit loss due to changes in the risk parameters	4	(1)
Additions due to lending/purchases	1	–
Reclassifications to Stage 2 from Stage 1	2	–
Reclassifications from Stage 2 to Stage 1	(3)	(1)
As at 31 Dec	**5**	**1**

Loss allowances for purchased or originated credit-impaired financial assets (POCI) remained unchanged at EUR 1 million as at the reporting date (FY2021: EUR 1 million) and, as in the previous year, all of them related to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category was EUR 18,990 million (FY 2021: EUR 19,262 million) as at the reporting date and was as follows:

EUR million	2022	2021
Financial assets – Stage 1	16,818	18,168
Financial assets – Stage 2	2,171	1,094
Financial assets – POCI	1	1
Total	**18,990**	**19,262**

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

	Cash reserves		Financial investments		Total	
EUR million	2022	2021	2022	2021	2022	2021
As at 1 Jan	**441**	**-**	**17,726**	**18,669**	**18,168**	**18,669**
Currency-related changes	23	23	211	241	**234**	**264**
Lending/purchases	594	418	2,566	1,571	**3,160**	**1,990**
Disposals/redemptions/ sales	(469)	–	(4,295)	(3,376)	**(4,763)**	**(3,376)**
Reclassifications to Stage 1 from Stage 2	–	–	2,705	1,121	**2,705**	**1,121**
Reclassifications from Stage 1 to Stage 2	–	–	(2,596)	(565)	**(2,596)**	**(565)**
Transfers/other changes	–	–	(89)	66	**(89)**	**66**
As at 31 Dec	**590**	**441**	**16,228**	**17,726**	**16,818**	**18,168**

Changes in gross carrying amounts – Stage 2

	Financial investments	
EUR million	2022	2021
As at 1 Jan	**1,094**	**1,583**
Lending/purchases	1,357	320
Disposals/redemptions/sales	(175)	(272)
Reclassifications to Stage 2 from Stage 1	2,596	565
Reclassifications from Stage 2 to Stage 1	(2,705)	(1,121)
Transfers/other changes	4	19
As at 31 Dec	**2,171**	**1,094**

The gross carrying amount for purchased or originated credit-impaired financial assets (POCI) remained unchanged at EUR 1 million as at the reporting date (FY2021: EUR 1 million) and, as in the previous year, all of them related to loans and advances to customers.

Distributable profits

The distributable profits of the BayernLB Group correspond to the consolidated profit after changes in reserves.

Notes to financial instruments

(64) Fair value of financial instruments

EUR million	Fair value[1] 2022	Carrying amount 2022	Fair value[1] 2021	Carrying amount 2021
Assets				
Cash reserves	2,151	2,151	17,542	17,542
Loans and advances to banks[2]	61,283	61,438	56,266	56,266
Loans and advances to customers[2]	150,887	165,939	161,487	158,988
Assets held for trading	11,515	11,495	8,883	8,880
Positive fair values from derivative financial instruments (hedge accounting)	256	256	509	509
Financial investments	18,035	18,035	20,085	20,085
Non-current assets or disposal groups classified as held for sale	–	–	64	65
Liabilities				
Liabilities to banks	59,245	60,964	77,238	76,447
Liabilities to customers	119,726	123,304	120,877	119,292
Securitised liabilities	43,203	45,771	44,224	43,880
Liabilities held for trading	10,931	10,931	8,343	8,343
Negative fair values from derivative financial instruments (hedge accounting)	512	512	1,073	1,073
Liabilities of disposal groups	–	–	28	28
Other liabilities	126	126	139	139
Subordinated capital	2,029	2,451	2,849	2,689

1 *The carrying amounts for each current financial instrument of other assets and liabilities are a reasonable approximation of fair value. In accordance with IFRS 7.29 (a), these are therefore not disclosed. Furthermore, in accordance with IFRS 7.29 (d), the fair value of lease liabilities reported under other liabilities is not disclosed.*

2 *Carrying amount not including deductions of loss allowances for loans and advances to banks of EUR 56 million (31 December 2021: EUR 15 million) and loans and advances to customers of EUR 1,145 million (31 December 2021: EUR 1,101 million) in the "financial assets measured at amortised cost" category.*

For details on the fair value calculation, refer to note 6.

Day one profit or loss

Changes in the day one profit or loss reserve

EUR million	Assets held for trading 2022	Assets held for trading 2021
As at 1 Jan	**3**	**–**
Allocations through profit and loss	18	**3**
Releases through profit and loss	**(3)**	**–**
As at 31 Dec	**19**	**3**

The day one profit or loss reserve exclusively comprises derivative financial instruments.

(65) Financial instrument measurement categories

EUR million	2022	2021
Assets		
Financial assets measured at fair value through profit or loss	12,514	10,148
Financial assets mandatorily measured at fair value through profit or loss	12,436	10,041
Loans and advances to customers	12	131
Assets held for trading	11,495	8,880
Financial investments	929	1,030
Fair value option	78	106
Financial investments	78	106
Financial assets measured at amortised cost	229,015	232,365
Cash reserves	1,561	17,100
Loans and advances to banks[1]	61,438	56,266
Loans and advances to customers[1]	165,926	158,856
Financial investments	9	11
Non-current assets or disposal groups classified as held for sale	–	65
Other assets	81	66
Financial assets measured at fair value through other comprehensive income	17,610	19,379
Financial assets mandatorily measured at fair value through other comprehensive income	17,610	19,379
Cash reserves	590	441
Loans and advances to customers	1	1
Financial investments	17,019	18,937
Derivative financial instruments in hedges (hedge accounting)	256	509
Positive fair values from derivative financial instruments (hedge accounting)	256	509

1 Not including deduction of loss allowances.

EUR million	2022	2021
Liabilities		
Financial liabilities measured at fair value through profit or loss	16,050	14,852
Held-for-trading financial liabilities	10,931	8,343
Liabilities held for trading	10,931	8,343
Fair value option	5,118	6,509
Liabilities to banks	180	256
Liabilities to customers	2,327	3,375
Securitised liabilities	2,485	2,739
Other liabilities	126	139
Financial liabilities measured at amortised cost	227,551	236,008
Liabilities to banks	60,783	76,190
Liabilities to customers	120,976	115,917
Securitised liabilities	43,286	41,141
Liabilities of disposal groups	–	28
Other liabilities	54	42
Subordinated capital	2,451	2,689
Derivative financial instruments in hedges (hedge accounting)	512	1,073
Negative fair values from derivative financial instruments (hedge accounting)	512	1,073
Lease liabilities	141	126

In addition, as at the reporting date there was a portfolio hedge adjustment asset of EUR -4,651 million (FY 2021: EUR 231 million) for hedged items for which fair value hedge accounting in the form of portfolio hedges was used. This is assigned to the "financial assets measured at amortised cost" category.

(66) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Level 1: Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date
- Level 2: Inputs not included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs
- Level 3: Unobservable inputs

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

	Level 1		Level 2		Level 3		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Assets								
Cash reserves	590	441	–	–	–	–	**590**	**441**
Loans and advances to customers	–	–	–	–	13	132	**13**	**132**
Assets held for trading	160	370	11,200	8,428	156	86	**11,515**	**8,883**
Positive fair values from derivative financial instruments (hedge accounting)	–	–	256	509	–	–	**256**	**509**
Financial investments	8,855	13,812	8,855	5,896	316	366	**18,026**	**20,074**
Total	**9,605**	**14,623**	**20,311**	**14,832**	**484**	**584**	**30,400**	**30,039**
Liabilities								
Liabilities to banks	–	–	180	256	–	–	**180**	**256**
Liabilities to customers	–	–	2,327	3,375	–	–	**2,327**	**3,375**
Securitised liabilities	–	–	2,485	2,739	–	–	**2,485**	**2,739**
Liabilities held for trading	51	12	10,856	8,318	24	13	**10,931**	**8,343**
Negative fair values from derivative financial instruments (hedge accounting)	–	–	512	1,073	–	–	**512**	**1,073**
Other liabilities	–	–	126	139	–	–	**126**	**139**
Total	**51**	**12**	**16,487**	**15,900**	**24**	**13**	**16,562**	**15,926**

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

	Interest rate risks		Currency risks		Equity and other price risks		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Assets								
Loans and advances to customers	13	132	–	–	–	–	**13**	**132**
Assets held for trading	135	72	21	14	–	–	**156**	**86**
Financial investments	21	24	–	–	294	342	**316**	**366**
Total	**169**	**228**	**21**	**14**	**294**	**342**	**484**	**584**
Liabilities								
Liabilities held for trading	9	6	15	8	–	–	**24**	**13**
Total	**9**	**6**	**15**	**8**	**–**	**–**	**24**	**13**

Reclassifications between Levels 1 and 2

	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
EUR million	2022	2021	2022	2021
Assets				
Assets held for trading	–	–	12	–
Financial investments	655	800	4,246	1,034
Total	**655**	**800**	**4,258**	**1,034**
Liabilities				
Liabilities held for trading	7	–	3	–
Total	**7**	**–**	**3**	**–**

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they again or no longer met the respective cumulative criteria for the definition of active markets (see the comments in note 6). The level transfers mainly related to bonds and notes. The amounts reclassified were calculated on the basis of the fair value as at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

	Loans and advances to customers		Assets held for trading		Financial investments		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
As at 1 Jan	**132**	**127**	**86**	**109**	**366**	**326**	**584**	**563**
Currency-related changes	6	5	(12)	–	3	4	**(4)**	**8**
Income and expenses recognised in the income statement	2	5	(3)	(25)	(8)	34	**(9)**	**14**
Purchases	117	4	122	58	15	12	**254**	**74**
Sales	–	(4)	(24)	(69)	(57)	(6)	**(82)**	**(79)**
Settlements	(244)	(6)	–	–	–	(4)	**(244)**	**(10)**
Reclassifications to Level 3 from Levels 1 and 2	–	–	6	2	–	–	**6**	**2**
Reclassifications from Level 3 to Levels 1 and 2	–	–	(131)	(29)	–	–	**(131)**	**(29)**
Transfers/other changes	–	–	112	41	(3)	–	**109**	**41**
As at 31 Dec	**13**	**132**	**156**	**86**	**316**	**366**	**484**	**584**
Income and expenses recognised in the income statement during the financial year for financial instruments held on 31 Dec	**(1)**	**–**	**4**	**(22)**	**(5)**	**33**	**(1)**	**11**

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

	Liabilities held for trading	
EUR million	2022	2021
As at 1 Jan	**13**	**7**
Currency-related changes	(2)	2
Income and expenses recognised in the income statement	185	20
Purchases	1	–
Sales	(3)	–
Reclassifications to Level 3 from Levels 1 and 2	1	1
Reclassifications from Level 3 to Levels 1 and 2	(282)	(57)
Transfers/other changes	112	41
As at 31 Dec	**24**	**13**
Income and expenses recognised in the income statement during the financial year for financial instruments held on 31 Dec	**177**	21

The income and expenses recognised in the income statement are shown under net interest income, risk provisions, gains or losses on fair value measurement, gains or losses on hedge accounting and gains or losses on financial investments.

Non-observable inputs were assessed for materiality at the end of the reporting year based on their fair value. As a result financial instruments were reclassified to Level 3 from Levels 1 and 2 and from Level 3 to Levels 1 and 2, as counterparty and own default risk again had or no longer had a significant influence on the fair value measurement as at the reporting date.

The models used to calculate fair value must conform with accepted financial valuation methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Development in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by risk-control units and the units with responsibility for equity interests in accordance with the four-eyes principle. The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Significant changes in fair values calculated on the basis of unobservable market data (Level 3) are communicated to the respective division managers and Board of Management separately as at the reporting dates.

The fair values of credit transactions assigned to Level 3 of the fair value hierarchy are calculated on the basis of inputs that are not observable on the market. As at 31 December 2022, the sensitivity of these credit transactions to changes in key factors was:

- for a 10-basis point increase (decrease) in the measurement spread:
- EUR -0.8 million (EUR +0.8 million) (FY 2021: EUR -0.4 million (EUR +0.4 million))

Derivative financial instruments whose significant inputs for measuring fair value are not observable on the market are also allocated to Level 3 of the fair value hierarchy. As at 31 December 2022, the sensitivity of these financial instruments to changes in key factors was:

- for a 10-percentage point increase (decrease) in expected loss given default:
- EUR -2.5 million (EUR +2.5 million) (FY 2021: EUR -2.1 million (EUR +2.1 million))

- for a one notch improvement (deterioration) in the ratings:
- EUR +0.3 million (EUR -0.3 million) (FY 2021: EUR +0.5 million (EUR -0.7 million))

The BayernLB Group holds preferred stock in Visa Inc., San Francisco as a result of a former equity interest in Visa Europe Limited, London. The fair value of the preferred stock is based on the price of the Visa Inc. common stock, conversion ratios and potential risks from legal disputes, in respect of which a risk discount has been applied. As at 31 December 2022, the key sensitivity of this financial instrument to changes in key factors was:

- for a 10-percentage point upward (downward) movement in the conversion ratio:
- EUR +3.0 million (EUR -3.0 million) (FY 2021: EUR +5.2 million (EUR -5.2 million))

As at 31 December 2022, the sensitivity of equity interests whose fair value is calculated using the German income method (Ertragswertverfahren) to changes in key factors was:

- for a 25-basis-point upward (downward) movement in the base interest rate:
- EUR -4.1 million (EUR +4.3 million) (FY 2021: EUR -4.2 million (EUR +5.4 million))
- for a 25-basis-point upward (downward) movement in the market risk premium:
- EUR -3.6 million (EUR +3.8 million) (FY 2021: EUR -3.8 million (EUR +4.9 million))

The underlying base interest rate moved within a range of 1.75 to 2.25 percent (average: 2.00 percent) (FY 2021: -0.15 to 0.35 percent (average: 0.1 percent)); the underlying market risk premium moved within a range of 6.75 to 7.25 percent (average: 7.0 percent) (FY 2021: 7.25 to 7.75 percent (average: 7.5 percent)).

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified according to whether they are: measured with prices quoted on active markets (Level 1); calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2); or not based on observable market data (Level 3).

	Level 1		Level 2		Level 3		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Assets								
Cash reserves	–	–	–	–	1,561	17,100	**1,561**	**17,100**
Loans and advances to banks	–	–	16,836	9,296	44,447	46,970	**61,283**	**56,266**
Loans and advances to customers	–	–	3,748	3,185	147,126	158,170	**150,874**	**161,355**
Financial investments	–	–	–	–	9	11	**9**	**11**
Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	64	**–**	**64**
Total	**–**	**–**	**20,584**	**12,481**	**193,142**	**222,316**	**213,726**	**234,797**
Liabilities	**–**							
Liabilities to banks	–	–	8,371	7,668	50,694	69,314	**59,065**	**76,982**
Liabilities to customers	–	–	27,808	22,849	89,590	94,652	**117,398**	**117,501**
Securitised liabilities	4,427	8,471	36,291	33,015	-	–	**40,718**	**41,486**
Liabilities of disposal groups	–	–	–	–	-	28	**–**	**28**
Subordinated capital	–	–	1,999	2,818	30	31	**2,029**	**2,849**
Total	**4,427**	**8,471**	**74,469**	**66,351**	**140,314**	**164,024**	**219,210**	**238,846**

(67) Financial instruments designated at fair value through profit or loss

The maximum default risk for loans and receivables in the “fair value option” category was EUR 94 million as at the reporting date (FY 2021: EUR 88 million). The rating-related change in the fair value of these financial assets in the reporting year was EUR -5 million (FY 2021: EUR 0 million), and EUR 0 million (FY 2021: EUR 4 million) since designation.

The rating-related changes in fair value are calculated as the difference between the changes in the fair value of financial assets and the changes in the fair value of financial instruments measured on the basis of a risk-free yield curve. Only parameters observable on the market (prices of high-quality bonds) are used when determining rating-related changes in the fair value.

For financial liabilities in the fair value option category, there has been EUR 125 million (FY 2021: EUR 10 million) in rating-related changes in fair value booked to the revaluation surplus within other comprehensive income since designation. Due to the derecognition of financial liabilities in the reporting year, a reclassification was made within equity from the revaluation surplus to retained earnings in the amount of EUR 1 million (FY 2021: EUR 2 million). The difference between the carrying amount of the financial liabilities in the “fair value option” category and the redemption amount at maturity was EUR -584 million as at the reporting date (FY 2021: EUR 455 million).

The rating-related changes in the fair value of the financial liabilities are calculated as the sum of the monthly changes in the fair value in the reporting period or from designation, taking into account the residual maturities of the liabilities and adjusted for portfolio changes. The monthly changes are calculated as the difference between the fair values, which – while retaining all other market parameters – are calculated on the one hand with the credit spread at the end of each month and on the other with the credit spread at the end of the previous month. Only parameters observable on the market are used when calculating rating-related changes in the fair value; estimates are not employed.

The BayernLB Group held financial liabilities designated to the "fair value option" category primarily in connection with structured issues and liabilities with embedded derivatives. The BayernLB Group recognises credit rating-driven fair value changes in other comprehensive income rather than through profit or loss, as there are currently no reporting or measurement inconsistencies (see note 6 for more details). The determination as to whether this would give rise to or exacerbate a reporting or measurement inconsistency is to be made in the new product process, i.e. upon first-time recognition of the financial instrument, and the choice maintained in subsequent periods. The determination is based on an analysis of whether the change in the fair value of a financial liability resulting from a change in its credit risk will be offset by the change in the fair value of another financial instrument (based on the change in its default risk). Such offsetting must be based on an economic relationship between the two financial instruments, including but not limited to contractual linkage.

(68) Hedging relationships (hedge accounting)

Derivative financial instruments are used for risk management purposes to hedge recognised financial assets and recognised financial liabilities to which hedge accounting can be applied under certain circumstances. Hedge accounting in the BayernLB Group is based on the decisions by

Risk Management in Trading. Further information on the risk strategy and the management and monitoring of risks can be found in the risk report (see the credit risk and market risk sections) in the combined management report.

At present, only fair value hedges come under hedge accounting. This involves financial assets or financial liabilities (or a portion of them) recognised on the balance sheet, or a portfolio or group of financial instruments, being hedged against changes in fair value resulting from interest rate or currency risk which could affect the earnings for the period. Hedges must be proven to have a high prospective and, in the case of a portfolio fair value hedge in accordance with IAS 39, a high retrospective effectiveness. If this is not the case, the hedge must be terminated. The BayernLB Group measures effectiveness largely using a regression analysis and the critical term match method.

Hedging interest rate risks

Hedge accounting for interest rate risks is conducted in the BayernLB Group in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39. In its portfolio hedge accounting, BayernLB uses the percentage method and the bottom-layer method.

This involves the use of hedged items subject to interest rate risk. The entire interest rate risk is generally hedged. This means that most of the changes in fair value are covered by hedges. Interest rate derivatives are used as hedging instruments.

The changes in the value of the hedged items and the hedging instruments cancel each other out. Possible reasons for ineffective hedges during the term of the hedge include:

- The factors determining the value between a hedged item and a hedging instrument not being perfectly matched
- A multi-curve effect arising from the measurement of a hedged item and hedging instrument with different yield curves

As part of a portfolio fair value hedge based on the percentage method, interest rate risk is managed using interest rate swaps and a dynamic hedging strategy is employed. The pre-defined hedging period is one month. After this period ends, the respective hedges are recombined or adjusted, which in the latter case is primarily based on the variations on the hedged-items side. To determine the hedge ratio, the terms of the hedged items and hedging instruments are taken into account so that interest rate sensitivities are calculated for both sides and placed in relation to each other. The interest rate swaps are designated in full as hedging instruments.

Under the bottom-layer method, a portfolio fair value hedge is a dynamic hedging strategy in which a bottom layer is determined as a hedged item for each portfolio, corresponding to the amount to be hedged. Interest rate swaps are used as hedging instruments. The pre-defined hedging period is one month. An adjustment is made when the bottom layer has to be adjusted.

Hedging instruments for foreign currency risks

The BayernLB Group hedges currency risks using group fair value hedges in accordance with IFRS 9, where the bottom layer of a whole population of hedged items is designated. Currency swaps are used as hedging instruments. They are designated as group hedges by currency. The currency basis spread is separated from the currency swap and exempted from being designated as a hedging instrument. The entire spot rate-related change in the value of the bottom layer is hedged per currency.

The changes in the value of the hedged items and the hedging instruments cancel each other out. A hedge can become ineffective during its term if the gains or losses from the measurement of the rate from both variable legs of the currency swap do not offset the corresponding measurement gains or losses of the hedged items measured only at the spot rate.

Hedging instruments

			Carrying amount			
	Nominal value		Assets		Liabilities	
EUR million	2022	2021	2022	2021	2022	2021
Interest rate risks	42,091	36,596	133	453	354	945
Currency risks	3,312	3,388	123	55	158	129
Total	**45,404**	**39,984**	**256**	**509**	**512**	**1,073**

The hedging instruments are shown in the balance sheet under “positive fair values of derivative financial instruments (hedge accounting)” and “negative fair values of derivative financial instruments (hedge accounting)”.

Hedging instruments by maturity

	Nominal value			
	Interest rate risks		Currency risks	
EUR million	2022	2021	2022	2021
Residual maturities				
Up to 3 months	518	1,062	89	91
Between 3 months and 1 year	1,439	2,116	513	601
Between 1 year and 5 years	13,416	11,075	1,717	1,736
More than 5 years	26,718	22,343	994	959
Total	**42,091**	**36,596**	**3,312**	**3,388**

The average price or rate of the instruments used to hedge interest rate risks was 1.45 percent (FY 2021: 1.39 percent). This does not include hedging instruments in dynamic hedges. The average price of instruments used to hedge GBP currency risks was EUR/GBP 0.86 (FY 2021: EUR/GBP 0.87) and for USD currency risks it was EUR/USD 1.17 (FY 2019: EUR/USD 1.17).

Hedged items

EUR million	Carrying amount[1]		Fair value hedge adjustments in the carrying amount[2]	
	2022	2021	2022	2021
Assets				
Interest rate risks	34,268	31,341	(1,252)	291
Loans and advances to banks	91	104	(15)	(3)
Loans and advances to customers	21,223	16,982	(470)	287
Financial investments	8,003	10,019	(767)	7
Various[3]	4,951	4,237		
Total	**34,268**	**31,341**	**(1,252)**	**291**
Liabilities				
Interest rate risks	12,555	10,801	(1,339)	195
Liabilities to banks	764	459	(67)	26
Liabilities to customers	2,550	2,942	(527)	144
Securitised liabilities	8,556	6,602	(618)	8
Subordinated capital	685	798	(127)	18
Total	**12,555**	**10,801**	**(1,339)**	**195**

1 Not including deductions of loss allowances for loans and advances to banks and/or loans and advances to customers in the "financial assets measured at amortised cost" category.

2 Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

3 Bottom layer designated in the portfolio fair value hedge (bottom layer method), which covers the financial instruments in the loans and advances to banks and loans and advances to customers line items in the balance sheet.

Currency risks are also hedged using group fair value hedges, where the bottom layer of a population of hedged items recognised in loans and advances to banks, loans and advances to customers and financial investments is designated. Their nominal value was EUR 3,312 million as at the reporting date (FY 2021: EUR 3,388 million).

The fair value hedge adjustment[1] remaining on the balance sheet from terminated hedges was as follows:

EUR million	2022	2021
Assets		
Interest rate risks	4	7
Loans and advances to customers	4	6
Financial investments	(1)	1
Total	**4**	**7**
Liabilities		
Interest rate risks	113	163
Liabilities to banks	29	29
Liabilities to customers	75	112
Securitised liabilities	9	22
Total	**113**	**163**

1 Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

In addition, as at the reporting date there was a portfolio hedge adjustment asset of EUR -4,651 million (FY 2021: EUR 231 million) for hedged items for which fair value hedge accounting in the form of portfolio hedges was used. Of this, EUR -4,386 million (FY 2021: EUR 233 million) related to hedges still existing as at the reporting date and EUR -265 million (FY 2021: EUR-1 million) to hedges that had been terminated.

Hedge ineffectiveness

	Change in value of hedging instruments		Change in value of hedged items		Hedge ineffectiveness	
EUR million	2022	2021	2022	2021	2022	2021
Interest rate risks	**4,838**	**684**	**(5,015)**	**(706)**	**(178)**	**(22)**
Gains or losses on hedge accounting	4,838	684	(5,015)	(706)	(178)	(22)
Micro fair value hedges	9	30	(10)	(49)	(1)	(19)
Portfolio fair value hedges	4,829	654	(5,005)	(657)	(177)	(3)
Currency risks	**23**	**(243)**	**(22)**	**245**	**1**	**2**
Gains or losses on hedge accounting	23	(243)	(22)	245	1	2
Group fair value hedges	23	(243)	(22)	245	1	2
Total	**4,860**	**441**	**(5,037)**	**(461)**	**(177)**	**(20)**

Hedging costs

The following table shows the changes in the fair value of currency swaps arising from currency basis spread fluctuations booked as hedging costs in the revaluation surplus. In the case of these group fair value hedges only period-related hedged items are hedged against changes in fair value arising from currency risk.

EUR million	2022	2021
As at 1 Jan	**(17)**	**(12)**
Hedging costs recognised through other comprehensive income	9	(5)
As at 31 Dec	**(8)**	**(17)**

Refer to the statement of comprehensive income for a breakdown of other comprehensive income in accordance with IAS 1.

(69) Net profit or loss from financial instruments

The net profit or loss on financial instruments in each category incorporates the gains or losses from measurement and realisation.

EUR million	2022	2021
Financial assets and financial liabilities measured at fair value through profit or loss	**173**	**201**
Financial assets mandatorily measured at fair value through profit or loss/held-for-trading financial liabilities[1]	7	196
Gains or losses on fair value measurement	17	162
Gains or losses on financial investments	(9)	34
Fair value option	166	5
Gains or losses on fair value measurement	50	29
Change in the revaluation surplus[2]	116	(24)
Financial assets measured at amortised cost	**(5,876)**	**(961)**
Risk provisions	(99)	(43)
Gains or losses on hedge accounting[3]	(5,774)	(925)
Gains or losses on derecognised financial assets	(3)	6
Financial assets measured at fair value through other comprehensive income	**(2,339)**	**(480)**
Financial assets mandatorily measured at fair value through other comprehensive income	(2,339)	(480)
Risk provisions	(5)	3
Gains or losses on hedge accounting[3]	(779)	(170)
Gains or losses on financial investments	(2)	12
Change in the revaluation surplus[4]	(1,553)	(324)
Financial liabilities measured at amortised cost	**1,578**	**383**
Gains or losses on hedge accounting[3]	1,537	389
Other income and expenses	40	(6)
Derivative financial instruments in hedges (hedge accounting)	**4,838**	**684**
Gains or losses on hedge accounting[3]	4,838	684

1 Includes current income from financial instruments held for trading purposes (except for derivatives in economic hedges) and gains or losses on foreign currency translation.

2 Rating-related changes in the fair value of financial liabilities recognised through other comprehensive income.

3 Not including group fair value hedges.

4 Gains or losses on fair value measurement recognised through other comprehensive income.

The net gains or losses on financial liabilities in the "fair value option" category stood at EUR 1,100 million (FY 2021: EUR 186 million) in the reporting year. They included rating-related changes in fair value of EUR 116 million (FY 2021: EUR -24 million) that were booked to the revaluation surplus within other comprehensive income and gains or losses on fair value measurement booked through profit or loss in the amount of EUR 984 million (FY 2021: EUR 209 million).

In the reporting year fair value changes and loss allowances of EUR -1,559 million (FY 2021: EUR -321 million) relating to financial assets mandatorily measured at fair value through other comprehensive income were booked to the revaluation surplus in other comprehensive income. Due to the derecognition of financial assets in the reporting year, a reclassification was made from the revaluation surplus to profit or loss in the amount of EUR 3 million (FY 2021: EUR 12 million).

The BayernLB Group also hedges currency risks using group fair value hedges, where the bottom layer of a whole population of hedged items in the "financial assets measured at amortised cost" and "financial assets mandatorily measured at fair value through other comprehensive income" categories is designated. The measurement gains or losses on these hedged items recognised in gains or losses on hedge accounting stood at EUR 22 million (FY 2021: EUR 245 million) in the reporting year.

The measurement gains or losses on hedging instruments in group fair value hedges that are shown in gains or losses on hedge accounting stood at EUR 23 million in the reporting year (FY 2021: EUR -243 million). Refer to note 68 for information on the fair value changes from currency basis spread fluctuations recognised in the revaluation surplus.

(70) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting rights of set-off include the clearing conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, and the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions (e.g. cancellation of the master agreement, default or insolvency) occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer a position of ownership in the form of a title transfer collateral arrangement with an unrestricted right of disposal over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements therefore largely provide for the realisation of collateral through offsetting, in that the fair value of the transferred security takes account of the calculation of the settlement payments at the termination of the contract.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The “Set-off amount” column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties and bilateral repurchase agreements. The “Effect of netting agreements” column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The “Collateral” column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2022 – assets

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**30,722**	**(22,266)**	**8,456**	**(5,118)**	**(2,328)**	**1,011**
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	30,722	(22,266)	8,456	(5,118)	(2,328)	1,011
Securities repurchase transactions	**3,982**	**(405)**	**3,577**	**(202)**	**(2,955)**	**420**
Loans and advances to banks/assets held for trading	3,982	(405)	3,577	(202)	(2,955)	420
Total	**34,704**	**(22,671)**	**12,033**	**(5,320)**	**(5,283)**	**1,431**

Offsetting of financial assets and financial liabilities as at 31 December 2022 – liabilities

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**26,638**	**(16,361)**	**10,277**	**(5,118)**	**(1,221)**	**3,938**
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	26,638	(16,361)	10,277	(5,118)	(1,221)	3,938
Securities repurchase transactions	**874**	**(405)**	**469**	**(202)**	**(262)**	**5**
Liabilities to banks/liabilities held for trading	874	(405)	469	(202)	(262)	5
Total	**27,512**	**(16,766)**	**10,746**	**(5,320)**	**(1,483)**	**3,943**

Offsetting of financial assets and financial liabilities as at 31 December 2021 – assets

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**14,166**	**(6,474)**	**7,693**	**(4,936)**	**(1,185)**	**1,571**
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	14,166	(6,474)	7,693	(4,936)	(1,185)	1,571
Securities repurchase transactions	**3,361**	**–**	**3,361**	**(3)**	**(2,928)**	**430**
Loans and advances to banks	3,351	–	3,351	(3)	(2,918)	430
Loans and advances to customers	10	–	10	–	(10)	–
Total	**17,527**	**(6,474)**	**11,054**	**(4,939)**	**(4,113)**	**2,002**

Offsetting of financial assets and financial liabilities as at 31 December 2021 – liabilities

EUR million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**14,851**	**(6,351)**	**8,500**	**(4,936)**	**(1,546)**	**2,018**
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	14,851	(6,351)	8,500	(4,936)	(1,546)	2,018
Securities repurchase transactions	**20**	**–**	**20**	**(3)**	**(16)**	**–**
Liabilities to banks	20	–	20	(3)	(16)	–
Total	**14,871**	**(6,351)**	**8,519**	**(4,939)**	**(1,562)**	**2,018**

(71) Derivatives transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

	Nominal value		Positive fair value		Negative fair value	
EUR million	2022	2021	2022	2021	2022	2021
Interest rate risks	**557,704**	**430,271**	**27,205**	**11,770**	**22,901**	**11,688**
Interest rate swaps	471,457	344,750	26,498	10,857	22,073	10,368
Forward rate agreements	46,098	46,950	77	3	88	3
Interest rate options	18,705	18,084	430	814	611	1,155
Purchases	7,575	6,298	320	594	65	124
Sales	11,130	11,786	110	219	546	1,031
Caps, floors	13,610	13,465	133	94	130	58
Exchange-traded contracts	7,404	5,506	–	–	–	–
Other interest-based forward transactions	431	1,515	68	2	–	103
Currency risks	**140,616**	**112,583**	**3,378**	**1,945**	**3,404**	**2,028**
Forward exchange deals	119,844	92,188	2,439	1,338	2,434	1,248
Currency swaps/cross-currency swaps	15,969	16,798	892	580	922	738
Foreign exchange options	503	1,101	3	7	1	5
Purchases	309	622	3	7	–	–
Sales	194	479	–	–	1	5
Other currency-based forward transactions	4,300	2,496	45	19	46	36
Equity and other price risks	**5,060**	**5,462**	**107**	**428**	**291**	**1,075**
Equity forward transactions	–	276	–	5	–	8
Equity/index options	134	300	4	9	–	3
Purchases	134	264	4	9	–	–
Sales	–	36	–	–	–	3
Exchange-traded contracts	635	585	–	–	–	1
Other forward transactions	4,291	4,300	103	414	291	1,064
Credit derivative risks	**374**	**324**	**–**	**–**	**2**	**8**
Protection buyer	374	324	–	–	2	8
Total	**703,754**	**548,639**	**30,690**	**14,142**	**26,598**	**14,799**

Derivatives transactions by maturity

	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Residual maturities								
Up to 3 months	28,987	19,553	46,734	43,007	2,925	2,973	–	–
Between 3 months and 1 year	103,729	88,293	32,827	24,702	799	2,044	–	–
Between 1 year and 5 years	189,668	138,247	51,121	34,322	1,336	445	324	324
More than 5 years	235,321	184,179	9,934	10,552	–	–	50	–
Total	**557,704**	**430,271**	**140,616**	**112,583**	**5,060**	**5,462**	**374**	**324**

Derivatives transactions by counterparty

	Nominal value		Positive fair value		Negative fair value	
EUR million	2022	2021	2022	2021	2022	2021
OECD banks	547,601	434,498	25,839	10,964	21,493	11,298
Non-OECD banks	16	23	–	–	–	–
Public-sector entities within the OECD	4,475	6,746	229	491	182	328
Other counterparties[1]	151,662	107,372	4,622	2,687	4,923	3,173
Total	**703,754**	**548,639**	**30,690**	**14,142**	**26,598**	**14,799**

1 *Includes exchange-traded contracts.*

Derivatives for trading purposes

	Nominal value		Positive fair value		Negative fair value	
EUR million	2022	2021	2022	2021	2022	2021
Interest rate derivatives	446,495	338,631	18,531	8,180	18,441	8,039
Currency derivatives	131,290	104,093	2,844	1,619	3,204	1,836
Equity derivatives	–	350	–	59	–	62
Credit derivatives	370	320	–	–	2	8
Total	**578,155**	**443,394**	**21,375**	**9,858**	**21,647**	**9,944**

(72) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

As at the reporting date the volume of financial assets transferred as collateral that are not derecognised was EUR 67,078 million (FY 2021: EUR 66,873 million).

These include genuine securities repurchase agreements where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also lends on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, largely for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised, as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral relates to the following items:

EUR million	2022	2021
Loans and advances to banks	18,791	18,988
Loans and advances to customers	33,907	33,258
Of which:		
Collateral received which may be sold or pledged on	441	1,199
Assets held for trading	635	300
Of which:		
Collateral received which may be sold or pledged on	635	47
Financial investments	13,745	14,327
Of which:		
Collateral received which may be sold or pledged on	8,742	811
Total	**67,078**	**66,873**

The transferred financial assets are matched against liabilities of EUR 30,883 million (FY 2021: EUR 48,836 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). As at the reporting date, the volume of the cover funds was EUR 48,615 million (FY 2021: EUR 48,244 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of EUR 32,852 million (FY 2021: EUR 34,639 million).

The BayernLB Group also pledged collateral of EUR 288 million (FY 2021: EUR 250 million) for the utilisation of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Of this amount, cash collateral of EUR 97 million (FY 2021: EUR 79 million) was deposited for the bank levy and EUR 72 million (FY 2021: EUR 52 million) for the statutory deposit guarantee scheme which Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) belongs to. Securities collateral of EUR 118 million (FY 2021: EUR 118 million) was transferred for the bank-specific guarantee scheme BayernLB belongs to (see note 83).

Transferred financial assets that are derecognised in their entirety

As at the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

(73) IBOR reform

Interbank offered rates (IBORs) are/were used as benchmarks for determining prices and cash flows of a wide number of financial instruments. As part of the IBOR reform (IBOR transition), IBOR reference rates and euro overnight index average (EONIA) are being/have been replaced by other, risk-neutral reference interest rates known as risk-free rates (RFRs). Most of the reforms have already taken effect. As at 31 December 2022, the switchover of the USD-LIBOR quotations was still outstanding.

Overview of variable reference rates in selected currencies

Currency	Previous reference rate	New alternative reference interest rate	Status
EUR	EONIA	Overnight rate: Euro Short-Term Rate (€STR)	Publication from 2 October 2019; final transition as at 3 January 2022
	EURIBOR	EURIBOR	A change was made to the accounting policy that henceforth ensures compliance with the benchmark.
CHF	CHF LIBOR	Overnight rate: Swiss Average Rate Overnight (SARON) Term structure: Compounded in arrears	Final transition as at 31 December 2021
GBP	GBP LIBOR	Overnight rate: Sterling Overnight Index Average (SONIA) Term structure: Compounded in arrears	Final transition as at 31 December 2021
JPY	JPY LIBOR	Overnight rate: Tokyo Overnight Average Rate (TONAR) Term structure: Compounded in arrears	Final transition as at 31 December 2021
USD	USD LIBOR	Overnight rate: Secured Overnight Financing Rate (SOFR) Term structure: CME term SOFR introduced	Final transition expected as at 30 June 2023
CAD	CAD CDOR	Overnight rate: Canadian Overnight Repo Rate Average (CORRA) Term structure: Development of term CORRA in progress	Final transition expected as at 30 June 2024

In the BayernLB Group, the IBOR transition has affected a number of products and contracts whose interest rates and/or interest payments were/are based on an IBOR. These include interest rate swaps, interest rate options, securities, issues and loans. In addition, numerous valuation models use or used IBOR-based yield curves for discounting and for determining forward rates.

No risks have emerged as a result of the switchovers made in the period ending 31 December 2022 in connection with the IBOR transition. The transition to date has been implemented without disruption or negative consequences for the financial performance and financial position. The transition for the currencies CHF/GBP/JPY has been concluded. With regard to the EURIBOR, following the reforms that have taken place no specific transition to a potential successor rate is currently foreseeable.

The consequences for the USD or CAD cannot be fully predicted. The decision to replace the USD IBORs and CAD CDORs and the switchover to the RFRs pose a number of challenges on account of the process, accounting, tax and operational risks that may arise.

To mitigate the risks from the switchover of interest rates at the BayernLB Group, a dedicated IBOR project was launched to manage the process of switching over the RFR benchmark interest rates and ensure as smooth a transition as possible in the interests of the customers and the Bank. This involved identifying the main risks and determining suitable measures for replacing the IBORs by RFRs with minimal disruption. For example, the Bank centrally managed via the IBOR project the work to coordinate external customer communications on the changes to the reference rate and to issue instructions on how to use and structure the relevant contractual documentation. BayernLB is represented on panels of national and international experts who are dealing with the IBOR reform.

As at 31 December 2022, the following financial instruments with nominal volumes listed below which are affected by the IBOR reform had not yet been switched over to an alternative reference interest rate.

Financial instruments which as at 31 December 2022 had not yet been switched over to an alternative reference interest rate

	Non-derivative financial assets		Non-derivative financial liabilities	Derivatives
EUR million	Receivables/loans	Debt securities		
CHF LIBOR	–	–	–	–
GBP LIBOR	–	–	–	–
USD LIBOR	2,744	–	165	24,070
CAD CDOR	250	–	–	1,087

Financial instruments which as at 31 December 2021 had not yet been switched over to an alternative reference interest rate

	Non-derivative financial assets		Non-derivative financial liabilities	Derivatives
EUR million	Receivables/loans	Debt securities		
CHF LIBOR	–	–	–	24
GBP LIBOR[1]	186	–	–	86
USD LIBOR	3,645	9	146	24,327

1 Conversion amounting to GBP 157 million already agreed with the customers and contracts negotiated but still to be specified in a final agreement as at 31 December 2021.

Notes to the cash flow statement

(74) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investing activities and financing activities.

The reported financial resources balance corresponds to the cash reserves item in the balance sheet and comprises the cash balance, deposits with central banks, debt instruments issued by public-sector entities and bills of exchange eligible as collateral with central banks, including corresponding exchange-rate changes of EUR -63 million (FY 2021: EUR 13 million). Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprise payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives, and other assets. Payments from liabilities to banks and customers, securitised liabilities, and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investing activities include payments for: financial investments; investment property; property, plant and equipment; and intangible assets. The impact from changes to the scope of consolidation is also reported under this line item.

Distributions to company owners and minority shareholders, changes in non-controlling interests and changes in subordinated capital are part of cash flow from financing activities.

Changes in subordinated capital

EUR million	2022	2021
As at 1 Jan	**2,689**	**1,685**
Changes in cash flow from financing activities	(144)	998
Non-cash changes:		
Currency-related changes	7	8
Fair value changes	(149)	(48)
Other changes	47	45
As at 31 Dec	**2,451**	**2,689**

For the changes in equity due to payments to company owners and minority shareholders, refer to the statement of changes in equity.

Supplementary disclosures

(75) Subordinated assets

Subordinated assets are recognised in the following line items on the balance sheet:

EUR million	2022	2021
Loans and advances to banks	–	15
Loans and advances to customers	30	123
Financial investments	5	8
Total	**35**	**147**

(76) Assets and liabilities in foreign currency

EUR million	2022	2021
Foreign currency assets	**19,278**	**17,824**
CAD	345	378
CHF	817	1,043
GBP	2,847	3,731
HKD	5	5
JPY	12	18
USD	14,217	11,921
Other currencies	1,035	727
Foreign currency liabilities	**14,521**	**14,657**
CAD	74	155
CHF	316	237
GBP	1,618	2,105
HKD	10	3
JPY	30	64
USD	12,050	11,516
Other currencies	422	576

(77) Default risk

The impairment rules of IFRS 9 follow an approach in which not just incurred losses but also expected losses must be accounted for using the expected credit loss model.

The impairment rules apply to all debt instruments in the “financial assets measured at amortised cost” and “financial assets mandatorily measured at fair value through other comprehensive income” categories and to financial guarantees and irrevocable and revocable credit commitments where the committor cannot unilaterally and unconditionally withdraw from its commitment at any time and which are not measured at fair value through profit or loss. Provisions for other contingent liabilities and other obligations for which there is a default risk must be made in accordance with IAS 37.

The following approaches are used to determine the loss allowances:

- General approach
- Approach for purchased or originated credit-impaired financial assets
- Simplified approach

General approach

Under the general approach, loss allowances are determined pursuant to the principle of a deterioration in creditworthiness in the stage model. In essence, this is a relative credit risk model, according to which a significant increase in the default risk as at the reporting date compared with first-time recognition requires higher risk provisions to be made. The loss allowances are broken down accordingly as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial instruments whose credit risk has not significantly increased since first-time recognition and which are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial instruments for which the default risk has increased significantly since first-time recognition on the balance sheet but which are not credit-impaired financial assets as defined by the default criteria (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as defined by default criteria as at the reporting date, but not at the time of purchase or origination (Stage 3)

Determining a significant increase in the default risk

Upon first-time recognition, the respective financial instrument is assigned to Stage 1. A significant increase in default risk in the BayernLB Group is determined on the basis of qualitative criteria and the change in the rating, which is calculated based on the Bank's credit risk processes. The rating takes account here of both the creditworthiness-relevant information for the next 12 months and for the full remaining term of the financial instrument. As at the respective reporting date, the financial instrument's rating is compared here with the rating expected for the current reporting date upon first-time recognition. If the (negative) deviation exceeds the statistically expected value of the change in default risk determined for the respective reporting date at the time of addition, the change in default risk is classified as significant (expected downgrade). The statistically expected change in default risk (rating significance thresholds) is calculated as a function of the current term of the financial instrument.

The main inputs for determining a significant increase in default risk are the customer-specific expected change in default risk (probability of default profile (PD profile) per rating module), calculated using the rating, and the associated rating migration matrix. The rating migration matrix indicates the probability of a change in the rating. The PD profile gives information on the probability that a business partner will not meet its financial obligations at a specific point in the future, and on the probability of a financial instrument defaulting, over the course of the entire term. Various forward-looking information, including in particular macroeconomic developments, is considered when determining the rating (see the Determining the loss allowance section).

Similarly, environmental, social and governance risks (ESG risks) can be considered via the qualitative and quantitative factors stored in the rating systems. An ESG risk driver is also analysed with the aid of a separate tool (ESG assessment). If this provides additional indications of risk-increasing (ESG) issues, e.g. from climate and environmental risks, these can also be considered in the rating preparation process and in the assessment of a significant increase in credit risk.

In addition to the relative criterion for determining a significant increase in the default risk, the BayernLB Group also applies the qualitative criteria of: 30-day payment arrears; and a deterioration in the form of support, since first-time recognition, of up to the support form “restructuring and workout”. The BayernLB Group does not apply the rebuttal of the assumption that there is a significant increase in the default risk in the event of 30-day payment arrears.

The option of always assigning a financial instrument with a low default risk to Stage 1 applies in the BayernLB Group for a selected securities portfolio. The default risk of a financial instrument is considered low if it has an investment-grade rating.

A financial instrument is reclassified from Stage 2 to Stage 1 if the default risk as at the reporting date is no longer significantly higher than on first-time recognition. The procedure for a stage transfer is the same for a non-significantly modified financial instrument.

If a financial asset is credit-impaired as defined by the default criteria as at the reporting date, it is reclassified to Stage 3. To determine whether a financial asset is credit-impaired, the BayernLB Group implemented the following quantitative and qualitative default criteria in particular:

- Payment arrears/overdraft > 90 days: 90-day payment arrears by the obligor in respect of a substantial amount of the contractually agreed payments
- Improbable repayment: significant doubt as to the creditworthiness of the obligor
- Retail banking: improbable repayment from a transfer
- Restructuring: inevitable restructuring as a result of a crisis resulting in losses
- Loss allowance or writedown: a loss allowance or a partial or full writedown due to a significant deterioration in credit quality
- Sale of receivables: sale of receivables at a considerable, credit-related economic loss
- Insolvency: application for the insolvency of the borrower or comparable protective measures
- Termination: termination of the credit agreement or settlement of a maturing loan due to creditworthiness
- Default due to a transfer event
- Improbable repayment from a transfer

If at least one criterion is met, the credit analysts determine if there is an adverse effect on expected future cash flows by assessing the documents evidencing the credit quality of the respective financial instrument or business partner.

These criteria apply to all transactions in the BayernLB Group and are also used for internal credit risk management. They correspond to the supervisory definition of a loan default according to Article 178 para. 1 of the Capital Requirements Regulation (CRR).

As soon as the default criterion is no longer met, the financial instrument is no longer recognised at Stage 3, taking into account a good conduct period. The minimum term for a good conduct period is based on the respective default criterion and is 366 days if the reason for default is a restructuring and 92 days in the case of all other default criteria.

Determining the loss allowance

When determining the expected credit losses of a financial instrument in Stage 1 and Stage 2, the following parameters are multiplicatively linked:

- Probability of default (PD): This represents the probability that a business partner can no longer meet its financial obligations, either with respect to the next 12 months (12-month PD) or over the contractual term of the obligation (lifetime PD). Multi-year PD is determined on the basis of historical observations, which are based on cross-institutional data histories of the rating procedures used and forward-looking information. In particular, macroeconomic developments based on BayernLB's economic forecasts are also included.
- Exposure at default (EAD): This estimates the outstanding exposure at the time of default and is modelled on the basis of product-specific ancillary agreements (e.g. rights of termination and their probability of exercise, which is determined on the basis of historical practice). In addition to the current drawings, expected future drawings are also taken into account for commitments. The drawings in the year prior to default are recognised via the credit conversion factor (CCF) calculated on the basis of historical drawings and the remaining open line. Forward-looking information is also considered here.
- Loss given default (LGD): This shows the expected loss in the event of default, with a distinction being made between an LGD for the secured and unsecured parts of the EAD. In the case of the secured part of the EAD, the maturity component is modelled on the basis of the forecast change in the collateral's fair value (collateral value over time). The estimate is based on observed historical values over time and forward-looking information (especially economic forecasts).

The expected credit loss is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

To calculate the expected credit loss, forward-looking information over a two-stage process is taken into account. In a first step, provided that it has a relevant influence on the associated business partner or the respective financial instrument, forward-looking information for each individual financial instrument is used to determine the various credit risk parameters (in particular probability of default, collateral values and recovery rates). This also concerns relevant macroeconomic variables and potential ESG risks. In a second step, the credit risk parameters calculated at the level of the financial instruments and aggregated at (sub-)portfolio level with corresponding credit risk parameters, which can be expected largely on the basis of various macroeconomic scenarios for the following years, are compared in a quantitative and qualitative expert-based analysis prior to the reporting date. In the event of a significant deviation within one or more (sub)portfolios, the resulting effects on the expected credit loss are approximated and taken into account by a post-model adjustment. This allows forward-looking information on the individual characteristics of a particular financial instrument and enhanced forecasting quality at a higher aggregation level to be incorporated in the best possible way in a combined form.

In the case of Stage 3 financial instruments, the loss allowance is recognised as the difference between amortised cost and the present value of expected cash flows. When determining expected cash flows, various scenarios (i.e. at least two) normally need to be defined and weighted with the expected probability of occurrence. The expected cash flow is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

Utilisations/writedowns

A financial instrument is derecognised if, based on current information, the Bank is confident that all economically reasonable measures to limit losses have been exhausted. This must be assumed if all measured collateral is realised and there is no prospect of other payments (e.g. concluded insolvency proceedings, insolvency rejected for lack of assets). When an instrument is derecognised, a loss allowance that has already been recognised is utilised or a direct writedown is booked as a utilisation with a concomitant addition to the loss allowance, provided that no or insufficient loss allowances were recognised.

The Bank will also continue its efforts to recover derecognised financial instruments for which an external claim still exists.

Procedure for purchased or originated credit-impaired financial assets

This method is used for purchased or originated credit-impaired financial assets (POCI). The BayernLB Group assumes that creditworthiness is impaired if the counterparty is assigned to a (non-performing) default category and the financial instrument was received with a big discount. In these cases, the cumulative changes in the lifetime expected credit losses since first-time recognition must be recorded. To determine the expected credit losses, the risk-adjusted effective interest rate is used as the discount rate for calculating present value.

Simplified approach

The simplified approach is used in the BayernLB Group for trade receivables, regardless of whether they contain a significant financing component. The loss allowances are always measured in the amount of the lifetime expected credit losses.

Loss allowances and gross carrying amounts/exposure

The following table shows the loss allowances and gross carrying amounts/exposure of financial instruments.

Loss allowances as at 31 December 2022

EUR million	Stage 1 2022	Stage 2 2022	Stage 3 2022	POCI 2022	Total 2022
Loans and advances to banks	9	19	28	–	**56**
Loans and advances to customers	220	236	628	61	**1,146**
Financial investments	3	5	–	–	**8**
Non-current assets or disposal groups classified as held for sale	–	–	–	–	**–**
Financial guarantees/credit commitments	36	30	24	1	**90**
Total	**268**	**290**	**680**	**62**	**1,299**

Loss allowances as at 31 December 2021

EUR million	Stage 1 2021	Stage 2 2021	Stage 3 2021	POCI 2021	Total 2021
Loans and advances to banks	4	5	6	–	**15**
Loans and advances to customers	176	262	605	59	**1,102**
Financial investments	2	1	–	–	**3**
Non-current assets or disposal groups classified as held for sale	–	–	5	–	**5**
Financial guarantees/credit commitments	29	63	24	2	**119**
Total	**211**	**331**	**640**	**61**	**1,244**

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial assets in the reporting year was EUR 14 million (FY 2021: EUR 28 million).

For information on the changes in loss allowances, refer to notes 43, 51, 58 and 63.

Gross carrying amount/exposure as at 31 December 2022

EUR million	Stage 1 2022	Stage 2 2022	Stage 3 2022	POCI 2022	Simplified approach 2022	Total 2022
Cash reserves	2,151	–	–	–	–	**2,151**
Loans and advances to banks	57,796	3,619	39	–	–	**61,453**
Loans and advances to customers	149,927	14,715	1,603	152	–	**166,396**
Financial investments	16,238	2,171	–	–	–	**18,408**
Non-current assets or disposal groups classified as held for sale	–	–	–	–	–	**–**
Other assets	36	–	–	–	45	**81**
Financial guarantees/ credit commitments	50,865	4,816	100	4	–	**55,785**
Total	**277,013**	**25,320**	**1,741**	**156**	**45**	**304,275**

Gross carrying amount/exposure as at 31 December 2021

EUR million	Stage 1 2021	Stage 2 2021	Stage 3 2021	POCI 2021	Simplified approach 2021	Total 2021
Cash reserves	17,542	–	–	–	–	**17,542**
Loans and advances to banks	51,133	5,129	7	–	-	**56,268**
Loans and advances to customers	145,574	11,348	1,492	156	–	**158,571**
Financial investments	17,737	1,094	–	–	–	**18,831**
Non-current assets or disposal groups classified as held for sale	49	–	21	–	–	**70**
Other assets	22	–	–	–	44	**66**
Financial guarantees/ credit commitments	50,641	8,561	365	2	–	**59,570**
Total	**282,698**	**26,133**	**1,885**	**159**	**44**	**310,918**

For information on the changes in the gross carrying amounts and exposure, refer to notes 43, 46, 51, 58, 60 and 63.

Gross carrying amount/exposure by rating category as at 31 December 2022

EUR million	Stage 1 2022	Stage 2 2022	Stage 3 2022	POCI 2022	Simplified approach 2022	Total 2022
Rating categories 0–7	187,649	10,518	–	20	–	**198,187**
Rating categories 8–11	68,351	7,581	–	1	–	**75,934**
Rating categories 12–17	17,591	5,575	–	6	–	**23,172**
Rating categories 18–21	223	1,637	–	5	–	**1,865**
Rating categories 22–24	–	–	1,741	124	–	**1,865**
Unrated	3,198	9	–	–	45	**3,252**
Total	**277,013**	**25,320**	**1,741**	**156**	**45**	**304,275**

Gross carrying amount/exposure by rating category as at 31 December 2021

EUR million	Stage 1 2021	Stage 2 2021	Stage 3 2021	POCI 2021	Simplified approach 2021	Total 2021
Rating categories 0–7	200,523	12,939	–	9	3	**213,473**
Rating categories 8–11	58,535	5,361	–	13	–	**63,908**
Rating categories 12–17	19,806	6,343	–	10	–	**26,159**
Rating categories 18–21	158	1,488	–	3	–	**1,649**
Rating categories 22–24	–	–	1,885	123	–	**2,008**
Unrated	3,676	2	–	–	41	**3,720**
Total	**282,698**	**26,133**	**1,885**	**159**	**44**	**310,918**

Change to the post-model adjustment

Due to the impact of the still ongoing war between Russia and Ukraine and supply chain problems, the regular review of the macroeconomic scenarios for the next few years determined that it was necessary to make changes to the post-model adjustment to determine the risk provisions which had been considered in the previous financial statements. This was based on the scenarios observed in the consolidated financial statements for 2021, the half-yearly financial report for 2022 and the medium-term planning – the baseline scenario and global economic crisis scenario – with updated economic forecasts. The central parameters underlying the scenarios are the changes in gross domestic product (GDP), consumer prices, the unemployment rate and the leading stock market indices in Germany, Europe and the US; the changes in yields on long-dated government bonds in Germany and Europe are also taken into account; these were updated for the consolidated financial statements for 2022 (see the tables below).

In the baseline scenario, the key issue over the next few years will be a readjustment of global trade and financial flows and, in particular, energy supplies in Europe. The coronavirus pandemic will continue to impact the economy for some time, but will probably become less significant over the forecast horizon, which will support the economy.

In the short term, Europe and Germany are dominated by concerns about energy supply and energy security, even if an energy emergency was likely averted in the winter of 2022/23 by temporary savings measures. By stepping up investment, especially in gas infrastructure, e.g. for importing liquefied gas, policymakers are trying to significantly reduce dependence by the winter of 2023/24. There will, however, still be a significant difference between more expensive liquefied gas and pipeline gas. Fiscal headroom has been constrained by the pandemic in many countries (debt-to-GDP ratio in the eurozone has risen from 85 percent to 99 percent since 2019). Even if the debt ratios ease due to the inflation-driven increase in nominal GDP, debt will become more of a problem in the rising interest rate environment. Potential growth will fall over the forecast period and labour shortages rather than high unemployment will become more important. Economic focusing within the Western and Eastern blocs will increase, resulting in efficiency losses.

Due to the massive loss of purchasing power, falling real estate prices and tightening financial conditions, the losses racked up in 2023 will weigh on the entire forecast until 2027, even if the economy can be expected to recover from 2024.

Due to the currently high inflation rates, key interest rates are expected to go up in the short term. As inflation eases with the pandemic and the war losing their impact and demand declining due to a loss of purchasing power and higher financing costs, central bankers will again be able to focus more on questions about how the economy will perform, which could lead to a countermovement at the Fed from the end of 2023 and at the ECB from the end of 2024, before further moderate interest rate hikes follow (2027: ECB 2.50 percent; Fed 3.125 percent).

In the US, the yield curve is expected to continue inverting, but to weaken in 2023. As the economic recovery sets in from 2024, the yield curve is expected to steepen. In the eurozone, the inversion of the yield curve will peak in spring 2023 and then gradually decline. The euro/dollar forecast (1.28 as at 2027) reflects the catching-up at the long and short ends of the yield curve compared with the US market and the current overvaluation of the dollar compared with purchasing power parity.

Corporate bonds are expected to be highly volatile in the next few years, even though this will be reflected only to a minor extent in the year-end levels. Here, restrictive and accommodative monetary policy measures (interest rate hikes/cuts, quantitative tightening) will be counterbalanced by economic stimuli, with the weakest investment-grade companies migrating to the high-yield segment. But in general, spreads are predicted to reach a sustainably high level compared with the recent past.

On the equity side, given favourable valuation measures, a large part of the upcoming economic slowdown should already be priced in. In the still volatile environment, Europe should partially correct the underperformance of 2022 in 2023. In subsequent years, there should be below-average price gains in both regions.

The gloomier picture for the global economy and in particular the rising interest rates are currently causing much uncertainty on real estate markets around the globe. In 2023, the years-long real estate boom will come to an end with a decline in prices. The moderate downwards trend in a weak economic environment is also likely to continue over the next few years due to the ongoing strains of higher interest rates on renewals. In the case of cyclically sensitive commercial real estate and in particular office properties, prices are already expected to fall slightly in the current year.

The global economic crisis scenario predicts that the economy, still fragile due to the coronavirus pandemic, will come under fresh pressure from external shocks. This could either emanate from an outbreak of a resistant virus strain leading to renewed widespread lockdowns or a deterioration in the geopolitical situation, with the “Russia crisis” being followed by a “China crisis”. Besides trade sanctions, this could also materialise in increased cyber attacks. Critical infrastructure and utilities will be the obvious targets. Despite all government efforts, it is not possible to entirely prevent an energy emergency. If an emergency situation is activated, production cuts and temporary interruptions in production in energy-intensive sectors such as the chemicals industry will have far-reaching consequences for the entire value chain.

A persistent economic shock will be the result. Existing supply chain problems and economic nationalism will increase, making it harder to obtain urgently needed raw materials. Second-round effects will spread the crisis to the financial sector, which in turn will tighten lending conditions considerably. The eurozone economy will slide into a three-year recession, which will give way to a very sluggish recovery phase from 2026. Cyclical capital goods manufacturers, the automotive industry and small and medium-sized enterprises will take a major pounding from the shock. Although commodities prices will soar, this is/will be outweighed in 2022/23 by an abrupt demand-driven drop in core inflation. Inflation will fall to well below 2 percent from 2024 due to the subsequent dramatic collapse in demand. Unemployment will rapidly rise in the first two years and remain at this level over the forecast horizon. Overall, real wage losses will be even greater than in the baseline scenario. Due to the severely limited scope for monetary and fiscal policy in many regions, the crisis will persist for an unusually long time.

Central banks will scale back the tightening measures at the beginning of the crisis, although interest rates in the eurozone will no longer turn negative due to the recent inflation situation. Fiscal policy will head down the expansionary route where possible, contributing to a further increase in deficits and debt ratios.

The rising issues of government bonds will be purchased in part by the central banks. The yield curve for issuers with good credit ratings will drop quite significantly again, but not reach the record lows of the pandemic period. From 2025 onwards, the yield on the ten-year Bund will again be positive and fewer and fewer points on the yield curve will be just under zero. In this risk-averse environment, credit spreads will initially widen sharply and only return to their starting level at the end of the forecast period. Stock markets will immediately plunge and not return to the initial levels until the end of the forecast period. While commercial real estate will also still fall in the first year due to higher GDP sensitivity, real estate prices will benefit from the decline in yields as the year unfolds.

The following significant parameters were used for the baseline and global economic crisis scenarios as at 31 December 2022: the changes in GDP, consumer prices, the unemployment rate and the leading stock market indices in Germany, Europe and the US. A time horizon of five years (2023 to 2027) was observed. It was found that, based on the above assumptions, the largest impact for the calculation of the post-model adjustment will be on the first two years. This is mainly due to the BayernLB Group’s portfolio structure and the increasing difficulty attached to forecasting future years with certainty.

Assumptions used in the consolidated financial statements for 2022

Annual average (baseline scenario/ global economic crisis)		2023	2024	2025	2026	2027
Real GDP growth (%)	Germany	(1.9)/-3.9	2/-1.5	0.9/-0.1	0.9/0.4	0.9/0.9
Price rise (consumer prices) (%)		8.6/2.8	3.3/0.7	2.2/0.7	2.1/0.8	2.1/1.4
Unemployment rate (%)		5.4/6.2	5.1/6.8	4.8/6.8	4.7/6.8	4.6/6.7
Leading stock market index (%) - year-end price index		6/-29	0.4/10	2.8/15	3/10	2.6/5
Real GDP growth (%)	Eurozone	(0.9)/-4.1	1.6/-1.4	0.9/-0.1	1/0.5	1/1
Price rise (consumer prices) (%)		8.1/3	3.6/0.9	2.3/0.8	2.2/0.9	2.1/1.4
Unemployment rate (%)		7/8.6	6.9/9.3	6.7/9.5	6.6/9.6	6.5/9.5
Leading stock market index (%) - year-end price index		6/-30	0/10	2.3/15	2.8/10	2.5/5
Real GDP growth (%)	USA	0/-4	2.2/-0.3	1.7/0.7	1.7/1.2	1.7/1.7
Price rise (consumer prices) (%)		5.1/3.6	3.2/0.5	2.3/0.8	2.1/0.8	2.1/1.4
Unemployment rate (%)		4.5/7.1	4.1/7.8	3.8/8.4	3.7/8.5	3.7/8.5
Leading stock market index (%) - year-end price index		6/-26	4.4/15	6.4/13	5/10	4.8/8
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) - yields on government bonds (10Y)	Germany/ Eurozone	2.1/-0.2	2.5/-0.1	2.3/0.1	2.4/0.3	2.4/0.5

Assumptions used in the consolidated half-yearly financial statements for 2022

Annual average (baseline scenario/ global economic crisis)		2022	2023	2024	2025	2026
Real GDP growth (%)	Germany	1.3/-1.8	2.1/-0.3	1/0	1.1/0.6	1.1/1.1
Price rise (consumer prices) (%)		6.4/2.9	3.5/0.3	2.1/0.6	2/0.7	2/1.3
Unemployment rate (%)		5.1/6	5/6.6	4.7/6.7	4.6/6.7	4.5/6.6
Leading stock market index (%) - year-end price index		(6.7)/-32.3	5.3/-15.3	0.9/10.5	4.9/8	2.7/2.9
Real GDP growth (%)	Eurozone	1.8/-0.8	1.5/-0.7	0.9/-0.1	1.1/0.6	1.1/1.1
Price rise (consumer prices) (%)		7.1/3	3.6/0.4	2.1/0.6	2.1/0.8	2/1.3
Unemployment rate (%)		6.9/8.4	6.7/9.1	6.7/9.5	6.6/9.6	6.5/9.5
Leading stock market index (%) - year-end price index		(4.7)/-32	5.9/-14.5	0.9/10	4.5/7.4	2.6/2.6
Real GDP growth (%)	USA	3.3/-0.7	1.8/-0.2	1.3/0.3	2.1/1.6	1.9/1.9
Price rise (consumer prices) (%)		7.2/3.9	3.4/0.6	2.4/0.9	2.3/1	2.2/1.5
Unemployment rate (%)		3.7/6.3	3.6/7.5	3.7/8.3	3.8/8.6	3.8/8.6
Leading stock market index (%) - year-end price index		1.7/-31.5	3.1/-14	1.1/10	5.1/7.5	3.2/2.8
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) - yields on government bonds (10Y)	Germany/ Eurozone	0.6/-0.6	1.1/(0.55)	1.2/(0.45)	1.4/(0.3)	1.6/(0.1)

Assumptions used in the consolidated financial statements for 2021

Annual average (baseline scenario/ global economic crisis)		2022	2023	2024	2025	2026
Real GDP growth (%)	Germany	4.4/-0.1	2.0/-0.5	1.5/0.5	1.3/0.8	1.1/1.1
Price rise (consumer prices) (%)		2.5/1.0	2.1/0.1	1.9/0.4	1.9/0.6	1.9/1.2
Unemployment rate (%)		5.5/7.1	5.3/7.4	5.1/7.4	5.0/7.4	5.0/7.4
Leading stock market index (%) - year-end price index		3.5/-30.6	3.2/-13.3	-5.6/10.9	4.1/7.5	1.0/2.7
Real GDP growth (%)	Eurozone	4.4/-0.1	2.1/-0.4	1.6/0.6	1.3/0.8	1.1/1.1
Price rise (consumer prices) (%)		2.2/0.7	2.0/0.0	1.9/0.4	1.9/0.6	1.9/1.2
Unemployment rate (%)		7.5/8.9	7.3/9.5	7.2/9.8	7.2/10.0	7.2/10.0
Leading stock market index (%) - year-end price index		3.1/-30.0	2.6/-13.1	-4.3/9.5	4.0/6.8	0.9/2.6
Real GDP growth (%)	USA	4.5/0.0	2.7/0.2	2.3/1.3	2.0/1.5	1.8/1.8
Price rise (consumer prices) (%)		4.2/2.7	2.4/0.4	2.2/0.7	2.1/0.8	2.0/1.3
Unemployment rate (%)		4.7/7.3	4.2/8.2	4.0/8.6	4.0/8.8	4.0/8.8
Leading stock market index (%) - year-end price index		3.4/-30.5	3.3/-12.8	(4.0)/9.0	4.0/7.0	1.1/2.8
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) - yields on government bonds (10Y)	Germany/ Eurozone	0.20/-1.00	0.60/-0.90	0.90/-0.60	1.10/-0.40	1.15/-0.20

Depending on the scenario and sub-portfolio and based on the assumptions shown, it is anticipated that the impacts on the key parameters, such as rating, loss ratio/loss given default (LGD) and collateral values, will vary in strength. The effects are initially calculated largely in the form of a model and then subjected to a qualitative review. In individual cases, particularly for the automotive and logistics, basic resources, and chemicals and pharmaceuticals sub-portfolios, for the energy portfolio, as well as for the shopping centres within the real estate portfolio, expert-based adjustments were made to the PD in the global economic crisis scenario.

Compared with the consolidated financial statements for 2021, no expert-based adjustments were required in the global economic crisis scenario for the sub-portfolios heavily impacted by the coronavirus pandemic (aviation and cruise ships). In determining the post-model adjustment for the consolidated financial statements for 2022, existing and new sub-portfolios heavily impacted by current geopolitical developments and supply chain problems were included. The following additional details are provided on these sub-portfolios.

In the case of the automotive industry, this scenario assumes the intensified supply chain disruptions, rising energy and raw materials prices and falling demand will negatively impact profit margins and liquidity, resulting in an average rating downgrade of six notches.

In the energy sector, it is assumed that government support will not be possible or no longer available to the same extent, especially in the event of a severe recession. In addition, customer defaults are expected to increase, which would have a massive impact on the earnings situation and assets of the energy utilities. Rating downgrades averaging four notches for grid operators and utilities and two notches for renewable energy are taken into account.

In the chemicals and pharmaceuticals portfolios, the pronounced and ongoing recession is anticipated to result in a widespread reluctance to buy, heaping even more pressure on margins. Furthermore, the energy-intensive chemicals and pharmaceutical industries are experiencing production cutbacks with temporary interruptions to production (due to the energy emergency), which can only be partially mitigated through the geographical diversification of production. An average downgrade of three notches has been factored in.

In the global economic crisis scenario, the basic materials industry is significantly affected by an expected long recession and the related reluctance to spend. A major slump in order intake and a deferral of investment decisions by customers is anticipated. This is now increasingly affecting the metals industry, the packaging industry and the wood industry as well. The negative trend has been reinforced by the slumps in the automotive industry, which is above all a key customer for flat-steel producers. An average downgrade of five notches is used as a basis for the portfolio.

In one stress scenario, shopping centres are heavily affected by the negative impact from falling real estate prices, rising unemployment and negative GDP growth in particular. An average downgrade of four notches has been factored in.

Consequently, the BayernLB Group took account as at 31 December 2022 of the impact of the expected credit losses by setting up risk provisions of EUR 362 million (30 June 2022: EUR 315 million/31 December 2021: EUR 356 million) in the form of a post-model adjustment. As at 31 December 2022, around 35 percent of this risk provision related to the Corporates & Markets segment (30 June 2022: around 45 percent/31 December 2021: around 45 percent) and around 38 percent to the DKB segment (30 June 2022: around 30 percent/31 December 2021: around 35 percent). The risk provision of EUR 362 million included an expert-based management adjustment of EUR 106 million (30 June 2022: EUR 115 million/31 December 2021: EUR 70 million), which takes in account the still very high and, in some cases, even greater uncertainty about the current situation with regard to future economic developments. In the Corporates & Markets segment, this applies in particular to potential defaults/company insolvencies due to the current historically low insolvency rates in Germany with the potential for significantly higher default rates on the back of the current high inflation rates, existing supply bottlenecks and an expected recession in 2023, while in the Real Estate segment the risks relate to commercial real estate project developments/developers.

If the probability of occurrence was set at 100 percent, this would, without including the expert-based management adjustment, result in a post-model adjustment of around EUR 68 million in the baseline scenario and around EUR 536 million in the global economic crisis scenario as at 31 December 2022.

Compared with 30 June 2022 and 31 December 2021, the baseline scenario was weighted at 60 percent (30 June 2022: 55 percent/31 December 2021: 55 percent) and the global economic crisis scenario at 40 percent (30 June 2022: 45 percent/31 December 2021: 45 percent). The adjustment of the weighting compared with 30 June 2022 in favour of the baseline scenario was made because some of the developments forecast at the time for the global economic crisis scenario have occurred and are now reflected in the baseline scenario. A change in the described weighting between the baseline scenario and the global economic crisis scenario by ten percentage points in favour or at the expense of the global economic crisis scenario would have an effect of EUR -46.9 million or EUR +46.8 million, respectively, if the expert-based management adjustment is excluded.

Non-significant modifications

For financial instruments for which the contractually agreed cash flows were modified in the reporting year and whose loss allowance was measured in the amount of the lifetime expected credit losses, the amortised cost before modification amounted to EUR 171 million (FY 2021: EUR 376 million).

The gross carrying amount of financial instruments that were modified when the loss allowance was measured in the amount of the lifetime expected credit losses, and for which the loss allowance was adjusted in the amount of the 12-month expected credit losses in the reporting year, was EUR 41 million (FY 2021: EUR 32 million) as at the reporting date.

Maximum default risk

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are applied. Collateral received or other loan collateral is not taken into account.

EUR million	2022	2021
Cash reserves	2,151	17,542
Loans and advances to banks	61,382	56,250
Loans and advances to customers	164,782	157,756
Financial investments	17,028	18,948
Non-current assets or disposal groups classified as held for sale	–	65
Other assets	81	66
Financial guarantees/credit commitments	55,785	59,570
Total	**301,209**	**310,198**

The BayernLB Group holds collateral to mitigate default risks. The principles for accepting and valuing collateral are embedded in the Bank's collateral policy.

The main types of collateral are real estate liens, which predominantly relate to domestic real estate properties, and guarantees. Guarantees include in particular standby letters of credit, directly enforceable guarantees and export guarantees. The main guarantors are monolines, the public sector and financial institutions, most of which have an investment-grade credit rating. Liens are also accepted as collateral, in particular in the form of financial collateral, and transfers of title for collateral purposes and assignments.

Collateral is recognised on the basis of the liquidation value, which corresponds to the expected proceeds of collateral within an orderly realisation. The liquidation value is calculated by taking into account the fair value of the collateral and an expected recovery rate specific to each type of collateral. For guarantees, the liquidation value is calculated on the basis of the recovery rate derived from the credit rating of the respective collateral provider and the size of the guaranteed loan amount.

In addition, the BayernLB Group holds securities as collateral in genuine repurchase agreements (reverse repo transactions). Only liquid marketable securities in currencies usually traded are accepted. The securities are measured at their fair value. Discounts for potential fluctuations in value are taken into account. Both concentration and correlation risk limits have been put in place and are regularly monitored.

In the case of credit-impaired financial assets, the default risk was reduced by collateral received and other loan collateral amounting to EUR 707 million (FY 2021: EUR 718 million). The collateral is broken down as follows:

EUR million	2022	2021
Loans and advances to customers	681	618
Financial guarantees/credit commitments	26	99
Total	**707**	**718**

As at the reporting date, BayernLB had financial instruments for which no loss allowances were made, as they were covered by collateral. Their gross carrying amount related to the following balance sheet line items:

EUR million	2022	2021
Loans and advances to banks	498	266
Loans and advances to customers	38,700	33,939
Financial guarantees/credit commitments	1,191	2,449
Total	**40,388**	**36,654**

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are not applied. Collateral received or other loan collateral is not taken into account.

EUR million	2022	2021
Loans and advances to customers	12	131
Assets held for trading	11,483	8,587
Positive fair values from derivative financial instruments (hedge accounting)	256	509
Financial investments	484	505
Total	**12,235**	**9,732**

Derivatives transactions are often hedged. Collateral is principally in the form of cash in euros. In the case of cash collateral in foreign currencies and collateral in the form of securities, discounts are made to take account of fluctuations in value.

Foreclosure proceedings on written down financial instruments

In the case of financial instruments that were written down in the reporting year but still subject to foreclosure proceedings, the contractual amount outstanding stood at EUR 5 million (FY 2021: EUR 3 million) as at the reporting date.

(78) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date their fair value was EUR 8,803 million (FY 2021: EUR 6,807 million).

EUR 6,845 million (FY 2021: EUR 3,786 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

As part of its Pfandbrief business, BayernLB purchases municipal claims that are legally eligible as cover funds from the Savings Banks Association. In accordance with the terms, the economic ownership remains with the transferring bank, which continues to recognise the receivable from the respective municipalities in its balance sheet. BayernLB had no obligations to be recognised in the balance sheet as at the reporting date.

(79) Revenue from contracts with customers

The BayernLB Group recognises revenue from contracts with customers in the form of commissions and fees from a wide range of services. As a rule, commissions and fees from one-off services are collected at specific points in time and from recurring services over time. Revenue from performance obligations fulfilled at specific points in time is recognised at the time of the transfer of control over the asset (essentially when the service is rendered), and revenue from performance obligations settled over time is recognised in accordance with the progress made. This is determined on the basis of the contract, according to which progress is generally even throughout the performance period. The amount of revenue recognised corresponds to the promised consideration contractually agreed by the customer for the transfer of the services. As a rule, the promised consideration can be clearly allocated to the individual performance obligations contained in the contract.

Depending on the contract, payment in advance or in arrears for the services is agreed with the customer.

In the BayernLB Group, commissions and fees are mainly recognised for the following services:

- *Securities business*
  In the securities business, revenue is generated in particular from securities custody and custody management, execution and settlement of spot and forward transactions, and the placement of Schuldschein note loans. As a rule, revenue from one-off services, such as the settlement of securities transactions, is recognised at a point in time and from recurring services, such as securities custody, over time.

- *Credit business*
  In the credit business, revenue is primarily received from the processing and administration of (syndicated) loans and the provision of guarantee loans. As a rule, one-off processing and syndicate fees are booked at a specific point in time, while revenues from recurring services, such as acting as an agent in a banking syndicate (e.g. as a collateral manager) and the provision of

guarantee facilities, are booked over time. BayernLB Group primarily acts as an agent for subsidised loans.

- *Payments*

  In the case of payments, revenue is mainly produced from account management, the processing of transfers, and the collection and redemption of direct debits. As a rule, one-off revenue, such as fees for bank transfers and direct debits, is booked at a point in time, while revenue from recurring services, such as account management, is booked over time.

- *Documentary business*

  In the case of documentary business, revenue is primarily generated from the settlement of payments in international trade using letters of credit. As a rule, revenue from one-off services, such as the opening and processing of letters of credit, is recognised at a point in time, while revenue from recurring services, such as credit confirmations, is recognised over time.

- *Credit card business*

  In the credit card business, income is mainly generated from the issue of credit cards and services associated with credit cards, in particular settlement. As a rule, one-off fees, such as foreign usage fees and cash service fees, are booked at a point in time, while recurring charges, such as cardholder fees, are booked over time. The BayernLB Group primarily acts as an agent when brokering insurance services and other ancillary services, and revenue is recognised on a net basis in such cases.

- *Fund business*

  In the fund business, proceeds are primarily received from fund structuring and management, portfolio and asset management, and investor support. As a rule, one-off revenue, such as transaction fees, is recognised at a point in time, while revenue from recurring services, such as fund management, is recognised over time.

- *Trust transactions*

  In the trust transactions business, revenue is mainly generated from the granting and administration of trust loans. As a rule, revenue from one-off administrative cost contributions is recognised at a point in time and from recurring administrative cost contributions over time. In the trust transactions business, the BayernLB Group primarily acts as an agent, and revenue is recognised on a net basis in such cases.

The BayernLB Group makes use of the practical expedient under IFRS 15.63 and refrains from adjusting the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between when the entity transfers a promised service to the customer and when the customer pays for that service will be one year or less.

Breakdown of revenues

Revenue from contracts with customers booked to net commission income is broken down as follows:

EUR million	2022	2021
Commission income	**907**	**818**
Securities business	106	120
Credit business	200	185
Payments	64	60
Documentary business	7	7
Credit card business	253	172
Fund business	225	223
Trust transactions	17	16
Other	34	36
Commission expenses	**(398)**	**(356)**
Securities business	(63)	(70)
Broker fees	(5)	(6)
Credit business	(7)	(9)
Payments	(55)	(56)
Documentary business	(1)	(1)
Credit card business	(171)	(116)
Fund business	(92)	(94)
Other	(4)	(4)
Total	**508**	**462**

In the reporting period, revenue from contracts with customers of EUR 15 million (2021: EUR 8 million) and related expenses of EUR 0 million (FY 2021: EUR 1 million) were recognised in other income and expenses.

The segment report (see note 27) shows net commission income and other income and expenses for each business segment of the BayernLB Group. This is presented in each case as a net figure consisting of commission income, commission expenses, other income and other expenses, and includes the revenue recognised from contracts with customers in accordance with IFRS 15.

Contract balances

The following table shows the opening and closing balances of receivables and contract liabilities from contracts with customers.

EUR million	31 Dec 2022	31 Dec 2021	1 Jan 2021
Loans and advances	54	56	58
Contract liabilities	2	2	2

A receivable is recognised when invoiced by the BayernLB Group. Contract liabilities are shown in the case of payments received in advance and recognised in instalments over the period during which the service is rendered.

In the reporting year revenue of EUR 2 million (FY 2021: EUR 2 million) which was included in the contract liability balance at the beginning of the period was recognised.

Transaction price allocated to remaining performance obligations

The BayernLB Group has made use of the practical expedient under IFRS 15.121 to refrain from disclosing the transaction price allocated to the remaining performance obligations for contracts with an original expected duration of no more than one year and for contracts from which revenue can be recognised for simplification purposes in accordance with IFRS 15.B16 in the amount to which the entity has a right to invoice.

Capitalised costs

The BayernLB Group makes use of the practical expedient under IFRS 15.94 and recognises the incremental costs of obtaining a contract with a customer as an expense when incurred if the amortisation period will be one year or less.

(80) Leasing

The BayernLB Group as lessee

BayernLB Group's existing leasing activities mainly involve the leasing of office and parking spaces, vehicles, IT devices and other assets. The leases provide the Bank with flexibility it would not have if it had purchased the underlying assets, including the option to extend or terminate and, where applicable, to replace leased assets on a regular basis.

In financial year 2021, one Group company concluded a lease of over 15 years for an office building complex in Berlin. This company will set up its future head office there. The lease is expected to begin in 2025. Future lease payments from this non-cancellable lease will amount to EUR 4 million in 2025 and then EUR 15 million for each of the following years.

Right-of-use assets

EUR million	2022	2021
Property, plant and equipment	139	124
Total	**139**	**124**

Breakdown of the carrying amount of the right-of-use assets recognised under property, plant and equipment by class of underlying assets

EUR million	2022	2021
Property	136	121
Furniture and office equipment	2	2
Other assets	1	1
Total	**139**	**124**

Additions to right-of-use assets stood at EUR 41 million in the reporting year (FY 2021: EUR 7 million).

Breakdown of the depreciation amount of the right-of-use assets by class of underlying assets

EUR million	2022	2021
Property[1]	(24)	(24)
Furniture and office equipment	(1)	(2)
Other assets	(1)	(1)
Total	**(26)**	**(26)**

1 Not including investment property.

Lease liabilities

EUR million	2022	2021
Other liabilities	141	126
Total	**141**	**126**

No lease liabilities were recognised for short-term leases or for leases where the underlying asset is of low value. Instead, lease payments associated with these leases were recognised as expenses. In the reporting year, the costs for short-term leases stood at EUR 1 million (FY 2021: EUR 0 million), while for leases where the underlying asset is of low value the costs were EUR 2 million (FY 2021: EUR 1 million).

The total cash outflow for leases amounted to EUR 27 million in the reporting year (FY 2021: EUR 26 million).

The BayernLB Group as lessor

The BayernLB Group is a lessor in respect of operating leases. The leased property is real estate.

Breakdown of lease payments by maturity

EUR million	2022	2021
Residual maturities		
Up to 1 year	1	2
Between 1 year and 2 years	1	2
Between 2 years and 3 years	1	2
Between 3 years and 4 years	2	2
Between 4 years and 5 years	1	2
More than 5 years	2	10
Total	**8**	**21**

The total cash outflow for leases amounted to EUR 3 million in the year under review (FY 2021: EUR 4 million).

(81) Trust transactions

EUR million	2022	2021
Assets held in trust	**6,029**	**5,744**
Loans and advances to banks	416	418
Loans and advances to customers	5,613	5,325
Liabilities held in trust	**6,029**	**5,744**
Liabilities to banks	437	436
Liabilities to customers	5,592	5,307

(82) Contingent assets, contingent liabilities and other commitments

EUR million	2022	2021
Contingent liabilities	**12,936**	**11,742**
Liabilities from guarantees and indemnity agreements	12,935	11,741
Other contingent liabilities	1	1
Other commitments	**27,517**	**29,224**
Irrevocable credit commitments	27,517	29,224
Total	**40,453**	**40,966**

Contingent liabilities and other commitments are for the most part potential liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated.

EUR 9,561 million (FY 2021: EUR 8,943 million) of contingent liabilities and EUR 12,138 million (FY 2021: EUR 13,259 million) of other provisions are due after more than 12 months.

As at the reporting date, there were contingent assets from loan commitments received in the lower triple-digit million range and from interest on income tax refunds in the lower double-digit million range.

In December 2021, the resolution of HETA Asset Resolution AG (HETA) under the Austrian Federal Act on the Resolution and Recovery of Banks (BaSAG) was finalised and a process to liquidate HETA under the Austrian Stock Corporation Act initiated. BayernLB is expecting liquidation proceeds up to 2030 from this process based on the planned winding up of HETA.

(83) Other financial obligations

Other financial obligations arise principally from agency, rental, leasing, usage, service, maintenance, consulting and marketing agreements.

As at the end of the reporting period, there were call commitments for capital not fully paid up of EUR 6 million (FY 2021: EUR 6 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of EUR 15 million (FY 2021: EUR 15 million). Liabilities to subsidiaries not incorporated in the consolidated financial statements totalled EUR 20 million (FY 2021: EUR 20 million).

As at the reporting date, the BayernLB Group had EUR 288 million (FY 2021: EUR 250 million) of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Cash collateral of EUR 169 million (FY 2021: EUR 132 million) and securities collateral of EUR 118 million (FY 2021: EUR 118 million) was provided for these obligations (see note 72).

The annually calculated target volume of funds for the deposit guarantee scheme must be achieved by 3 July 2024 under the German Deposit Guarantee Act. But due to BayernLB's decoupling from Deutsche Kreditbank Aktiengesellschaft (DKB) with respect to contributions in financial year 2021 (rescission of letter of comfort, termination of control and profit and loss transfer agreement), BayernLB already achieved its target volume. It is therefore currently expected that BayernLB will not need to make any further contributions up to 2024.

BayernLB had indicated that it would reimburse the deposit insurance fund run by the Association of German Public Banks, VÖB, e. V. for all payments made pursuant to the statutes on behalf of DKB to cover proven defaults, as the fund is unable to enforce its rights of recourse against DKB. As a result of the aforementioned decoupling, this declaration in financial year 2021 was revoked with immediate effect, resulting in the extinguishing of the associated obligations.

(84) Letters of comfort

Expiry of the letter of comfort for Deutsche Kreditbank Aktiengesellschaft as at 30 November 2021 and 19 August 2021

BayernLB rescinded and cancelled its letter of comfort to DKB with effect from the end of 30 November 2021. BayernLB rescinded the letter of comfort to the creditors of DKB with whom no contractual relationship with DKB yet existed as at the end of 19 August 2021, with effect from 19 August 2021. As of 20 August 2021, new customers of DKB are unable to call on the letter of comfort. BayernLB also accordingly rescinded and cancelled all letters of comfort in favour of DKB that were published in the past in its annual reports or communicated through a different channel.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg as at 1 May 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. This letter of comfort was rescinded with effect from the end of 30 April 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015, and all previously issued letters were also rescinded.

(85) Shareholdings

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Consolidated subsidiaries				
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich[1]	Direct	100.0	18,754	–
Deutsche Kreditbank Aktiengesellschaft, Berlin	Direct	100.0	3,835,913	–
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	Indirect	50.1	18,231	7,648
DKB Finance GmbH, Berlin	Indirect	100.0	18,170	–
DKB Grund GmbH, Berlin	Indirect	100.0	100	–
DKB Immobilien GmbH, Berlin	Indirect	100.0	2,500	–
DKB Service GmbH, Potsdam	Indirect	100.0	7,100	–
FMP Forderungsmanagement Potsdam GmbH, Potsdam	Indirect	100.0	12,150	–
MVC Unternehmensbeteiligungsgesellschaft mbH, Berlin	Indirect	100.0	9,052	5,753
PROGES EINS GmbH, Berlin	Indirect	100.0	1,480	–
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich[1]	Direct	100.0	45,455	–
Subsidiaries included in the Real I.S. AG Gesellschaft für Immobilien Assetmanagement sub-group:				
Real I.S. Investment GmbH, Munich	Indirect	100.0	4,500	–
Consolidated structured entities				
DKB Nachhaltigkeitsfonds EUROPA AL, L - Luxembourg	Indirect	72.8	107,858	5,181
DKB Nachhaltigkeitsfonds Klimaschutz AL, L - Luxembourg	Indirect	42.6	124,072	5,238
DKB Nachhaltigkeitsfonds SDG AL, L - Luxembourg	Indirect	59.2	72,354	4,141
Non-consolidated subsidiaries				
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	36,383	(662)
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich	Indirect	94.5	(2,687)	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH & Co. Objekt Fürth KG, Munich	Indirect	100.0	–	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	22	4
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich	Indirect	100.0	109	–
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	49,540	3,226
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	71	3
Bayern Bankett Gastronomie GmbH, Munich[1]	Direct	100.0	514	–
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	–
Bayern Facility Management GmbH, Munich[1]	Direct	100.0	2,560	–
BayernFM Objektmanagementgesellschaft mbH, Munich	Indirect	100.0	27	(3)
Bayernfonds Immobilien Concept GmbH i.L., Munich	Indirect	100.0	–	(5)
Bayernfonds Immobiliengesellschaft mbH, Munich	Direct + indirect	100.0	6,772	67
Bayernfonds Kambera GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
BayernImmo 2019 Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	24	(1)
BayernImmo 2. Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	10	(2)
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	2,141	303
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,431	27
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	50	1
BayernLB DP GmbH, Munich	Direct	100.0	47	(1)
BayernLB Mittelstandsfonds GmbH & Co. Unternehmensbeteiligungs KG i.L., Munich	Direct + indirect	100.0	6,477	1,926
BayernLB Private Equity GmbH i.L., Munich	Direct	100.0	18,806	17,046
BayTech Venture Capital Initiatoren GmbH & Co. KG i.L., Munich	Indirect	46.8	33	(6)
Berchtesgaden International Resort Betriebs GmbH, Munich[1]	Direct	100.0	9,368	–
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	40	(3)
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	52	7
BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	55	9
BGV VII Europa Verwaltungs GmbH, Munich	Indirect	100.0	42	1
BLB-Beteiligungsgesellschaft Sigma mbH, Munich[1]	Direct	100.0	971	–
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	532	(3)
DKB BayernImmo Beteiligungs GmbH & Co. KG, Munich	Indirect	100.0	55	286
DKB Campus GmbH, Berlin	Indirect	100.0	450	–
DKB Code Factory GmbH, Berlin	Indirect	100.0	800	–
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,178	170
DKB STIFTUNG Jugenddörfer gemeinnützige GmbH, Fürth[2]		100.0	332	233
DKB Stiftung Liebenberg gGmbH, Löwenberger Land OT Liebenberg[2]		100.0	443	(29)
DKB Stiftung Schloss Liebenberg GmbH, Fürth[2]		100.0	23	(43)
DKB Wohnen GmbH, Berlin	Indirect	100.0	25	–
GbR Olympisches Dorf, Potsdam	Indirect	100.0	(50)	(50)
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	41,448	2,072
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang	Indirect	100.0	2,578	(148)
German Centre Limited, BVI - Tortola	Direct	100.0	28,287	3,197
gewerbegrund Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	52	51
gewerbegrund Projektentwicklungsgesellschaft (gpe) mbH, Munich	Direct	100.0	3,455	(576)
Global Format GmbH & Co. KG, Munich	Direct	52.4	2,212	13
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	34	1
LB Immobilienbewertungsgesellschaft mbH, Munich[1]	Direct	100.0	827	–
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	100.0	(2)	2
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	43	(48)
PROGES ENERGY GmbH, Berlin	Indirect	100.0	1,103	77
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	589	(28)

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
PROGES VIER GmbH, Berlin	Indirect	100.0	247	15
PROGES ZWEI GmbH, Berlin	Indirect	100.0	3,195	90
Real I.S. Australia Pty. Ltd., AUS - Sydney	Indirect	100.0	1,285	502
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	108	4
Real I.S. Finanz GmbH, Munich[1]	Direct	100.0	25	–
Real I.S. Fonds Service GmbH, Munich[1]	Direct	100.0	158	(10)
Real I.S. France SAS, F - Paris	Indirect	100.0	3,725	1,356
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	83	3
Real I.S. Gesellschaft für Immobilienmanagement mbH & Co. KG, Munich	Indirect	100.0	5,987	50
Real I.S. Gesellschaft für Immobilienmanagement und Verwaltung mbH, Munich	Indirect	100.0	92	33
Real I.S. GREF Verwaltungs GmbH, Munich	Indirect	100.0	20	8
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	29	-
Real I.S. Management SA, L - Munsbach	Indirect	100.0	425	60
Real I.S. Property Management GmbH, Munich[3]	Indirect	100.0		
Real I.S. SMART Verwaltungs GmbH, Munich	Indirect	100.0	16	5
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	100.0	24	(2)
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin	Indirect	94.0	(5,723)	305
TFD und BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	10	2
TFD und RFS Verwaltungs GmbH, Munich	Indirect	100.0	13	2
TFD Verwaltungs GmbH, Munich	Indirect	100.0	15	2
Joint ventures not measured at equity				
ABG Allgemeine Bauträger- und Gewerbeimmobiliengesellschaft mbH i.L., Munich	Indirect	50.0	60	(2)
AKG ImmoPlus GmbH, Berlin	Indirect	50.0	1,144	309
BayernImmo 1. Joint Venture Verwaltungs GmbH, Munich	Indirect	50.0	9	(3)
BayernImmo 2019. Joint Venture GmbH & Co. KG, Munich	Indirect	50.0	22,010	1,295
BayernImmo Böhmisches Viertel Beteiligungs GmbH & Co. KG, Munich	Indirect	50.0	14,132	2,796
CommuniGate Kommunikationsservice GmbH, Passau	Indirect	50.0	4,842	573
Einkaufs-Center Györ Verwaltungs G.m.b.H., Hamburg	Indirect	50.0	31	2
German Centre for Industry and Trade India Holding-GmbH i.L., Munich	Direct	50.0	11	(19)
GHM MPP Reserve GmbH, Regenstauf	Indirect	50.0	343	(5)
GHM MPP Verwaltungs GmbH, Regenstauf	Indirect	50.0	22	–
MTI Main-Taunus Immobilien GmbH i.L., Bad Homburg v.d.H.	Indirect	50.0	49	(4)
S-Karten-Service-Management GmbH - Saarbrücken - München, Munich	indirekt	50.0	98	–
Associates not measured at equity				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	7,106	14
Bayern Mezzaninekapital Fonds II GmbH & Co. KG Unternehmensbeteiligungsgesellschaft, Munich	Direct	40.0	3,286	(693)

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	53	1
RSU GmbH & Co. KG, Munich	Direct	20.0	10,678	985
Unconsolidated structured entities				
Baserepo No. 1 S.A., L - Luxembourg[4]			31	–
BayernInvest ESG Corporate Bond Klimaschutz Fonds, Munich	Direct	36.4	31,775	169
BayernInvest ESG Global Bond Opportunities, Munich[3]	Direct	55.6		
BayernInvest Euro Corporates Non-Fin Fonds, Munich	Direct	63.6	49,164	445
BayernInvest Real I.S. 3-Fonds, Munich	Indirect	26.9	32,046	164
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land OT Liebenberg[4]			16,533	397
EK-Fonds der BayernInvest, Munich	Indirect	100.0	20,342	51
Rosata GmbH & Co. Objekt Hammergarten KG, Bad Homburg v.d.H.[4]			–	(943)
Other investees				
AKA Ausfuhrkredit-Gesellschaft mbH, Frankfurt am Main	Direct	7.2	273,601	14,936
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	Direct	12.9	258,865	14,219
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich	Direct	8.2	61,659	4,269
Bayernfonds Asia-Pacific Growth GmbH & Co. KG, Munich	Indirect	0.1	8,437	336
Bayernfonds Immobilien City-Investitionen Objekte Erfurt und Jena KG, Munich	Indirect	5.2	19,457	1,014
Bayernfonds Immobilien Dresden Bürozentrum Falkenbrunnen KG, Munich	Indirect	0.1	17,931	1,208
Bayernfonds Immobilien Fachmarktzentrum Erfurt, Leipziger Straße KG, Munich	Indirect	0.5	2,903	616
Bayernfonds Immobilien Jena Gewerbepark KG i.L., Munich	Indirect	0.2	8,547	138
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 8 KG, Munich	Indirect	–	82,599	3,782
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 9 KG, Munich	Indirect	–	73,351	2,548
Bayernfonds Immobilienverwaltung GmbH & Co. Hamburg Steindamm KG, Munich	Indirect	0.4	15,478	949
Bayernfonds Immobilienverwaltung GmbH & Co. Kambera KG, Munich	Indirect	–	142,872	10,444
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg 3 KG, Munich	Indirect	0.3	19,526	105
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg I KG i.L., Munich	Indirect	0.3	21,114	14,341
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München KG, Munich	Indirect	0.3	8,982	606
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Landsberger Straße KG, Munich	Indirect	0.3	20,996	554
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Ungerer Straße KG, Munich	Indirect	0.3	11,751	195
Bayernfonds Immobilienverwaltung GmbH & Co. Opalus KG, Munich	Indirect	–	111,578	9,767
Bayernfonds Immobilienverwaltung GmbH & Co.	Indirect	0.3	28,657	3,058

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
Regensburg KG, Munich				
Bayernfonds Immobilienverwaltung GmbH & Co. Ungarn Objekt Györ KG, Munich	Indirect	0.2	10,894	1,829
Bayernfonds Immobilienverwaltung Objekt Berlin Schönhauser Allee Arcaden KG, Munich	Indirect	5.7	940	3,173
Bayernfonds Immobilienverwaltung Objekt Düsseldorf Bonneshof GmbH & Co. KG, Munich	Indirect	0.4	22,513	891
Bayernfonds Immobilienverwaltung Objekte München, Berlin, Wiesbaden KG, Munich	Indirect	0.3	12,818	4,545
Bayernfonds Immobilienverwaltung Objekt Wiesbaden, Hagenauer Straße 42, 44 und 46 KG, Munich	Indirect	5.1	11,151	306
Bayernfonds Pacific Growth GmbH & Co. KG, Munich	Indirect	–	15,470	328
BGV Bayerische Grundvermögen III SICAV-FIS, L - Luxembourg	Indirect	–	96,373	9,953
BGV III Feeder 1 S.C.S. SICAV-FIS, L - Luxembourg	Indirect	0.1	60,736	6,616
BGV IV PARIS 1 SCI, F - Paris	Indirect	–	5,643	(243)
BGV V LYON 1 SCI, F - Paris	Indirect	–	12,465	(3,854)
BGV V Paris 1 SCI , F - Paris	Indirect	–	1,757	(515)
BGV V PARIS 2 SCI, F - Paris	Indirect	–	17,683	(1,399)
BGV V ST GENEVIEVE 1 SCI, F - Paris	Indirect	–	1,221	(2,178)
BGV VI FAUBOURG SCI, F - Paris	Indirect	–	20,388	883
BGV VI Servon SCI, F - Paris	Indirect	–	12,073	(1,227)
CLS Group Holdings AG, CH - Zurich	Direct	0.7	552,977	(1,369)
Deutsche WertpapierService Bank AG, Frankfurt am Main	Direct	3.7	296,008	37,216
DKB Wohnimmobilien Beteiligungs GmbH & Co. KG, Potsdam	Indirect	5.1	36,746	2,205
Fondsbörse Deutschland Beteiligungsmakler AG, Hamburg	Indirect	6.2	5,638	1,199
Galintis GmbH & Co. KG, Frankfurt am Main	Direct	15.9	533,087	(26)
GbR Datenkonsortium OpRisk, Bonn[3,5]	Direct	–		
GESO Gesellschaft für Sensorik, Geotechnischen Umweltschutz und mathematische Modellierung mbH i.I., Jena	Indirect	43.1	(353)	–
GLB GmbH & Co. OHG, Frankfurt am Main	Direct	6.3	2,777	(61)
GLB-Verwaltungs-GmbH, Frankfurt am Main	Direct	6.2	60	2
JFA Verwaltung GmbH, Leipzig	Indirect	10.7	(13,840)	(323)
KGAL GmbH & Co. KG, Grünwald	Direct	3.4	89,582	29,252
Kreditgarantiegemeinschaft des bayerischen Gartenbaus GmbH, Munich	Direct	6.1	649	–
Kreditgarantiegemeinschaft des bayerischen Handwerks GmbH, Munich	Direct	9.9	4,846	–
Kreditgarantiegemeinschaft des Hotel- und Gaststättengewerbes in Bayern GmbH, Munich	Direct	6.9	4,359	–
Kreditgarantiegemeinschaft für den Handel in Bayern GmbH, Munich	Direct	5.8	6,317	–
MVP Fund II GmbH & Co. KG, Munich	Direct	10.0	54,964	514,713
Neue Novel Ferm Verwaltungs GmbH, Berlin	Indirect	49.0	7	(2)
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG, Berlin	Indirect	49.0	3,959	(12)

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in EUR k	Earnings in EUR k
PARIS EDEN MONCEAU SCI, F - Paris	Indirect	–	45,605	(608)
RAC 2 N.V., B - Woluwe-Saint-Pierre	Indirect	–	3,402	(18)
Real Exchange AG, Hamburg	Indirect	15.0	632	(607)
Real I.S. Australien 10 GmbH & Co. KG, Munich	Indirect	–	22,280	1,755
Real I.S. Grundvermögen GmbH & Co. geschlossene Investment-KG, Munich	Indirect	5.4	90,266	4,795
Real I.S. Hotel Stuttgart GmbH & Co. geschlossene Investment-KG, Munich[3]	Indirect	–		
Real I.S. Institutional Real Estate 1 GmbH & Co. geschlossene Investment-KG, Munich	Indirect	–	65,301	2,314
Real I.S. Westbahnhof Wien GmbH & Co. geschlossene Investment-KG, Munich	Indirect	–	68,807	2,676
S CountryDesk GmbH, Cologne[6]	Direct	2.5	841	139
SIZ GmbH, Bonn	Direct	5.0	6,250	14
Sophia Euro Lab S.A.S. i.L., F - Sophia Antipolis Cedex	Indirect	32.3	99	(33)
SOUTH CITY OFFICE FONSNY S.A., B - Watermael-Boitsfort	Indirect	-	25,636	943
Swiss Fintech AG, CH - Zurich	Indirect	3.8	8,258	(2,991)
TAG Wohnungsgesellschaft Berlin-Brandenburg mbH, Potsdam	Indirect	5.2	26,203	3,235
THE GREEN CORNER S.A., B - Woluwe-Saint-Pierre	Indirect	–	5,602	(279)
True Sale International GmbH, Frankfurt am Main	Direct	7.7	4,536	(88)
vc trade GmbH, Frankfurt am Main	Direct	10.0	121	(350)
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	9,599	(1,090)
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	30,512	2,634
Visa Inc., USA - San Francisco	Direct + indirect	–	36,500,821	15,343,660

The information is based on the most recent annual accounts of the investees.
Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.
Unless otherwise stated, the BayernLB Group's share of the voting rights corresponds to the share of equity.
Unless otherwise stated, third parties hold a share of the voting rights in the amount not held by the BayernLB Group.
1 A profit and loss transfer agreement has been concluded with the company.
2 Control through a structured entity of the BayernLB Group.
3 Adopted annual accounts not yet available.
4 Structured entity under IFRS 10 with no equity interests held by the BayernLB Group.
5 Share of voting rights: BayernLB Group: 10.0 percent; third parties: 90.0 percent.
6 Share of voting rights: BayernLB Group: 2.9 percent; third parties: 97.1 percent.

Equity interests in large limited companies (including credit institutions and investment companies) exceeding 5 percent of the voting rights

Name and location of the investee	
AKA Ausfuhrkredit Gesellschaft mbH, Frankfurt am Main	
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich	
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	
Bayern Facility Management GmbH, Munich	
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich	
BayernInvest Luxembourg S.A., L - Munsbach	
Deutsche Kreditbank Aktiengesellschaft, Berlin	
DKB Service GmbH, Potsdam	
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich	
Real I.S. Investment GmbH, Munich	

Companies for which BayernLB or a consolidated subsidiary acts as a partner with unlimited liability

Name and domicile of the company
Bankenkooperation, Hannover
GbR Datenkonsortium OpRisk, Bonn
GLB GmbH & Co. OHG, Frankfurt am Main

(86) Unconsolidated structured entities

The BayernLB Group maintains business relationships with structured entities. These are contractual and non-contractual business relationships with entities which are structured so that they are not controlled by voting or comparable rights, with voting rights relating only to administrative tasks. The structured entity's relevant activities are directed by means of contractual arrangements.

Some of the main features common to structured entities are:
- restricted activities
- a narrow and precisely defined purpose
- insufficient equity to fund their own activities
- funding in the form of multiple instruments contractually linked to investors that pool together credit or other risks (tranches)

The BayernLB Group's interests in unconsolidated structured entities include debt or equity instruments, liquidity facilities, guarantees and various derivative instruments through which the BayernLB Group absorbs risks from unconsolidated structured entities.

Securitisation vehicles

The BayernLB Group's business activities with securitisation vehicles is mainly in the form of securitisations structured for customers (customer transactions) with the ABCP programme Corelux S.A., Luxembourg, which was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group's core customers and funds them by issuing asset-backed securities and through credit facilities from BayernLB. This financing had a weighted average term of two years (FY 2021: three years). The value of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was EUR 1,760 million (FY 2021: EUR 1,626 million).

Investment funds

The BayernLB Group invests in various funds, including those launched by its investment companies Real I.S. and BayernInvest. BayernInvest is the centre of expertise for institutional asset management within the BayernLB Group and a master investment company. As a member of the Savings Banks Finance Group, Real I.S. is the BayernLB Group's asset manager and fund service provider for real estate. It invests to a limited extent in equity instruments, for example, in its capacity as a managing limited partner. It extends loans to the investment company's special funds. There are also equity interests in certain special funds. These investments are usually secured by the fund's underlying pool of assets. The weighted average term of funding for investment funds was seven years (FY 2021: six years). The value of the investment funds with which the BayernLB Group has business relationships is based on their fund assets and was EUR 332,799 million (FY 2021: EUR 341,003 million).

Other financing

The BayernLB Group lends to structured entities which may hold a wide variety of assets. In all cases these loans are secured by these assets. This includes commercial real estate, property, project and leasing financing. This financing had a weighted average term of 12 years (FY 2021: eight years). The size of the structured entities in the form of other financing is based on the sum of their assets and was EUR 10,446 million (FY 2021: EUR 9,096 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

	Securitisation vehicles		Investment funds		Other financing		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Assets								
Loans and advances to customers	994	618	3,826	3,969	2,183	2,289	**7,002**	**6,876**
Risk provisions	–	–	9	5	20	51	**30**	**56**
Assets held for trading	21	–	7	19	1	24	**29**	**43**
Financial investments	9	11	44	40	238	239	**292**	**290**
Other assets	–	–	40	38	–	–	**40**	**38**
Liabilities								
Liabilities to customers	20	22	3,780	3,173	125	97	**3,925**	**3,292**
Liabilities held for trading	24	1	55	7	26	1	**104**	**8**
Provisions	–	–	–	–	–	3	**–**	**3**

Contingent liabilities and other liabilities from interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
EUR million	2022	2021	2022	2021	2022	2021	2022	2021
Contingent liabilities	–	–	128	166	–	–	**128**	**166**
Other commitments	944	1,022	207	48	201	231	**1,352**	**1,301**

The maximum risk of loss the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum risk of loss of off-balance sheet transactions is reflected by their nominal value. The nominal values do not represent the economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

EUR million	Securitisation vehicles 2022	Securitisation vehicles 2021	Investment funds 2022	Investment funds 2021	Other financing 2022	Other financing 2021	Total 2022	Total 2021
Net interest income	23	15	63	116	53	43	**139**	**174**
Risk provisions	–	1	(4)	14	38	2	**33**	**17**
Net commission income	5	5	225	221	2	1	**232**	**227**
Gains or losses on fair value measurement	(29)	–	(57)	39	(47)	33	**(134)**	**72**
Gains or losses on hedge accounting	–	–	(48)	(13)	–	–	**(48)**	**(13)**
Gains or losses on financial investments	–	–	(1)	(1)	–	–	**(1)**	**(1)**
Other income and expenses	–	–	–	1	–	–	**–**	**1**

(87) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan (economic and normative perspective of the ICAAP). In the Group planning process, regulatory capital is distributed to each planning unit based on the risk-weighted assets (RWAs) component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and Deutsche Kreditbank Aktiengesellschaft (DKB). RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management of BayernLB, combined with an internally assumed capital ratio.

Capital management deals with, among other things, the planning and development of regulatory capital ratios, the type and amount of the capital base and the allocation of RWAs. It entails ongoing monitoring of changes.

In addition to the Capital Requirements Regulation (CRR), BayernLB is subject to the European Central Bank's supervisory review and evaluation process (SREP). Due to the SREP findings, BayernLB was assigned a total capital ratio of 10.0 percent on a consolidated basis.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the target capital ratio set in the planning process. Its adherence is monitored on an ongoing basis and regularly reported to management.

Management structure

The Board of Management of BayernLB is updated monthly in a Group management report covering a range of issues. This report includes information on performance, capital, liquidity and risk trends. As a component of the integrated reporting, the Group management report provides an initial impression of the current situation with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on. Decisions and recommended capital management actions are also prepared for approval by the Board of Management taking account of framework conditions such as directives from the Bank's owners and regulatory requirements.

The Capital Board also provides detailed information on the performance of RWAs. The Capital Board comprises senior management from the risk control, financial controlling and Group strategy units as well as key business areas. It monitors and manages RWA trends across the Group, particularly RWA plan utilisation at segment level.

Key banking regulatory data

The BayernLB Group's supervisory capital is calculated on the basis of the CRR and CRD in their current versions.

Pursuant to article 72 of the CRR, own funds comprise Common Equity Tier 1 and Tier 2 capital. BayernLB currently does not have any additional Tier 1 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. The T2 capital consists primarily of subordinated liabilities and IRB provisions in excess of the expected losses.

Banking supervisory capital of the BayernLB Group (as per consolidated financial statements)

EUR million	2022	2021
Total RWAs	**65,311**	**63,315**
Own funds	**13,919**	**13,657**
Of which:		
Tier 1 capital	11,357	10,966
Common Equity Tier 1 capital (CET1 capital)	11,357	10,966

Banking supervisory ratios of the BayernLB Group (as per consolidated financial statements)

In %	2022	2021
Total capital ratio	21.3	21.6
Common Equity Tier 1 (CET1) capital ratio	17.4	17.3

The BayernLB Group complied at all times with the external capital requirements under Art. 92 para. 1 CRR, sections 10c to 10i KWG and the minimum requirements under SREP in the reporting year.

(88) Administrative bodies of BayernLB

Supervisory Board

Dr Wolf Schumacher
Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier
Deputy Chairman of the BayernLB
Supervisory Board
CEO
Sparkasse Niederbayern-Mitte
Straubing

Jan-Christian Dreesen
Deputy Chairman of the Executive Board
FC Bayern München AG
Munich

Prof. Dr Roland Fleck
Managing Director
NürnbergMesse GmbH
Nuremberg

Dr Ute Geipel-Faber
Independent management consultant
Munich

Harald Hübner
Deputy Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Erwin Schneider
since 25 March 2022
Member of the BayernLB Supervisory Board
Chief District Administrator
Altötting

Dr Jörg Schneider
Lawyer
Munich

Henning Sohn
Chairman of the General Staff Council
BayernLB
Munich

Judith Steiner
Under Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Dr Ulrike Wolf-Prexler
since 1 July 2022
Deputy Secretary
Bavarian State Ministry of Economic Affairs,
Regional Development and Energy
Munich

Dr Kurt Gribl
until 25 March 2022
Member of the BayernLB Supervisory Board

Dr Thomas Langer
until 30 June 2022
Member of the BayernLB Supervisory Board

Board of Management (including allocation of responsibilities)

Stephan Winkelmeier
CEO
Corporate Center
Group Treasury
Deutsche Kreditbank Aktiengesellschaft

Marcus Kramer
CRO
Risk Office

Dr Markus Wiegelmann
CFO/COO
Financial Office
Operating Office

Gero Bergmann
Real Estate & Savings Banks/
Financial Institutions
Bayerische Landesbodenkreditanstalt[1]
Real I.S. AG Gesellschaft für Immobilien
Assetmanagement
BayernInvest Kapitalverwaltungs-
gesellschaft mbH

Johannes Anschott
Corporates & Markets

1 *Dependent institution of the Bank.*

(89) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB), whose indirect stakes in BayernLB are about 75 percent and around 25 percent respectively, subsidiaries, joint ventures, associates, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich and BayernLB Treuhand e.V., Munich. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties, or jointly controlled if these parties are members of their management bodies, are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 85).

Relationships with the Free State of Bavaria

EUR million	2022	2021
Loans and advances	1,101	1,970
Assets held for trading	23	9
Financial investments	167	177
Liabilities	618	613
Securitised liabilities	33	15
Liabilities held for trading	–	8
Liabilities held in trust	5,416	5,116
Contingent liabilities	6	5
Other commitments	1,065	1,066

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

EUR million	2022	2021
Loans and advances to customers	612	552
Assets held for trading	2	15
Financial investments	10	–
Liabilities to banks	3,807	3,822
Liabilities to customers	385	178
Securitised liabilities	63	93
Liabilities held for trading	22	–
Assets held in trust	543	484
Contingent liabilities	8	8
Other commitments	149	191

Relationships with the Association of Bavarian Savings Banks

EUR million	2022	2021
Commitments	37	37
Other liabilities	7	7

Relationships with investees

EUR million	2022	2021
Loans and advances to customers	**92**	**105**
Non-consolidated subsidiaries	60	74
Joint ventures	7	5
Associates	26	26
Risk provisions	**–**	**13**
Non-consolidated subsidiaries	–	13
Financial investments	**25**	**29**
Non-consolidated subsidiaries	25	29
Other assets	**5**	**7**
Non-consolidated subsidiaries	5	7
Liabilities to customers	**175**	**192**
Non-consolidated subsidiaries	151	153
Joint ventures	4	18
Associates	20	22
Provisions	**3**	**2**
Non-consolidated subsidiaries	2	2
Associates	1	–
Other liabilities	**1**	**2**
Non-consolidated subsidiaries	–	2
Contingent liabilities	**4**	**4**
Non-consolidated subsidiaries	1	1
Associates	3	3

An expense of EUR 1 million (FY 2021: EUR 2 million) was recognised for non-recoverable or doubtful receivables in the reporting year.

In the reporting year, capital repayments in the amount of EUR 2 million (FY 2021: EUR 0 million) were made by unconsolidated entities, joint ventures and associates.

Relationships with other related parties

EUR million	2022	2021
Liabilities to customers	1,313	1,193

There were liabilities to benefit plans.

The contribution to the plan assets of Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich in the amount of EUR 2 million (FY 2021: EUR 2 million) and the plan assets of BayernLB Treuhandverein e.V., Munich in the amount of EUR 100 million (FY 2021: EUR 740 million) were recognised through other comprehensive income as a reduction in reported pension provisions. In the reporting year, staff costs of EUR 5 million (FY 2021: EUR 4 million) arose for the contribution to the plan assets of Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Relationships with members of the BayernLB Board of Management and Supervisory Board and their close family members

EUR million	2022	2021
Members of the BayernLB Board of Management		
Deposits	1	1
Securities	1	–
Loans	1	2

Remuneration of members of the BayernLB Board of Management and Supervisory Board

EUR k	2022	2021
Members of the BayernLB Board of Management	**6,027**	**6,806**
Short-term benefits	4,904	5,625
Post-employment benefits	1,122	1,181
Defined benefit plan costs	807	866
Defined contribution plan costs	315	315
Members of the BayernLB Supervisory Board	**979**	**1,024**
Short-term benefits	979	1,024
Former members of the BayernLB Board of Management and their surviving dependants	**5,840**	**15,276**
Pension provisions established for members of the BayernLB Board of Management[1]	**8,627**	**13,787**
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants [2]	**97,643**	**132,752**

1 *Pension obligations of EUR 8,575,000 (FY 2021: EUR 13,697,000) were offset in the balance sheet against claims from reinsurance of EUR 8,555,000 (FY 2021: EUR 15,040,000).*

2 *Pension obligations of EUR 18,065,000 (FY 2021: EUR 27,205,000) were offset in the balance sheet against claims from reinsurance of EUR 19,057,000 (FY 2021: EUR 30,449,000).*

(90) External auditor's fees

The external auditor's fees recognised as an expense in the year under review are comprised as follows:

EUR k	2022	2021
Financial statements audit services	(7,831)	(7,981)
Other assurance services	(947)	(901)
Tax consultancy services	–	(100)
Other services	(344)	(657)
Total	**(9,122)**	**(9,640)**

PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft audited BayernLB's consolidated financial statements as at 31 December 2022 and also audited its subsidiaries' annual financial statements.

The audit services included in particular the auditing of BayernLB's annual financial statements and consolidated financial statements and the annual financial statements of the other Group companies, including statutory amendments and key audit areas agreed with the Supervisory Board. The review of the half-yearly financial statements was also included in the auditing mandate. Other assurance services included the auditing process pursuant to section 89 of the German Securities Trading Act (WpHG), issuing the comfort letter pursuant to IDW PS 910 and other audits of certifications as required under supervisory law. Other services included in particular audit support for the "Kopernikus" IT project, other projects to implement statutory and regulatory requirements, and the performance of agreed audit procedures for certification required under supervisory law.

(91) Human resources

Average headcounts for the reporting year were:

	2022	2021
Full-time employees (not including trainees)	**6,207**	**6,226**
Female	2,590	2,556
Male	3,617	3,670
Part-time employees (not including trainees)[1]	**2,144**	**2,142**
Female	1,644	1,667
Male	500	475
Trainees[2]	**58**	**71**
Female	26	23
Male	32	47
Total	**8,409**	**8,439**

1 Part-time headcount equated to 1,471 full-time employees (FY 2021: 1,483).
2 Includes students on a work/study programme.

Responsibility statement by the Board of Management

To the best of our knowledge and in accordance with the applicable reporting principles for financial reporting and generally accepted accounting standards, the consolidated financial statements give a true and fair view of the financial performance and financial position of the Group, and the management report of the Group, which is combined with the management report of Bayerische Landesbank, Munich, includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Munich, 21 March 2023

Bayerische Landesbank
The Board of Management

Stephan Winkelmeier   Marcus Kramer   Dr Markus Wiegelmann

Gero Bergmann   Johannes Anschott

Independent Auditor’s Report

The following copy of the auditor's report also includes a "Report on the audit of the electronic renderings of the financial statements and the management report prepared for disclosure purposes in accordance with § 317 Abs. 3b HGB" ("Separate report on ESEF conformity"). The subject matter (ESEF documents to be audited) to which the separate report on ESEF conformity relates is not attached. The audited ESEF documents can be inspected in or retrieved from the Federal Gazette.

To Bayerische Landesbank Anstalt öffentlichen Rechts, Munich

REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS AND OF THE GROUP MANAGEMENT REPORT

Audit Opinions

We have audited the consolidated financial statements of Bayerische Landesbank, Anstalt öffentlichen Rechts, Munich, and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 31 December 2022, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the financial year from 1 January to 31 December 2022, and notes to the consolidated financial statements, including a summary of significant accounting policies. In addition, we have audited the group management report of Bayerische Landesbank Anstalt öffentlichen Rechts, which is combined with the Company’s management report, for the financial year from 1 January to 31 December 2022.

In our opinion, on the basis of the knowledge obtained in the audit,

• the accompanying consolidated financial statements comply, in all material respects, with the IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2022, and of its financial performance for the financial year from 1 January to 31 December 2022, and

• the accompanying group management report as a whole provides an appropriate view of the Group’s position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2022. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

❶ Risk provisions in the customer lending business

❷ Pension provisions

Our presentation of these key audit matters has been structured in each case as follows:

① Matter and issue

② Audit approach and findings

③ Reference to further information

Hereinafter we present the key audit matters:

❶ Risk provisions in the customer lending business

① In the Company's consolidated financial statements loan receivables amounting to € 155.9 billion (60.1 % of the balance sheet total) are reported under the "Loans to customers" balance sheet item. The associated risk provisions amount to € 1,144 million and are reported in a separate line item. In addition, financial guarantees and loan commitments exist in the amount of € 55.8 billion with associated loan loss provisions amounting to € 90 million. The Group calculates risk provisions in accordance with the applicable provisions of IFRS 9 using a three-stage model based on the expected credit loss system. For financial instruments at levels 1 and 2, mathematical-statistical methods are used; for financial instruments at level 3, expected credit losses are determined on the basis of estimates of future cash flows at the level of the individual financial instrument. The measurement of the expected credit loss is determined in particular by the estimates of the executive directors with regard to the level allocation as well as certain parameters such as the probability of default and the loss given default and - in the case of level 3 cases - by assessments of the future cash flows taking into account existing collateral. When calculating the risk provision, risk factors were taken into account within the framework of so-called post-model adjustments, insofar as they were not already included in the calculation parameters of the models. These exist for non-impaired receivables of the affected industries in the customer lending business and serve to take into account the currently existing increased amount of uncertainties as a result of the current macroeconomic circumstances. The risk provisions in the customer lending business are, on the one hand, of great importance for the Company's assets, liabilities and financial performance in terms of amount and, on the other hand, are associated with considerable judgement of the executive directors. Furthermore the valuation parameters used, that are subject to significant uncertainties, have a significant influence on the recognition and amount of the potentially required risk provisions. With this background, this matter was of particular significance during our audit.

② As part of our audit we initially assessed the design of the relevant internal control system of the Company. Thereby we considered the business organisation, the IT systems and the relevant measurement models. Moreover, we evaluated the measurement of the customer loans, including the appropriateness of estimated values, on the basis of sample testing of loan exposures. For this purpose, we assessed, among other things, the Company’s documentation with respect to the economic circumstances as well as the recoverability of the related collaterals. In the case of property collaterals for which we were provided with valuation reports by the Company, we obtained an understanding of the underlying starting data, the valuation parameters applied and the assumptions made, critically assessed them and evaluated whether they were within a reasonable range. Besides we assessed the Company’s calculation methods as well as the underlying assumptions and parameters to evaluate the formed risk provisions. We questioned the necessity of the formation of post-model adjustments, evaluated the consideration of uncertainties due to the current macroeconomic circumstances in the formation of the post-model adjustments and assessed the determination of their amount. Based on the audit procedures we performed, we were able to satisfy ourselves overall of the justifiability of the assumptions made by the executive directors in the impairment test of the loan portfolio as well as of the appropriateness of the Company’s implemented controls.

③ The information of the executive directors of the Company on risk provisions in the customer lending business are contained in the sections (6), (9), (29), (43), (58) and (77) of the notes to the consolidated financial statements.

❷ Pension provisions

① There are various pension plans with active, former and retired employees of the Group with vested entitlements, which are reported under the balance sheet item provisions at the balance sheet date with a total of € 0.5 billion. The pension provisions consist of obligations from defined benefit plans amounting to € 3.1 billion and plan assets amounting to € 3.0 billion. The amount of the provision is determined on the basis of actuarial reports commissioned by the

Company using the projected unit credit method, taking into account existing plan assets. The valuation of the obligations, that result from the defined benefit plans, is based in particular on assumptions regarding the long-term salary and pension trends, fluctuation, the development of pensions in the statutory pension insurance, inflation and biometric probability. The discount rate must be determined by reference to market yields on high-quality corporate bonds with matching currencies and consistent maturities. This usually requires the data to be extrapolated, since sufficient long-term corporate bonds do not exist. Due to the current development of the macroeconomic circumstances the valuation parameters were adjusted. Noteworthy is the increase of the discount rate. The resulting effect was recognised as actuarial gain in equity considering deferred taxes. During the financial year, the Company contributed further assets to the established trust BayernLB Treuhand e.V.. These qualify as plan assets and are therefore deducted from the obligations from defined benefit plans. The plan assets are measured at fair value, which involves making estimates that are subject to estimation uncertainties. From our point of view, these matters were of particular significance in the context of our audit because the recognition and measurement of this significant item in terms of its amount are based to a large extent on estimates and assumptions made by the Company's executive directors.

② As part of our audit we evaluated the actuarial expert reports obtained and the professional qualifications of the external experts. We also examined the specific features of the actuarial calculations and assessed the numerical data, the actuarial parameters and the valuation methods on which the valuations were based on for accuracy and appropriateness, respectively, in addition to other procedures. On this basis, we examined the calculation of provisions and the presentation in the balance sheet and notes to the consolidated financial statements. We have evaluated whether the assets held by Treuhandverein BayernLB Treuhand e.V. fulfil the requirements for consideration as plan assets. For the audit of the fair value of the plan assets, we inspected and evaluated asset statements. We especially focused on confirming the existence of the bonds and the stock funds of the plan assets by reconciling the portfolio with the securities account statement directly obtained from the system of DeutscheWertpapierService Bank AG that serves the purposes of securities accounting and processing.

Based on our audit procedures, we were able to satisfy ourselves that the estimates and assumptions made by the executive directors are substantiated and sufficiently documented.

③ The information of the executive directors of the Company on the pension provisions are contained in the numbers (21) and (58) of the notes to the consolidated financial statements.

Other Information

The executive directors are responsible for the other information. The other information comprises

- the separate non-financial report to comply with §§ 289b to 289e HGB and §§ 315b to 315c HGB
- all remaining parts of the annual report - excluding cross-references to external information - with the exception of the audited consolidated financial statements, the audited group management report and our auditor’s report

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor’s report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of these systems.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors’ use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor’s report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRSs as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group’s position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence, we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information and evaluate the proper derivation of the prospective in-formation from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor’s report unless law or regulation precludes public disclosure about the matter.

OTHER LEGAL AND REGULATORY REQUIREMENTS

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB

Assurance Opinion

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the electronic file "BayernLB_KA+LB_ESEF2022-12-31.zip" and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the financial year from 1 January to 31 December 2022 contained in the Report on the Audit of the Consolidated Financial Statements and on the Group Management Report above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the electronic file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering, of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management 1: Requirements for Quality Management in the Audit Firm (IDW QS 1).

Responsibilities of the Executive Directors and the Supervisory Board for the ESEF Documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic renderings of the consolidated financial statements and the group management report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also

- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.

- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further Information pursuant to Article 10 of the EU Audit Regulation

We were elected as group auditor by the annual general meeting on 25 March 2022. We were engaged by the supervisory board on 18 May 2022. We have been the group auditor of the Bayerische Landesbank Anstalt öffentlichen Rechts, Munich, without interruption since the financial year 2019.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER – USE OF THE AUDITOR'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Sven Hauke.

Munich, 22 March 2023

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Sven Hauke Wirtschaftsprüfer	Anne Witt Wirtschaftsprüferin
[German Public Auditor]	[German Public Auditor]

Country by country reporting pursuant to section 26a para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2022

This report shows revenues, number of employees, profit/loss before taxes, taxes on profit/loss and state aid received for the reporting year by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, without accounting for risk provisions, administrative expenses, expenses for the bank levy and deposit guarantee scheme and gains or losses on restructuring as reported in the consolidated financial statements. Taxes on profit/loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

Country	Revenue EUR million	Number of employees	Profit/loss before taxes EUR millon	Taxes on profit or loss EUR million	State aid received EUR million
Germany	2,623	7,659	979	(127)	0
United Kingdom	16	41	4	0	0
Italy	0	15	0	0	0
France	0	15	(1)	0	0
Spain	0	2	0	0	0
Netherlands	1	5	0	0	0
USA	71	77	54	0	0

Name of foreign branch/ investee	Type of business	Location	Country
Foreign branch offices of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB Paris	Financial institution	Paris	France
BayernLB New York	Financial institution	New York	USA
Foreign branches of Real I.S. AG			
Real I.S. France	Asset management company	Paris	France
Real I.S. Spain	Asset management company	Madrid	Spain
Real I.S. Netherlands	Asset management company	Amsterdam	Netherlands

Supplementary information

Financial measures not calculated in accordance with IFRS

For its entire financial reporting and other published documents, the BayernLB Group uses financial measures not calculated in accordance with IFRS. These measures indicate historical or future financial performance, financial position and cash flows derived from the financial statements, which are prepared in accordance with the relevant accounting framework, or from internal management information, and then adjusted.

They should be seen as a supplement to and not a replacement of the figures calculated in accordance with IFRS. Readers of the financial reports and other documents containing these measures should be aware that similarly named financial measures published by other companies may have been calculated differently.

The BayernLB Group uses the following financial measures not calculated in accordance with IFRS:
- Return on equity (RoE)
- Cost/income ratio (CIR)
- Other earnings components

The RoE and CIR are important financial performance indicators. They provide information about profitability and are used by BayernLB to manage it.

Return on equity (RoE)

The RoE is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). At Group level, the average Common Equity Tier 1/CET1 capital available over the financial year has been used for this purpose. For all management levels below this, the average economic capital employed in the financial year is derived from the average risk-weighted assets (RWAs) of the underlying individual transactions as specified by the regulatory authorities. The allocated amount corresponds to 14.0 percent (31 December 2021: 14.0 percent) of the average risk-weighted assets specified by the regulatory authorities arising from the individual transactions entered into by the respective segment in the reporting period concerned. Economic capital is reconciled to regulatory capital in the column headed Consolidation.

RoE reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	**287**	**154**	**354**	**328**	**–**	**1,122**
Average risk-weighted assets (RWAs)	13,623	21,007	25,482	5,581	–	65,693
Target CET1 ratio (%)	14.0	14.0	14.0	14.0	–	
Average economic/regulatory capital	**1,907**	**2,941**	**3,568**	**781**	**1,463**	**10,660**
Return on equity (RoE) (%)	**15.0**	**5.2**	**9.9**	**–**	**–**	**10.5**

RoE reconciliation calculation (as at 31 December 2021)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	**271**	**87**	**369**	**89**	**(1)**	**816**
Average risk-weighted assets (RWAs)	12,133	22,927	24,510	5,326	–	64,895
Target CET1 ratio (%)	14.0	14.0	14.0	14.0	–	
Average economic/regulatory capital	**1,699**	**3,210**	**3,431**	**746**	**1,193**	**10,279**
Return on equity (RoE) (%)	**16.0**	**2.7**	**10.8**	**–**	**–**	**7.9**

Cost/income ratio (CIR)

The CIR is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses. The CIR is calculated using the figures reported in the respective consolidated financial statements.

CIR reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	**(396)**	**(250)**	**(740)**	**(183)**	**1**	**(1,569)**
Net interest income	396	292	1,310	133	7	**2,137**
Net commission income	272	87	80	(17)	–	**424**
Gains or losses on fair value measurement	71	41	(44)	5	(7)	**67**
Gains or losses on hedge accounting	–	–	(175)	(1)	–	**(177)**
Gains or losses on derecognised financial assets	–	–	(3)	–	–	**(3)**
Gains or losses on financial investments	3	(3)	3	(17)	3	**(11)**
Other income and expenses	(24)	3	13	370	(6)	**356**
Gross earnings	**718**	**421**	**1,184**	**474**	**(3)**	**2,793**
Cost/income ratio (CIR) (%)	**55.2**	**59.5**	**62.5**	**–**	**–**	**56.2**

CIR reconciliation calculation (as at 31 December 2021)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	**(402)**	**(283)**	**(689)**	**(148)**	**2**	**(1,520)**
Net interest income	363	315	1,023	153	11	**1,866**
Net commission income	271	80	53	(24)	–	**380**
Gains or losses on fair value measurement	57	38	51	59	(16)	**190**
Gains or losses on hedge accounting	–	1	(3)	(17)	–	**(20)**
Gains or losses on derecognised financial assets	–	1	4	–	–	**6**
Gains or losses on financial investments	–	2	5	39	–	**46**
Other income and expenses	13	(6)	1	101	–	**108**
Gross earnings	**705**	**431**	**1,134**	**311**	**(4)**	**2,577**
Cost/income ratio (CIR) (%)	**57.0**	**65.8**	**60.8**	**–**	**–**	**59.0**

Other earnings components

Other earnings components comprise the total of gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Other earnings components reconciliation calculation (as at 31 December 2022)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Gains or losses on hedge accounting	–	–	(175)	(1)	–	**(177)**
Gains or losses on derecognised financial assets	–	–	(3)	–	–	**(3)**
Gains or losses on financial investments	3	(3)	3	(17)	3	**(11)**
Other income and expenses	(24)	3	13	370	(6)	**356**
Other earnings components	**(21)**	**–**	**(162)**	**352**	**(3)**	**166**

Other earnings components reconciliation calculation (as at 31 December 2021)

EUR million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Gains or losses on hedge accounting	–	1	(3)	(17)	–	**(20)**
Gains or losses on derecognised financial assets	–	1	4	–	–	**6**
Gains or losses on financial investments	–	2	5	39	–	**46**
Other income and expenses	13	(6)	1	101	–	**108**
Other earnings components	**14**	**(3)**	**6**	**123**	**–**	**140**

Combined separate non-financial report of the BayernLB Group for 2022

Combined separate non-financial report of the BayernLB Group for 2022

Preliminary note

For a detailed description of the business model and the segments, refer to the section entitled “Foundations of the BayernLB Group – Business model and Group strategy” in the combined management report.

For a description of the Bank’s strategic direction and Fokus 2024 transformation process (including its clear, strategic focus on sustainability), also refer to the “Foundations of the BayernLB Group – Business model and Group strategy” section in the combined management report.

For information on regulatory developments with respect to climate and environmental risks and their implementation, refer to the section entitled “Regulatory environment” in the report on the economic position.

The following content (insofar as it relates to BayernLB Bank) is set out in further detail in the Sustainability Report (issued in line with the GRI Standards). This report, and other publications referred to below, can be viewed on BayernLB’s website under Publications. Similarly, information from the main subsidiaries DKB, BayernInvest and Real I.S. is also available.

To meet the requirements of sections 315b and 315c in conjunction with sections 289b to 289e of the German Commercial Code (HGB) and the EU Taxonomy Regulation (Regulation (EU) 2020/852), the separate non-financial report of the parent company Bayerische Landesbank, Munich (BayernLB or Bank[48]) is presented below with the separate non-financial report of the BayernLB Group (hereinafter referred to as “the non-financial report", or simply as "the NFR”). The information in the report always relates to both BayernLB and the Group, unless expressly stated otherwise. Due to the importance of Deutsche Kreditbank (DKB) in the Group, information on DKB is disclosed separately in the tables and charts below.

The NFR deals with the following topics:

- A description of the material content of BayernLB’s NFR
- BayernLB’s various systems to manage non-financial aspects:
  - Reputational risk, sustainability and environmental management system and internal guidelines/solutions for a sustainable banking business
  - Human resources management system
  - Compliance management system
- The disclosure of relevant figures pursuant to the EU Taxonomy Regulation

The NFR’s content is based on the specific materiality approach taken under HGB, which is not equivalent to the understanding of materiality under the Global Reporting Initiative (GRI) or other frameworks.[49] For this reason, only certain GRI standards were referred to when preparing the BayernLB Group’s NFR, for example with respect to the materiality analysis, and therefore full

48 BayernLB Bank comprises BayernLB core Bank and BayernLabo.

49 BayernLB reports in detail on all topics identified as material for the Bank under GRI in its Sustainability Report (www.bayernlb.com/csr), while DKB provides this information in its sustainability report pursuant to the German Sustainability Code (DNK) (www.dkb.de/nachhaltigkeit). DKB also collects non-notifiable information and data (among other things) on equality and employee health, and voluntarily reports on this in its annual report. All references to information not in the combined management report do not form part of the non-financial report.

use has not been made of any framework. Commercial law requires information to be provided so that an understanding can be gained of a company's business development, performance and position and the impact of its activities, especially on non-financial aspects, i.e. environmental matters, employee-related matters and social matters, respect for human rights and combating corruption and bribery.

BayernLB uses the net method when calculating risks that must be reported under HGB. Having considered mitigation measures, the Bank did not from its findings identify any risks that are highly likely to cause, now or in the future, seriously adverse impacts on the aspects that must be reported. The respective risks of the individual aspects are addressed, where relevant, in the separate sections of the report. References to related figures in the annual financial statements of the BayernLB Group are stated in the text of the non-financial report under the relevant issue.

This report marks the second time that information on reporting pursuant to Article 8 of the EU Taxonomy Regulation has been disclosed and included in the external audit. More changes to both voluntary and mandatory sustainability reporting will be made in the coming years, not least because of rapidly changing regulatory and market requirements. To implement these changes, the interdisciplinary ESG project "Sustainability" was launched at BayernLB Bank in 2021.[50]

Materiality analysis

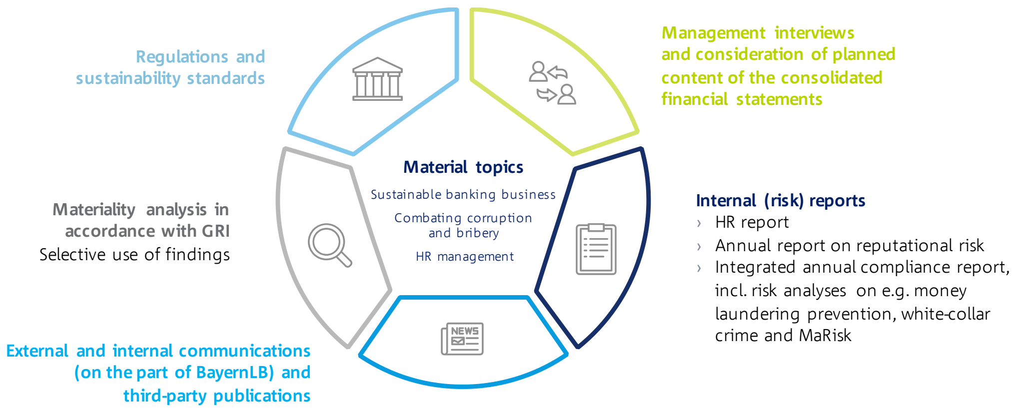
BayernLB's Corporate Sustainability & Responsibility Department regularly conducts a materiality analysis in accordance with the GRI Standards (presented in the published Sustainability Report according to GRI) to identify the topics relevant for its reports. It determines the most material overlapping topics for BayernLB and its stakeholders.

In a materiality analysis in accordance with HGB, BayernLB determined material content relevant for its NFR for the first time in 2017, and has reviewed and updated this as necessary for every reporting year since. As part of this process, it has especially considered current regulations, planned content in the management report/annual financial statements, internal management interviews and reviews that have been conducted, the analysis of internal (risk) reports, internal and external communications content from BayernLB and publications of third parties. The Bank has also included the results of the materiality analysis under GRI on a selective basis. Despite the different approaches used, the material topics for BayernLB under HGB match the most important topics from the GRI materiality analysis.[51]

50 *The results of the ECB's climate stress test for 2022 will be processed in the course of this project. For details, refer to the "Regulatory environment" section (report on the economic position).*

51 *BayernLB's current materiality analysis is from 2022 and, as with the Sustainability Report under the GRI for 2021, followed the GRI standards 2016. From 2023, BayernLB will change over to the GRI standards 2021 in accordance with the requirements of the Global Reporting Initiative. Therefore, the GRI margin notes which have been used in this report will be eliminated for consistency purposes.*

Materiality analysis for 2022 under HGB



This analysis found that the topics that were material for BayernLB in 2022 (as in 2021) were “sustainable banking business”, “combating corruption and bribery” and “human resources management”. The following graphic assigns these topics to each of the non-financial aspects.

Mapping HGB minimum aspects to material BayernLB topics

The following overview lists the topics which are assigned to the non-financial aspects and described in greater detail later on in this report (material for BayernLB under HGB). It also indicates which topics are not material under HGB from BayernLB’s perspective, even though they are dealt with by BayernLB’s sustainability management and reporting in other contexts. BayernLB thus reports transparently on these matters in other publications.

Assignment of topics that are (not) material for BayernLB under HGB to non-financial aspects

	Topics relating to the aspect: Environmental matters	Further information and explanations can be found in:
Material for BayernLB pursuant to section 289c HGB	Correlation to impact of products and services	Section on “Sustainable banking business”, Guiding Principles for Transformation, Investment and financing principles (DKB)
	Avoidance of (reputational) risks and negative impact on the environment, through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	
	Promotion of environmentally responsible developments	
Non-material for BayernLB pursuant to section 289c HGB	Impact of a company’s activities on the environment (e.g. through water & energy consumption)	Environmental Statements of BayernLB (integrated into its Sustainability Report according to GRI) and DKB
	Guarantee of high (environmental) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report

	Topics relating to the aspect: Employee-related matters	Further information and explanations can be found in:
Material for BayernLB pursuant to section 289c HGB	Qualitative and quantitative development of human resources	Section on “Human resources management”, BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report
	Attracting and retaining qualified personnel	
	Providing staff with the necessary skills and qualifications	
	Equal opportunities	
	Health management	
	Occupational health and safety on the Bank premises	
	Granting of employees’ right of assembly	
	Protection of fundamental labour rights in financing through compliance with all the ESG standards mentioned in the “Guiding Principles for Transformation” and ILO core labour standards	Section on “Sustainable banking business”, Guiding Principles for Transformation, Investment and financing principles (DKB)
Non-material for BayernLB pursuant to section 289c HGB	Guarantee of high (labour) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB’s Sustainability Report according to GRI, DKB’s Sustainability Report

	Topics relating to the aspect: Social matters	Further information and explanations can be found in:
Material for BayernLB pursuant to section 289c HGB	Protection of local communities/indigenous peoples in financing, through compliance with all the ESG standards cited in the "Guiding Principles for Transformation"	Section on "Sustainable banking business", Guiding Principles for Transformation, Investment and financing principles (DKB), Annual Report of BayernLabo
	Contribution to safeguarding and improving living conditions, including at municipal and regional levels, through financing, particularly in the areas of municipal housing and development; social affairs and health; and the energy supply	
Non-material for BayernLB pursuant to section 289c HGB	Social commitment and corporate citizenship	BayernLB's GRI Standards-based Sustainability Report, homepage of BayernLB and DKB
	Guarantee of high (social) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB's Sustainability Report according to GRI, DKB's Sustainability Report

	Topics relating to the aspect: Respect for human rights	Further information and explanations can be found in:
Material for BayernLB pursuant to section 289c HGB	Protection of local communities/indigenous peoples in financing (in emerging and developing countries in particular), through compliance with all the ESG standards cited in the "Guiding Principles for Transformation"	Section on "Sustainable banking business", Guiding Principles for Transformation, Investment and financing principles (DKB)
Non-material for BayernLB pursuant to section 289c HGB	Guarantee of high (human rights) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible and concluding sustainability agreements	BayernLB's Sustainability Report according to GRI, DKB's Sustainability Report

	Topics relating to the aspect: Combating corruption and bribery	Further information and explanations can be found in:
Material for BayernLB pursuant to section 289c HGB	Compliance with legal and supervisory requirements with regard to the combating of corruption and bribery to avoid sanctions and loss of reputation	Section on "Compliance management system", especially on corruption and bribery
Non-material for BayernLB pursuant to section 289c HGB	N/A	N/A

The BayernLB Group's ratings

The success of efforts to achieve sustainable banking activities and the corresponding range of financial solutions is regularly analysed and evaluated by independent sustainability rating agencies. These sustainability ratings are based on comprehensive lists of criteria relating to environmental, social and governance – i.e. responsible corporate management – (ESG) aspects, which largely cover the aspects referred to in HGB.

As at 31 December 2022, both the BayernLB Group and DKB continued to hold the Prime rating from ISS ESG. DKB's B- rating in the "Financials/Public & Regional Banks" sector corresponds to the top decile ranking and a classification as an "Industry Leader". All (other) sustainability ratings are published and constantly updated on the homepages of BayernLB and its subsidiaries.

Managing non-financial aspects

Within the BayernLB Group, various units manage the above-mentioned aspects in accordance with HGB. The main units in charge of these matters, such as Reputational Risk Management, Sustainability Management, Human Resources and Compliance, are shown here, along with the requirements for the banking business.

The various management components are intertwined. For example, Sustainability Management coordinates the Sustainability Report (according to GRI), which reports on a number of areas including compliance, reputational risk and human resources. Sustainability Management also uses Reputational Risk and Compliance Management policies.

The Group is managed using sets of indicators based on IFRS accounting (see "Foundations of the BayernLB Group – Group management" in the combined management report). The Bank is currently preparing a management approach based on non-financial performance indicators, which it will implement in stages.

Sustainable banking business: internal instructions and guidelines, financial solutions and disclosures pursuant to Article 8 of the EU Taxonomy Regulation

A sustainable banking business and the corresponding financial solutions at BayernLB cover the following areas:

- Financing companies and projects to address societal challenges such as climate change and the energy transition
- Offering sustainable investment products for retail and institutional investors
- Complying with environmental, social and ethical standards in financing and capital market transactions

The goal of creating sustainable banking products has been defined in both BayernLB's Code of Conduct and in the Sustainability and Environmental Policy adopted by the Board of Management. Since 2020, it has also been set out in BayernLB's Mission Statement and in the Group Sustainability Strategy (see the "Sustainable products and services" section).

Code of Conduct

"We are actively and thoroughly committed to the challenges of sustainable development and heed our responsibility by taking ecological, economical and social aspects into account along the entire value chain. […]

We also consider sustainability issues when looking at (business) transactions. Our actions, as well as our business relationships and transactions, are always guided by ethical principles and sustainability aspects. We ensure that these are compatible with the relevant international environmental, ethical and social standards we have signed up to."

Sustainability and Environmental Policy

"We actively align our business model with sustainability and support our customers in achieving their goals. The integration of ESG requirements into our products and services offers our customers and us the opportunity to comprehensively consider the risks and opportunities of global challenges and thus make an active contribution to sustainable development. We cultivate fair dealings with our customers. In doing so, we conscientiously implement consumer protection regulations and responsible sales practices."

The Group strategy on sustainability was specified for BayernLB Bank in 2021. Among other things, it aims to significantly increase the share of ESG-compliant financing compared with the figures for 2020 by 2023 and achieve a climate-neutral portfolio before 2050. This strategy was updated at the end of 2022. With regard to the above-mentioned goals, no areas were identified where adjustments needed to be made. The Sustainability Programme, published at the end of 2021, put the corresponding goals into operation. Where these goals are relevant for the NFR, they are mentioned in the relevant sections.

BayernLB also published its Group-wide Guiding Principles for Transformation externally. These set out its position on important current challenges and formulate its corporate values, overarching ethics, environmental and social standards and its stance on controversial issues and sectors (including armaments, coal, nuclear power, oil & gas, forest, foodstuffs and gambling). DKB also revised the key strategic pillars of its sustainability strategy in 2021, published them at the start of 2022 and issued principles of investment and finance to take account of these changes. BayernInvest also has publicly available guidelines on sustainable and responsible investing.

These ensure that BayernLB takes sufficient account of the non-financial aspects that are material for it in its banking products and services.

The risks related to non-financial aspects material for BayernLB that mainly arise in the business relationships, products and services are thus minimised by the full range of measures described in this section. This functioning risk management system covers risks related to all HGB aspects material for BayernLB.

Sustainable products and services

BayernLB seizes opportunities for actively promoting environmentally responsible developments such as the climate-friendly restructuring of the energy supply or social projects by means of suitable products and services, thereby opening up business potential. Each Group company's specific contribution in this regard is based on its own business model.

The following overview shows BayernLB's Mission Statement and the goals derived from it pursued by the units at BayernLB Bank, DKB, BayernInvest and Real I.S., as well as selected initiatives and examples of products from the reporting year.

BayernLB Bank – "Financing progress" ***Committed to sustainability***	
Goals	• Significantly increase portfolio share of ESG-compliant financing by 2023 • Further pursue the climate protection strategy and long-term climate neutrality in business operations • Climate-neutral portfolio by 2050.
Initiatives (2022)	• Provide internal ESG training courses, with the modules "ESG Basics", "Sustainability risks", "Business transformation" and "Diversity" for all employees • Implement training courses on ESG sales pitches for relationship managers • Obtain certification of over 40 employees from Corporates & Markets by the Frankfurt School of Finance as "Certified Expert in Sustainable Finance" • Update the Sustainability Strategy • Refine the ESG assessment to identify sustainability risks and the impacts of financing for certain non-financial aspects (e.g. by integrating the EU regulations on sustainable finance) • Continue the interdisciplinary ESG project "Sustainability" to implement the regulatory and market requirements in the Group • Expand sales of ESG products in the market areas by means of the Sustainable Finance Initiative - support (potential) customers by providing funding for the transformation of their business models, processes and products within the framework of decarbonisation - refine the sustainable product and service range across the entire value chain, including under the 360° Real Estate approach; concluding several sustainable flagship transactions - expand BayernLB's positioning as a centre of expertise for sustainable finance • Publish the Sustainable Lending Framework • Expand the Sustainable Financing Framework to include the rail and real estate segments for issuing green bonds and green commercial paper • Collaborate further in various working groups and initiatives, such as ECORE and vdp Green Finance

Examples of products (from 2022)[1]	• Corporate Schuldschein note loans, e.g.: - Joint lead arranger and ESG advisor for ESG-linked SSD for JOST Werke AG (EUR 130 million, tenor: 3, 5 and 7 years) • Corporate loans, e.g.: - ESG coordinator and sole lender for corporate green loan to Snam S.p.A. - ESG coordinator, underwriter, MLA, bookrunner and documentation & facility agent for ESG-linked loan to Vynova Holding S.A. • Project finance, e.g.: - Global green coordinator, MLA, bookrunner, original lender and hedging bank for green loan to Tages Capital (alternative infrastructure fund) • Real estate green loans, e.g.: - Sole lead arranger and lender for green loan to La Française REM for acquisition of the “Alphabet” office building near Paris - Sole lead arranger and lender for green loan of EUR 66 million for Vercelli DC 1 SpA (tenor: 5 years) - Sole lead arranger and lender for green loan of EUR 60 million to PERIAL AM for acquisition of the “NEST” office building near Paris (tenor: 5 years) • Green & social bonds, joint lead manager, e.g. for: - First green Pfandbrief issue for DZ Hyp AG (EUR 1 billion, tenor: 7.7 years) and Slovenská sporiteľňa (EUR 500 million, tenor: 5.5 years) - Green bond senior preferred issue for HYPO Niederösterreich (EUR 500 million, tenor: 3 years) - Social housing issue for DKB (EUR 500 million, tenor: 10 years) - Green bond issues for ING DiBa (EUR 1.0 billion, tenor: 8 years) and NordLB (EUR 500 million, tenor: 5 years) - BayernLB green rail bond issue (EUR 500 million, tenor: 10 years), BayernLB green bond issue (EUR 500 million, tenor: 5 years) and first green mortgage Pfandbrief of BayernLB (EUR 500 million, tenor: 5 years) • Sustainable funds: Exclusive distributor for the renewable energy funds “Encavis Infrastructure Fund II (EIF II)” (EUR 480 million) and “Encavis Infratstructure Fund IV (EIF IV)” (target volume: EUR 500 million) • BayernLabo[2]: Subsidised housing in the Free State of Bavaria; municipal loans and own development programmes in areas such as barrier-free access and energy-efficiency improvements for buildings • BayernLabo: Refinement of the existing programmes “Modernisation of Buildings of Condominium Owners' Associations”, “Bavarian Modernisation Programme”, and “Creation of energy-efficient rental housing”, with the “Federal Subsidy for Energy-efficient Buildings” as an added component; this combines the criteria for social (housing) subsidies with energy efficiency requirements in the future

1 Some of the products cited here were listed in their own table in previous publications. This table was removed in light of the disclosures pursuant to Article 8 of the EU Taxonomy Regulation.

2 Body charged with implementing government housing policy, a municipal and development bank for the Free State of Bavaria (see “Foundations of the BayernLB Group – Business model and Group strategy” section in the combined management report).

DKB – “Das kann Bank” – #geldverbesserer ***“Blue sustainability” for financial strength and ethical conduct***	
Goals	• By 2030: increase the share of the portfolio that contributes to the SDGs (sustainable development goals) to 85% • Further expand position as the most sustainable of the top 20 banks in Germany • By 2040: bring the entire product portfolio in line with the 1.5° target set under the Paris Agreement on climate change • By 2027: significantly increase the ratio of women at the first two levels of management
Initiatives (2022)	• Joining the Corporate Digital Responsibility Initiative • Basic training on sustainable finance for employees
Examples of products (from 2022)[1]	• New sustainable loan for condominium owners' associations (grants an interest rate reduction for project financings with an environmental or social impact) • Issue of the first Berlin Social Housing Bond (funds social/municipal housing construction in the fraught Berlin housing market) • Launch of the donation platform Herzenswunsch for non-profit projects run by commercial customers

1 Some of the products cited here were listed in their own table in previous publications. This table was removed in light of the disclosures pursuant to Article 8 of the EU Taxonomy Regulation.

BayernInvest – “We make sustainability profitable. And profitability sustainable.” ***ESG integration in the investment process and gradual development of the product and reporting landscape for asset management and investment company services***	
Goals	• Operational climate neutrality by 2022 by offsetting unavoidable emissions • All retail funds under management in line with the Paris Agreement climate targets by 2025 • Annual reporting in accordance with the UN GC and TCFD, and as part of the PRI membership • Improvement of data quality and quantity for sustainability-related publications • Continual refinement of the ESG investment strategy • Continued compliance with the sustainability regulations (Disclosure Regulation (OffenlegungsVO), SFDR and MIFID II), which play a crucial role in product development, customer communications and reporting • Active engagement in investments in listed companies • Account-taking of the principal adverse impacts (PAI) for sustainability factors
Initiatives (2022)	• Renew CDP membership • Support the Green Recovery Alliance • Become signatory of the UN GC • Become signatory of the Charta der Vielfalt (Diversity Charter)
Examples of products (from 2022)	• Sustainability advisory services aimed at improving the portfolio quality and aligning it with regulatory requirements • Various funds which were awarded the Forum for Sustainable Investments (FNG) label • Sustainable products in the area of alternative development

Real I.S. – “Where real estate meets the future” *We want to create added value for society and the environment*	
Goals	• Climate neutrality at Real I.S. (as a company, excluding the real estate portfolio) by 2030 by offsetting unavoidable emissions • Climate-neutral real estate portfolio by 2050 (in accordance with the Paris climate pathway)
Initiatives (2022)	• Publication of the first Sustainability Report, incl. the first UN GC Communication on Progress (COP) Statement • Launch of a central platform to record and analyse consumption data • Involvement in the development of the ECORE ESG assessment standard for real estate • Analysis of the energy performance of the real estate portfolio and examination of the properties to ensure they comply with the 1.5° Paris climate pathway • Development of standardised green lease clauses as a basis for negotiation for new leases • Use of innovative technology (e.g. artificial intelligence) to reduce greenhouse gas emissions from properties in the Real I.S. portfolio
Examples of products (from 2022)	• Strategy for integrating the principal adverse impacts (PAI) for sustainability factors pursuant to the SDFR in Art. 8 Funds and its application for the open-ended retail real estate fund REALISINVEST EUROPA as from June 2022 (other funds to follow in 2023) • Use of external scoring systems for the ESG assessment of selected properties (GRESB and ECORE)

Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as at 31 December 2022

The EU Taxonomy Regulation (Regulation (EU) 2020/852), one of the key measures in the European Commission’s action plan for sustainable growth, came into effect on 12 July 2020. The objective of this action plan is to steer capital flows towards ecologically sustainable activities. The EU Taxonomy Regulation is supplemented by the delegated ordinance on climate goals (Delegated Ordinance (EU) 2021/2139 dated 4 June 2021) and the delegated ordinance on disclosure obligations (Delegated Ordinance (EU) 2021/2178 dated 6 July 2021).

This means that the companies concerned will address the manner and extent to which their activities are linked to economic activities that can be classified as ecologically sustainable in their non-financial reporting disclosures. With regard to gas and nuclear energy activities, which are also listed in the environmentally sustainable economic activities covered by EU Taxonomy, please see the Group-wide Guiding Principles for Transformation. Further information on the business strategy, products and customers in the context of sustainability can be found in the other sections of the non-financial report in the “Strategic focus and objectives” and “Sustainability and combined separate non-financial report” sections.

Credit institutions will initially benefit from a facilitation in financial years 2021 and 2022 with regard to their reporting obligations. To classify the taxonomy-eligible total assets, the share of taxonomy-eligible business (indicator 1) must first be reported. Pursuant to the EU taxonomy guidelines, the regulatory scope in accordance with CRR is used as a basis for the calculation, and the sum of the total gross carrying amounts is determined in line with IFRS guidelines. From the reporting date of 31 December 2023 onwards it will be necessary to produce more comprehensive reporting, including the proportion of business that is taxonomy-aligned (the green asset ratio).

Besides the type of asset being considered, the determination of taxonomy eligibility is dependent on the type of counterparty and differentiated by non-financial entities, financial entities, public authorities and private households.

If a counterparty is a non-financial entity, it is considered in indicator 1 in accordance with the EU Taxonomy Regulation to determine the proportion of taxonomy-eligible business in the following cases:
a) Assets (green bonds) if they comply with the reporting obligations set out in Article 7(4) of the Delegated Regulation (EU) 2021/2178) dated 6 July 2021 according to the classification of their defined purpose;
b) Counterparties subject to a non-financial reporting obligation (NFRD obligation).

The taxonomy eligibility of the relevant positions in respect of financial and non-financial entities is determined using the latest EU taxonomy-eligible ratios published by the respective counterparties. To ensure consistency with the future procedure for calculating the green asset ratio for non-financial entities, the Bank takes account of the taxonomy-eligible revenue ratio and the taxonomy-eligible capital expenditure (capex) ratio. The taxonomy-eligible positions with respect to the other counterparties (financial corporations, households and local governments) are included on an equal basis in both ratios shown (revenue-based and capex-based). The Bank waived an audit of the assets with respect to non-financial entities regarding the use of proceeds, in view of materiality as at the reporting date.

The share of taxonomy-eligible positions (indicator 1) also includes loans to private households secured by residential real estate, building refurbishment loans and car financing to private households, as well as relevant loans to public authorities at local and regional level (including under federal and state development programmes).

The share of non-taxonomy eligible positions (indicator 2) includes the share of positions which can be included in the numerator of the green asset ratio in the future, but are not taxonomy-eligible for the limited reporting in 2022.

The total gross carrying amount amounted to EUR 260.5 billion (denominator of the indicators).

The indicators below, to be reported pursuant to Article 8 of the EU Taxonomy Regulation, stood as follows as at 31 December 2022:

Indicators to be reported pursuant to Article 8 of the EU Taxonomy Regulation as at 31 December 2022

No.		Revenue-based	Capex-based
1	Share of exposures eligible for taxonomy	10.5%	10.8%
2	Share of exposures not eligible for taxonomy[1]	26.7%	26.5%
3	Share of exposures to central governments, central banks and supranational issuers	17.8%	
4	Share of derivatives[2]	0.1%	
5	Share of exposures to customers not subject to an obligation under NFRD	38.3%	
6	Share of trading portfolio	4.4%	
7	Share of interbank loans that can be called up as required	0.9%	

1 Also includes the share of financial corporations not subject to an obligation under NFRD.
2 Proportion of derivatives not classified as HfT under IFRS (hedge accounting).

The narrow methodological specifications of the EU Taxonomy for determining positions eligible for taxonomy (indicator 1), one of these being the restriction to positions vis-à-vis customers subject to an obligation under the NFRD, mean that BayernLB's sustainable financings for purposes such as renewable energy and sustainable mobility are for the most part not included in indicator 1.

Reputational risk, sustainability and environmental management

BayernLB has assigned the topics of reputational risk management (including the functions of Central Reputational Risk Management (CRRM)) and sustainability/environmental management organisationally to the Corporate Sustainability & Responsibility Department in the Group Compliance and Sustainability Division. The Chief Sustainability Officer reports directly to the CEO.

The topic of sustainability has an important place in the transformation of the BayernLB Group's business model. In 2020, the Bank's committees and boards adopted a Mission Statement and Group Strategy and also issued a new set of sustainability guidelines which, in accordance with the uniform Group management requirements, govern the collaboration between the sustainability units in the institutions within the Group (and form part of the Group-wide internal control system).

Reputational risk within the BayernLB Group is managed through a dedicated management system containing, among other things, a (Group and Bank) strategy, processes, various topic-specific policies (see Guiding Principles for Transformation), and the definition of tasks and competencies for employees and other reputational risk-specific roles.

Definition of reputational risk within the BayernLB Group

"Protecting BayernLB's good reputation and thus its management is a joint responsibility of all BayernLB Group employees. BayernLB's reputation can be affected and possibly impaired by almost everything we do, whether by concluding a transaction or signing an agreement on behalf of BayernLB or by making an ill-considered comment in the social networks."

"Active reputational risk management covers all processes relating to the identification, assessment/classification, reporting and management of reputational risks and, if necessary, the initiation or monitoring of measures/actions to eliminate or reduce the causes of reputational risks, the monitoring of the implementation of measures, and reporting."

The Corporate Sustainability & Responsibility Department is involved in assessing and managing event and transaction-based matters so as to manage any given situation under sustainability and reputational risk aspects. Transactions include all types of business activities and relationships along the Group's value chain (set out in an internal Group-wide framework instruction). This department must be consulted in all matters that potentially fall within the scope of current ESG standards and policies related to environmental and social topics and/or which potentially could give rise to social or environmental risks, as well as all events and processes that pose a medium or high reputational risk. To carry out its duties, the Board of Management has delegated it the right to prohibit activities or to grant approval, but subject to defined conditions.

The ESG assessment has been developed at BayernLB Bank as a tool for assessing sustainability risks and benefits for customers and transactions. This IT-supported tool forms the basis for portfolio management from a sustainability perspective and is being successively expanded, partly on the basis of current regulatory requirements (including the EU Taxonomy Regulation) and business strategy aspects.

It consists of three modules with different underlying questions:

- ESG risk: do environmental, social or governance issues arise that have a negative impact on a customer's ability to service its debts, or on their probability of default or creditworthiness?
- ESG impact: what are the demonstrable sustainability benefits of the financing transaction?
- RepRisk: does the transaction give rise to a potential reputational risk in terms of ESG risks?

The Sustainability Guidelines outline the following ecological, social and governance-related (ESG) topics, which pertain to both business operations and business activities that could give rise to sustainability and reputational risks:

Sustainability Guidelines

- Environment, e.g.
  - climate and environmental protection, e.g. protection of human habitats and the habitats of plants and animals
  - protection of species and ecosystems such as designated nature conservation areas
  - conservation of natural resources
  - sustainable use of land
  - transition to a circular economy aided by waste prevention and recycling, and to energy-saving production

- Social, e.g.
  - protection of human rights/non-discrimination
  - protection of civil rights, e.g. freedom of speech and the press
  - protection of labour rights and the upholding of fair terms and conditions of employment at organisations and their suppliers and service providers, e.g. with regard to health, job security, diversity and opportunities for career growth and training
  - prohibition of forced labour and exploitative child labour
  - protection of indigenous peoples, e.g. prevention of displacement, forced resettlement and land grab
  - fair treatment of customers, responsibility for products and consumer protection
  - sufficient product safety and health protection
  - reinforcement of the social infrastructure

- Governance (transparent & correct organisational leadership), e.g.
  - legal compliance & observance of internal rules regarding organisational leadership and control
  - heeding of embargoes and sanctions
  - heeding of payment transaction restrictions
  - prevention of white-collar crime, corruption and the financing of terrorism
  - combating money laundering
  - tax compliance
  - facilitation of whistle-blowing
  - data protection and IT security (cyber security)
  - promotion of sustainable and foresighted company models and customer groups

The above Guidelines thus also cover the aspects that are material for BayernLB under HGB. The implementation of these requirements is set out in detail in BayernLB's Sustainability Report according to GRI.

The CRRM also conducts a reputational risk inventory every year, both at BayernLB and the relevant Group companies. This means that CRRM's findings relating to the estimation of risks pursuant to HGB can be incorporated into the non-financial report.

CRRM gave its approval to the above matters and transactions, in some instances subject to certain conditions. Furthermore, CRRM, Sustainability Management, the Compliance function or the functional unit itself declined to approve some matters, e.g. due to governance requirements, such as the above Guiding Principles for Transformation in particular.

Other documents, besides the Guiding Principles for Transformation, are of major importance for sustainability management. This is first of all the Group-wide Sustainability and Environmental Policy, which the Group units DKB and BayernInvest have also adopted or published themselves. All documentation is published on their respective websites. To operationalise its Sustainability and Environmental Policy and Sustainability Strategy, BayernLB Bank has implemented a Sustainability Programme which details all goals and measures (including goal attainment deadlines) for each relevant topic area and is a key tool for making further improvements to BayernLB's sustainability performance. The new Sustainability Programme as from 2021 was published at the end of 2021, for the first time also integrating the goals and measures from the now superseded Environmental Programme. Ongoing reporting on this area is carried out in the Sustainability Report according to GRI.

The Corporate Sustainability & Responsibility Department is responsible for the design of the environmental management system validated in line with the Eco Management and Audit Scheme (EMAS) and certified to international standard ISO 14001, which covers large parts of the Group.

These sustainability activities help reduce the relevant risks, which are classed as low in the case of social and environmental issues with a bearing on the BayernLB Group's business operations.

HR management

Human resources development and policy

The BayernLB Group's employees play a key role in BayernLB's strategic direction. The foundations of human resources (HR) policy and employee management are defined in various principles and guidelines:

Principles/guidelines	Content
Chapter in the Code of Conduct	• "Individual rights and protection from discrimination"
	• "Responsibility for employees"
Policy on cooperative conduct, protection against sexual harassment, bullying and discrimination	• Principles governing interaction between women and men
German General Act on Equal Treatment (Allgemeines Gleichstellungsgesetz (AGG))	• Transposition of EU directives on the implementation of the principle of equal treatment (no discrimination on the grounds of race or ethnic origin, gender, religion or belief, disability, age or sexual orientation)

The BayernLB Group's headcount changed over the year as follows:

Headcount	BayernLB Group FY 2022	Of which BayernLB FY 2022	Of which DKB FY 2022	BayernLB Group FY 2021	Of which BayernLB FY 2021	Of which DKB FY 2021
Number of active employees	8,491	2,904	5,134	8,481	3,108	4,910
Of which women	4,285	1,355	2,751	4,264	1,442	2,630
Of which men	4,214	1,549	2,383	4,217	1,666	2,280
Of which in Germany	8,344	2,756	5,134	8,320	2,955	4,910
Of which abroad	155	148	–	161	153	–
Of which full-time	6,335	2,086	3,908	6,366	2,247	3,761
Of which part-time	2,164	818	1,226	2,115	861	1,149
Average age (in years)	43.8	45.9	42.8	43.7	45.6	42.7

Although the workforce contains almost equal numbers of men and women, the same is not yet true of management roles (see table below). BayernLB has set itself a target to increase the number of women in management positions to 30 percent in the medium term up to 2024 (see Sustainability Programme as from 2021). BayernLB has initiated a number of targeted development measures that are reported on in detail in the Sustainability Report according to GRI. This includes regular participation in the cross-mentoring programme and the #Fortschrittsfrauen network in a variety of formats (e.g. dialogue with the Board of Management, professional exchange formats and mentoring within the network). Seventeen of the 24 talents in the current cohort for 2022/2023 are women.

DKB is also taking steps to further equalise the ratio of women and men in management positions in the company. The DKB network for women in management was also strengthened further in the year under review. This provides a platform for networking, new incentives and greater visibility in the company. A systematic approach to talent management will also help identify and encourage potential candidates for management positions in a more equitable ratio of women to men. DKB has in addition run its remuneration structures through a fair pay gap analysis and developed measures for this. DKB will therefore continue to specifically promote and expand its structures in terms of diversity, freedom from prejudice and equality of opportunity to close the pay gap and increase the number of women in the individual management levels. For more detailed information, see DKB's sustainability strategy.

Management position: female headcount	BayernLB Group FY 2022	BayernLB FY 2022	DKB FY 2022	BayernLB Group FY 2021	BayernLB FY 2021	DKB FY 2021
1st management level[1]	15.4%	0.0%	18.8%	16.0%	0.0%	20.0%
All other management levels	34.7%	29.0%	38.7%	32.6%	26.2%	36.8%

1 1st management level = Board of Management/business management.

BayernLB's Supervisory Board comprises eleven members (DKB: 16), three of whom are women (DKB: six). This means that women account for a 27.3 percent share (DKB: 37.5 percent).

A key tool of staff management and development is the development and performance dialogue. This tool promotes an open and constructive development dialogue between managers and employees and ensures they have a common focus. It governs the systematic transformation of the objectives derived from the Bank's business strategy and risk culture to employee level. Based on their objectives agreements reached at the beginning of the year, all employees are given annual feedback in their appraisal on the degree to which they achieved their objectives as well as guidance to enable them to determine where they currently stand in terms of reaching their career and personal development objectives. Individual development planning highlights prospects and areas for development.

With the help of a budget set aside for professional development, BayernLB offers a range of training and qualification programmes for this purpose. This helps employees achieve and implement the individually tailored objectives agreed in the development and performance dialogue. Employees can choose from an increasing range of virtual and on-demand options for training and gaining qualifications (e.g. the Digital Academy, ESG training course and the Bookboon eLibrary).

Professional development budget

Professional development	BayernLB Group FY 2022	Of which BayernLB FY 2022	Of which DKB FY 2022	BayernLB Group FY 2021	Of which BayernLB FY 2021	Of which DKB FY 2021
Training budget[1]	EUR 5.7 m	EUR 1.4 m	EUR 3.8 m	EUR 5.5 m	EUR 1.8 m	EUR 3.4 m

1 BayernLB's budget for professional development also includes the budget for the foreign branches. DKB's budget for professional development also includes the budget for DKB Service GmbH and Bayern Card Service GmbH.

Health management

As in previous years, the BayernLB Group is still striving to successfully maintain and promote its employees' health.

Code of Conduct

"It is essential that occupational health and safety regulations are observed by all employees. It is one of the management duties of BayernLB to provide a healthy and hazard-free working environment. [...] In turn, we expect that our employees take a responsible approach to their health and fitness."

The Bank has an integrated health management system. This includes company doctors, nurses and human resources managers specialised in health management. They work closely with the Staff Council, the occupational health and safety expert, BayernLB's sports club and the nutritional specialists of the company canteen. There is also an occupational safety committee in accordance with occupational safety law, which supports the monitoring of occupational health and safety programmes and also has an advisory role. Representatives from the Staff Council and therefore the workforce sit on the committee. There are no indications of relevant (mainly health-related) risks in the area of occupational health and safety.

Health rates

Health	BayernLB Group FY 2022	BayernLB FY 2022	DKB FY 2022	BayernLB Group FY 2021	BayernLB FY 2021	DKB FY 2021
Health rate[1]	95.3%	95.3%	95.1%	96.6%	96.8%	96.4%

1 100% less ratio of absences due to illness (with and without continued payment of salary, regardless of insurance status) to planned working days.

To prevent "typical" health problems associated with activities performed mainly while sitting at computer workstations, the health and safety officers pay attention to the ergonomic design of workstations. As part of its healthcare management the Bank also offers its employees opportunities for sports activities and holds regular Health Days, focusing on topics such as exercise and a healthy diet.

Given the challenges of a hybrid working day where the place of work shifts between the office and the home, employees' mental health is becoming increasingly important. At the start of 2022, the health management team provided employees with access to the Phileo health app, which has useful information and tips on mindfulness, resilience, working from home, stress management, restful sleep, healthy nutrition, relaxation and a whole lot more.

BayernLB offers comprehensive support for mental health issues like stress and burnout, in part by providing extensive information on the intranet and holding seminars for employees and managers. In addition, the Bank has also successfully implemented an operational integration management programme (Betriebliches Eingliederungsmanagement (BEM)) pursuant to section 84 (2) of the German Social Code (Sozialgesetzbuch (SGB)) IX, under which its employees can request professional support when reintegrating after a long illness.

DKB also takes preventative healthcare and health promotion for its employees seriously. DKB's health management is externally audited every two years and regularly receives top marks, e.g. it was once again rated as excellent in the 2022 Corporate Health Audit and was also an award winner in the Finance sector.

BayernInvest gives its staff the opportunity to take part in BayernLB's preventative health measures such as the Health Days.

Challenges and opportunities

For more information on the "Fokus 2024" transformation programme, refer to the "Foundations of the BayernLB Group – Business model and Group strategy" section in the combined management report. Details on the reduction of the workforce can be found in the section on the BayernLB Group's business performance in the report on the economic position. For details on how knowledge is transferred, see the "Foundations of the BayernLB Group – Human resources" section in the combined management report.

There is also information (including figures) in the notes to the BayernLB Group's 2022 financial statements on gains or losses on restructuring and restructuring provisions. In other words, the information here relates to the consolidated financial statements.

Under its strategic realignment, BayernLB Bank decided at the end of 2019 to substantially reduce the size of its workforce. The reduction of around 940 FTEs has been reported on in detail in recent years. The measures for securing employment and downsizing and restructuring the workforce in a socially responsible manner, which were mutually agreed with the General Staff Council, continued to be well received by employees in 2022. Under the familiar framework conditions (no dismissals on operational grounds until autumn 2022, and the use of human resources tools (including severance, pre-retirement, partial retirement, early retirement and training to take on other types of tasks and new placements)), the Bank was able to successfully conclude the staff reductions under Fokus 2024 on 30 September 2022, when the agreements on the human resources instruments expired. A total of around 90 percent of the agreed staff reductions were contractually fixed using the potential lead time and setting a termination date that was as late as possible in autumn 2023. The remaining shortfall in reductions will be made up by natural turnover and by maintaining the restrictive policy on recruiting from outside the organisation.

As was the case in previous years, this was therefore a matter of concern to employees, i.e. a significant number were at risk of losing their job. By agreeing the above wide-ranging provisions with the staff representative bodies this risk has, however, been mitigated. In particular, all workforce reduction measures were made subject to bilateral consent (of the employee and the Bank). Therefore, from this perspective there are no serious risks for the employees, nor are any expected.

The Fokus 2024 transformation programme has been implemented hand in hand with robust change measures, in particular to safeguard operational stability and keep BayernLB's remaining employees motivated. With the staff reductions having been carried out, the challenge now is to prevent staff from overworking or being overwhelmed. The Bank is therefore encouraging a targeted transfer of knowledge to the remaining employees. It has also made extensive checklists and aids available on the intranet and the issues have been integrated into Board of Management communications and the development and performance dialogue. In addition, it is examining in depth how to optimise tasks and processes. The whole workforce is involved through regular "pulse checks" to evaluate and assess the individual steps in the transformation process. The findings from these are used to draw up measures to make improvements. The divisions are provided with extensive support in the form of change workshops to help them make changes to their operations as part of the strategy to create a streamlined specialised bank. The Bank is systematically working on and implementing topics with importance for the future, such as expanding digital and agile expertise. Employees and management receive ongoing training to build up this expertise, which will be critical for the Bank's success.

BayernLB also launched other initiatives in 2022 to boost its attractiveness as an employer and improve work-life balance. This includes the pilot of workation in selected countries, the possibility of co-leadership (management positions being held by two part-time staff members) and continuing BayernLB's internal management development programme (Leadership Academy), with new learning pathways (e.g. hybrid leadership, inclusive leadership, change management, empowerment of teams and an error culture).

Besides the implementation of the Group-wide Fokus 2024 transformation programme, one of the main challenges in the first half of 2022 continued to be managing the effects of the Covid-19 pandemic. Subsequently, the familiar hygiene measures were sharply scaled down while keeping the home working plan in place.

Human resources management helps reduce HGB-related risks in the area of employee-related matters primarily by introducing measures to improve the balance between family and work life, encourage equality and continuously promote the health, skills and professional and personal development of employees. At the same time it is responsible for structuring the salary, bonus and pension systems.

Another risk is that the remuneration system might encourage inappropriate risk conduct in certain circumstances. To manage this particular risk, the BayernLB (Bank/Group) Remuneration Strategy and Guidelines specify in detail the requirements under the Remuneration Regulation for Institutions (Institutsvergütungsverordnung) stipulating appropriate remuneration and defining it for BayernLB. BayernLB and DKB provide detailed information on this matter in their respective remuneration reports. During the course of the year, at both DKB and BayernLB the relevant documentation demonstrating the suitability of the remuneration system is presented to a compensation committee that meets on several occasions.

The requirements of the Code of Conduct and the works and staff councils in many organisational units and levels are just some of the systems in place to counter the risk of employees' fundamental human rights such as the right of assembly being infringed. Other risks arise from the national features of employment law. These are specifically monitored by the above-mentioned risk instruments.

Compliance management system

Compliance with rules, regulations and standards is standard practice for BayernLB and taken very seriously. In order to stay up to date with the constantly evolving requirements and any changes in the risk situation, BayernLB continuously reviews its risk and compliance management system. The Compliance Division has the key tasks of preventing, monitoring and penalising breaches of the rules and promoting a uniform understanding of values and integrity. The goal of the compliance management system is to safeguard and ensure the reliability of BayernLB's market presence, which is based on compliance with statutory and regulatory requirements, and to protect it against illegal activities. Besides fighting money laundering, white-collar crime and the financing of terrorism, its remit also includes combating corruption and bribery. It regularly reports to the Board of Management and the Audit Committee of the Supervisory Board on the relevant issues by means of the annual integrated compliance report. The independent Compliance function is considered to be a trustworthy and fair point of contact, both inside and outside the Bank. A whistleblowing system has also been instituted.

Group companies and foreign branch offices each have their own compliance units.

Code of Conduct

BayernLB and its employees regard acting lawfully, ethically and responsibly as an elementary and indispensable part of their personal, corporate and social responsibilities.

BayernLB's Code of Conduct is a key component of its compliance culture. It serves as a set of standards for day-to-day activities and lists the most important legal and social requirements, e.g. in relation to inside knowledge, competition law, intellectual property protection, data protection, confidentiality and information security, responsibility for employees, individual rights and protection from discrimination, transparent (internal and external) communication, managing conflicts of interest, sustainability and ethics, social responsibility and a risk and compliance culture. The rules formulated in the Code of Conduct are necessary minimum standards in the BayernLB Group. They apply to internal relationships and to dealing with all stakeholder groups relevant for BayernLB. All BayernLB's business areas, all employees and the members of the Board of Management and Supervisory Board must observe the Code of Conduct. New members of staff are given the Code of Conduct when they take up their position. It is also published on BayernLB's website and serves as a template for the codes of conduct of the Group units.

The Code of Conduct is supplemented by guidelines such as the leadership compass, the Sustainability and Environmental Policy, which are also for the most part publicly available, and by internal regulations, for issues such as equal treatment and managing conflicts of interest (outside of the German Securities Trading Act), including the "Regulations on accepting and granting benefits (particularly gifts and invitations)". These are implemented in the respective Group units in line with their business model and local needs. DKB, BayernInvest and Real I.S. also publish relevant sustainability-related guidelines on their websites.

The Code of Conduct is also an important component of BayernLB's "risk culture" principles. The risk culture has equal standing with BayernLB's business and corporate values and describes how risk awareness and conduct are put into in practice at BayernLB.

Managing conflicts of interest

For managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)), a Group guideline is in place specifically for this purpose and which is implemented in each of the relevant subsidiaries with their own rules and regulations. At BayernLB Bank, an internal instruction "Managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG))" governs identifying and handling conflicts of interest and measures to avoid them where possible. To appropriately deal with (potential) conflicts of interest, a multi-stage procedure is followed that may ultimately mean the Bank not conducting particular transactions or business.

An office of evidence has been set up to identify and manage conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)). This investigates and evaluates conflicts of interest and decides, together with the units concerned, on necessary measures and consequences. The office also documents key circumstances that can cause a conflict of interest in a conflicts of interest catalogue. A conflict of interest arises when there is a risk that the capacity for professional judgement or action could be compromised by one or more interests.

BayernLB's Corporate Governance Principles and the Statutes of Bayerische Landesbank also provide for the abstention of Board of Management members in respect of decisions affecting them or related parties.

Furthermore, at BayernLB all secondary professional activities must be approved in writing by the employer based on specific assessment criteria.

In accordance with the “Guidelines for personal transactions” which are embedded in all relevant Group units, employees may not, for example, buy or sell securities they deal with professionally, in line with the prohibitions and rules contained therein. Furthermore, employees’ personal transactions may not be in conflict with the interests of customers or the Bank. In addition to requirements under criminal and tax law that must be observed, the internal instruction “Regulations on accepting and granting benefits (particularly gifts and invitations)” provides employees with a code of conduct and support for dealing with the acceptance and granting of gifts and invitations (see also “Combating corruption and bribery”).

Combating corruption and bribery

One of the key objectives of BayernLB’s compliance management system is combating corruption, bribery and other criminal offences in all locations and subsidiaries. Compliance with the relevant standards ensures legal or regulatory sanctions and loss of reputation can be avoided. At the BayernLB Group, various measures related to this issue have been implemented.

For example, the written organisational rules enshrine the principle that the Group may not enter into any business relationship with persons who have been legally convicted of corruption or with companies managed by such persons.

The “Regulations on accepting and granting benefits (particularly gifts and invitations)” make it clear that any gifts, invitations or benefits which could limit the personal independence of the recipient or raise doubts among the public about the integrity of BayernLB or the recipient are not permitted. Donations and sponsorship are also subject to clear rules and must be strictly separated from each other. Appropriate measures are set out in the rules for pricing and new lending.

Mandatory, regular training courses for all employees (in accordance with the risk-oriented cycle) deal with the relevant regulations and conduct in the fight against corruption. Examples are used to illustrate how to recognise corruption and conduct/events that are out of the ordinary. The options available under the existing whistleblowing system are also discussed.

New employees and temporary staff are subjected to an intensive screening process, including submission of a police clearance certificate. All employees are tested on their knowledge of unethical conduct and breach of duty every year.

The Group-wide review and monitoring of all compliance risks is carried out by the respective compliance units. Based on regular risk analyses, these draw up appropriate precautionary measures to combat white-collar crime, corruption and bribery and report on their effectiveness and any events on an ad hoc basis and annually to the Audit Committee of BayernLB’s Supervisory Board.

All-in-all, so far as the aspect “corruption and bribery” is concerned, no risks were identified in the business activities of the BayernLB Group that are notifiable under HGB. During the reporting period no violations of the law relating to corruption at or by BayernLB were identified by the courts.

MaRisk compliance risk identification

Pursuant to MaRisk, the MaRisk compliance function is responsible for identifying and analysing material legal rules and requirements (standards) pertaining to risk where a breach would put the institution's assets in jeopardy. BayernLB defines compliance risk as follows:

Definition of compliance risk within the BayernLB Group

> "Compliance risk includes the risk that the Bank will incur losses as a result of non-compliance with applicable legal regulations. This does not include breaches of contractual arrangements or internal rules. Compliance risk is characterised as a breach of duty or omission that results in sanctions, particularly in the form of fines or compensation claims. Legal, tax law and conduct risk do not fall under compliance risk."

BayernLB's MaRisk compliance function conducts a risk analysis at regular intervals (usually once a year) to determine the legal rules and regulations that are material to the institution. The materiality of these standards is based on whether non-compliance with them could put BayernLB's assets at risk. In the annual compliance report, the MaRisk compliance function goes into more detail about the respective appropriateness and effectiveness.

To identify risks both to BayernLB itself and to "third parties" such as the environment, employees or other persons, the risk survey by Group Compliance and the annual risk inventory by Reputational Risk Management mentioned above are therefore used as a basis for the NFR. To classify the size of the loss for "third parties", the Bank developed its own criteria, which take into account the special intention of HGB that the company reflects the extent to which it creates potential risks on non-financial aspects. These aspects include the number of people affected and the reversibility of potential losses.

Overarching control mechanisms

Besides the usual control mechanisms for financial institutions (Supervisory Board, Board of Management decisions based on the four-eyes principle, etc.), BayernLB as a public-sector institution is subject to the legal supervision of the Bavarian Ministry of Finance and Regional Identity (supervisory authority). The supervisory authority has extensive rights to information and regularly participates in General Meetings and Supervisory Board meetings. It can lay down all necessary regulations to ensure that BayernLB's business operations meet the laws, articles of incorporation and other statutory requirements.

By law, BayernLB is subject to ad hoc auditing by the Bavarian High Court of Auditors. Such audits may cover compliance with the regulations and principles governing business management, i.e. amongst other things whether management has acted economically and frugally.

All monitoring functions mentioned in the report ensure overall that HGB-relevant aspects are given special consideration.

Independent Practitioner’s Report on a Limited Assurance Engagement on Non-financial Reporting[52]

To Bayerische Landesbank Anstalt des öffentlichen Rechts, München

We have performed a limited assurance engagement on the combined separate non-financial report of Bayerische Landesbank Anstalt des öffentlichen Rechts, München, (hereinafter the “Company”) for the period from 1 January to 31 December 2022 (hereinafter the “Combined Separate Non-financial Report”).

Not subject to our assurance engagement are the external sources of documentation or expert opinions mentioned in the Combined Separate Non-financial Report.

Responsibility of the Executive Directors

The executive directors of the Company are responsible for the preparation of the Combined Separate Non-financial Report in accordance with §§ (Articles) 315c in conjunction with 289c to 289e HGB (“Handelsgesetzbuch”: “German Commercial Code”) and Article 8 of REGULATION (EU) 2020/852 OF THE EUROPEAN PARLIAMENT AND OF THE COUNCIL of 18. June 2020 on establishing a framework to facilitate sustainable investment and amending Regulation (EU) 2019/2088 (hereinafter the “EU Taxonomy Regulation”) and the Delegated Acts adopted thereunder, as well as for making their own interpretation of the wording and terms contained in the EU Taxonomy Regulation and the Delegated Acts adopted thereunder, as set out in section “Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as of 31 December 2022” of the Combined Separate Non-financial Report.

This responsibility includes the selection and application of appropriate non-financial reporting methods and making assumptions and estimates about individual non-financial disclosures of the Company that are reasonable in the circumstances. Furthermore, the executive directors are responsible for such internal control as the executive directors consider necessary to enable the preparation of a Combined Separate Non-financial Report that is free from material misstatement whether due to fraud or error.

The EU Taxonomy Regulation and the Delegated Acts issued thereunder contain wording and terms that are still subject to considerable interpretation uncertainties and for which clarifications have not yet been published in every case. Therefore, the executive directors have disclosed their interpretation of the EU Taxonomy Regulation and the Delegated Acts adopted thereunder in section “Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as of 31 December 2022” of the Combined Separate Non-financial Report. They are responsible for the

[52] PricewaterhouseCoopers GmbH has performed a limited assurance engagement on the German version of the combined separate non-financial report and issued an independent practitioner`s report in German language, which is authoritative. The following text is a translation of the independent practitioner’s report.

defensibility of this interpretation. Due to the immanent risk that indeterminate legal terms may be interpreted differently; the legal conformity of the interpretation is subject to uncertainties.

Quality Control of the Audit Firm

We have complied with the German professional provisions regarding independence as well as other ethical requirements.

Our audit firm applies the national legal requirements and professional standards – in particular the Professional Code for German Public Auditors and German Chartered Auditors (“Berufssatzung für Wirtschaftsprüfer und vereidigte Buchprüfer”: “BS WP/vBP”) as well as the Standard on Quality Control 1 published by the Institut der Wirtschaftsprüfer (Institute of Public Auditors in Germany; IDW): Requirements to quality control for audit firms (“IDW Qualitätssicherungsstandard 1: Anforderungen an die Qualitätssicherung in der Wirtschaftsprüferpraxis - IDW QS 1”) – and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Responsibility of the Assurance Practitioner

Our responsibility is to express a conclusion with limited assurance on the Combined Separate Non-financial Report based on our assurance engagement.

We conducted our assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements other than Audits or Reviews of Historical Financial Information, issued by the IAASB. This Standard requires that we plan and perform the assurance engagement to obtain limited assurance about whether any matters have come to our attention that cause us to believe that the Company’s Combined Separate Non-financial Report, other than the external sources of documentation or expert opinions mentioned in the Combined Separate Non-financial Report, are not prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB and the EU Taxonomy Regulation and the Delegated Acts issued thereunder as well as the interpretation by the executive directors disclosed in section “Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as of 31 December 2022” of the Combined Separate Non-financial Report.

In a limited assurance engagement, the procedures performed are less extensive than in a reasonable assurance engagement, and accordingly a substantially lower level of assurance is obtained. The selection of the assurance procedures is subject to the professional judgement of the assurance practitioner. In the course of our assurance engagement, we have, amongst other things, performed the following assurance procedures and other activities:

- Gain an understanding of the Company’s sustainability organization and stakeholder engagement
- Inquiries of the executive directors and relevant employees involved in the preparation of the Combined Separate Non-financial Report about the preparation process, about the internal control system relating to this process and selected disclosures in the Non-financial Report
- Identification of likely risks of material misstatement in the Combined Separate Non-financial Report

- Analytical procedures on selected disclosures in the Combined Separate Non-financial Report
- Reconciliation of selected disclosures with the corresponding data in the consolidated financial statements and management report
- Evaluation of the presentation of the information
- Evaluation of the process to identify taxonomy-eligible economic activities and the corresponding disclosures in the Combined Separate Non-financial Report

In determining the disclosures in accordance with Article 8 of the EU Taxonomy Regulation, the executive directors are required to interpret undefined legal terms. Due to the immanent risk that undefined legal terms may be interpreted differently, the legal conformity of their interpretation and, accordingly, our assurance engagement thereon are subject to uncertainties.

Assurance Opinion

Based on the assurance procedures performed and evidence obtained, nothing has come to our attention that causes us to believe that the Combined Separate Non-financial Report of the Company for the period from 1 January to 31 December 2022 is not prepared, in all material respects, in accordance with §§ 315c in conjunction with 289c to 289e HGB and the EU Taxonomy Regulation and the Delegated Acts issued thereunder as well as the interpretation by the executive directors disclosed in section "Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as of 31 December 2022" of the Combined Separate Non-financial Report.

We do not express an assurance opinion on the external sources of documentation or expert opinions mentioned in the Combined Separate Non-financial Report.

Restriction of Use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and the report is intended solely to inform the Company about the result of the assurance engagement. Consequently, it may not be suitable for any other purpose than the aforementioned. Accordingly, the report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility lies is to the Company. We do not accept any responsibility to third parties. Our assurance opinion is not modified in this respect.

Munich, 22 March 2023

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Sven Hauke Wirtschaftsprüfer [German public auditor]	Anne Witt Wirtschaftsprüferin [German public auditor]

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The Annual Report is also available
in German

The translation of the annual financial statements, comprising the balance sheet, the income statement and the notes to the financial statements, together with the combined management report and the report by the Supervisory Board of Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.

Financing progress.

Bayerische Landesbank
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